



Cornerstone Insurance Plc

ANNUAL REPORT

31 DECEMBER 2025

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Corporate Information

Directors	Mr. Segun Adebajji**** Mr. Stephen Alangbo Ms. Elizabeth Amadiume * Prof. Ogechi Adeola Mrs. Christabel Onyejekwe Mr. Ejakhaluse Zoe Omonkhogbe ** Mr. Peter Ekwueme Mr. Philip Southwell *** Mr. Olukayode Pitan *** Mr, Ibrahim Ibisomi *** Mr. Afolabi Balogun *** <i>*Retired October 2025</i> <i>**Appointed July 2025</i> <i>***Appointed December 2025</i> <i>**** Resigned January 2026</i>	Chairman Managing Director/CEO Independent Non-Executive Director Independent Non-Executive Director Non-Executive Director Non-Executive Director Executive Director Non-Executive Director Independent Non-Executive Director Independent Non-Executive Director Independent Non-Executive Director and Acting Chairman
Company Secretary	PAC Solicitors 10, Canaanland Street, Off Whitesands Avenue, Lekki Phase 1, Lagos. FRC/2015/00000006026	
Registered Office	Cornerstone Insurance Plc 136, Lewis Street, Lagos Island Lagos. Tel: 01-2806500 Website: www.cornerstone.com.ng	
Corporate Head Office	Cornerstone Insurance Plc 21, Water Corporation Drive, Victoria Island, Lagos Tel: 01-2806500 Website: www.cornerstone.com.ng E-mail: enquiries@cornerstone.com.ng	
Registrars	Lighthouse Registrars Limited, 2/4 Davies Street, Marina, Lagos.	
Auditor	Deloitte and Touche Civic Towers Plot GA. 1 Ozumba Mbadiwe Avenue Victoria Island, Lagos. Website: www.deloitte.com	
Bankers	Access Bank Plc First Bank of Nigeria Limited Standard Chartered Bank Limited Guaranty Trust Bank Limited Wema Bank Plc United Bank for Africa Plc Stanbic IBTC Bank Limited First City Monument Bank Limited Polaris Bank Limited Union Bank Plc	

Corporate Information

Bankers	Zenith Bank Plc Accion Microfinance Bank Limited Ecobank Limited Fidelity Bank Plc FSDH Merchant Bank Limited Keystone Bank Limited Sun Trust Bank Limited Sterling Bank Plc
Actuary	Becoda Consulting 7, Ibiyinka Olorunbe Close, Victoria Island, Lagos. Lagos. FRC/2015/NAS/00000012946
Property Valuers	Funsho Oladimeji & Company 4, Ikosi Road, Off Kudirat Abiola Way, Oregun, Ikeja, Lagos. FRC/2012/0000000000109 John Odiba & Partners 29, Majia Plaza, Opposite Al-Ansar Centre for Comprehensive Education, Sahara Estate, Gwarimpa, Abuja. FRC/2022/00000014211
Custodian for Annuity Fund	First Pension Fund Custodian Limited Plot 1297Akin Adesola Street Victoria Island, Lagos.
Lagos Branches	1.) 136, Lewis Street, Lagos. Tel: 01-2632863, 2630722, 2631832 2.) 6, Adeniyi Jones Avenue, (Opp. Wahum) Ikeja, Lagos. Tel: 08028339619 3.) Polysonic Mall (2nd floor), 42/44, Warehouse Road, Apapa, Lagos. Tel: 08034419914 4.) 191, Herbert Macaulay Street, Yaba. Tel: 08033809494, 07029043354 5.) 71, Emma Abimbola Cole Street, Lekki, Lagos State.
Other Branches	1.) 67, Aboderin Layout, Oni & Sons Area, Ring Road, Ibadan. Tel: 08029094320 2.) 222, Aba/Portharcourt Road, Portharcourt, Rivers State. Tel: 08030609056, 08098609056 3.) 34, Gana Street, Maitama, Abuja. Tel: 08035026956, 07028415441 4.) 103, Hadejia Road, Fagge, Kano. Tel: 08157223541 5.) Ken Complex, No. 229 Jakpa Road, Effurun, Delta State. Tel: 08020602974, 08033889679
NAICOM Number	RIC 008
TIN	00842273-0001
RC No	163170

Consolidated Results at a Glance

In thousands of naira

	31-Dec-25	31-Dec-24	Change	%
As at 31 December				
Financial Position				
Cash and cash equivalents	24,169,631	24,061,223	108,408	0
Financial assets				
- measured at FVOCI	41,104,559	40,925,655	178,904	0
- measured at FVTPL	46,029,690	22,430,537	23,599,153	105
- measured at amortised cost	1,287,977	13,015,608	(11,727,631)	(90)
Premium receivables	754,408	549,140	205,268	37
Other receivables and prepayments	1,782,469	1,274,283	508,187	40
Reinsurance contract assets	16,142,513	12,834,142	3,308,371	26
Investment properties	1,584,000	872,000	712,000	82
Property and equipment	5,967,919	4,323,243	1,644,676	38
Intangible assets	10,525	15,172	(4,646)	(31)
Statutory deposit	2,200,000	1,200,000	1,000,000	83.33
Total assets	141,033,691	121,501,002	19,532,689	16
Insurance contract liabilities	55,083,953	45,144,044	9,939,909	22
Reinsurance contract liabilities	92,832	143,619	(50,787)	0
Investment contract liabilities	1,348,313	1,053,426	294,887	28
Other insurance related liabilities	6,696,695	4,659,561	2,037,135	44
Other payables and accruals	2,870,476	4,551,197	(1,680,721)	(37)
Current tax liabilities	801,784	925,416	(123,632)	(13)
Deferred tax liabilities	1,251,500	4,519,968	(3,268,468)	-
Employees benefit obligations	28,096	7,048	21,048	299
Total liabilities	68,173,650	61,004,279	7,169,370	12
Share capital	9,083,196	9,083,196	-	-
Share premium	183,165	183,165	-	-
Treasury shares	(67,130)	(67,130)	-	-
Contingency reserve	14,200,564	11,799,411	2,401,154	20
Fair value and other reserves	11,201,820	5,884,720	5,317,100	90
Retained earnings	37,284,440	32,833,838	4,450,602	14
Shareholders' funds	71,886,056	59,717,200	12,168,856	20
Non-controlling interest	973,985	779,523		
Total equity	72,860,041	60,496,723	12,363,318	20
Total liabilities and equity	141,033,691	121,501,002	19,532,686	16

Profit or Loss and Other Comprehensive Income

In thousands of naira

For the year ended 31 December	31-Dec-25	31-Dec-24	Change	%
Insurance revenue	51,656,203	38,669,485	12,986,718	34
Insurance service expense	(23,156,016)	(25,457,869)	2,301,853	(9)
Net expenses from reinsurance contracts held	(15,023,697)	(11,063,395)	(3,960,302)	36
Insurance service result	13,476,491	2,148,221	11,328,270	527
Investment return	8,394,140	35,814,281	(27,420,141)	(77)
Management and other expenses	(13,140,995)	(9,343,016)	(3,797,979)	41
Profit before tax	8,729,636	28,619,486	(19,889,850)	(69)
Tax expense	3,027,051	(2,725,982)	5,753,033	(211)
Profit for the year	11,756,687	25,893,504	(14,136,817)	(55)

Directors’ Report

For the year ended 31 December 2025

The Directors present their annual report on the affairs of Cornerstone Insurance Plc (“the Company”) and its subsidiary companies (“the Group”), together with the consolidated and separate financial statements and the independent auditor's report for the year ended 31 December 2025.

1. Legal form and principal activity:

The Company was incorporated on 26 July 1991 as a private limited liability company and converted to a public limited liability company on 17 June 1997.

The Company's principal activity continues to be the provision of risk underwriting and related financial services to its customers. Such services include provision of life and Non-life insurance services for both corporate and individual customers.

The Company has three subsidiaries - FIN Insurance Company Limited, Hilal Takaful Nigeria Limited previously called Cornerstone Takaful Nigeria Limited and Cornerstone Leasing & Investment Limited. FIN Insurance Company Limited is a private limited liability company incorporated in Nigeria and its primary activity is the provision of general insurance business. Cornerstone Insurance Plc acquired 96.68% equity interest in Fin Insurance Company Limited in 2015 thereby qualifying Fin Insurance Company Limited as a subsidiary. Hilal Takaful Nigeria Limited previously called Cornerstone Takaful Nigeria Limited is a Company incorporated in Nigeria and its primary activity is the provision of Takaful insurance business. Cornerstone Takaful Nigeria Limited commenced operation on 1 April 2020, with Cornerstone Insurance Plc owning 99.99% equity interest in Cornerstone Takaful Nigeria Limited. Cornerstone Leasing and Investment Limited commenced operations on 1 July 2004 and provided convenient asset acquisition options to both corporate organizations and individuals. Cornerstone Insurance Plc has 100% equity interest in Cornerstone Leasing and Investment Limited which is currently dormant.

The consolidated financial statements include the results of its three subsidiaries.

2. Operating results:

In thousands of naira	Group		Company		YOY (%)	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24	Group Growth	Company Growth
Insurance revenue	51,656,203	38,669,485	41,602,222	30,365,388	34%	37%
Insurance service expenses	(23,156,016)	(25,457,869)	(16,868,109)	(18,783,178)	-9%	-10%
Profit before tax	8,729,636	28,619,486	7,374,027	17,665,969	-69%	-58%
Income tax expense	3,027,051	(2,725,982)	(772,063)	(1,282,404)	-211%	-40%
Profit for the year	11,756,687	25,893,504	6,637,915	16,381,825	-55%	-59%

3. Dividend

The Board is pleased to recommend to Shareholders at the forthcoming Annual General Meeting (AGM), the declaration of a total dividend of ₦5,086,590,040.00, that is, 28 (twenty eight) kobo only per ordinary share of Fifty (50) kobo each for the year ended 31 December 2025 (2024: ₦4,904,926,035.75; 27 kobo per ordinary share of 50 kobo each).

Directors' Report

For the year ended 31 December 2025

4. Directors

The Directors of the Company who held the office during the year in line with section 385(2) of the Companies and Allied Matters Act (CAMA) were as follows

Names of Directors	Designation	Nationality
Mr. Segun Adebajji*****	Chairman	Nigerian
Mr. Stephen Alangbo	Managing Director/CEO	Nigerian
Mr. Peter Ekwueme	Executive Director	Nigerian
Mr. Emeka Ogbechie**	Non-Executive Director	Nigerian
Mr. Ejakhaluse Zoe Omonkhogbe***	Non-Executive Director	Nigerian
Mr. Philip Southwell*****	Non-Executive Director	British
Ms. Elizabeth Amadiume*	Independent Non-Executive Director	Nigerian
Prof. Ogechi Adeola	Independent Non-Executive Director	Nigerian
Mr. Ibrahim Ibisomi****	Independent Non-Executive Director	Nigerian
Mr. Olukayode Pitan *****	Independent Non-Executive Director	Nigerian
Mr. Afolabi Balogun *****	Independent Non-Executive Director Act. Chairman	Nigerian

*Tenured Expired October 2025

**Appointed July 2025

***Appointed 28th July 2025

****Appointed 23rd December 2025

*****Appointed 23rd December 2025

*****Appointed 29th December 2025

*****Appointed 29th December 2025

*****Resigned 31 January 2026

5. Director's shareholding

The Directors of the Company who held the office during the year, together with their direct and indirect interests in the issued share capital of the Company as recorded in the Register of Directors' shareholding and as notified by the Directors in line with section 301 and 302 of the Companies and Allied Matters Act (CAMA), 2020 and the listing requirements of the Nigerian Stock Exchange, were as follows:

Names of Directors	Direct Shareholding		Indirect Shareholding	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Mrs. Christabel Onyejekwe	100,000	100,000	-	-
Mr. Stephen Alangbo	1,122,200	1,122,200	-	-
Mr. Peter Ekwueme	135,279	135,279	-	-

6. Directors' interest in contracts

None of the Directors has notified the Company for the purpose of Section 302 of the Company and Allied Matters Act, 2020 of any disclosable interest in contracts in which the Company was involved during the year ended 31 December 2025.

7. Substantial interest in shares

According to the Register of Members at 31 December 2025, no shareholder held more than 5% of the issued share capital of the Company except as disclosed as follows:

	31 December 2025		31 December 2024	
	Number of shares	%	Number of shares	%
Charing Management Limited	4,958,962,270	27.30	-	-
Chapel Hill Advisory Partners Ltd	1,815,700,000	9.99	-	-
Valmongdof Nigeria Limited	1,815,634,126	9.99	-	-
Africa Investment Holdings Llc	1,815,500,000	9.99	-	-
Banc-Assure Limited	-	-	8,803,503,588	48.46
Capasure Limited	-	-	5,547,786,518	30.54
	10,405,796,396	57.28	14,351,290,106	79.00

Directors' Report

For the year ended 31 December 2025

8. Shareholding Analysis

The analysis of the shareholding of the Company as at 31 December 2025 is as follows:

Range	Number of shareholders	% of number of shareholders	% of number of shareholders	% of number of shares held
1-500	2,475	412,769	7.97	0.00
501-1,000	1,520	1,151,963	4.89	0.01
1,001-5,000	6,442	17,226,215	20.73	0.09
5,001-10,000	5,736	39,728,185	18.46	0.22
10,001-20,000	5,381	73,798,390	17.32	0.41
20,001-50,000	4,532	141,426,708	14.59	0.78
50,001-100,000	2,222	152,416,872	7.15	0.84
100,001-500,000	2,264	431,158,685	7.29	2.37
500,001-1,000,000	243	172,487,700	0.78	0.95
1,000,001 and Above	258	17,136,585,238	0.83	94.33
Total	31,073	18,166,392,725	100.00	100.00

The analysis of the shareholding of the Company as at 31 December 2024 is as follows:

Range	Number of shareholders	% of number of shareholders	% of number of shareholders	% of number of shares held
1-500	1,511	279,379	5.27	0.00
501-1,000	1,084	773,040	3.78	0.00
1,001-5,000	5,848	15,706,091	20.39	0.09
5,001-10,000	5,567	38,253,529	19.41	0.21
10,001-20,000	5,290	72,216,548	18.45	0.40
20,001-50,000	4,489	139,593,570	15.65	0.77
50,001-100,000	2,201	150,174,290	7.68	0.83
100,001-500,000	2,209	414,211,277	7.70	2.28
500,001-1,000,000	234	163,258,606	0.82	0.90
1,000,001 and Above	243	17,171,926,395	0.85	94.53
Total	28,676	18,166,392,725	100.00	100.00

9. Property and equipment

Information relating to changes in property and equipment is given in Note 15 to the consolidated and separate financial statements. In the opinion of the directors, the market value of the Group's properties is not less than the value shown in the consolidated and separate financial statements.

10. Acquisition of own shares

The shares of the Company are held in accordance with the Articles of Association of the Company. The details of the Company's interest in its own shares is given in Note 23(c).

11. Employment and Employees:

Human Capital

The Company's Human Capital unit is responsible for driving and enhancing the performance of the organisation as well as attracting high potential professionals. All Human Capital policies of the Company are subject to local laws and regulations in Nigeria. One of the objectives of the unit is to provide a work environment that is conducive for both personal and professional growth and ensure that Management aligns with global best practice.

Employees' health, safety and environment

The Company continues to maintain strict health and safety rules and practices in the work environment which are reviewed periodically. Health, safety and fire drills are regularly organised to keep employees alert at all times. Employees are adequately insured against occupational hazards. In addition, the Company provides health insurance for its employees and their immediate families at its expense.

Directors’ Report

For the year ended 31 December 2025

Employment of physically challenged persons

The Company operates a non-discriminatory policy in the consideration of applications for employment, including those received from physically challenged persons. The Company's policy is that the most qualified and experienced persons are recruited for appropriate job levels irrespective of an applicant's state of origin, ethnicity, religion or physical condition. In the event that an employee becomes physically challenged in the course of employment, the Group is in a position to arrange appropriate training to ensure the continuous employment of such a person without subjecting him/her to any disadvantage in his/her career development. As at 31 December 2025, the Company had no physically challenged persons in its employment (2024: None).

Employees’ Involvement and Training

The Company places considerable value on the involvement of its employees and has continued the practice of keeping them informed on matters affecting them as employees and in various factors affecting the performance of the Company. Employees are consulted regularly on a wide range of matters affecting their current and future interests.

Management decisions are communicated to employees on matters that are of concern to them by utilising various means of internal communication, including internal memoranda, email, intranet portal, company-wide team building interactions, management meetings and business performance sessions among others.

The Company encourages the involvement of employees in the Company's performance through:

- Reward & Recognition schemes such as staff promos; awards for the best performing staff in different areas of the organization (Marketing & Support team);
- Profit sharing;
- No claim bonus for Company drivers.

For the 2025 financial year, a total of 290 employees attended 80 various training programs. The trainings were conducted

- e-Learning
- Virtual and classroom sessions
- Compliance trainings
- Local & international conferences
- Open programmes

Gender Equality in Employment

The Company is an equal opportunity employer that adheres strictly to the principles of equality in all employment decisions and interventions. In order to provide equal employment opportunities to all individuals, employment decisions are based on merit, available vacancies and organizational priority.

Staff breakdown

	31 December 2025		31 December 2024	
Group				
Gender	Number	%	Number	%
Male	148	51	150	53
Female	142	49	131	47
Total	290	100	281	100
Company				
Gender	Number	%	Number	%
Male	103	48	107	50
Female	112	52	105	49
Total	215	100	212	100

12. Donations and Charitable gifts

Group & Company

Donations during the year ended 31 December 2025 for the Group and Company amounted to ₦18,220,000 (2024: ₦6,150,000).

Directors’ Report

For the year ended 31 December 2025

Donations made are as follows:

Description	Organisation	Amount (₦)
Support to the Nigerian Youth Academy Project to empower	NIYA	10,000,000
Support to Jay Mental Health Foundation	Jay Medical Health Care Foundation	5,000,000
Support for the 25th Remembrance of Adetunji Akanji	Adetunji Akanji Ogunkanmi Foundation	2,000,000
Sponsorship of Edufood School Feeding Program for feeding	Lagos Foodbank Initiative	1,000,000
Chartered Insurance Institute of Nigeria Year 2025 Academic Award	Chartered Insurance Institute of Nigeria	220,000
Total		#####

13. Complaints and Feedback

Introduction

At Cornerstone Insurance Plc, empathy remains a core value that underpins our service delivery. We recognize that our customers are central to our existence, and as such, we are committed to consistently delivering exceptional service. We actively engage our customers and leverage their feedback to continuously enhance our service delivery, product offerings, and distribution channels.

Complaints Channels

We view every piece of customer feedback as an opportunity for improvement. Accordingly, we dedicate significant resources to analysing feedback and implementing insights gained to strengthen our services and products. Our feedback channels include, but are not limited to:

- Customer service representatives at our corporate head office and our various branches
- Complaint email channel: complaint@cornerstone.com.ng
- Our website platform: www.cornerstone.com.ng
- Customer service online: enquiries@cornerstone.com.ng

Resolution Mechanism

Cornerstone Insurance Plc has established a structured framework to ensure timely receipt and resolution of customer feedback. A dedicated customer service unit is responsible for investigating and resolving complaints within stipulated timelines, working collaboratively with relevant departments to ensure satisfactory outcomes.

Customer complaints are categorized based on their nature to facilitate effective monitoring, documentation, and resolution. The complaint resolution process is outlined below:

- Complaints are received, acknowledged, and attended to by customer care officers
- Issues that can be resolved at first contact are addressed immediately.
- Where immediate resolution is not possible, complaints are escalated to the appropriate unit.
- Upon resolution, customers are contacted and informed of the outcome.
- Cases are subsequently closed and documented as resolved.

Customer Opinions on Products

To further enhance customer experience, we periodically assess customer and public perceptions of our products, services, and policies. This is achieved through various initiatives, including:

- Customer Satisfaction Survey:
<https://www.cornerstone.com.ng/customer/quarter/index.html>
- Feedback collected during Customer Service Week, held annually in October

Feedback on Customer Complaints

Insights derived from customer complaints are regularly shared with management and relevant business units to drive continuous improvement. This process ensures that:

- Customers feel valued and appreciated, thereby promoting retention.
- Service quality is maintained and standardized across the organization
- Identified improvement areas are escalated to management for implementation

Feedback is disseminated through internal communication channels to relevant stakeholders.

Directors' Report

For the year ended 31 December 2025

Below is a report of complaints received and resolved by the Company during the year ended 31 December 2025.

Month	Complaints Received	Resolved	Unresolved	Unresolved within SLA
January	4	4	-	-
February	2	2	-	-
March	4	4	-	-
April	1	1	-	-
May	1	1	-	-
June	5	5	-	-
July	3	3	-	-
August	1	1	-	-
September	1	1	-	-
October	1	1	-	-
November	1	1	-	-
December	-	-	-	-
Total	24	24	-	-

*Service Level Agreement

All complaints were resolved within the approved service timelines. In instances where resolution communication was delayed, this was primarily due to customers being unavailable via email or phone after resolution. Nonetheless, all complaints are typically addressed within 48 hours, depending on their complexity.

The relatively low number of complaints recorded in 2025 reflects our proactive customer engagement approach, which focuses on identifying and resolving issues before they escalate.

The Policy is available for reference upon request.

Complaints Management Policy

The Company has implemented a Complaints Management Policy in line with the requirements of the Securities and Exchange Commission (SEC). This policy provides a comprehensive framework for handling shareholder enquiries and complaints in a fair, transparent, efficient, and timely manner.

14. Code of Business Conduct and Business Ethics

In order to further strengthen the Company's Corporate Governance policies, the Company approved and implemented the following internal policies and practices which are reviewed periodically:

Code of Ethics: The Board has approved a Code of Business Ethics which requires that the Company and its employees, directors and all its stakeholders must operate in a manner that is consistent with the highest standards of conduct. The Code enunciates the Company's core values of Integrity, Empathy, Professionalism, Innovation and Team spirit.

The Code contains extensive provisions on the use of confidential information, conflict of interest, fair dealing, insider trading, anti-discrimination and harassment and other matters as stipulated in the SEC Code of Corporate Governance.

The Code of Ethics has been adequately communicated to all employees and each employee is required to read and execute same. Its implementation is adequately monitored.

Whistle Blowing Policy: The Whistle Blowing Policy of the Company specifically mandates members of staff to timely disclose any illegal, immoral or illegitimate practices including suspicious activities thereof that may adversely affect the Company and/or its stakeholders. The Company has a window for anonymous disclosures under this policy via a dedicated portal in addition to other channels through which employees may wish to make whistleblowing disclosures anonymously.

Employment Hand Book: The Employee Hand Book of the Company regulates the conduct and affairs of members of staff.

Service Delivery: To facilitate quality service delivery to customers, the Company has in place Service Level Agreements (SLA), which regulate the contractual relationships among different units of the Company and their external vendors.

Fraud Policy: The Company's fraud policy is aimed at facilitating the development of controls that will aid the detection and prevention of fraud against the Company. The Company maintains its zero tolerance to fraud and non-compliance practices.

Directors' Report

For the year ended 31 December 2025

15. Events after the reporting date

There were no events after the reporting date which could have a material effect on the financial position of the Group and Company as at 31 December 2025 and the financial performance for the year ended on that date that have not been adequately provided for or disclosed in the consolidated and separate financial statements.

16. Enterprise Risk Management

Overview

The Company's Enterprise Risk Management (ERM) model originates from a compendium of International risk standards. Foremost of the three (3) models is the ISO 31000 - Risk Management - Principles and Guidelines. The definition of risk represents the foundation of the Company's risk management philosophy as contained in the ERM framework document. Corresponding supporting frameworks include:

- The COSO integrated framework
- The three (3) lines of risk defense model - Risk owners, ERM & Internal Control/Audit

In addition to developing veritable structures in responding to the traditional Insurance Industry risks of claims management and underwriting risks among others, the Board of Directors and Management appreciate the dynamism risk of the business. For this reason, risk management structures have been implemented to administer material changes in the corporate risk management framework. These risks include: compliance/ regulatory, health and safety, strategic, reputational, operational and financial risks.

The Board is vested with the overall responsibility of overseeing the Company's risk management and internal control mechanism. The Company's internal Audit/Control function is instituted to strategically manage overall risks rather than exclude material risks in relation to the attainment of corporate objectives. The Company promotes the culture of risk awareness through policy directives, communication and training. Management is responsible for identifying, assessing and addressing material risks, and designing internal controls accordingly. Standard operating procedures and inherent controls are subject to periodic reviews by the Enterprise Risk Management unit, Management and Board Committees. The key financial and non-financial risks and uncertainties faced by the Company, have been considered during the year, and our approaches to managing them, are described below.

The Cornerstone Enterprise Risk Management (ERM) Programme

The Company's Enterprise Risk Management (ERM) Programme comprises instituted structures designed to manage a myriad of uncertainties and threats and equally explore opportunities in enhancing the Company's performance standards. The Company's ERM practice involves a cross-functional and multi-dimensional approach to corporate risk management. An ERM unit has been specifically charged with the function of identifying, evaluating, monitoring and reporting uncertainties (risks and opportunities) that may impact on corporate objectives (ISO: 31000) using the RAG (Red, Amber and Green) rating methodology.

The Company's risk context delineates the scope of the risk management process and sets the standards against which risks will be assessed in accordance with the Company's primary objective to be the leading insurance based financial services Group that transforms. The Group appreciates the myriad of uncertainties inherent in underwriting insurance and managing ancillary risks and how such risks potentially impact achievement of business objectives if left unaddressed via a structured /multi-dimensional risk management approach. It is to this end that the Group's ethics, philosophy and risk culture are embodied in our integrated risk management and control function.

Enterprise Risk Management (ERM) Governance

A system of risk governance is realised by establishing standards related to organisational structure, risk strategy, written policies, limit systems, documentation and reporting. These structures ensure the timely movement of risk-related information and a structured approach towards decision- making and implementation.

The Governance Risk and Compliance Group

The Governance, Risk, Compliance (GRC) committee functions as a management committee that addresses broad issues of corporate governance, enterprise risk management, corporate compliance.

Its other functions include but are not limited to the following:

- Promotion of the overall risk management culture and awareness, maturity level in the company;
- Act in advisory capacity to Executive management on Governance risk compliance and control standards;
- Ensure overall compliance with regulatory requirements.

The operational framework of the G.R.C is governed by the ERM Committee charter as approved by the Board of Directors.

Risk Management Philosophy

Directors' Report

For the year ended 31 December 2025

The key elements of the Group's risk management philosophy are as follows:

- The Group considers sound risk management as the foundation of a long lasting financial institution.
- The Group shall continue to adopt a holistic and integrated approach to risk management.
- Risk officers shall be empowered to perform their duties professionally and independently without undue interference.
- Risk management shall be governed by policies which are well defined and clearly communicated Group-wide.
- Risk management represents a shared responsibility. Therefore, the Group aims to build a shared perspective on risks that is grounded on consensus.

Risk Culture

The Board and senior management set the tone-at-the-top, by promoting accountable approaches to risks which are targeted at ensuring that the long-term rewards and the reputation of the Group is not jeopardized in a bid to achieve set objectives.

- The primary responsibility for risk management and control is fully vested in the Board of Directors.
- The Group's management shall promote risk awareness and risk management practice across the enterprise.
- The Group advocates risk event reporting and whistle blowing, in the quest to gain greater insights into unethical practices.
- The Group shall maintain a firm obligation to ethical principles, which shall be demonstrated in the ethical performance of staff and in the decision making process.

Risk Management and Internal Control Integrated Framework

The ERM and Internal Audit/Control practice of the Group derives its functionality from the Committee of Sponsoring Organizations of the Treadway Commission (COSO) Enterprise Risk Management – Integrated Framework. The framework highlights the nucleus of the Enterprise Risk Management process, the synergy of operations amongst the Board of Directors, management and other personnel across the enterprise.

The Group's ERM/internal control integrated framework primarily consists of the following five (5) constituents in accordance with best practices:

- Control environment
- Risk assessment
- Control activities
- Information & communication
- Monitoring

Control environment

The Group's control environment refers to established standards and structures that provide a foundation for the risk management/internal control and actions to thrive across the Group. The Board of Directors and senior management institutes the tone at the top regarding the importance of internal control. Furthermore, the control environment comprises our five (5) corporate values of integrity, empathy, professionalism, innovation and team spirit that exhibit the Group's commitment to essential values. These values provide the necessary advantages that enables Management establish the mode of business operations and the Board of Directors to effectively execute its independent oversight functions by setting the tone at the top. The operating and corporate governance structure, establishment of standards of conduct, enforcement of accountability through structures and authorities represent critical success factors responsible for the thriving risk management culture within the Group thus far.

Risk assessment

Risk assessment involves an iterative method of identifying and evaluating risks that could constitute threats to the enterprise as a whole, usually emanating from business units and are capable of impacting the Group's objectives. Designated risk champions and risk officers are responsible for risk identification/reporting, while the ERM unit conducts an evaluation and assessment of risk identified, with the intention of developing action plans for implementation and assessing the effectiveness thereof. Risk assessment reports are presented at the quarterly Board meetings of the Enterprise Risk Management and Governance Committee.

The 2021 risk assessment was administered via the Risk Control Self-Assessment exercise. The objective is to identify risks across the enterprise via process owners and risk officers and evaluate the adequacy of internal control vis-a-vis risks identified using probability and impact metrics (RAG methodology). The Group shall ensure that risks are kept as low as reasonably practicable with similar emphasis on potential risk embedded therein.

Control activities

Directors' Report

For the year ended 31 December 2025

Control activities are actions instituted through internal practices that help safeguard the implementation of the Group's directives to mitigate risk exposures and or promote business opportunities that may possibly influence the achievement of corporate strategic objectives. Control activities are entity-specific and are performed at all levels across the Group at various stages within business processes and over the technology environment.

Information and Communication

The Group firmly appreciates that management of information is critical for the enterprise to proficiently implement internal control functions and has developed and utilises information from internal and external sources to underpin the current internal control system. This information also supports business decision-making.

Monitoring

The current corporate governance structure enables the Group to evaluate the efficacy of its policies and procedures, adherence to its internal control and risk management measures and communicates inherent and potential vulnerabilities in a timely manner to the authorities responsible for taking risk-based corrective actions, including Senior Management and Board Committees.

Reputational Risk Management

The Group maintains a zero tolerance policy against all unethical behaviour. Furthermore, the Group's corporate values continually promote a responsible approach to avoiding and mitigating reputational risks and ensure that the long term survival and brand image of the Group is not jeopardized.

Operational Risk Management

Operational risks represent the risk of losses that emanate from inadequate or failed internal processes, people and systems or from external events including legal and compliance risks.

The operational risk management approach hinges on prompt identification and proactive management of operational risks via an interactive of all "the lines of defense" functions.

The Group recognizes the pervasiveness of several types of operational risks in our business process; hence policies and tools have been instituted to ensure that resultant impacts are kept as-low-as-reasonably-practicable (ALARP). Some of these policies and tools are:

i. Risk and Control Self-Assessment (RCSA)

The Risk and Control Self-Assessment tool is employed to manage operational risks using a combination probability and impact measurement to calculate risk scores. Risk officers working in designated departments are primarily responsible for risk identification in line with our first line of defence model, assessment, proffering action plans for implementing and determining the efficacy of these plans in order to mitigate risk exposures.

ii. Risk Acceptance Criteria (RAC)

The RAC tool ensures that risks are adequately profiled by the Technical team before such risks are underwritten. The essence of this tool is to ensure that the Company only accepts risks that are within its risk appetite. The output from the use of the tool also helps the Company to make informed decisions on all insurance policies to be underwritten.

iii. Risk Appetite Dashboard (RAD)

The RAD provides at a glance the acceptable business risk threshold for identified risk metrics. The dashboard once updated with particular risks, triggers the business owners whenever acceptable risk limits are exceeded. All business risk ratios are profiled on the risk dashboard and are meticulously tracked daily.

iv. Occupational Health and Safety Management System

The Group reviewed its Occupational Health and Safety Management System (OHSAS) design, in order to meet the requirements of the international standard for OHSAS 1800:2007. The review was necessitated by the need to establish measures aimed at upholding the Group's policy on low risk tolerance against occupational health and safety risks. Risk awareness via communication to staff remains a veritable medium to promote company-wide health and safety.

Directors' Report

For the year ended 31 December 2025

v. Anti-Money Laundering and Combating Financing of Terrorism (AML/ CFT) Risk Profiling

The AML/CFT risk based profiling was developed to enhance the company's internal standards towards compliance with assessment of AML/CFT risks and applying a risk-based approach as provided by the 2017 Financial Action Task Force (FATF) recommendations.

Regulatory Reporting on ERM Activities

The Group submitted the Financial Condition Report (FCR) and Own Risk and Solvency Assessment (ORSA) report, in compliance with regulatory reporting priorities of NAICOM.

Environmental and Social Risk Management

The Group's activity is classified as a Category C based on the 2017 Environmental and Social (E&S) monitoring exercise. This categorization is based on available information that the Group's operational activities have minimal or no adverse environmental and social impact.

The Group is committed to improving identified areas in its E&S performance via the Environmental and Social Action Plan (ESAP).

17. Independent Auditor

Deloitte & Touche, having satisfied the relevant corporate governance rules, have indicated their willingness to serve as auditor to the Company. In accordance with section 401(1) & (2) of the Companies and Allied Matters Act (CAMA), 2020 the auditor will be re-appointed at the next annual general meeting of the Company without any resolution being passed.

BY THE ORDER OF THE BOARD OF DIRECTORS



Isaiah Oreweme

FRC/2014/PRO/NBA/002/00000006267

For: PAC Solicitors (Company Secretary)

10, Canaanland Street, Off Whitesands Avenue

Lekki Phase 1

Lagos, Nigeria

27 May 2026

Corporate Governance Report

Introduction

Governance is central to the operations and structure of the Company and good corporate governance is an essential part of the spirit of the Board. The Company's governance structures and practices align with applicable local legislation and international best practices including compliance with the Code of Corporate Governance issued by the National Insurance Commission (NAICOM) for the Insurance Industry in Nigeria and the Code of Corporate Governance for Public Companies issued by the Securities and Exchange Commission. Further, we ensure continuous review of our governance approach and practices to promote accountability and transparency.

The Board also ensures that its governance approach is reflected throughout the organisation and has developed a culture where managers at every level are accountable and stakeholder views are taken seriously. The Board determines the governance culture of the organisation and ensures that it leads by example by exhibiting responsible behaviour which is expected from every stakeholder in the organisation.

Governance Structure

The governance of the Company resides with the Board of Directors who are accountable to shareholders for creating and delivering sustainable value through the management of the Company's business.

The Board is responsible for the efficient operation of the Company and ensures the Company fully discharges its legal, financial and regulatory responsibilities. These oversight functions of the Board of Directors are exercised through its various Committees.

The matters which are more specifically reserved for the Board to ensure that it maintains full and effective control over appropriate strategic, financial, operational and compliance issues are:

- Maintenance of clear investment objectives and risk management policies;
- Formulation and Monitoring of the Group's strategy and Implementation of that strategy;
- Monitoring all business activities of the Company from analysis of investment performance to review of quarterly management accounts;
- Capital raising and Budget Allocation
- Accounting policies, and financial reporting
- Internal Control
- Approval of material acquisitions and disposal of assets
- Consideration and approval of Board and Senior Management appointments or removals
- Shareholder communication
- Authorisation of Directors' conflicts or possible conflicts of interest;
- Review of terms of reference and membership of Board Committees;

The Board delegates the operational management of the Group's businesses to the Group Managing Director/ Chief Executive Officer who reports to the Board and who can sub-delegate any of his powers as appropriate.

Board Composition and Changes During the Period

The Board of Directors of Cornerstone Insurance Plc is comprised of experienced people with significant achievements in their respective professions. At the beginning of the 2025 financial year, the Board comprised six (6) Directors, consisting of two (2) Non Executive Directors (NEDs), two (2) Independent Non Executive Directors (INEDs), and two (2) Executive Directors (EDs).

During the period under review, the National Insurance Commission (NAICOM) issued a Letter of No Objection dated 25 February 2025 approving the appointment of Mr Emeka Ogbechie (NED), a representative of African Capital Alliance, to the Board. Mr Ogbechie subsequently resigned on 14th June 2025, and NAICOM issued a Letter of No Objection dated 28th July 2025 approving the appointment of Mr Ejakhaluse Zoe Omonkhogbe (NED) as his replacement.

Following the expiration of the tenure of Ms Elizabeth Amadiume (INED) on 20th October 2025, the Board was reconstituted with the appointment of Mr Ibrahim Ibisomi and Mr Olukayode Pitan as Independent Non Executive Directors.

Further to NAICOM's Letter of No Objection dated 23rd October 2025 in relation to the purchase of shares from African Capital Alliance by Chapel Hill Advisory Partners Limited and to reflect the new shareholding structure, NAICOM issued Letters of No Objection dated 29th December 2025 approving the appointments of Mr Afolabi Balogun (INED) and Mr Philip Hugh Southwell (NED) to the Board.

Accordingly, as at 31st December 2025, the Board comprised ten (10) Directors, consisting of four (4) Non Executive Directors, four (4) Independent Non Executive Directors, and two (2) Executive Directors.

The composition of the Board during the 2025 financial year is presented as follows:

Corporate Governance Report

Non-Executive Directors

Name	Position
Mr. Segun Adebajji	Chairman
Ms. Elizabeth Amadiume	Independent Non-Executive Director (Tenure expired, effective 20 October, 2025)
Prof. Ogechi Adeola	Independent Non-Executive Director
Mrs. Christabel Onyejekwe	Non-Executive Director
Mr Emeka Ogbechie	Non-Executive Director (Resigned 14th June, 2025)
Mr Ejakhaluse Zoe Omonkhogbe	Non-Executive Director (Appointed 28th July, 2025)
Mr Ibrahim Ibisomi	Independent Non-Executive Director (Appointed 23rd December 2025)
Mr Philip Hugh Southwell	Non-Executive Director (Appointed 29th December 2025)
Mr. Afolabi Balogun	Independent Non-Executive Director (Appointed 29th December 2025)

Executive Directors

Name	Position
Mr. Stephen Alangbo	Managing Director/CEO (Appointed July 1, 2023)
Mr. Peter Ekwueme	Executive Director, Technical/Operations (Appointed July 1 2023)

Board Appointment, Induction and Training

The Board through the Governance, Nomination and Remuneration Committee is responsible for determining the required knowledge, skills and experience, required for the Board as a whole and for individual members. Members are expected to meet the standard requirements set by the Board and should also possess expertise and insights in the industry and other areas relevant to the Company.

All newly appointed Non Executive Directors receive a formal letter of appointment setting out, among other matters, their fiduciary duties, roles and responsibilities, remuneration, and Board meeting information. Upon appointment, Directors are provided with an induction pack on Cornerstone Insurance, including key corporate information, recent financial data, and the principal policies underpinning the Company's business practices. Directors also receive the Terms of Reference of the Board and the committees to which they are appointed, together with the Company's Memorandum and Articles of Association.

Directors are encouraged to continually update their skills and knowledge, and the Board and individual Directors undertake ongoing training and development as required to support effective oversight and decision making.

Meetings of the Board

The Board met seven (7) times in 2025. The Board meets at least once each quarter to discharge its oversight responsibilities and monitor management performance. Special meetings are convened as required to address urgent matters. Between scheduled meetings, the Board maintains regular engagement with management to ensure timely oversight and decision making.

Details of attendance by each of the Directors at Board meetings are shown in the table below.

Meetings							
Names	21-Mar-25	29-Apr-25	29-Jul-25	24-Sep-25	20-Oct-25	4-Dec-25	15-Dec-25
Mr. Segun Adebajji	✓	✓	✓	✓	✓	✓	✓
Ms. Elizabeth Amadiume**	✓	✓	✓	✓	✓	R	R
Prof. Ogechi Adeola	✓	✓	✓	✓	✓	✓	✓
Mrs. Christabel Onyejekwe	✓	X	✓	✓	✓	✓	✓
Mr. Emeka Ogbechie***	✓	✓	R	R	R	R	R
Mr. Ejakhaluse Zoe Omonkhogbe*	NYA	NYA	✓	✓	✓	✓	✓
Mr. Stephen Alangbo	✓	✓	✓	✓	✓	✓	✓
Mr. Peter Ekwueme	✓	✓	✓	✓	✓	✓	✓

Key: ✓ - Present X - Absent R- Resigned NA- Not Applicable NYA- Not Yet Appointed

Ms. Elizabeth Amadiume ** Tenure Expired from the Board on 20th October 2025

Mr. Emeka Ogbechie ** *Resigned from the Board on 14th June 2025

At some meetings, Mr. Ejakhaluse Zoe Omonkhogbe* was not yet approved as a member of the Board This is indicated as 'Not Yet Appointed' (NYA)

Corporate Governance Report

Annual Board Evaluation

In compliance with the NAICOM Code of Corporate Governance, the Company appointed DCSL Corporate Services Limited to conduct the annual Board evaluation exercise for the year ended 31 December 2025. An abridged report of the Board evaluation would be published in the 2025 Annual Report.

The Governance, Nomination and Remuneration Committee would consider the full report of the Board evaluation carried out for the year ended 31 Dec 2025 to identify areas of specific focus.

Board Committees

The Board is supported by a number of committees that strengthen the Board's oversight and assurance across the organisation. These committees form part of the Company's formal governance framework and provide structured reporting and assurance to the Board.

This enables the Board to focus a significant proportion of its time on strategic matters while receiving appropriate assurance that key decisions across the organisation are taken effectively and on the basis of accurate and timely information. Following each committee meeting, the chair of the relevant committee reports to the Board on the committee's deliberations, outcomes, and recommendations.

The following are the current standing committees of the Board:

- i. Risk Management, Audit and Compliance Committee
- ii. Governance, Nomination and Remuneration Committee
- iii. Finance, Investments and General Purpose Committee
- iv. Statutory Audit Committee

All the Committees have Terms of Reference that guide Committee members in the execution of their duties. The Committees report to the Board and provide recommendations to the Board on matters reserved for Board approval.

Risk Management, Audit and Compliance Committee

The Risk Management, Audit and Compliance Committee, assists the Board to oversee the Group's risk management systems, practices and procedures to ensure effectiveness of risk identification, mitigation and management. The Committee also assists the Board in ascertaining the integrity of the Company's financial statements and compliance with all applicable legal and other regulatory requirements.

The Committee meets at least four (4) times in a year. The relevant members of the senior executive management team in attendance at the Committee's meetings include the Chief Risk Officer and Head of Internal Audit.

The members of the Risk, Management, Audit and Compliance Committee

Ms. Elizabeth Amadiume - Chairperson

Prof. Ogechi Adeola

Mrs. Christabel Onyejekwe

Mr. Emeka Ogbechie

Mr. Ejakhaluse Zoe Omonkhogbe

The details of the meeting attendance is as follows:

Meetings

Names	3/6/2025	26-Apr-25	24-Jul-25	17-Oct-25
Ms. Elizabeth Amadiume	✓	✓	✓	✓
Prof. Ogechi Adeola	✓	✓	✓	✓
Mrs. Christabel Onyejekwe	✓	✓	✓	✓
Mr. Emeka Ogbechie**	✓	✓	R	R
Mr. Ejakhaluse Zoe Omonkhogbe*	NYA	NYA	NYA	✓

Key: ✓ - Present X - Absent R- Resigned NYA- Not Yet Appointed

At some meetings, Mr. Emeka Ogbechie** Resigned from the Board. This is indicated as R- Resigned

At some meetings, Mr. Ejakhaluse Zoe Omonkhogbe* was not a member of the Committee. This is indicated as 'Not Yet Appointed' (NYA)

Corporate Governance Report

Governance, Nomination and Remuneration Committee

The Governance, Nomination and Remuneration Committee is established as a Committee of the Board and is responsible for reviewing and making recommendations to the Board on the structure, size and composition of the Board. It also makes recommendation to the Board on the remuneration of all Board Members and Senior Management, and on effective corporate governance policies in line with global best practices.

The Committee meets at least four (4) times a year. The Committee can exercise its discretion to request any Senior Management staff to attend its meetings to provide advice and assistance, where necessary.

The members of the Committee are:

Prof. Ogechi Adeola - Chairperson

Ms. Elizabeth Amadiume

Mr. Emeka Ogbechie

Mr. Ejakhaluse Zoe Omonkhogbe

Names	4-Mar-25	22-Apr-25	22-Jul-25	13-Oct-25
Prof. Ogechi Adeola	✓	✓	✓	✓
Ms. Elizabeth Amadiume	✓	✓	✓	✓
Mr. Emeka Ogbechie**	✓	✓	R	R
Mr. Ejakhaluse Zoe Omonkhogbe*	NYA	NYA	NYA	✓

Key: ✓ - Present X - Absent R- Resigned NYA- Not Yet Appointed

At some meetings, Mr. Emeka Ogbechie** Resigned from the Board. This is indicated as R- Resigned

At some meetings, Mr. Ejakhaluse Zoe Omonkhogbe* was not a member of the Committee. This is indicated as 'Not Yet Appointed' (NYA)

Finance, Investment and General Purpose Committee

The Finance, Investment, and General Purpose Committee assists the Board in its oversight responsibilities over the Company's financial and investment strategy. The Committee also assists with establishing a framework or broad policy for investment and monitors the implementation of the Company's investment policies and procedures. The Committee oversees the Board's responsibilities in relation to the financial affairs of the Company and acts as a general purpose committee with power to act on all day-to-day matters not within the province of any other committee of the Company.

The Managing Director, Chief Financial Officer, Head of Treasury and Investment, Head of Marketing and Corporate Communications and Head of Legal are usually in attendance at the Committee's meetings to provide answers to the Committee on questions that may arise in the course of the meeting.

The members of the Committee are:

Mr. Ejakhaluse Zoe Omonkhogbe - Chairman

Mr. Emeka Ogbechie

Prof. Ogechi Adeola

Mrs. Christabel Onyejekwe

Mr. Stephen Alangbo

Mr. Peter Ekwueme

The details of the meeting attendance is as follows:

Meetings	6-Mar-25	26-Apr-25	24-Jul-25	18-Oct-25	28-Nov-25
Names					
Mr. Ejakhaluse Zoe Omonkhogbe*	NYA	NYA	NYA	✓	✓
Mr. Eemeka Ogbechie **	✓	✓	R	R	R
Prof. Ogechi Adeola	✓	✓	✓	✓	✓
Mrs. Christabel Onyejekwe	✓	✓	✓	✓	✓
Mr. Stephen Alangbo	✓	✓	✓	✓	✓
Mr. Peter Ekwueme	✓	✓	✓	✓	✓

Key: ✓ - Present X - Absent R - Resigned NYA - Not Yet Appointed

At some meetings, Mr. Emeka Ogbechie** Resigned from the Board. This is indicated as R- Resigned

At some meetings, Mr. Ejakhaluse Zoe Omonkhogbe* was not a member of the Committee. This is indicated as 'Not Yet Appointed' (NYA)

Corporate Governance Report

Statutory Audit Committee

The Statutory Audit Committee of the Group is a requirement of Section 404 (2) & (3) of the Companies and Allied Matters Act, 2020. The Committee consists of five (5) members comprising of two (2) Non-Executive Directors and three (3) members of the shareholders.

The Committee's terms of reference are stated in Section 404(4) of the Companies and Allied Matters Act, 2020. The Committee is also guided by the provisions of Section 30 of the Code of Corporate Governance for Public Companies issued by the Securities and Exchange Commission.

The Committee meets at least four (4) times a year and each of these meetings are attended by relevant members of the Company's management team including the Managing Director, the Internal Auditor, Head of Strategy and Risk Management, Chief Finance Officer, Head of Finance and Performance Management, Head of Legal and where necessary, the External Auditors.

The roles and responsibilities of the Statutory Audit Committee are to:

- Ascertain whether the accounting and reporting policies of the Company are in accordance with legal requirements and agreed ethical practices;
- Review the scope and planning of audit requirements;
- Review the findings on Management matters in conjunction with the external auditor and departmental responses thereon;
- Keep under review the effectiveness of the Company's system of accounting and internal control;
- Make recommendations to the Board with regard to the appointment, removal and remuneration of the external auditors of the Company;
- Authorise the internal auditor to carry out investigations into any activities of the Company which may be of interest or concern to the Committee.
- Review the Company's whistle-blowing policy
- Monitor and review the effectiveness of the Company's internal audit function in the context of the Company's overall risk management system.

The members of the Statutory Audit Committee are:

Mr. Henry Olayemi - Chairman

Mr. Chibuzor Eke

Mr. Oyetunde Olaitan Emilius

Ms. Elizabeth Amadiume

Mrs. Christabel Onyejekwe

The details of the meeting attendance is as follows:

Meetings					
Names	10-Mar-25	20-Mar-25	26-Apr-25	24-Jul-25	18-Oct-25
Mr. Henry Olayemi	✓	✓	✓	✓	✓
Mr. Chibuzor Eke	✓	✓	✓	✓	✓
Mr. Oyetunde Olaitan Emilius	✓	✓	✓	✓	✓
Ms. Elizabeth Amadiume	✓	✓	✓	✓	✓
Ms. Elizabeth Amadiume	✓	✓	✓	✓	✓
Mrs. Christabel Onyejekwe	✓	✓	✓	✓	✓

Key: ✓ - Present X - Absent

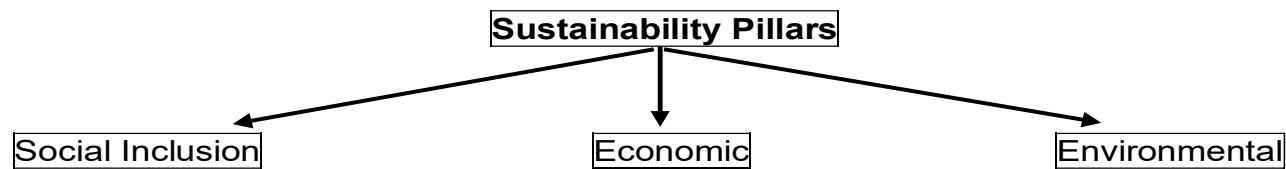
Sustainability Statement

At Cornerstone Insurance PLC ("the Company"), we recognize that a robust Environmental, Social, and Governance (ESG) proposition can sustain our continual success and long-term existence. As such, we are committed to getting our ESG proposition right, in addition to delivering economic values. This commitment is aimed at creating greater value in our business operations and activities.

In pursuant of this commitment, we have continually incorporated environmental and social standards into our business operations to align with international best practices. As an innovative and sustainable insurance company, we believe that creating value for our stakeholders; including our employees, shareholders, investors, and society at large is key to the long-term resilience and value of our business.

Corporate Governance Report

Sustainability Pillars



Sustainability is integrated across our business on three pillars:

1. Social Inclusion

At Cornerstone Insurance Plc, we leverage our roles as an insurer, employer, and corporate citizen to contribute to a more inclusive society. We strive to create working conditions that promote work-life balance and employee well-being while investing in our communities through various corporate social programs.

A. Our Employees

We highly value our employees and are dedicated to creating an environment that enables them to grow and standards of health and safety, we ensure a supportive and secure workplace, empowering our team to achieve both personal and professional success.

Through robust employee engagement and feedback mechanisms, including continuous communication with our management team, we have successfully fostered strong employee satisfaction and maintained harmonious workforce relations. We remained committed to attracting, developing, and retaining talents that align with our core values.

B. Our Community

Corporate Social Responsibility

Cornerstone Insurance Plc Foundation (CIPLCF) serves as the corporate social responsibility (CSR) arm of Cornerstone Insurance Plc, focusing on initiatives that uplift communities and improve societal well-being. The foundation's efforts are primarily directed towards health and safety, education and community engagement and execute projects which align with our company's core values, mission and vision.

We believe that every child deserves the opportunity to learn and grow without the burden of hunger. That's why we partnered with the Lagos Food Bank Initiative (LFBI) to sponsor the Edufood Program—an initiative dedicated to ensuring that children in low-cost schools across underserved communities in Lagos State receive the essential nutrition they need for physical growth, cognitive development, and overall well-being. This was geared towards reducing school absenteeism/increasing school enrollment, increasing academic performance, and helping caregivers/parents save money meant for a child's lunch. CIPLC Foundation provided 500 nutritious meals to 500 children in low-income schools in Agege area of Lagos, ensuring they have the fuel they need to thrive, this event was coined Show Love with Insurance.

This initiative was executed with the same intentionality and passion that Corne brings to its core business, reflecting a deeply held conviction that a truly great company is measured not only by its financial performance, but by the tangible difference it makes in the lives of the most vulnerable members of society.

For CIPLC Foundation, this was not a routine corporate exercise, it was a purposeful act of compassion, rooted in the belief that every child deserves access to adequate nutrition and the opportunity to thrive.

This initiative is directly aligned with United Nations Sustainable Development Goal 2: Zero Hunger — a global call to action to end hunger, achieve food security, improve nutrition, and promote sustainable agriculture by 2030.

By channeling resources to ensure that 500 children received meals through this partnership, we translated a global mandate into local impact. The Lagos Food Bank, a frontline organization in Nigeria's fight against food insecurity, provided the ideal partner for this mission, combining grassroots reach with structured food distribution expertise to ensure that the intervention was both impactful and dignified. We are proud to count this initiative among our most meaningful corporate achievements. It reflects the organization's understanding that its responsibility to society extends well beyond the insurance contract.

We also supported the Nigerian Youth Academy (NIYA) initiative to empower 1,000 youths through their platform to equip them with education and skills, economic empowerment, leadership and civic engagement. The idea is to turn Nigeria's young population into job ready, globally competitive talent, while driving business and civic participation.

Corporate Governance Report

2. Environmental

The Company proactively addresses the challenges and opportunities of climate change by identifying and managing the associated risks. This approach enables us to foster a sustainable environment and contribute to a low-carbon economy. We optimize our performance by focusing on energy efficiency, water usage, and emissions reduction, ensuring a more sustainable future.

Committed to a greener future, we have implemented key initiatives to reduce our carbon footprint. A major step was maintaining our solar panel installations, which have significantly reduced our reliance on backup generators for Information Technology (IT) server rooms across our locations. This solution not only lowers emissions but also promotes a more sustainable and efficient operation.

We had also fully adopted a cloud computing and virtualization which has significantly helped in the use of spaces and energy consumption if we were to maintain a physical data centre.

Other initiatives implemented during the year to maintain a safe environment include:

- E-waste management and proper recycling of old devices was also adopted thereby reducing the toxic wastes.
- Utilizing Microsoft collaborative tools to reduce employee business travel while promoting alternative communication methods aimed at minimizing our carbon footprint.
- Replacing obsolete systems with newer, energy-efficient alternatives to reduce energy consumption.
- Implementing a generator shutdown policy across all locations, which has significantly reduced CO₂ emissions, helped manage energy use, and demonstrated our commitment to addressing climate change risks.

3. Economic

Our economic strategy integrates ESG considerations by applying corporate policies and ESG processes across all underwriting and business operations. We promote inclusive and sustainable economic growth nationwide by diligently managing ESG risks within our business units. The underlisted initiatives were adopted in the year 2025

- We consciously adopted the use of generative artificial intelligence tools called CiCi to promote a self-service process which has improved the customer engagement convenience and expanded our reach to prospective customers. We also adopted technology to simplify claim inspection thereby reducing operational costs and improving profitability
- We embed sustainability into all aspects of our decision making and operations. To ensure accountability, our executive management committee ensures that the sustainability strategy is fully integrated into business processes and activities.
- As a Company, we maintain compliance with IFRS Accounting Standards and remain committed to adapting to future regulatory changes.
- In our commitment to data protection, we continuously monitor the requirements of the General Data Protection Regulation (GDPR), the Nigeria Data Protection Regulation (NDPR), and other relevant laws by regularly creating awareness among our staff, customers, and vendors to safeguard their personal information against identity theft.
- Recognizing the critical importance of data security to our operations, we have established a robust application and technology infrastructure that protects against data breaches. We use advanced tools to prevent cyberattacks and enhance data protection.
- To safeguard customer and company data privacy, we engaged cybersecurity specialists to perform penetration testing in alignment with international best practices.
- We have continued to advance the digitalization of our business applications to align with industry standards, improving end-to-end automated service delivery and enhancing customer satisfaction. This transformation has also increased the adoption of online channels and digital platforms.

In conclusion, we are determined to continually reinforce our business strategy through the sustainability pillars, which adopts an integrated approach to focus on areas where we can achieve the greatest impact while upholding the Company's environmental and economic responsibilities.

Report of the Statutory Audit Committee

To the Shareholders of **Cornerstone Insurance Plc**

In compliance with the provisions of Section 404(7) of the Companies and Allied Matters Act (CAMA), 2020, the members of the Statutory Audit Committee of Cornerstone Insurance Plc report on the consolidated and separate financial statements for the year ended 31 December 2025 as follows:

- i We confirm that the accounting and reporting policies of the Company are in accordance with legal requirements and agreed ethical practices;
- ii We have reviewed the scope and planning of audit requirements;
- iii We have reviewed the findings on management matters in conjunction with the external auditor and departmental responses thereon;
- iv We have kept under review the effectiveness of the Company’s system of accounting and internal control;
- v We have made recommendations to the board with regard to the appointment, removal and remuneration of the external auditors of the Company;

SIGNED ON BEHALF OF THE COMMITTEE BY:



Mr. Henry Olayemi
Chairman, Statutory Audit Committee
FRC/2013/CISN/00000005191
Lagos, Nigeria
27 May 2026

Members of the Statutory Audit Committee are:

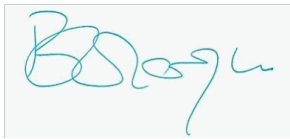
Mr. Henry Olayemi	Shareholders' representative	Chairman
Mr. Chibuzor Eke	Shareholders' representative	Member
Mr. Oyetunde Olaitan Emilius	Shareholders' representative	Member
Ms. Elizabeth Amadiume*	Non-Executive Director	Member
Mrs. Christabel Onyejekwe	Non-Executive Director	Member

*Tenured Expired October 2025

Risk Management Declaration

We, the Directors on behalf of Cornerstone Insurance Plc, hereby affirm to the best of our knowledge and belief, having made appropriate enquiries that:

- a. The Company has instituted an operational structure aimed at adhering to the guidelines established by the National Insurance Commission in relation to establishing a risk management framework for insurers and reinsurers in Nigeria;
- b. The Board is satisfied with the efficacy of the methods surrounding the production of financial information of the Company;
- c. The Enterprise Risk Management and Internal Control structure and functions are embedded in the Company's operational framework and are functioning effectively.



Mr. Afolabi Balogun
Acting Chairman
FRC/2015/NBA/00000013423
Lagos, Nigeria
27 May 2026



Mr. Stephen Alangbo
Managing Director/CEO
FRC/2017/PRO/DIR/003/00000016217
Lagos, Nigeria
27 May 2026

Statement of Directors’ Responsibilities

The Directors accept responsibility for the preparation of the annual consolidated and separate financial statements that give a true and fair view in accordance with IFRS Accounting Standards issued by the International Accounting Standards Board (IFRS Accounting Standards) and in the manner required by the Companies and Allied Matters Act (CAMA), 2020, the Financial Reporting Council of Nigeria (Amendment) Act, 2023, the Insurance Act, 2003 and relevant National Insurance Commission ("NAICOM") circulars.

The Directors further accept responsibility for maintaining adequate accounting records as required by the Companies and Allied Matters Act (CAMA), 2020 and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement whether due to fraud or error.

The Directors have made assessment of the Group and Company’s ability to continue as a going concern and have no reason to believe that the Group and Company will not remain a going concern in the year ahead.

Signed on behalf of the Directors by:



Mr. Afolabi Balogun
Acting Chairman
FRC/2015/NBA/00000013423
Lagos, Nigeria
27 May 2026



Mr. Stephen Alangbo
Managing Director/CEO
FRC/2017/PRO/DIR/003/00000016217
Lagos, Nigeria
27 May 2026

Statement of Corporate Responsibility

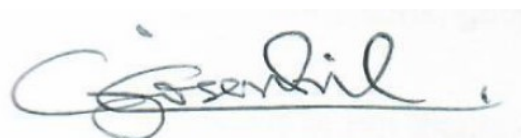
Further to the provisions of section 405 of the Companies and Allied Matters Act (CAMA), 2020, we, the Group Managing Director and Chief Financial Officer, hereby certify the consolidated and separate financial statements of Cornerstone Insurance Plc and its subsidiaries for the year ended 31 December 2025 as follows:

- a) That we have reviewed the audited consolidated and separate financial statements of the Group and Company for the year ended 31 December 2025.
- b) That the audited consolidated and separate financial statements do not contain any untrue statement of material fact or omit to state a material fact which would make the statements misleading, in the light of the circumstances under which such statement was made.
- c) That the audited consolidated and separate financial statements and all other financial information included in the statements fairly present, in all material respects, the financial condition and results of operation of the Group and Company as of and for, the year ended 31 December 2025.
- d) That we are responsible for establishing and maintaining internal controls and have designed such internal controls to ensure that material information relating to the Company and its subsidiaries is made known to us by other officers of the companies, during the period end 31 December 2025.
- e) That we have evaluated the effectiveness of the Group and Company's internal controls within 90 days prior to the date of audited consolidated and separate financial statements, and certify that the Company's internal controls are effective as of that date
- f) That there were no significant changes in internal controls or in other factors that could significantly affect internal controls subsequent to the date of our evaluation, including any corrective action with regard to significant deficiencies and material weaknesses.
- g) That we have disclosed the following information to the Company's Auditors and Statutory Audit Committee:
 - (i) there are no significant deficiencies in the design or operation of internal controls which could adversely affect the Company's ability to record, process, summarise and report financial data, and have identified for the Company's auditors any material weaknesses in internal controls, and
 - (ii) there is no fraud that involves management or other employees who have a significant role in the Company's internal control.

Signed:



Mr. Stephen Alangbo
Managing Director/CEO
FRC/2017/PRO/DIR/003/00000016217
Lagos, Nigeria
27 May 2026



Mr. Jubril Ajose
Chief Financial Officer
FRC/2013/ICAN/00000003148
Lagos, Nigeria
27 May 2026

Certification Pursuant to Section 60 of the Investment and Securities Act, 2007

I, Mr. Stephen Alangbo, certify that:

- a) I have reviewed the Report on the Effectiveness of Internal Control over Financial Reporting as of 31 December 2024, for Cornerstone Insurance Plc (“the Company”) and its subsidiaries (together referred to as “the Group”);
- b) Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
- c) Based on my knowledge, the financial statements and other financial information included in this report fairly present, in all material respects, the financial condition, results of operations, and cash flows of the Group as of, and for, the periods presented in this report;
- d) The Group’s other certifying officer and I:
 - i) are responsible for establishing and maintaining internal controls;
 - ii) have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the Company and its consolidated subsidiaries is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - iii) have designed such internal control systems, or caused such internal control systems to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS Accounting Standards;
 - iv) have evaluated the effectiveness of the Group’s internal controls and procedures as of a date within 90 days prior to this report and have presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report, based on such evaluation.
- e) The Group’s other certifying officer and I have disclosed, based on our most recent evaluation of the internal control system, to the Company’s auditors and the Statutory Audit Committee:
 - i) that there are no significant deficiencies or material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the Group’s ability to record, process, summarize, and report financial information; and
 - ii) that there is no fraud, whether or not material, involving management or other employees who have a significant role in the Group’s internal control system.
- f) The Group’s other certifying officer and I have identified in the report whether there were any significant changes in internal controls or other factors that could significantly affect internal controls subsequent to the date of our evaluation.

Signed:



Mr. Stephen Alangbo

Managing Director/CEO

FRC/2017/PRO/DIR/003/00000016217

Lagos, Nigeria

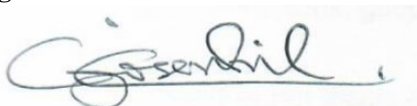
27 May 2026

Certification Pursuant to Section 60 of the Investment and Securities Act, 2007

I, Mr. Jubril O. Ajose, certify that:

- a) I have reviewed the Report on the Effectiveness of Internal Control over Financial Reporting as of 31 December 2024, for Cornerstone Insurance Plc (“the Company”) and its subsidiaries (together referred to as “the Group”);
- b) Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
- c) Based on my knowledge, the financial statements and other financial information included in this report fairly present, in all material respects, the financial condition, results of operations, and cash flows of the Group as of, and for, the periods presented in this report;
- d) The Group’s other certifying officer and I:
 - i) are responsible for establishing and maintaining internal controls;
 - ii) have designed such internal controls and procedures, or caused such internal controls and procedures to be designed under our supervision, to ensure that material information relating to the Company and its consolidated subsidiaries is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - iii) have designed such internal control systems, or caused such internal control systems to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS Accounting Standards;
 - iv) have evaluated the effectiveness of the Group’s internal controls and procedures as of a date within 90 days prior to this report and have presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report, based on such evaluation.
- e) The Group’s other certifying officer and I have disclosed, based on our most recent evaluation of the internal control system, to the Company’s auditors and the Statutory Audit Committee:
 - i) that there are no significant deficiencies or material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the Group’s ability to record, process, summarize, and report financial information; and
 - ii) that there is no fraud, whether or not material, involving management or other employees who have a significant role in the Group’s internal control system.
- f) The Group’s other certifying officer and I have identified in the report whether there were any significant changes in internal controls or other factors that could significantly affect internal controls subsequent to the date of our evaluation.

Signed:



Mr. Jubril Ajose
Chief Financial Officer
FRC/2013/ICAN/00000003148
Lagos, Nigeria
27 May 2026

Report on the Effectiveness of Internal Control over Financial

The management of Cornerstone Insurance Plc (“the Company”) is responsible for establishing and maintaining adequate internal control over financial reporting, as required by the Investment and Securities Act, 2007 and the Financial Reporting Council (Amendment) Act, 2023.

The management of Cornerstone Insurance Plc assessed the effectiveness of internal control over financial reporting for the Company and its subsidiaries (together, “the Group”) as of 31 December 2024, using the criteria set forth in the Internal Control—Integrated Framework (2013), issued by the Committee of Sponsoring Organizations of the Treadway Commission (“the COSO Framework”), and in accordance with the SEC Guidance on the Implementation of Sections 60–63 of the Investment and Securities Act, 2007.

As of 31 December 2025, management did not identify any material weaknesses in its assessment of internal control over financial reporting.

As a result, management concluded that, as of 31 December 2025, the Group’s internal control over financial reporting was effective. The Company’s independent auditor, KPMG Professional Services, who audited the consolidated and separate financial statements included in this Annual Report, issued an unmodified conclusion on the effectiveness of the Group’s internal control over financial reporting as of 31 December 2025, based on the limited assurance engagement performed by them. KPMG Professional Services’ limited assurance report is also included in the Annual Report.

Changes in Internal Control Over Financial Reporting

There were no changes in our internal control over financial reporting that occurred subsequent to the date of our evaluation which significantly affected, or are reasonably likely to significantly affect, the Group’s internal control over financial reporting.



Mr. Stephen Alangbo
Managing Director/CEO
FRC/2017/PRO/DIR/003/00000016217
Lagos, Nigeria
27 May 2026



Mr. Jubril Ajose
Chief Financial Officer
FRC/2013/ICAN/00000003148
Lagos, Nigeria
27 May 2026

Assurance Report of Independent Auditor

To the Shareholders of Cornerstone Insurance Plc

Assurance Report on Management's Assessment of Controls over Financial Reporting

We have performed a limited assurance engagement in respect of the systems of internal control over financial reporting of Cornerstone Insurance Plc ("the Company") and its subsidiaries ("the Group") as of 31 December, 2025, in accordance with the FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting and based on criteria established in the Internal Control — Integrated Framework (2013) issued by the Committee of Sponsoring Organizations of the Treadway Commission (COSO) ("the ICFR framework"), and the SEC Guidance on Implementation of Sections 60 – 63 of Investments and Securities Act 2007 and FRC Guidance on Management report on Internal Control over Financial Reporting. Cornerstone Insurance Plc's management is responsible for maintaining effective internal control over financial reporting and for assessing the effectiveness of internal control over financial reporting including the accompanying Management's Report on Internal Control Over Financial Reporting.

We have also audited, in accordance with the International Standards on Auditing, the consolidated and separate financial statements of the Company and Group and our report dated 17 June 2026 expressed an unmodified opinion.

Limited Assurance Conclusion

Based on the procedures we have performed and the evidence that we have obtained, nothing has come to our attention that causes us to believe that the Company and the Group did not establish and maintain an effective system of internal control over financial reporting, as of the specified date, based on the SEC Guidance on Management Report on Internal Control Over Financial Reporting and FRC Guidance on Management report on Internal Control over Financial Reporting.

Definition of internal control over financial reporting

Internal control over financial reporting is a process designed by, or under the supervision of, the entity's principal executive and principal financial officers, or persons performing similar functions, and effected by the entity's board of directors, management, and other personnel to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal control over financial reporting includes those policies and procedures that:

- I. Pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company and group;





- II. Provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company and group; and
- III. Provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent limitations

Our procedures included the examination of historical evidence of the design and implementation of the Company's and the Group's system of internal control over financial reporting for the year ended 31 December 2025. Because of its inherent limitations, internal control over financial reporting may not prevent or detect all misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Directors' and Management's Responsibilities

The Directors are responsible for ensuring the integrity of the entity's financial controls and reporting.

Management is responsible for establishing and maintaining a system of internal control over financial reporting that provides reasonable assurance regarding the reliability of financial reporting, and the preparation of financial statements for external purposes in accordance with IFRS Accounting Standards as issued by the International Accounting Standards and the ICFR framework.

Section 7(2f) of the Financial Reporting Act 2011 (As amended) further requires that management perform an assessment of internal controls, including information system controls. Management is responsible for maintaining evidential matters, including documentation, to provide reasonable support for its assessment of internal control over financial reporting.

Our Independence and Quality Control

We have complied with the independence and other ethical requirements of the Code of Ethics for Professional Accountants issued by the International Ethics Standards Board for Accountants, which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality, and professional behavior.

The firm applies the International Standard on Quality Management 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements which requires the firm to design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards, and applicable legal and regulatory requirements.

Auditor's Responsibility and Approach

Our responsibility is to express a limited assurance opinion on the Company's and Group's internal control over financial reporting based on our Assurance engagement.



We performed our work in accordance with the FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting and the International Standard on Assurance Engagements (ISAE) 3000, Assurance Engagements other than the Audits or Reviews of Historical Financial Information (ISAE 3000) revised. That Standard requires that we comply with ethical requirements and plan and perform the limited assurance engagement to obtain limited assurance on whether any matters come to our attention that causes us to believe that the Company and the Group did not establish and maintain an effective system of internal control over financial reporting in accordance with the ICFR framework.

That Guidance requires that we plan and perform the Assurance engagement and provide a limited assurance report on the entity's internal control over financial reporting based on our assurance engagement.

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. As a result, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had we performed a reasonable assurance engagement. Accordingly, we do not express a reasonable assurance opinion on whether the Company and Group established and maintained an effective system of internal control over financial reporting.

As prescribed in the Guidance, the procedures we performed included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. Our engagement also included performing such other procedures as we considered necessary in the circumstances.

We believe the procedures performed provides a basis for our report on the internal control put in place by management over financial reporting.

A handwritten signature in blue ink, appearing to read "Joshua Ojo".

Deloitte & Touche (FRC/2022/COY/091021)

Joshua Ojo

FRC/2013/PRO/ICAN/001/00000000849

Lagos

Date: 17 June 2026



INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Cornerstone Insurance Plc

Report on the Audit of the Consolidated and Separate Financial Statements

Opinion

We have audited the consolidated and separate financial statements of **Cornerstone Insurance Plc** and its subsidiaries (the Group and Company) set out on pages 38 to 192, which comprise the consolidated and separate statements of financial position as at 31 December 2025, the consolidated and separate statements of profit or loss and other comprehensive income, the consolidated and separate statements of changes in equity and the consolidated and separate statements of cash flows for the year then ended, the notes to the consolidated and separate financial statements, including material accounting policy information.

In our opinion, the consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of **Cornerstone Insurance Plc** as at 31 December 2025, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board, the requirements of the Companies and Allied Matters Act, 2020, Nigerian Insurance Industry Reform Act 2025 and relevant policy guidelines issued by the National Insurance Commission (NAICOM), and the Financial Reporting Council of Nigeria (Amendment) Act 2023.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the consolidated and separate Financial Statements section of our report. We are independent of the Group in accordance with the requirements of the International Ethics Standards Board for Accountants' (IESBA), International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA code) as applicable to audits of financial statements of public interest entities, and other independence requirements applicable to performing audits of financial statements of public interest entities in Nigeria. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code and other ethical requirements that are relevant to our audit of consolidated and separate financial statements in Nigeria.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.



Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the key audit matter
Valuation of Insurance Contracts Liabilities The Group and Company has significant life and non-life insurance contract liabilities. The valuation of insurance contract liabilities involves high estimation uncertainties and significant judgment over uncertain future outcomes. The measurement of insurance contract liabilities consists of the liability for remaining coverage (LRC) and the liability for incurred claims (LIC) including both reported but not settled claims as well as incurred but not reported claims (IBNR). As disclosed in note 16 to the consolidated and separate financial statements, the insurance contract liabilities for the group and the company amounted to N55.1billion and N49.5billion respectively. These represent about 81% and 80% of the Group's and the Company's total liabilities respectively as at 31 December 2025. Estimating insurance contract liabilities under IFRS 17 involves high estimation uncertainties and requires management to apply significant judgment and assumptions over uncertain future outcomes. Provisions for insurance contracts primarily comprise unexpired coverage provision (liability for remaining coverage, LRC) and claims provisions (liability for incurred claims, LIC). The Group uses both the Premium Allocation Approach (PAA) and General Measurement Model (GMM) under IFRS 17. Provisions for insurance contracts primarily comprise premium provisions (liability for remaining coverage, LRC) and claims provisions (liability for incurred claims, LIC). The IFRS 17 premium allocation approach (PAA) is applied for measurement of non-life and group life insurance	Our procedures included the following among others: - Reviewed the product classification, IFRS17 policy and methodology papers. - Reviewed the Actuarial models and IFRS17. Subledgers for completeness and accuracy. - Considered the validity of management's onerous assessment testing which is a key test performed to check that the liabilities are adequate in the context of expected experience. Our work on the onerous assessment test included assessing the reasonableness of the projected cashflows and challenging the assumptions adopted in the context of company and industry norms and specific product features. - Involved our internal actuarial specialist in the review of the key assumptions and judgements in line with general actuarial methods and industry standards and assessment of the adequacy of the insurance liabilities in line with the requirements of IFRS 17. - Ensured the appropriateness of the journals posted, footed, and agreed the figures disclosed in the financial statements to the figures stated in the actuarial valuation after thorough review of the basis and assumptions.

Key audit matter	How our audit addressed the key audit matter
contracts while the General Measurement model is applied for the measurement of life insurance contracts. Accounting estimates in respect of provisions for insurance contracts is an experience-based estimate involving use of historic claims data and complex actuarial methods and models, which involve significant assumptions on the frequency and extent of insurance events relating to the insurance contracts. The level of complexity, the significant judgments and assumptions applied by management in estimating these insurance contract liabilities is of significance to our audit. The Group has an in-house actuary who assesses, on periodic basis, an estimate of the insurance liabilities for the various portfolio managed by the group and the premium element of the individual deposit administration portion of the group's investment contract liabilities. At the end of each financial year, management employs the services of an external actuary in the review of its insurance liabilities after considering the accuracy and integrity of data used in the valuation. The significant judgment involved and high estimation uncertainties in relation to insurance contract liabilities under IFRS 17 which requires management to apply significant judgment and assumptions over uncertain future outcomes make this an area of significance to our audit and to be included as key audit matter.	• We reviewed the methodology and processes adopted by management for making reserves in the books of the company. • We tested entity's control around reserving process and maintenance of data for valuation of insurance contract liabilities. • We validated the data used in the valuation of the insurance and investment contract liabilities. Based on the above audit procedures, we found that the assumptions used by management were comparable with the market, accord with best practices, the key input data used in estimating the fair value of the insurance and investment contracts liabilities were reasonable in the circumstances. We consider the disclosure of the liabilities to be adequate, relevant, and useful.

Other matter

The consolidated and separate financial statements for the year ended 31 December 2024 were audited by another auditor who expressed an unmodified audit opinion dated 5 June 2025 on those financial statements. We do not express an opinion or any other form of assurance on the 2024 financial statements as a whole.

Other Information

The directors are responsible for the other information. The other information comprises the information included in the document titled “**Cornerstone Insurance Plc** Annual Reports and Financial Statements for the year ended 31 December 2025”, which includes the Directors’ Report, Corporate Governance Report, Statement of Directors’ Responsibilities, Certification of the Financial statements, the Board Audit



Committee's Report, the Statement of Corporate Responsibility for Financial Statements, Certification of Management's assessment on Internal Control Over Financial Reporting and Other National Disclosures required by the Financial Reporting Council of Nigeria which we obtained prior to the date of this report.

The other information does not include the consolidated and separate financial statements and our auditor's report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not and will not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements, or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Consolidated and Separate Financial Statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board, the requirements of the Companies and Allied Matters Act 2020, the Financial Reporting Council of Nigeria (Amendment) Act 2023, Nigerian Insurance Industry Reform Act 2025, circulars and guidance issued by the National Insurance Commission (NAICOM), and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group's and the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and/or the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's Responsibilities for the Audit of the Consolidated and Separate Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:



- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and/or the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the consolidated financial statements. We are responsible for the direction, supervision and review of the audit work performed for the purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current year and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of



doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

In accordance with the Fifth Schedule of Companies and Allied Matters Act, 2020 we expressly state that:

- i) We have obtained all the information and explanation which to the best of our knowledge and belief were necessary for the purpose of our audit.
- ii) The Group and the Company has kept proper books of account, so far as appears from our examination of those books.
- iii) The Group and Company's financial position and its statement of profit or loss and other comprehensive income are in agreement with the books of account and returns.

In accordance with the requirements of the Financial Reporting Council of Nigeria, we also performed a limited assurance engagement and reported on management's assessment of the Entity's internal control over financial reporting as of 31 December 2025. The work performed was done in accordance with **FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting** and based on the procedures we have performed, and evidence obtained, we have issued an Unmodified conclusion in our report dated 29 May 2026. That report is included on pages 29 to 31 of the financial statements.

Contraventions

During the year, the Company contravened certain sections of the Security Exchange Commission (SEC) Act with respect to late filing of accounts to SEC and Nigeria Exchange Group. Details of the contravention and the related penalties are as disclosed in note 37 to the consolidated and separate financial statements.

For: Deloitte & Touche
Chartered Accountants
Lagos, Nigeria
17 June 2026



Engagement Partner: Joshua Ojo, FCA
FRC/2013/PRO/ICAN/001/00000000849

Notes to the consolidated and separate financial statements

1.1 Reporting entity

Cornerstone Insurance Plc (the Company) was incorporated on 26 July 1991 as a private limited liability company and converted to a public limited liability company on 17 June 1997. The Company's principal activity continues to be the provision of risk underwriting and related financial services to its customers. Such service includes the provision of Life and Non-life insurance services for both corporate and individual customers.

The Company has three subsidiaries - Fin Insurance Company Limited, Hilal Takaful Nigeria Limited previously called Cornerstone Takaful Nigeria Limited and Cornerstone Leasing & Investment Limited. Cornerstone Leasing and Investment Limited commenced operations on 1 July 2004 and provides convenient asset acquisition options to both corporate organisations and individuals.

Fin Insurance Company Limited was incorporated in 1981 as Yankari Insurance Company Limited. The name was changed to Fin Insurance Company Limited in 2008. The main activity of the subsidiary is the provision of General Insurance business. This includes Marine Insurance, Motor Insurance, Accident Insurance, Fire Insurance and other Non-life insurance services. Hilal Takaful Nigeria Limited previously called Cornerstone Takaful Nigeria Limited is a company incorporated in Nigeria and its primary activity is the provision of Takaful insurance business. Cornerstone Takaful Nigeria Limited commenced operation on 1 April 2020. Cornerstone Insurance Plc has 99.99% equity interest in Hilal Takaful Nigeria Limited.

The Company currently has authorized share capital of ₦9.25 billion divided into 18.5 billion units of ordinary shares of 50k each with a fully paid up capital of ₦9.083 billion. The Company currently has its corporate head office at Victoria Island, Lagos with branches spread across major cities and commercial centres in Nigeria. These consolidated financial statements comprise the financial records of Company and its subsidiaries (together referred to as “the Group”).

The Group is domiciled in Nigeria with registered address at 136, Lewis street, Lagos Island, Lagos and Corporate head office at 21 Water Corporation drive, Victoria Island Lagos.

1.2 Principal activities

The Group is engaged in various business lines ranging from property-casualty insurance, life/ health insurance and leasing. The Group's products are classified at inception, for accounting purposes, as either Insurance contracts or Investment contracts.

A contract that is classified as insurance contract remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period; unless all rights and obligations are extinguished or expire. Investment contracts can, however, be reclassified as insurance contracts after inception if insurance risk becomes significant.

1.3 Going concern

This consolidated and separate financial statements have been prepared using appropriate accounting policies, supported by reasonable judgments and estimates. The Directors have a reasonable expectation, based on an appropriate assessment of a comprehensive range of factors, that the Group has adequate resources to continue as going concern for the foreseeable future and has no intention or need to reduce substantially its business operations. Liquidity ratio, compliance with regulatory requirements, maintaining a net asset position and continuous evaluation of current ratio of the Group is carried out to ensure that there are no going concern threats to the operation of the Group.

2.1 Basis of accounting

Statement of compliance

The consolidated and separate financial statements have been prepared in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standard) and in the manner required by the Companies and Allied Matters Act (CAMA), 2020, the Financial Reporting Council of Nigeria (Amendment) Act, 2023, the Insurance Act 2003 and relevant National Insurance Commission (NAICOM) circulars.

2.2 Functional and presentation currency

These consolidated and separate financial statements are presented in Nigerian Naira, which is the Group's and Company's functional and presentation currency. Except as indicated, financial information presented in Naira has been rounded to the nearest thousand.

2.3 Basis of measurement

These consolidated and separate financial statements have been prepared under the historical cost basis except for the following items which are measured on an alternative basis on each reporting date:

- financial instruments at fair value through profit or loss
- financial instruments measured at fair value through OCI
- Insurance and reinsurance contracts measured at fulfilment cash flows and if any contractual service margin (CSM).
- Investment properties measured at fair value

2.4 Use of estimates and judgements

The preparation of consolidated and separate financial statements in conformity with IFRSs requires management to make judgements, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates.

Information about significant areas of estimation uncertainties and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the consolidated and separate financial statements are described in note 4.

2.5 Reporting period

The consolidated and separate financial statements have been prepared for a 12-month period from 1 January 2025 to 31 December 2025.

2.6 Application of new and revised IFRS Accounting Standards

2.6.1 New and amended standards and interpretations that are effective for the current year

In the current year, the Company has applied a number of amendments to IFRS Accounting Standards issued by the International Accounting Standards Board (IASB) that are mandatorily effective for an accounting period that begins on or after 1 January 2025. Their adoption has not had any material impact on the disclosures or on the amounts reported in these financial statements.

Amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates effective January 1, 2025

Under IAS 21 The Effects of Changes in Foreign Exchange Rates, a company uses a spot exchange rate when translating a foreign currency transaction. However, in rare cases, it is possible that one currency cannot be exchanged into another. This lack of exchangeability might arise when a government imposes controls on capital imports and exports, for example, or when it provides an official exchange rate but limits the volume of foreign currency transactions that can be undertaken at that rate. Consequently, market participants are unable to buy and sell currency to meet their needs at the official exchange rate and turn instead to unofficial, parallel markets.

Under the amendments, companies will need to provide new disclosures to help users assess the impact of using an estimated exchange rate on the financial statements. These disclosures might include:

- The nature and financial impacts of the currency not being exchangeable;
- The spot exchange rate used;
- The estimation process; and
- Risks to the company because the currency is not exchangeable.

2.6.2 New and revised IFRS Accounting Standards in issue but not yet effective

At the date of authorisation of these financial statements, the company has not applied the following new and revised IFRS Accounting Standards that have been issued but are not yet effective. They are listed below:

- 1 Amendments to the Classification and Measurement of Financial Instruments – Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures effective January 1, 2026
- 2 Annual Improvements to IFRS Accounting Standards – Amendments to:
 - IFRS 7 Financial Instruments: Disclosures and its accompanying Guidance on implementing IFRS 7;
 - IFRS 10 Consolidated Financial Statements
 - IAS 7 Statement of Cash flows. effective January 1, 2026; and
 - IFRS 1 First time adoption of international financial reporting standards.
 - IFRS 9 Financial Instruments.
- 3 3. IFRS 18 Presentation and Disclosure in Financial Statements. effective January 1, 2027
- 4 IFRS 19 Subsidiaries without Public Accountability: Disclosures. effective January 1, 2027

Amendments to the Classification and Measurement of Financial Instruments – Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures effective January 1, 2026.

The amendments introduce an additional Solely Payments of Principal and Interest (SPPI) test for financial assets with contingent features that are not related directly to a change in basic lending risks or costs – e.g. where the cash flows change depending on whether the borrower meets an Environmental, Social, and Governance (ESG) target specified in the loan contract.

Other annual Improvements to IFRS Accounting Standards – Amendments to IFRS 1, IFRS 7, IFRS 9, IFRS 10 and IAS 7

The IASB's amendments remove the conflict between IFRS 9 and IFRS 15 over the amount at which a trade receivable is initially measured. Under IFRS 15, a trade receivable may be recognised at an amount that differs from the transaction price – e.g. when the transaction price is variable. Conversely, IFRS 9 requires that companies initially measure trade receivables without a significant financing component at the transaction price. The IASB has amended IFRS 9 to require companies to initially measure a trade receivable without a significant financing component at the amount determined by applying IFRS 15. Other amendments include derecognising lease liabilities. If a lease liability is derecognised, then the derecognition is accounted for under IFRS 9. However, when a lease liability is modified, the modification is accounted for under IFRS 16 Leases. The IASB's amendment states that when lease liabilities are derecognised under IFRS 9, the difference between the carrying amount and the consideration paid is recognised in profit or loss. However, the amendment does not address how to distinguish between derecognition and modification of a lease liability. The IASB has indicated that it may consider this issue as part of a future project.

IFRS 18 Presentation and Disclosure in Financial Statements effective January 1, 2027

IFRS 18 replaces IAS 1 Presentation of Financial Statements. and IFRS 18 defines management performance measures (MPMs); these measures are currently commonly known as non-GAAP measures, alternative performance measures (APMs) or key performance indicators (KPIs). IFRS 18 affects all companies, bringing significant changes to how you present your income statement and what information you need to disclose, and making certain 'non-GAAP' measures part of your audited financial statements for the first time. You'll see three new categories of income and expenses, two defined income statement subtotals and one single note on management-defined performance measures.

IFRS 18 reshapes how financial results are presented, introducing new mandated subtotals like operating profit, stricter classification of income and expenses, and audited disclosure of management-defined performance measures. It requires more detailed note disclosures and alignment across the profit or loss and cash flow statements. Although it does not change net profit, it must be applied retrospectively, meaning comparatives must be restated and internal reporting systems, chart of accounts, and controls must be updated to support the new structure.

To provide investors with better insight into financial performance, the new standard includes enhanced guidance on how companies group information in the financial statements. This includes guidance on whether material information is included in the primary financial statements or is further disaggregated in the notes.

Companies are discouraged from labelling items as 'other' and will now be required to disclose more information if they continue to do so.

IFRS 19 Subsidiaries without Public Accountability: Disclosures effective January 1, 2027

The IASB intends to update IFRS 19 on an on going basis as new or amended disclosure requirements in IFRS Accounting Standards are issued. Because of the timing of IFRS 19's publication, disclosure requirements in new or amended IFRS Accounting Standards issued between 28 February 2021 and May 2024 were included in IFRS 19 without reductions. The IASB issued a 'catch-up' exposure draft in July 2024 to consult on reducing the disclosure requirements for the relevant standards issued in this period, most notably IFRS 18 Presentation and Disclosure in Financial Statements.

Amendments to Standards and Interpretations which may be relevant to the Group (or Company) are set out below including the summary of requirements and impact assessment.

<i>Standard/Interpretation</i>	<i>Date issued</i>	<i>Effective date Periods beginning</i>	<i>Summary of the requirements and impact assessment</i>
<i>Amendments to IFRS 9 and IFRS 7 Classification and Measurement of Financial Instruments</i>	May-24	1-Jan-26	The International Accounting Standards Board (IASB) issued amendments to the classification and measurement requirements in IFRS 9 Financial Instruments. The key amendments include the following: •Settlement of financial liabilities through electronic payment systems: The amendments clarify that a financial liability is derecognised on the ‘settlement date’. However, the amendments provide an exception for the derecognition of financial liabilities. This exception allows the company to derecognise its trade payable before the settlement date when it uses an electronic payment system, provided that specified criteria are met. •Additional SPPI Test for Contingent Features: The amendments introduce an additional SPPI test for financial assets with contingent features that are not directly related to a change in basic lending risks or costs – for example, where the cash flows change depending on whether the borrower meets an ESG target specified in the loan contract. Under the amendments, certain financial assets, including those with ESG-linked features, could now meet the SPPI criterion, provided that their cash flows are not significantly different from an identical financial asset without such a feature. •Clarification on Contractually Linked Instruments (CLIs): The amendments clarify the key characteristics of CLIs and how they differ from financial assets with non-recourse features. They also include factors that a company needs to consider when assessing the cash flows underlying a financial asset with non-recourse features (the ‘look through’ test). •Additional Disclosure Requirements: The amendments require additional disclosures for investments in equity instruments designated at fair value through other comprehensive income and financial instruments with contingent features that are not directly related to a change in basic lending risks or costs and are not measured at fair value through profit or loss. These amendments are not expected to materially impact the group or company.
<i>Presentation and Disclosure in Financial Statements (IFRS 18)</i> <i>IFRS 18 Presentation and Disclosure in Financial Statements replaces IAS 1 Presentation of Financial Statements.</i>	Apr-24	1-Jan-27	The new standard introduces the following key new requirements: •It promotes a more structured income statement, in particular, it introduces a newly defined ‘operating profit’ subtotal and a requirement for all income and expenses to be classified into three new distinct categories, operating, investing, and financing, based on a company’s main business activities. •All companies are required to report the newly defined ‘operating profit’ subtotal – an important measure for investors’ understanding of a company’s operating results – i.e. investing and financing results are specifically excluded. This means that the results of equity-accounted investees are no longer part of operating profit and are presented in the ‘investing’ category. •Management-defined performance measures (MPMs) are disclosed in a single note in the financial statements. •Enhance guidance is provided on how to group information in the financial statements. This includes guidance on whether information is included in the primary financial statements or is further disaggregated in the notes. Companies are discouraged from labelling items as ‘other’ and will now be required to disclose more information if they continue to do so. •Entities are required to use the operating profit subtotal as the starting point for the statement of cash flows when presenting operating cash flows under the indirect method. •It also requires Companies to analyse their operating expenses directly on the face of the income statement – either by nature, by function or using a mixed presentation. If any items are presented by function on the face of the income statement (e.g. cost of sales), then a company provides more detailed disclosures about their nature. The group is still evaluating the impact of the standard on the group or company operation.

Annual Improvements to IFRS Accounting Standards (Amendments to IFRS 7, IFRS 9 and IAS 7)	Jul-24	1-Jan-26	IFRS 7 Financial Instruments: Disclosures 1. Gain or loss on derecognition. The amendment addresses a potential confusion in paragraph B38 of IFRS 7 arising from an obsolete reference to a paragraph that was deleted from the standard when IFRS 13 Fair Value Measurement was issued. These amendments are not expected to have material impact on the group or company. 2. Disclosure of deferred difference between fair value and transaction price. The amendment addresses an inconsistency between paragraph 28 of IFRS 7 and its accompanying implementation guidance that arose when a consequential amendment resulting from the issuance of IFRS 13 was made to paragraph 28, but not to the corresponding paragraph in the implementation guidance. 3. Introduction and credit risk disclosures. The amendment addresses a potential confusion by clarifying in paragraph IG1 that the guidance does not necessarily illustrate all the requirements in the referenced paragraphs of IFRS 7 and by simplifying some explanations. IFRS 9 Financial Instruments 1. Initial measurement of Trade receivables. The amendments remove the conflict between IFRS 9 and IFRS 15 over the amount at which a trade receivable is initially measured. Under IFRS 15, a trade receivable may be recognised at an amount that differs from the transaction price – e.g. when the transaction price is variable. Conversely, IFRS 9 requires that companies initially measure Trade receivables without a significant financing component at the transaction price. The IASB has amended IFRS 9 to require companies to initially measure a trade receivable without a significant financing component at the amount determined by applying IFRS 15. Amendment on Trade receivables could prompt accounting policy change. 2. Derecognition of a lease liability. If a lease liability is derecognised, then the derecognition is accounted for under IFRS 9. However, when a lease liability is modified, the modification is accounted for under IFRS 16 Leases. The group is still evaluating the impact of the amendments on its operation.
			The IASB's amendment states that when lease liabilities are derecognised under IFRS 9, the difference between the carrying amount and the consideration paid is recognised in profit or loss. IAS 7 Statement of Cash Flows This amendment replaces the term 'cost method' in paragraph 37 of IAS 7 with 'at cost'.
Amendments to IFRS 10 and IAS 28 Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	Sep-14	Deferred indefinitely	The amendments require the full gain to be recognised when assets transferred between an investor and its associate or joint venture meet the definition of a 'business' under IFRS 3 Business Combinations. Where the assets transferred do not meet the definition of a business, a partial gain to the extent of unrelated investors' interests in the associate or joint venture is recognised. The definition of a business is key to determining the extent of the gain to be recognised. When a parent loses control of a subsidiary in a transaction with an associate or joint venture (JV), there is a conflict between the existing guidance on consolidation and equity accounting. Under the consolidation standard, the parent recognises the full gain on the loss of control. But under the standard on associates and JVs, the parent recognises the gain only to the extent of unrelated investors' interests in the associate or JV. In either case, the loss is recognised in full if the underlying assets are impaired. The IASB has decided to defer the effective date for these amendments indefinitely. There is no impact on the Group's activities.

3 Material Accounting Policies

The Group has consistently applied the following accounting policies to all periods presented in these consolidated and separate financial statements, unless mentioned otherwise.

3.1 Basis of Consolidation

Business combination and goodwill

The Group accounts for business combinations using the acquisition method when control is transferred to the Group. The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired. Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss.

Any contingent consideration is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the fair value of the contingent consideration are recognised in profit or loss.

Subsidiaries

Subsidiaries are entities controlled by the Group. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The Group reassesses whether it has control if there are changes to one or more of the elements of control. This includes circumstances in which protective rights held (e.g. those resulting from a lending relationship) become substantive and lead to the Group having power over an investee.

The financial statements of subsidiaries are included in the consolidated financial statements from the date on which control commences until the date on which control ceases.

Loss of control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related Non-controlling interest

(NCI) and other components of equity. Any resulting gain or loss is recognised in profit or loss. Any interest retained in the former subsidiary is measured at fair value when control is lost.

Non- controlling interests

Non-controlling Interest (NCI) are measured at their proportionate share of the acquiree's identifiable net assets at the acquisition date.

Transaction eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses (except for foreign currency transaction gains or losses) arising from intra-group transactions, are eliminated.

Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

3.2 Insurance contracts

(i) Insurance and reinsurance contracts

The definition of an insurance contract refers to 'insurance risk' which is defined as 'risk, other than financial risk, transferred from the holder of a contract to the issuer'

The Company issues insurance contracts in the normal course of business, under which it accepts significant insurance risk from its policyholders. As a general guideline, the Company determines whether it has significant insurance risk, by comparing benefits payable after an insured event with benefits payable if the insured event did not occur. Insurance contracts can also transfer financial risk. The Company issues non-life insurance to individuals and businesses. Non-life insurance products offered include motor insurance, combined fire and burglary, general accident, bond, marine, engineering, oil & gas and aviation. These products offer protection of policyholder's assets and indemnification of other parties that have suffered damage as a result of a policyholder's accident.

The Company does not issue any contracts with direct participating features.

Separating components from insurance and reinsurance contracts

Some insurance contracts may contain one or more components that would be within the scope of another IFRS if they were separate contracts. Such components may be embedded derivatives, an investment component, or a component for services other than insurance contract services. When separated, those components must be accounted for under the relevant IFRS Accounting Standards instead of under IFRS 17. This makes these components more comparable to similar contracts that are issued by the Company and other entities as separate contracts and allows users of financial statements to better compare the risks undertaken by entities in different businesses or industries.

Therefore, the Group:

- Applies IFRS 9 to determine whether there is an embedded derivative to be bifurcated (i.e., be separated) and, if there is, account for that separate derivative.
- Separates from a host insurance contract an investment component if, and only if, that investment component is distinct and apply IFRS 9 to account for the separated component unless it is an investment contract with discretionary participation features and then
- Separates from the host insurance contract any promise to transfer to a policyholder distinct goods or services other than insurance contract services by applying IFRS 15.

Embedded derivatives are not separated for accounting purposes if the non-derivative host is a financial asset within the scope of IFRS 9 i.e the classification criteria of IFRS 9 are applied to the financial asset as a whole, otherwise, an embedded derivative will be separated from the host contract if and only if, all the criteria below are met:

- a. The economic characteristics and risks of the embedded derivatives are not closely related to the economic characteristics and risks of the host;
- b. A separate instrument with the same terms as embedded derivative would meet the definition of a derivative; and
- c. The hybrid contract is not measured at fair value with changes in fair value recognized in profit or loss.

An investment component is distinct if and only if, both of the following conditions are met;

- The investment component and the insurance components are not highly interrelated
- a contract with equivalent terms is sold, or could be sold, separately in the same market or the same jurisdiction, either by entities that issue insurance contracts or by other parties. An investment component and an insurance component are highly interrelated if and only if; the company is unable to measure one component without considering the other or the policyholder is unable to benefit from one component unless the other is also present, for example the lapse and maturity of one component causes the lapse or maturity of the other.

The Company assesses its non-life insurance products to determine whether they contain distinct components which must be accounted for under another IFRS Accounting Standard instead of under IFRS 17

After identifying and separating any distinct components, the Company applies IFRS 17 to the remaining components of the host insurance contract. Currently, the Company's products do not include any distinct components that require separation.

Level of aggregation

IFRS 17 defines the level of aggregation to be used for measuring insurance contracts and their related profitability. This is a key issue in identifying onerous contracts and in determining the recognition of profit or loss and presentation in the financial statements. The starting point for aggregating contracts is to identify portfolios of insurance contracts. A portfolio comprises contracts that are subject to similar risks and managed together. IFRS 17 requires the Group to determine the level of aggregation for applying its requirements. The level of aggregation for the Group is determined firstly by dividing the business written into portfolios using the current lines of business framework with consideration for the reserving segmentation and product types within each line of business to support the definition of similar risk. These lines of business are motor Insurance, home insurance, combined fire, and burglary, marine, engineering, oil and gas, goods in transit, gadget protection and drone insurance. Group makes an evaluation of whether a series of contracts need to be treated together as one unit based on reasonable and supportable information, or whether a single contract contains components that need to be separated and treated as if they were stand-alone contracts. As such, what is treated as a contract for accounting purposes may differ from what is considered as a contract for other purposes (i.e., legal or management).

IFRS 17 also requires that no group for level of aggregation purposes may contain contracts issued more than one year apart.

The Group elected to group together those contracts that would fall into different groups only because law or regulation specifically constrains its practical ability to set a different price or level of benefits for policyholders with different characteristics. Currently, there is no law or regulation that constrained the Group's practical ability to set a different price or level of benefits for policyholder with different characteristics.

The Group divides portfolios of reinsurance contracts held applying the same principles set out above.

Initial recognition of insurance contracts

The Group recognises groups of insurance contracts it issues from the earliest of the following:

- The beginning of the coverage period of the group of contracts
- The date when the first payment from a policyholder in the group is due or when the first payment is received if there is no due date
- For a group of onerous contracts, when the group becomes onerous, if facts and circumstances indicate that the group is onerous

Initial recognition of reinsurance contracts held

The Group recognises a group of reinsurance contracts held it has entered into from the earlier of the following:

- The beginning of the coverage period of the group of reinsurance contracts held. (However, the Group delays the recognition of a group of reinsurance contracts held that provide proportionate coverage until the date any underlying insurance contract is initially recognised, if that date is later than the beginning of the coverage period of the group of reinsurance contracts held.

And

- The date the Group recognises an onerous group of underlying insurance contracts if the Group entered into the related reinsurance contract held in the group of reinsurance contracts held at or before that date.

The Company adds new contracts to the group in the reporting period in which that contract meets one of the criteria set out above.

The issue date of a contract is when the Company has a contractual obligation to accept risk. The issue date is typically before the beginning of coverage and due date for the initial premium. However, the Company only recognizes issued insurance contracts before these dates if facts and circumstances indicate that the contracts in the group to which the PAA applies are onerous. For instance, in the case where business has been intentionally sold as onerous, the inception date of the contract will be the issue date.

The recognition requirements for reinsurance contracts held that provide proportionate coverage are intended to simplify recognition for proportionate reinsurance contracts held. Circumstances in which the first underlying attaching contract is issued, shortly after the reinsurance contracts are written, will result in similar timing of recognition for proportionate and ‘other-than-proportionate’ reinsurance contracts. In other cases, there may be a greater difference in the timing of recognition.

If there is no contractual due date, the first payment from the policyholder is deemed to be due when it is received. The Company determines whether any contracts form a group of onerous contracts before the earlier of the first two dates above (i.e., before the earlier of the beginning of the coverage period and the date when the first payment from a policyholder in the group is due) if facts and circumstances indicate there is such a group.

Initial recognition of insurance acquisition cash flows

Insurance acquisition cash flows are cash flows arising from the costs of selling, underwriting and starting a group of insurance contracts that are directly attributable to the portfolio of insurance contracts to which the group belongs. Such cash flows include cash flows that are not directly attributable to individual contracts or groups of insurance contracts within the portfolio.

The company has aggregated its directly attributable expenses into the following classes including administrative and maintenance expense, claims and benefits expenses, management expenses and other operating expenses. The company allocates acquisition cost to policies based on applicable rate per policy, claims expenses are allocated based on number of claims on the policies and, a portion of maintenance cost is allocated based on the proportion of premium written.

The company recognises an asset for insurance acquisition cash flows paid (or insurance acquisition cash flows for which a liability has been recognised under another IFRS Accounting Standard) before the related group of insurance contracts is recognised, unless it elects to expense those acquisition cash flows as incurred for premium allocation approach contracts. The Company recognise such an asset for each related group of insurance contracts and allocates insurance acquisition cash flows to an existing or future group of insurance contracts using a systematic and rational method.

The systematic and rational method of allocating insurance acquisition cash flows to groups of contracts is used to allocate;

- Insurance acquisition cash flows that are directly attributable to a group of insurance contracts:
 - To that group; and
 - To groups that will include insurance contracts that are expected to arise from renewals of the insurance contracts in that group
- Insurance acquisition cash flows directly attributable to a portfolio of insurance contracts that are not directly attributable to individual contracts or groups of contracts to groups in the portfolio.

Where insurance acquisition cash flows have been paid or incurred before the related group of insurance contracts is recognised in the statement of financial position, a separate asset for insurance acquisition cash flows is recognised for each related group.

The asset for insurance acquisition cash flow is derecognised from the statement of financial position when the insurance acquisition cash flows are included in the initial measurement of the related group of insurance contracts.

After any re-allocation, the Company assesses the recoverability of the asset for insurance acquisition cash flows, if facts and circumstances indicate the asset may be impaired. When assessing the recoverability, the Company applies:

- An impairment test at the level of an existing or future group of insurance contracts and
- An additional impairment test specifically covering the insurance acquisition cashflows allocated to expected future contracts renewals

If an impairment loss is recognised, the carrying amount of the asset is adjusted and an impairment loss is recognised in profit or loss.

The Company recognises in profit or loss a reversal of some or all of an impairment loss previously recognised and increases the carrying amount of the asset, to the extent that the impairment conditions no longer exist or have improved.

Initial recognition of investment contracts with discretionary participation features

The date of initial recognition of an investment contract with discretionary participation features is the date that the entity becomes party to the contract. This is consistent with the requirements for recognition of a financial instrument in IFRS 9 and is likely to be earlier than the date of initial recognition for an insurance contract. Currently the Company does not issue investment contracts with discretionary participation features.

Onerous groups of contracts

The Company issues some contracts before the coverage period starts and the first premium becomes due. Therefore, the Company has determined whether any contracts issued form a group of onerous contracts before the earlier of the beginning of the coverage period and the date when the first payment from a policyholder in the group is due. The Company looks at facts and circumstances to identify if a group of contracts are onerous based on:

- Pricing information
- Results of similar contracts it has recognised
- Environmental factors such as a change in market experience or regulations
- Other Relevant risk factor which includes age, gender, occupation, geographical location and size of sum assured

For groups of contracts measured using the premium allocation approach (PAA), the Company assumes all groups of insurance contracts to be non-onerous unless the board has approved the sales of loss-making contracts through an official process. The company will assess the probability of non-onerous contracts becoming onerous in the future base on expert judgement of the projected combined ratio. For subsequent measurement, the company use combined ratio as facts and circumstances hence, a group of contracts will be deemed onerous if there has been a combined ratio of over 100% in two (2) subsequent annual reporting periods.

Measurement – Premium Allocation Approach

Insurance contract – Initial measurement

The premium allocation approach is an optional simplified form of measuring an eligible group of insurance contracts issued or reinsurance contracts held. The eligibility is assessed for each group of insurance contracts and the election is made for each eligible group. However, the ability to use the premium allocation approach for reinsurance contracts held must be assessed separately from the use of the premium allocation approach for the related underlying insurance contracts covered by reinsurance.

The premium allocation approach compared to the general model, results in a simpler accounting method:

The Company applies the premium allocation approach (PAA) to all the insurance contracts that it issues and reinsurance contracts that it holds, as:

- The coverage period of each contract in the group is one year or less, including insurance contract services arising from all premiums within the contract boundary

Or

- For contracts longer than one year, the Company has modelled possible future scenarios and reasonably expects that the measurement of the liability for remaining coverage for the group containing those contracts under the PAA does not differ materially from the measurement that would be produced applying the general model. In assessing materiality, the Company has also considered qualitative factors such as the nature of the risk and types of its lines of business.

All the Non-life products are measured using the PAA approach because the coverage period of each contract it issues is for a period of One (1) year except for the engineering, and oil and gas portfolio which could be issued for a period of more than one year. For this product, the company will perform the PAA eligibility test as required by the second criteria stated above and has set materiality level for difference in the liability for remaining coverage at plus or minus 5% for total portfolio and not more than plus or minus 10% for each group of insurance contracts or portfolio.

The company interprets “reasonably expects” to mean the liability for remaining coverage under the premium allocation approach (PAA) and general measurement model (GMM) under all probable scenarios is Immaterial. Hence the company has defined probable scenario for both economic and non-economic assumptions which includes interest rate sensitivity of +/- 1%, expected combined ratio of +/-10%, lapse at +/-10%.

The Company does not apply the PAA if, at the inception of the group of contracts, it expects significant variability in the fulfilment cash flows that would affect the measurement of the liability for the remaining coverage during the period before a claim is incurred. Variability in the fulfilment cash flows increases with, for example:

- The extent of future cash flows related to any derivatives embedded in the contracts
- The length of the coverage period of the group of contracts

For a group of contracts that is not onerous at initial recognition, the Company measures the liability for remaining coverage as:

- The premiums, if any, received at initial recognition
- Minus any insurance acquisition cash flows at that date, with the exception of contracts which are one year or less where this is expensed,
- Plus or minus any amount arising from the derecognition at that date of the asset recognised for insurance acquisition cash flows and
- Any other asset or liability previously recognised for cash flows related to the group of contracts that the Company pays or receives before the group of insurance contracts is recognised.

Notes to the consolidated and separate financial statements

For engineering contracts and, oil and gas contracts, the liability for remaining coverage (LFRC) is discounted to reflect the time value of money and the effect of financial risk. For all other business, there is no allowance for time value of money as the premiums are received within one year of the coverage period.

Where claims are to be paid within a year the company would not discount the liability for incurred claims (LFIC) for the time value of money, however where claims are settled after a year period, the company would consider the impact of the time value of money on its liability for incurred claims (LFIC)

The company interpret that all contracts measured using the premium allocation approach (PAA) are profitable unless there has been approval through an official process to implement commercial actions such as promotional discounts on premium rate, selling loss leaders to gain market shares or no claims discount on renewal of policies that would results in a group of contracts being onerous.

Where facts and circumstances indicate that contracts are onerous at initial recognition, the Company performs additional analysis to determine if a net outflow is expected from the contract. Such onerous contracts are separately grouped from other contracts and the Company recognises a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the fulfilment cash flows. A loss component is established by the Company for the liability for remaining coverage for such onerous group depicting the losses recognized.

In assessing the profitability of the contracts, the company has used “all reasonable and supportable information available at reporting date without undue cost or effort”, hence the company has used the combined ratio for this assessment. The combined ratio represents the total costs and losses divided by the earned premium and a combined ratio of below 100% indicates that the business is profitable. The company assesses whether a group of contracts will be deemed onerous subsequently if there has been combined ratio over 100% in two (2) subsequent annual reporting.

Reinsurance contracts held – initial measurement

The Company measures its reinsurance assets for a group of reinsurance contracts that it holds on the same basis as insurance contracts that it issues. However, they are adapted to reflect the features of reinsurance contracts held that differ from insurance contracts issued, for example the generation of expenses or reduction in expenses rather than revenue.

Where the Company recognises a loss on initial recognition of an onerous group of underlying insurance contracts or when further onerous underlying insurance contracts are added to a group, the Company establishes a loss-recovery component of the asset for remaining coverage for a group of reinsurance contracts held depicting the recovery of losses.

The loss-recovery component adjusts the carrying amount of the asset for remaining coverage.

Insurance contracts – subsequent measurement

The Company measures the carrying amount of the liability for remaining coverage at the end of each reporting period as the liability for remaining coverage at the beginning of the period:

- Plus, premiums received in the period
- Minus insurance acquisition cash flows, with the exception of insurance product line for which the Company chooses to expense insurance acquisition cash flows as they occur
- Plus, any amounts relating to the amortisation of the insurance acquisition cash flows recognised as an expense in the reporting period for the group
- Plus, any adjustment to the financing component, where applicable
- Minus the amount recognised as insurance revenue for the services provided in the period
- Minus any investment component paid or transferred to the liability for incurred claims

The Company estimates the liability for incurred claims as the fulfilment cash flows related to incurred claims. The fulfilment cash flows incorporate, in an unbiased way, all reasonable and supportable information available without undue cost or effort about the amount, timing and uncertainty of those future cash flows, they reflect current estimates from the perspective of the Company, and include an explicit adjustment for non-financial risk (the risk adjustment). The Company does not adjust the future cash flows for the time value of money and the effect of financial risk for the measurement of liability for incurred claims that are expected to be paid within one year of being incurred.

Where, during the coverage period, facts and circumstances indicate that a group of insurance contracts is onerous, the Company recognises a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the fulfilment cash flows. A loss component is established by the Company for the liability for remaining coverage for such onerous group depicting the losses recognised.

Subsequent measurement – liability for incurred claims

The liability for incurred claims for a group of insurance contracts subject to the premium allocation approach (which should usually be nil on initial recognition) is measured in the same way as the liability for incurred claims using the general model (i.e., a discounted estimate of future cash flows with a risk adjustment for non-financial risk).

However, when applying the premium allocation method to the liability for remaining coverage, the company is, for the liability for incurred claims, the company is not required to adjust future cash flows for the time value of money and the effect of financial risk if those cash flows (for that group of insurance contracts) are expected to be paid or received in one year or less from the date the claims are incurred. This is a separate election from the choice not to adjust the carrying amount of the liability for remaining coverage to reflect the time value of money and the effect of financial risk at initial recognition.

When the entire insurance finance income or expenses is included in profit or loss, the company discounts the incurred claims at current rates (i.e., the rate at the reporting date). When insurance finance income or expenses is disaggregated between profit or loss and other comprehensive income the amount of insurance finance income or expenses included in profit or loss is determined using the discount rate at the date of the incurred claim.

Reinsurance contracts held – subsequent measurement

The subsequent measurement of reinsurance contracts held follows the same principles as those for insurance contracts issued and has been adapted to reflect the specific features of reinsurance held.

Where the Company has established a loss-recovery component, the Company subsequently reduces the loss-recovery component to zero in line with reductions in the onerous group of underlying insurance contracts in order to reflect that the loss-recovery component shall not exceed the portion of the carrying amount of the loss component of the onerous group of underlying insurance contracts that the Company expects to recover from the group of reinsurance contracts held.

Insurance contracts – modification and derecognition

An insurance contract may be modified, either by agreement between the parties or as result of regulation. If the terms are modified, the Company derecognises the original insurance contract and recognises the modified contract as a new contract, if and only if, any of the conditions listed below are satisfied.

- If the modified terms were included at contract inception:
- The modified contract would have been excluded from the scope of IFRS 17.
- The Company would have separated different components from the host insurance contract resulting in a different insurance contract to which IFRS 17 would have applied.
- The modified contract would have had a substantially different contract boundary
- The modified contract would have been included in a different group of contracts at initial recognition (e.g., the contracts would have been onerous at initial recognition rather than having no significant possibility of being onerous subsequently)
- The original contract met the definition of an insurance contract with direct participation features, but the modified contract no longer meets that definition or vice versa.
- The Company applied the premium allocation approach to the original contract, but the modifications mean that the contract no longer meets the eligibility criteria for that approach.

In summary, any contract modification that changes the accounting model or the applicable standard for measuring the components of the insurance contract, is likely to result in derecognition.

If a contract modification meets none of the conditions above for derecognition, the Company would treat any changes in cash flows caused by the modification as changes in the estimates of the fulfilment cash flows.

The Company derecognises insurance contracts when:

- The rights and obligations relating to the contract are extinguished (i.e., discharged, cancelled or expired)

Or

- The contract is modified such that the modification results in a change in the measurement model or the applicable standard for measuring a component of the contract, substantially changes the contract boundary, or requires the modified contract to be included in a different group. In such cases, the Company derecognises the initial contract and recognises the modified contract as a new contract

When a modification is not treated as a derecognition, the Company recognises amounts paid or received for the modification with the contract as an adjustment to the relevant liability for remaining coverage.

The Company treats the derecognition of a contract three different ways, depending on the circumstances.

Derecognition resulting from extinguishment

The Company derecognises an insurance contract from within a group of insurance contracts by applying the following requirements:

- The fulfilment cash flows allocated to the group for both the liability for remaining coverage and the liability for incurred claims are adjusted to eliminate the present value of the future cash flows and risk adjustment for non-financial risk relating to the rights and obligations that have been derecognised from the group
- The contractual service margin of the group is adjusted for the change in fulfilment cash flows described above, to the extent required by the general model
- The number of coverage units for expected remaining insurance contract services is adjusted to reflect the coverage units derecognised from the group, and the amount of the contractual service margin recognised in profit or loss in the period is based on that adjusted number to reflect services provided in the period

Derecognition resulting from transfer

When the Company derecognises an insurance contract because it transfers the contract to a third party, the Company:

- Adjusts the fulfilment cash flows allocated to the group for the rights and obligations that have been derecognised
- Adjusts the contractual service margin of the group from which the contract has been derecognised for the difference between the change in the contractual cash flows resulting from derecognition and the premium charged by the third party (unless the decrease in fulfilment cash flows is allocated to the loss component of the liability for remaining coverage).

If there is no contractual service margin to be adjusted, then the difference between the fulfilment cash flows derecognised and the premium charged by the third party is recognised in profit or loss.

Derecognition resulting from modification

When the Company derecognises an insurance contract and recognises a new insurance contract as a result of a modification described above, the Company:

- Adjusts the fulfilment cash flows allocated to the group relating to the rights and obligations that have been derecognised, as discussed above
- Adjusts the contractual service margin of the group, from which the contract has been derecognised for the difference between the change in the contractual cash flows resulting from derecognition and the hypothetical premium the Company would have charged, had it entered into a contract with terms equivalent to the new contract at the date of the contract modification, less any additional premium charged for the modification (unless the decrease in fulfilment cash flows is allocated to the loss component of the liability for remaining coverage)

And

- Measures the new contract recognised assuming the Company received the hypothetical premium that it would have charged, had it entered into the modified contract at the date of the contract modification.

Presentation

The Company has presented separately, in the statement of financial position, the carrying amount of portfolios of insurance contracts issued that are assets, portfolios of insurance contracts issued that are liabilities, portfolios of reinsurance contracts held that are assets and portfolios of reinsurance contracts held that are liabilities.

Any assets for insurance acquisition cash flows recognised before the corresponding insurance contracts are included in the carrying amount of the related groups of insurance contracts are allocated to the carrying amount of the portfolios of insurance contracts that they relate to.

The Company disaggregates the total amount recognised in the statement of profit or loss and other comprehensive income into an insurance service result, comprising insurance revenue and insurance service expense, and insurance finance income or expenses.

The Company does not disaggregate the change in risk adjustment for non-financial risk between a financial and non-financial portion and includes the entire change as part of the insurance service result.

The Company separately presents income or expenses from reinsurance contracts held from the expenses or income from insurance contracts issued.

Level of aggregation - Life Business

The Company has elected to include in the same group, contracts where its ability to set prices or levels of benefits for policyholders with different characteristics is constrained by regulation. The annuity contracts, credit life contracts, endowment contracts, funeral expenses policy, group life, individual life, mortgage policy and term life insurance portfolios are divided into:

- A group of contracts that are onerous at initial recognition
- A group of contracts that at initial recognition have no significant possibility of becoming onerous subsequently
- A group of the remaining contracts in the portfolio

The reinsurance contracts held portfolios are further divided into:

- A group of contracts on which there is a net gain on initial recognition
- A group of contracts that have no significant possibility of a net gain arising subsequent to initial recognition
- A group of the remaining contracts in the portfolio

For contracts measured under the PAA, the company assume that no contracts in a portfolio of insurance contracts are onerous at initial recognition unless there has been an approval through an official process to implement commercial actions which include promotional discounts on premium rates, selling loss leaders to gain market shares or no claims discount on renewal of policies, which could result into a group of contracts being onerous.

For subsequent measurement, the onerous contract assessment is only required if facts and circumstances indicate that a group of contacts is onerous.

Contract boundary

A contract is an arrangement that binds one or both of the parties involved. If both parties are bound equally, the boundary of the contract is generally clear. Similarly, if neither party is bound, there is no genuine contract, thus:

- The outer limit of the existing contract is the point at which the entity is no longer required to provide coverage and the policyholder has no right of renewal. Beyond that outer limit, neither party is bound.
- The company is no longer bound by the existing contract at the point at which the contract confers on the company the practical ability to reassess the risk presented by a policyholder and, as a result, the right to set a price that fully reflects that risk.

The measurement of a group of insurance contracts includes all the cash flows expected to result from the contracts in the group, reflecting estimates of policyholder behavior. Thus, to identify the future cash flows that will arise as the entity fulfils its obligations, it is necessary to determine the contract boundary that distinguishes whether future premiums, and the resulting benefits and claims, arise from:

- Existing insurance contracts. If so, those future premiums, and the resulting benefits and claims, are included in the measurement of the group of insurance contracts

Or

- Future insurance contracts. If so, those future premiums, and the resulting benefits and claims, are not included in the measurement of the group of existing insurance contracts

As such, the company does not recognize a liability or asset relating to expected premiums or expected claims outside the boundary as such amounts relates to future insurance contracts. However, the company recognizes an asset for acquisition cash flows paid before the related group of insurance contracts is recognized.

The Company includes in the measurement of a group of insurance contracts all the future cash flows within the boundary of each contract in the group.

Cash flows are within the boundary of an insurance contract if they arise from substantive rights and obligations that exist during the reporting period in which the Company can compel the policyholder to pay the premiums, or in which the Company has a substantive obligation to provide the policyholder with insurance contract services. A substantive obligation to provide insurance contract services ends when:

- The Company has the practical ability to reassess the risks of the particular policyholder and, as a result, can set a price or level of benefits that fully reflects those risks

Or

Both of the following criteria are satisfied:

- The Company has the practical ability to reassess the risks of the portfolio of insurance contracts that contain the contract and, as a result, can set a price or level of benefits that fully reflects the risk of that portfolio
- The pricing of the premiums up to the date when the risks are reassessed does not take into account the risks that relate to periods after the reassessment date.

A liability or asset relating to expected premiums or claims outside the boundary of the insurance contract is not recognised. Such amounts relate to future insurance contracts.

The company have set contract boundaries based on its portfolio of insurance contracts which is stated as follows:

For Individual Life

- Credit Life: The contract boundary is set equal to the term of the credit life policy
- Term Assurance: The contract boundary is set equal to the term of the term assurance policy
- Endowments: The contract boundary is set equal to the term of the endowment policy
- Funeral: The company has assumed that all policyholders will be dead by age 110, hence the contract boundary is 110 years.
- Education: The contract boundary is set equal to the term of the education policy.

For Group Life

- Group life: The contract boundary is set equal to the policy term which is one year
- Annuities: The company has assumed that all annuitants will be dead by age 120. Hence the contract boundary is 120 years.

For life contracts with renewal periods, the Company assesses whether premiums and related cash flows that arise from the renewed contract are within the contract boundary. The pricing of the renewals is established by the Company by considering all the risks covered for the policyholder by the Company, when underwriting equivalent contracts on the renewal dates for the remaining coverage. The Company reassess contract boundary of each group at the end of each reporting period.

Measurement – General Model

Insurance contract – Initial Measurement

The general model measures a group of insurance contracts as the sum of the following components, or ‘building blocks’, for each group of insurance contracts:

- Fulfilment cash flows, which comprise:
 - Estimates of expected future cash flows over the life of the contract
 - An adjustment to reflect the time value of money and the financial risks related to the future cash flows to the extent that the financial risks are not included in the estimates of the future cash flows
 - A risk adjustment for non-financial risk
- A contractual service margin representing unearned profit an entity will recognise as it provides service under the insurance contracts in the group

Fulfilment Cashflows (FCF)

Fulfilment cash flows comprise unbiased and probability-weighted estimates of future cash flows, discounted to present value to reflect the time value of money and financial risks, plus a risk adjustment for non-financial risk.

The Company’s objective in estimating future cash flows is to determine the expected value, or the probability-weighted mean, of the full range of possible outcomes, considering all reasonable and supportable information available at the reporting date without undue cost or effort. The Company estimates future cash flows considering a range of scenarios which have commercial substance and give a good representation of possible outcomes.

The cash flows from each scenario are probability- weighted and discounted using current assumptions.

When estimating future cash flows, the Company includes all cash flows that are within the contract boundary including:

- Premiums and related cash flows
- Claims and benefits, including reported claims not yet paid, incurred claims not yet reported and expected future claims
 - Payments to policyholders resulting from embedded surrender value options
 - An allocation of insurance acquisition cash flows attributable to the portfolio to which the contract belongs
- Claims handling costs
- Policy administration and maintenance costs, including recurring commissions that are expected to be paid to intermediaries
- An allocation of fixed and variable overheads directly attributable to fulfilling insurance contracts
- Transaction-based taxes including; premium taxes, value added taxes
- Payments by the Company in a fiduciary capacity to meet tax obligations incurred by policyholder
- Allocation of fixed and variable overheads directly attributable to fulfilling insurance contracts
- Cost that the company incurs in providing investment- related services for investment contracts without direct participation features
- Any other costs specifically chargeable to the policyholder under the term of the contract

The Company incorporates, in an unbiased way, all reasonable and supportable information available without undue cost or effort about the amount, timing and uncertainty of those future cash flows. The Company estimates the probabilities and amounts of future payments under existing contracts based on information obtained, including:

- Information about claims already reported by policyholders
- Other information about the known or estimated characteristics of the insurance contracts
- Historical data about the Company’s own experience, supplemented when necessary with data from other sources. Historical data is adjusted to reflect current conditions
- Current pricing information, when available

The measurement of fulfilment cash flows-includes insurance acquisition cash flows which are allocated based on rational and systematic manner as prescribed above.

Contractual Service Margin (CSM)

The Company’s CSM is a component of the asset or liability for the group of insurance contracts that represents the unearned profit the Company will recognise as it provides services in the future. The Company measures the CSM on initial recognition at an amount that, unless the group of contracts is onerous, results in no income or expenses arising from:

- Initial recognition of the fulfilment cash flows
- Derecognition at the date of initial recognition of any asset or liability recognised for insurance acquisition cash flows
- Any cash flows arising from the contracts in the group at that date

For groups of contracts assessed as onerous, the Company has recognised a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the fulfilment cash flows and the CSM of the group being zero. A loss component has been established by the Company for the liability for remaining coverage for an onerous group depicting the losses recognized for additional disclosures on the loss component.

The liability for remaining coverage is the Company's obligation to investigate and pay valid claims for insured events that have not yet occurred (i.e., the obligation that relates to the unexpired portion of the coverage period) and at initial recognition, comprises all remaining expected future cash inflows and cash outflows under an insurance contract plus the CSM for that contract.

The liability for incurred claims is the Company's obligation to investigate and pay valid claims for insured events that have already occurred, including events that have occurred but for which claims have not been reported, and other incurred insurance expenses. At initial recognition of a group of contracts, the liability for incurred claims is usually nil as no insured events have occurred.

Insurance contracts – subsequent measurement

The CSM at the end of the reporting period represents the profit in the group of insurance contracts that has not yet been recognised in profit or loss, because it relates to future service to be provided.

For a group of insurance contracts, the carrying amount of the CSM of the group at the end of the reporting period equals the carrying amount at the beginning of the reporting period adjusted, as follows:

- The effect of any new contracts added to the group
 - Interest accreted on the carrying amount of the CSM during the reporting period, measured at the discount rates at initial recognition
 - The changes in fulfilment cash flows relating to future service, except to the extent that:
 - Such increases in the fulfilment cash flows exceed the carrying amount of the CSM, giving rise to a loss
- OR
- Such decreases in the fulfilment cash flows are allocated to the loss component of the liability for remaining coverage
 - The effect of any currency exchange differences on the CSM
 - The amount recognised as insurance revenue because of the transfer of services in the period, determined by the allocation of the CSM remaining at the end of the reporting period (before any allocation) over the current and remaining coverage period

The locked-in discount rate is the weighted average of the rates applicable at the date of initial recognition of contracts that joined a group over a 12-month period. The discount rate used for accretion of interest on the CSM is determined using the bottom-up approach at inception

The changes in fulfilment cash flows relating to future service that adjust the CSM comprise of:

- Experience adjustments that arise from the difference between the premium receipts (and any related cash flows such as insurance acquisition cash flows and insurance premium taxes) and the estimate, at the beginning of the period, of the amounts expected. Differences related to premiums received (or due) related to current or past services are recognised immediately in profit or loss while differences related to premiums received (or due) for future services are adjusted against the CSM
- Changes in estimates of the present value of future cash flows in the liability for remaining coverage, except those relating to the time value of money and changes in financial risk (recognised in the statement of profit or loss and other comprehensive income rather than adjusting the CSM)
- Differences between any investment component expected to become payable in the period and the actual investment component that becomes payable in the period. Those differences are determined by comparing (i) the actual investment component that becomes payable in the period with (ii) the payment in the period that was expected at the start of the period plus any insurance finance income or expenses related to that expected payment before it becomes payable.
- Changes in the risk adjustment for non-financial risk that relate to future service

Except for changes in the risk adjustment, adjustments to the CSM noted above are measured at discount rates that reflect the characteristics of the cash flows of the group of insurance contracts at initial recognition.

Where, during the coverage period, a group of insurance contracts becomes onerous, the Company recognises a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the fulfilment cash flows. A loss component is established by the Company for the liability for remaining coverage for such onerous group depicting the losses recognised.

The Company measures the carrying amount of a group of insurance contracts at the end of each reporting period as the sum of:

- (i) the liability for remaining coverage comprising fulfilment cash flows related to future service allocated to the group at that date and the CSM of the group at that date; and
- (ii) the liability for incurred claims for the Company comprised the fulfilment cash flows related to past service allocated to the group at that date.

Reinsurance contracts held – initial measurement

The measurement of reinsurance contracts held follows the same principles as those for insurance contracts issued, with the exception of the following:

- Measurement of the cash flows include an allowance on a probability-weighted basis for the effect of any non-performance by the reinsurers, including the effects of collateral and losses from disputes
- The Company determines the risk adjustment for non-financial risk so that it represents the amount of risk being transferred to the reinsurer
- The Company recognises both day 1 gains and day 1 losses at initial recognition in the statement of financial position as a CSM and releases this to profit or loss as the reinsurer renders services, except for any portion of a day 1 loss that relates to events before initial recognition

Where the company recognises a loss on initial recognition of an onerous group of underlying insurance contracts or when further onerous underlying insurance contracts are added to a group, it establishes a loss-recovery component of the asset for remaining coverage for a group of reinsurance contracts held depicting the recovery of losses.

The loss recovery component adjust the carrying amount of the asset for remaining coverage.

When the company enters into reinsurance contracts held which provide coverage relating to events that occurred before the purchase of the reinsurance, such cost is recognised in the profit or loss on initial recognition.

Reinsurance contracts held – Subsequent measurement

The measurement of reinsurance contracts held follows the same principles as those for insurance contracts issued, with the exception of the following:

- Changes in the fulfilment cash flows are recognised in profit or loss if the related changes arising from the underlying ceded contracts have been recognised in profit or loss. Alternatively, changes in the fulfilment cash flows adjust the CSM.
- Changes in the fulfilment cash flows that result from changes in the risk of non-performance by the issuer of a reinsurance contract held do not adjust the contractual service margin as they do not relate to future service.

Any change in the fulfilment cash flows of a retroactive reinsurance contract held due to the changes of the liability for incurred claims of the underlying contracts is taken to profit and loss and not the contractual service margin of the reinsurance contract held.

Where a loss component has been set up subsequent to initial recognition of a group of underlying insurance contracts, the portion of income that has been recognised from related reinsurance contracts held is disclosed as a loss-recovery component.

3.3 Revenue recognition

(i) Insurance revenue (PAA)

The insurance revenue for the period is the amount of expected premium receipts (excluding any investment component) allocated to the period. The Company allocates the expected premium receipts to each period of insurance contract services on the basis of the passage of time. But if the expected pattern of release of risk during the coverage period differs significantly from the passage of time, then the allocation is made on the basis of the expected timing of incurred insurance service expenses.

The Company changes the basis of allocation between the two methods above as necessary, if facts and circumstances change. The change is accounted for prospectively as a change in accounting estimate.

Insurance revenue (Non-PAA)

The Company's insurance revenue depicts the provision of coverage and other services arising from a group of insurance contracts at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those services. Insurance revenue from a group of insurance contracts is therefore the relevant portion for the period of the total consideration for the contracts, (i.e., the amount of premiums paid to the Company adjusted for financing effect (the time value of money) and excluding any distinct investment components). The total consideration for a group of contracts covers amounts related to the provision of services and is comprised of:

- Insurance service expenses, excluding any amounts allocated to the loss component of the liability for remaining coverage
- The risk adjustment for non-financial risk, excluding any amounts allocated to the loss component of the liability for remaining coverage
- The CSM release
- Amounts related to insurance acquisition cash flows

(ii) Loss component (PAA)

The Company assumes that no contracts are onerous at initial recognition unless facts and circumstances indicate otherwise. Where this is not the case, and if at any time during the coverage period, the facts and circumstances indicate that a group of insurance contracts is onerous, the Company establishes a loss component as the excess of the fulfilment cash flows that relate to the remaining coverage of the group over the carrying amount of the liability for remaining coverage of the group. Accordingly, by the end of the coverage period of the group of contracts the loss component will be zero.

Loss component (Non-PAA)

The Company has grouped contracts that are onerous at initial recognition separately from contracts in the same portfolio that are not onerous at initial recognition. Groups of insurance contracts that were not onerous at initial recognition can also subsequently become onerous if assumptions and experience changes. The Company has established a loss component of the liability for remaining coverage for any onerous group depicting the future losses recognised.

A loss component represents a notional record of the losses attributable to each group of onerous insurance contracts (or contracts profitable at inception that have become onerous). The loss component is released based on a systematic allocation of the subsequent changes in the fulfilment cash flows to:

- (i) the loss component; and
- (ii) the liability for remaining coverage excluding the loss component.

The loss component is also updated for subsequent changes in estimates of the fulfilment cash flows related to future service. The systematic allocation of subsequent changes to the loss component results in the total amounts allocated to the loss component being equal to zero by the end of the coverage period of a group of contracts (since the loss component will have been materialised in the form of incurred claims). The Company uses the proportion on initial recognition to determine the systematic allocation of subsequent changes in future cash flows between the loss component and the liability for remaining coverage excluding the loss component.

(iii) Loss-recovery components

Where the Company recognises a loss on initial recognition of an onerous group of underlying insurance contracts, or when further onerous underlying insurance contracts are added to a group, the Company establishes a loss-recovery component of the asset for remaining coverage for a group of reinsurance contracts held depicting the expected recovery of the losses.

A loss-recovery component is subsequently reduced to zero in line with reductions in the onerous group of underlying insurance contracts in order to reflect that the loss-recovery component shall not exceed the portion of the carrying amount of the loss component of the onerous group of underlying insurance contracts that the Company expects to recover from the group of reinsurance contracts held.

(iv) Investment income on financial assets

Investment income on financial assets is composed of interest income and dividend income.

Interest income is recognized in profit or loss as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognized as an adjustment to the effective interest rate of the instrument. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

Dividend income from investments is recognized when the shareholders' rights to receive payment have been established.

(v) Net gains on financial assets

Represents gains and losses on investments carried at FVTPL. These include fair value gains, interest income, exchange gains and gains and losses on disposal of these financial assets.

(vi) Other operating income

Other operating income represents income generated from sources other than insurance service revenue, net gains on financial assets at FVTPL and investment income. It includes rental income and profit on disposal of property and equipment. Rental income is recognized on an accrual basis. This also includes mudarabah income from the Takaful insurance

3.4 Expense recognition

(i) Insurance finance income and expense

Insurance finance income or expenses comprise the change in the carrying amount of the group of insurance contracts arising from:

- The effect of the time value of money and changes in the time value of money; and
- The effect of financial risk and changes in financial risk.

The Company systematically allocates expected total insurance finance income or expenses over the duration of the group of contracts to profit or loss using discount rates determined on initial recognition of the group of contracts.

In the event of transfer of a group of insurance contracts or derecognition of an insurance contract, the Company reclassifies the insurance income finance or expense to profit or loss as a reclassification adjustment to any remaining amounts for the group (or contract) that were previously recognised in other comprehensive income.

(ii) Net income or expense from reinsurance contracts held (PAA)

The Company presents separately on the face of the statement of profit or loss and other comprehensive income, the amounts expected to be recovered from reinsurers, and an allocation of the reinsurance premiums paid. The Company treats reinsurance cash flows that are contingent on claims on the underlying contracts as part of the claims that are expected to be reimbursed under the reinsurance contract held, and excludes investment components and commissions from an allocation of reinsurance premiums presented on the face of the statement of profit or loss and other comprehensive income

Net income or expense from reinsurance contracts held (Non-PAA)

The Company presents separately on the face of the statement of profit or loss and other comprehensive, income the amounts expected to be recovered from reinsurers, and an allocation of the reinsurance premiums paid. The Company treats reinsurance cash flows that are contingent on claims on the underlying contracts as part of the claims that are expected to be reimbursed under the reinsurance contract held and excludes investment components and commissions from an allocation of reinsurance premiums presented on the face of the statement of profit or loss and other comprehensive income.

(iii) Management expenses

Management expenses are recognised in profit or loss when goods are received or services rendered. They are expenses other than insurance service

expenses and include employee benefits, depreciation charges and other operating expenses.

3.5 Investment contracts

Investment contracts are those contracts that transfer financial risks with no significant insurance risk.

Financial risk is the risk of a possible future change in one or more of a specified interest rate, security price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract.

The Group enters into investment contracts with guarantee returns and other businesses of savings nature. Those contracts are termed investment contract liabilities and are initially measured at fair value and subsequently at amortised cost.

Finance cost on investment contract liabilities is recognised as an expense in profit or loss using the effective interest rate.

3.6 Cash and cash equivalents

Cash and cash equivalents include cash in hand, bank and call deposits and other short-term highly liquid investments with original maturities of three months or less, which are subject to insignificant risk of changes in their fair value and used by the Group to manage its short term commitments. Cash and cash equivalents are measured at amortised cost in the statement of financial position.

3.7 Financial assets

Classification

i. Recognition and initial measurement

The Group recognises deposits with financial institutions and loans and borrowings on the date on which they are originated. All other financial instruments (including regular-way purchases and sales of financial assets) are recognised on the trade date, which is the date on which the Group becomes a party to the contractual provisions of the instrument.

A financial asset or financial liability is initially measured at fair value plus, for a financial asset or financial liability not measured at FVTPL, transaction costs that are directly attributable to its acquisition or issue.

ii. Classification and subsequent measurement

Classification

On initial recognition, a financial asset is classified as measured at amortised cost, FVOCI or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Group changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are SPPI.

A financial asset is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- its contractual terms give rise on specified dates to cash flows that are SPPI.

The Group elects to present changes in the fair value of certain equity investments that are not held for trading in OCI. The election is made on an instrument-by-instrument basis on initial recognition and is irrevocable.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. In addition, on initial recognition the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Business model assessment

The Group assesses the objective of the business model in which a financial asset is held for each portfolio of financial assets because this best reflects the way that the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice, including whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of assets;
- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated (e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected); and
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Group's stated objective for managing the financial assets is achieved and how cash flows are realised.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group's continuing recognition of the assets.

For a majority of debt investments, the objective of the Group's business model is to fund insurance contract liabilities. The Group undertakes significant buying and selling activity on a regular basis to rebalance its portfolio of assets and to ensure that contractual cash flows from the financial assets are sufficient to settle insurance contract liabilities. The Group determines that both collecting contractual cash flows as they come due and selling financial assets to maintain the desired asset profile are integral to achieving the business model's objective.

Certain debt securities are held in separate portfolios for long-term yield. These securities may be sold, but such sales are not expected to be more than infrequent. The Group considers that these securities are held within a business model whose objective is to hold assets to collect the contractual cash flows.

Notes to the consolidated and separate financial statements

Portfolios of financial assets that are managed and whose performance is evaluated on a fair value basis, which include underlying items of participating contracts, and portfolios of financial assets that are held for trading are measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets.

Assessment of whether contractual cash flows are SPPI

For the purposes of this assessment, principal is defined as the fair value of the financial asset on initial recognition. However, the principal may change over time - e.g. if there are repayments of principal. Interest is defined as consideration for the time value of money, for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are SPPI, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group considers:

- contingent events that would change the amount or timing of cash flows;
- leverage features;
- prepayment and extension features;
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse asset arrangements); and
- features that modify consideration for the time value of money (e.g. periodic reset of interest rates).

A prepayment feature is consistent with the SPPI criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable compensation for early termination of the contract. In addition, for a financial asset acquired at a premium or discount to its contractual par amount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant on initial recognition.

Some prepayment features permit the debtor to prepay the debt instrument at an amount calculated as the remaining contractual cash flows discounted at the current market benchmark interest rate plus a fixed spread. The Group has determined that these prepayment features are consistent with the SPPI criterion. Because the Group would be compensated only for the change in the market benchmark interest rate and for lost interest margin, the prepayment penalty would not include any non-SPPI risks and may be seen as reasonable compensation.

Subsequent measurement and gains and losses

Financial assets at FVTPL; Measured at fair value. Net gains and losses, including any interest or dividend income and foreign exchange gains and losses, are recognised in profit or loss, unless they arise from derivatives designated as hedging instruments in net investment hedges.

Debt investments at FVOCI: Measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI and accumulated in the fair value reserve. On derecognition, gains and losses accumulated in OCI are reclassified to profit or loss.

Equity investments at FVOCI: Measured at fair value. Dividends are recognised as income in profit or loss when the Group's right to receive payment is established, unless they clearly represent a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss. Cumulative gains and losses recognised in OCI are transferred to retained earnings on disposal of an investment.

Financial assets at amortised cost: Measured at amortised cost using the effective interest method. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

ii. Financial liabilities

Classification

The Group classifies its financial liabilities, other than financial guarantees, into one of the following categories:

- financial liabilities at FVTPL, and within this category as:
 - held-for-trading;
 - designated as at FVTPL; and
 - financial liabilities at amortised cost.

Subsequent measurement and gains and losses

Financial liabilities at FVTPL: Measured at fair value. Net gains and losses, including any interest expenses and foreign exchange gains and losses, are recognised in profit or loss, unless they arise from derivatives designated as hedging instruments in net investment hedges.

Financial liabilities at amortised cost: Measured at amortised cost using the effective interest method. Interest expenses and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

Interest income and expenses are recognised in profit or loss using the effective interest method. The effective interest rate is calculated on initial recognition of a financial instrument and is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- the gross carrying amount of the financial asset; or
- the amortised cost of the financial liability.

The effective interest rate is revised as a result of periodic re-estimation of cash flows of floating-rate instruments to reflect movements in market rates of interest. The amortised cost of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any loss allowance.

Interest income and expenses were recognised in profit or loss using the effective interest method. The effective interest rate was the rate that exactly discounted the estimated future cash payments and receipts through the expected life of the financial asset or financial liability (or, where appropriate, a shorter period) to the carrying amount of the financial asset or financial liability. When calculating the effective interest rate, the Group estimated future cash flows considering all contractual terms of the financial instrument, but not future credit losses.

The calculation of the effective interest rate included transaction costs and fees and points paid or received that were an integral part of the effective interest rate. Transaction costs were incremental costs that were directly attributable to the acquisition or issue of a financial asset or financial liability.

Interest revenue calculated using the effective interest method and other finance costs presented in profit or loss included interest on financial assets and financial liabilities measured at amortised cost and available-for-sale financial assets.

iii. Impairment

The Group recognises loss allowances for ECL on:

- financial assets measured at amortised cost; and
- debt investments measured at FVOCI.

The Group measures loss allowances at an amount equal to lifetime ECL, except in the following cases, for which the amount recognised is 12-month ECL:

- debt securities that are determined to have low credit risk at the reporting date; and
- other financial instruments (other than lease receivables) for which credit risk has not increased significantly since initial recognition.

Loss allowances for lease receivables are always measured at an amount equal to lifetime ECL.

Financial instruments for which 12-month ECL are recognised are referred to as ‘Stage 1 financial instruments’. 12-month ECL are the portion of ECL that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Financial instruments for which lifetime ECL are recognised because of a significant increase in credit risk since initial recognition but that are not credit-impaired are referred to as ‘Stage 2 financial instruments’. Lifetime ECL are the ECL that result from all possible default events over the expected life of the financial instrument.

Financial instruments for which lifetime ECL are recognised and that are credit-impaired are referred to as ‘Stage 3 financial instruments’.

In all cases, the maximum period considered when estimating ECL is the maximum contractual period over which the Group is exposed to credit risk.

Measurement of ECL

ECL are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the Group in accordance with the contract and the cash flows that the Group expects to receive).

Credit-impaired financial assets

At each reporting date, the Group assesses whether financial assets measured at amortised cost, debt investments credit-impaired at FVOCI and lease receivables are credit-impaired. A financial asset is when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the debtor;
- a breach of contract such as a default or past-due event;
- the restructuring of an amount due to the Group on terms that the Group would not otherwise consider;
- the debtor entering bankruptcy or other financial reorganisation becoming probable; or
- the disappearance of an active market for a security because of financial difficulties.

A financial asset that has been renegotiated due to a deterioration in the borrower’s condition is usually considered to be credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment.

In assessing whether an investment in sovereign debt is credit-impaired, the Group considers the following factors:

- the market's assessment of creditworthiness as reflected in bond yields;
- the rating agencies' assessments of creditworthiness;
- the country's ability to access the capital markets for new debt issuance;
- the probability of debt being restructured, resulting in holders suffering losses through voluntary or mandatory debt forgiveness; and
- the international support mechanisms in place to provide the necessary support as 'lender of last resort' to that country, as well as the intention, reflected in public statements, of governments and agencies to use those mechanisms, including an assessment of the depth of those mechanisms and, irrespective of the political intent, whether there is the capacity to fulfil the required criteria.

Presentation of loss allowances in the statement of financial position

Loss allowances for ECL are presented as follows:

- financial assets measured at amortised cost: the loss allowance is deducted from the gross carrying amount of the assets; and
- debt investments measured at FVOCI: the loss allowance does not reduce the carrying amount of the financial assets (which are measured at fair value) but gives rise to an equal and opposite gain in OCI.

Write-off

The gross carrying amount of a financial asset is written off when the Group has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Group determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. This assessment is carried out at the individual asset level.

Although the Group expects no significant recovery from amounts written off, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures for recovery of amounts due.

In addition, for an investment in an equity instrument, a significant or prolonged decline in its fair value below its cost was objective evidence of impairment. In general, the Group considered a decline of 20% to be significant and a period of nine months to be prolonged. However, in specific circumstances a smaller decline or a shorter period might have been appropriate. Impairment losses on financial assets were recognised as follows.

Financial assets at amortised cost: The Group considered evidence of impairment for these assets at both individual asset and collective levels. All individually significant assets were individually assessed for impairment. Those found not to be impaired were then collectively assessed for any impairment that had been incurred but not yet individually identified. Assets that were not individually significant were collectively assessed for impairment. Collective assessment was carried out by grouping together assets with similar risk characteristics.

In assessing collective impairment, the Group used historical information on the timing of recoveries and the amount of loss incurred, and made an adjustment if current economic and credit conditions were such that the actual losses were likely to be greater or lesser than suggested by historical trends.

An impairment loss was calculated as the difference between an asset's carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. Losses were recognised in profit or loss and reflected in an allowance account. When the Group considered that there were no realistic prospects of recovery of the asset, the relevant amounts were written off. If the amount of impairment loss subsequently decreased and the decrease was related objectively to an event occurring after the impairment was recognised, then the previously recognised impairment loss was reversed through profit or loss.

FVOCI financial assets: Impairment losses on FVOCI financial assets were recognised by reclassifying the losses accumulated in the fair value reserve to profit or loss. The amount reclassified was the difference between the acquisition cost (net of any principal repayment and amortisation) and the current fair value, less any impairment loss previously recognised in profit or loss. If the fair value of an impaired FVOCI debt security subsequently increased and the increase was related objectively to an event occurring after the impairment loss was recognised, then the impairment loss was reversed through profit or loss. Impairment losses recognised in profit or loss for an investment in an equity instrument classified as available-for-sale were not reversed through profit or loss.

iv. Derecognition and contract modification

Financial assets

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

On derecognition of a financial asset, the difference between the carrying amount at the date of derecognition and the consideration received (including any new asset obtained less any new liability assumed) is recognised in profit or loss. For debt investments at FVOCI and financial assets that had already been derecognised at 1 January 2025, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss. The cumulative gain or loss on equity investments designated as at FVOCI is not reclassified to profit or loss.

The Group enters into transactions whereby it transfers assets recognised in its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not derecognised. Examples of such transactions are securities lending and sale-and-repurchase transactions.

In transactions in which the Group neither retains nor transfers substantially all of the risks and rewards of ownership of a financial asset and it retains control over the asset, the Group continues to recognise the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

If the terms of a financial asset are modified, then the Group evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognised and a new financial asset is recognised at fair value plus any eligible transaction costs. Any fees received as part of the modification are accounted for as follows.

- Fees that are considered in determining the fair value of the new asset and fees that represent reimbursement of eligible transaction costs are included in the initial measurement of the new asset.
- Other fees are included in profit or loss as part of the gain or loss on derecognition.

If cash flows are modified when the debtor is in financial difficulties, then the objective of the modification is usually to maximise recovery of the original contractual cash flows rather than to originate a new asset with substantially different terms. If the Group plans to modify a financial asset in a way that would result in forgiveness of cash flows, then it first considers whether a portion of the asset should be written off before the modification takes place (see 'Write-off' under (iii)).

vii. Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when it is required or permitted by a standard - e.g. gains and losses arising from a group of similar transactions such as the gains and losses on financial assets measured at FVTPL.

3.8 Trade receivables

Trade receivables comprise Trade receivables. Trade receivables are those for which credit notes issued by brokers are within 30 days after the reporting date, in conformity with the "NO PREMIUM, NO COVER" NAICOM policy.

3.9 Foreign currency transactions

Foreign currency transactions are translated at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated using the exchange rate ruling at the reporting date. Foreign currency differences are generally recognised in profit or loss.

Non-monetary items that are measured based on historical cost in a foreign currency are translated at the exchange rate at the date of the transaction.

3.10 Other Insurance related liabilities

Other insurance related liabilities refers to financial obligations arising from the group's insurance business that are basically outside the scope of the definition of insurance contracts. The group consistently evaluates these liabilities and measures them at fair value at each reporting date.

Trade and other payables

Trade payables

Trade payables are recognized when due. These include amounts due to agents, reinsurers and co-assurers. Trade payables are recognized initially at fair value and subsequently measured at amortized cost using the effective interest method. The fair value of a non-interest bearing liability is its discounted repayment amount. If the due date is less than one year, discounting is not applied.

Other payables and Accruals

Other payables are recognized initially at fair value and subsequently measured at amortized cost using the effective interest rate method. The fair value of a non-interest bearing liability is its discounted repayment amount. If the due date is less than one year, discounting is not applied.

3.11 Other receivables and prepayments

Other receivables principally consist of accrued income, intercompany receivable and sundry debtors. Prepayments are essentially prepaid rents, prepaid insurance and other prepaid balances. Other receivables are measured at amortised cost.

3.12 Investment properties

Investment properties are properties held to earn rentals or for capital appreciation (including property under construction for such) or for both purposes, but not for sale in the ordinary course of business.

Recognition and measurement

Investment properties are measured initially at cost plus any directly attributable expenses.

Subsequent to initial recognition, investment properties are measured at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair value of investment properties are included in profit or loss in the period in which they arise. Fair values of the investment properties are evaluated and assessed annually by an accredited external valuer.

De-recognition

An investment property is derecognized upon disposal or when the investment property is permanently withdrawn from use and no future economic benefits are expected from the disposal. Any gain or loss arising on de-recognition of the property (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognized in profit or loss in the period of de-recognition. The carrying amount of the asset represents the fair value of the asset as at the date of the latest valuation before disposal.

Transfers

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under property and equipment up to the date of change. Subsequently, the property is re-measured to fair value and reclassified as investment property.

3.13 Property and equipment

Recognition and measurement

Items of property and equipment are measured at cost less accumulated depreciation and impairment losses if any except for land and building which is carried at revalued amount. When Land and Building are revalued, any accumulated depreciation at the date of the revaluation is eliminated against the gross carrying amount of the asset and the net amount restated to the revalued amount.

Cost includes expenditure that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the assets to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site on which they are located, and capitalised borrowing costs. Purchased software that is integral to the functionality of the related equipment is capitalised as part of equipment. When parts of an item of property or equipment have different useful lives, they are accounted for as separate items (major components) of property and equipment.

Subsequent costs

The cost of replacing part of an item of property or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The carrying amount of the replaced part is derecognised. The costs of the day-to-day servicing of property and equipment are recognised in profit or loss as incurred.

Depreciation

Depreciation is recognised in the statement of profit or loss and other comprehensive income on a straight-line basis to write down the cost of each asset, to their residual values over the estimated useful lives of each part of an item of property and equipment. Leased assets under finance lease are depreciated over the shorter of the lease term and their useful lives. Depreciation begins when an asset is available for use and ceases at the earlier of the date that the asset is derecognised or classified as held for sale in accordance with IFRS 5. Available for use is the date the asset is available for use. A non-current asset or disposal group is not depreciated while it is classified as held for sale.

Depreciation is calculated over their estimated useful lives at the following rates:

Land	Not depreciated
Building	50 years
Leasehold improvements	Over the shorter of the useful life of the item or the lease period
Office equipments	4 years
Plant	4 years
Furniture and fittings	5 years
Computer equipment	3 years
Motor vehicles	4 years

Depreciation methods, useful lives and residual values are reassessed at each reporting date and adjusted if appropriate.

De-recognition

An item of property and equipment is derecognised on disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the year the asset is derecognised.

Impairment

Assets that are subject to depreciation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount. The recoverable amount is the higher of the asset's fair value less costs to sell or the value in use.

3.14 Intangible assets

Computer software

Software acquired by the Group is stated at cost less accumulated amortisation and accumulated impairment losses. Expenditure on internally developed software is recognised as an asset when the Group is able to demonstrate its intention and ability to complete the development and use the software in a manner that will generate future economic benefits and can reliably measure the costs to complete the development. The capitalised costs of internally developed software include all costs directly attributable to developing the software and are amortised over its useful life. Internally developed software is stated at capitalised cost less accumulated amortisation and impairment. Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful life of the software, from the date that it is available for use since this most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset. The estimated useful life of software is five years. Amortisation method, useful lives, and residual values are reviewed at each financial year-end and adjusted if appropriate.

Intangible assets are derecognised on disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on de-recognition is included in profit or loss in the year the asset is derecognised.

3.15 Impairment of non-financial assets

The carrying amounts of the Group's non-financial assets other than deferred tax assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. A cash-generating unit is the smallest identifiable group of assets that generates cash flows that are largely independent from other assets. Impairment losses are recognised in profit or loss.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In respect of other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

3.16 Income and deferred tax

Current tax

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax payable or receivable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted at the reporting date. Current tax also includes any tax arising from dividends. It is assessed as follows:

- Company income tax (30%) is assessed on taxable profits
- Tertiary Education tax (3%) is computed on assessable profits
- National Information Technology Development levy (1%) is computed on profit before tax
- Nigerian Police Trust Fund (0.005%) is computed on net profit

Minimum tax

The Company is subject to the Finance Act (amendments made to Companies Income Tax Act (CITA)). Total amount of tax payable under the new Finance Act shall not be less than 0.5% of the Company's gross premium. Taxes based on taxable profit for the period are treated as income tax in line with IAS 12; whereas Minimum tax which is based on a gross amount is outside the scope of IAS 12 and therefore, are not presented as part of income tax expense in the profit or loss.

Where the minimum tax charge is higher than the Company Income Tax (CIT), a hybrid tax situation exists. In this situation, the CIT is recognized in the income tax expense line in the profit or loss and the excess amount is presented above the income tax line as Minimum tax.

Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is not recognised for:

- temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- temporary differences related to investments in subsidiaries to the extent that it is probable that they will not reverse in the foreseeable future; and
- taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date.

The measurement of deferred tax reflects the tax consequences that would follow the manner in which the Group expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

In determining the amount of current and deferred tax, the Group considers the impact of tax exposures, including whether additional taxes and interest may be due. This assessment relies on estimates and assumptions and may involve a series of judgments about future events. New information may become available that causes the Group to change its judgment regarding the adequacy of existing tax liabilities; such changes to tax liabilities would impact tax expense in the period in which such a determination is made.

3.17 Statutory deposits

Statutory deposits are cash balances held with the Central Bank of Nigeria (CBN) in compliance with the Insurance Act 2003. The deposits are only available as a last resort to the Group if it goes into liquidation. Statutory deposits are measured at amortised cost.

3.18 Hypothecation of assets

The Company structured its assets to meet the requirements of the Insurance Act 2003 such that policyholders' assets and funds are not co-mingled with shareholders'.

In particular, investment securities and insurance funds hypothecated to policyholders are distinguished from those owned by the shareholders. The assets hypothecated are shown in note 42 of the financial statements.

3.19 Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and where appropriate, the risks specific to the liability.

A provision for restructuring is recognised when the Group has approved a detailed and formal restructuring plan, and the restructuring either has commenced or has been announced publicly. Future operating costs are not provided for.

A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligations under the contract. The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established, the Group recognises any impairment loss on the assets associated with that contract.

3.20 Employee benefits

Short-term employee benefits/Personnel expenses

Staff benefits such as wages, salaries and other benefits are recognized as employee benefit expenses. Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A provision is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Defined contribution plans

Obligations for contributions to defined contribution pension plans are recognised as an expense in profit or loss when they are due in respect of service rendered before the end of the reporting period. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in future payments is available. The Group contributes to a defined contribution pension scheme for its employees. Obligations in respect of the Group's contributions to the scheme are recognised as an expense in the profit or loss account on an annual basis. The employee and the Group contribute 8% and 10% respectively of basic salary, housing, and transport allowance to each employee's retirement savings account maintained with their nominated Pension Fund Administrators in line with the Pension Reform Act 2014 and circulars of the National Pension Commission.

Termination benefits

Termination benefits are payable whenever an employee's employment is terminated before the normal retirement date or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognizes termination benefits when it is demonstrably committed either to terminate the employment of current employees according to a detailed formal plan without possibility of withdrawal, or to provide termination benefits as a result of an offer made to encourage voluntarily redundancy if it is probable that the offer will be accepted and the number of acceptances can be estimated. Benefits falling due more than 12 months after balance sheet date are discounted to present value.

Post employment benefits

The Group operates a defined contributory retirement scheme as stipulated in the Pension Reform Act 2014. Under the defined contribution scheme, the Group pays fixed contributions of 10% to a separate entity – Pension Fund Administrators; employees also pay 8% to the same entity. Once the contributions have been paid, the Group retains no legal or constructive obligation to pay further contributions if the Fund does not hold enough assets to finance benefits accruing under the retirement benefit plan. The Group's obligations are recognised in the statement of comprehensive income.

3.21 Earnings per share

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares. Earnings per share is determined by dividing the profit or loss attributable to ordinary shareholders by the weighted number of ordinary shares adjusted for any bonus shares issued.

3.22 Leases

Determining the lease term of contracts with renewal and termination options – Company as lessee

The Company determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised. The Company applies judgement in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Company reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customisation to the leased asset).

The Company included the renewal period as part of the lease term for leases of office spaces and plant and machinery with shorter non-cancellable period (i.e., three to five years) where this is expressly stated in the lease contract or enforceable at law per the lease contract. The Company typically exercises its option to renew for these leases because there will be a significant negative effect on its operation if a replacement asset is not readily available. The renewal periods for leases of office spaces are not included as part of the lease term as these are not reasonably certain to be exercised.

Furthermore, the periods covered by termination options are included as part of the lease term only when they are reasonably certain not to be exercised.

Property lease classification – Company as lessor

The Group has entered into commercial property leases on its investment property portfolio. The Company has determined, based on an evaluation of the terms and conditions of the arrangements, such as the lease term not constituting a major part of the economic life of the commercial property and the present value of the minimum lease payments not amounting to substantially all of the fair value of the commercial property, that it retains all the significant risks and rewards of ownership of these properties and accounts for the contracts as operating leases.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of the costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. In addition, the right-of-use asset is periodically reduced by any impairment losses and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by analysing its borrowings from various external sources and makes certain adjustments to reflect the terms of the lease and type of asset leased. Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is:

- a change in future lease payments arising from a change in an index or rate;

Short-term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for short-term leases and leases of low-value assets. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

3.23 Segment reporting

Operating segments are identified and reported in consonance with the internal reporting policy of the Group that are regularly reviewed by the Chief Executive who allocates resources to the segment and assesses their performance thereof.

The Group's reportable segments, for management purpose, are organized into business units based on the products and services offered as follows:

- Non-life insurance
- Life insurance
- Takaful insurance
- Fin Insurance
- Leasing

3.24 Contingent liabilities and assets

A contingent liability is a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Group or the Group has a present obligation as a result of past events which is not recognized because it is not probable that an outflow of resources will be required to settle the obligation; or the amount cannot be reliably estimated. Contingent liabilities normally comprise of legal claims under arbitration or court process in respect of which a liability may crystallize.

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Group.

Contingent assets are never recognised but are disclosed in the financial statements when they arise.

3.25 Share capital and other reserves

Share capital

Shares are classified as equity when there is no obligation to transfer cash or other assets. Incremental costs directly attributable to the issue of equity instruments are shown in equity as a deduction from the proceeds, net of tax.

Where any of the Group entities purchases the Company's equity share capital (treasury shares), the consideration paid, including any directly attributable incremental costs (net of income taxes), is deducted from equity attributable to the Company's equity holders. Where such shares are subsequently sold, reissued or otherwise disposed of, any consideration received is included in equity attributable to the Company's equity holders, net of any directly attributable incremental transaction costs and the related income tax effects.

Share premium

This represents the excess amount paid by shareholders on the nominal value of the shares. This amount is distributable to the shareholders at their discretion. The share premium is classified as an equity instrument in the statement of financial position.

Treasury shares

Own equity instruments which are acquired (treasury shares) are deducted from equity. No gain or loss is recognised in the income statement on the purchase, sale, issue or cancellation of the Group's own equity instruments. Any difference between the carrying amount and the consideration is recognised in other capital reserves. Voting rights related to treasury shares are nullified for the Group and no dividends are allocated to them respectively.

Retained earnings/Accumulated deficit

Retained earnings/Accumulated losses comprises undistributed profit/(loss) from previous years and the current year. Retained earnings/Accumulated losses is classified as part of equity in the statement of financial position.

Contingency reserve

The Nigerian Insurance regulations require the Group to make an annual appropriation to a statutory reserve. As stipulated by section 21(1) of Insurance Act 2003, the contingency reserve for Non-life insurance business is credited with the greater of 3% of total premium, or 20% of the net profits. This shall accumulate until it reaches the greater of minimum paid-up capital and 50% percent of the net premium. For life business, the contingency reserve is credited with an amount equal to 1% of gross premium or 10% of net profit (whichever is greater) and accumulated until it reaches the amount of minimum paid-up capital.

Fair value reserve

The fair value reserve comprises the cumulative net change in the fair value of FVOCI financial assets until the assets are derecognised or impaired.

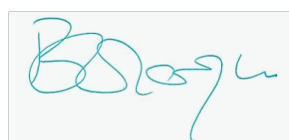
3.26 Discontinued operation

For discontinued operations, the Group presents discontinued operations in a separate line in the Income statement if an entity or a component of an entity has been disposed of or is classified as held for sale and: (a) represents a separate major line of business or geographical area of operations; (b) is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations; or (c) is a subsidiary acquired exclusively with a view to resale. Net profit from discontinued operations includes the net total of operating profit and loss before tax from operations, including net gain or loss on sale before tax or measurement to fair value less costs to sell and discontinued operations tax expense. A component of an entity comprises operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the Group's operations and cash flows. If an entity or a component of an entity is classified as a discontinued operation, the Group restates prior periods in the Income statement.

Consolidated and Separate Statements of Financial Position

As at 31 December 2025

As at 31 December 2024					
		Group		Company	
<i>In thousands of naira</i>	<i>Note</i>	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Assets					
Cash and cash equivalents	6	24,169,631	24,061,223	8,865,104	7,341,943
Financial assets					
- measured at FVOCI	7	41,104,559	40,925,655	38,587,248	39,380,009
- measured at FVTPL	7	46,029,690	22,430,537	35,393,782	21,248,306
- measured at amortised cost	7	1,287,977	13,015,608	373,617	148,737
Premium receivables	8	754,408	549,140	546,203	322,551
Other receivables and prepayments	9	1,782,469	1,274,283	583,651	940,275
Reinsurance contract assets	10	16,142,513	12,834,142	13,121,500	9,280,075
Investment in subsidiaries	11	-	-	5,008,847	5,008,847
Investment properties	12	1,584,000	872,000	-	-
Property and equipment	13	5,967,919	4,323,243	2,618,457	1,901,208
Intangible assets	14	10,525	15,172	7,455	9,726
Statutory deposit	15	2,200,000	1,200,000	500,000	500,000
Total Assets		141,033,691	121,501,003	105,605,862	86,081,676
Liabilities					
Insurance contract liabilities	16	55,083,953	45,144,044	49,454,262	37,837,078
Reinsurance contract liabilities	17	92,832	143,619	92,832	143,619
Investment contract liabilities	18	1,348,313	1,053,426	867,022	730,382
Other insurance related liabilities	19	6,696,695	4,659,561	5,760,071	3,417,237
Other payables and accruals	20	2,870,476	4,551,197	3,399,768	3,816,113
Current tax liabilities	21.2	801,784	925,416	743,038	632,963
Deferred tax liabilities	21.3	1,251,500	4,519,968	1,134,458	859,434
Employees benefit obligations	22	28,096	7,048	28,096	7,048
Total liabilities		68,173,650	61,004,280	61,479,547	47,443,873
Equity					
Share capital	23.1	9,083,196	9,083,196	9,083,196	9,083,196
Share premium	23.2	183,165	183,165	183,165	183,165
Treasury shares	23.3	(67,130)	(67,130)	(67,130)	(67,130)
Contingency reserve	23.5	14,200,564	11,799,411	9,269,718	7,925,429
Fair value and other reserves	23.6	11,201,820	5,884,720	7,714,700	3,959,173
Retained earnings	23.4	37,284,440	32,833,838	17,942,665	17,553,969
Equity attributable to owners of the company		71,886,056	59,717,199	44,126,315	38,637,803
Non-controlling interest	23.7	973,985	779,523	-	-
Total equity		72,860,041	60,496,723	44,126,315	38,637,803
Total liabilities and equity		141,033,691	121,501,003	105,605,862	86,081,676



Mr. Afolabi Balogun

Acting Chairman

FRC/2015/NBA/00000013423

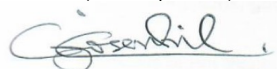


Mr. Stephen Alangbo

Managing Director/CEO

FRC/2017/PRO/DIR/003/00000016217

Additionally certified by:



Mr. Jubril Ajose

Chief Financial Officer

FRC/2013/ICAN/00000003148

The accompanying notes form an integral part of these consolidated and separate financial statements.

Consolidated and Separate Statements of Profit or Loss and Other Comprehensive Income

For the year ended

In thousands of naira	Note	Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Insurance revenue	24	51,656,203	38,669,485	41,602,222	30,365,388
Insurance service expense	25	(23,156,016)	(25,457,869)	(16,868,109)	(18,783,178)
Net expenses from reinsurance contracts held	26	(15,023,697)	(11,063,395)	(13,267,926)	(9,215,025)
Insurance service result		13,476,491	2,148,221	11,466,188	2,367,186
Interest revenue using effective interest rate method	28	7,424,152	6,159,024	5,233,871	3,829,108
Net fair value (loss)/gain	29	6,156,247	(1,656,842)	4,935,153	(1,601,138)
Other investment income	30	359,426	325,685	291,260	284,197
Net (loss)/gain from foreign exchange	31	(6,129,250)	30,831,685	(4,254,747)	20,241,523
Gain on deposit administration / investment contracts	18.1	562,514	453,294	562,514	453,294
Impairment losses on financial assets	33	21,050	(298,566)	(38,157)	(286,154)
Investment return		8,394,140	35,814,281	6,729,894	22,920,829
Net finance expenses from insurance contracts issued	27.1	(4,353,209)	(481,300)	(4,003,138)	(536,603)
Net finance income/(expense) from reinsurance contracts	27.2	392,912	(648,221)	341,233	(630,888)
Net insurance finance expenses		(3,960,298)	(1,129,520)	(3,661,905)	(1,167,491)
Net Insurance and Investment result		17,910,333	36,832,982	14,534,177	24,120,524
Other operating income	32	178,456	74,151	158,942	64,373
Management expenses	34	(9,359,153)	(8,287,647)	(7,319,092)	(6,518,928)
Profit before minimum and income tax		8,729,636	28,619,486	7,374,027	17,665,969
Minimum tax	21.1	(233,850)	(461,076)	(197,899)	(235,590)
Profit before tax		8,495,786	28,158,410	7,176,128	17,430,379
Tax expense	21.1	3,260,901	(2,264,906)	(538,213)	(1,048,554)
Profit for the year		11,756,687	25,893,504	6,637,915	16,381,825
Profit/(Loss) for the year					
Attributable to owners of the company		11,612,687	25,583,281	6,637,915	16,381,825
Attributable to non-controlling interest holders		143,979	310,223	-	-
		11,756,687	25,893,504	6,637,915	16,381,825
Other comprehensive income					
<i>Items that are or may be reclassified subsequently to profit or loss</i>					
Debt securities at FVOCI					
Net change in fair value	7.2.4	3,020,123	(232,065)	3,020,123	(164,924)
Expected credit losses		(31,812)	261,402	(31,812)	261,402
Related tax	21	-	-	-	-
		2,988,310	29,337	2,988,310	96,477
<i>Items that will not be reclassified to profit or loss</i>					
Net changes in fair value Equity investments at FVOCI					
Quoted equity	7.1.2	1,735,808	1,410,050	811,697	1,278,455
Unquoted equity	7.1.3	(57,958)	1,615,566	(105,512)	1,543,228
Revaluation gain on property and equipment	23.6.3	1,126,529	587,121	281,000	398,327
Related tax	23.6.3	(255,621)	(58,713)	-	(39,833)
		2,548,758	3,554,024	987,185	3,180,177
Other comprehensive income, net of tax		5,537,069	3,583,361	3,975,495	3,276,654
Total comprehensive income for the year		17,293,755	29,476,865	10,613,410	19,658,479
Profit attributable to:					
Owners of the company		11,612,708	25,583,281	6,637,915	16,381,825
Non-controlling interests		143,979	310,223	-	-
Profit for the year		11,756,687	25,893,504	6,637,915	16,381,825
Total comprehensive income attributable to:					
Owners of the company		17,099,294	29,158,932	10,613,410	19,658,479
Non-controlling interest		194,462	317,932	-	-
		17,293,755	29,476,865	10,613,410	19,658,479
Basic and diluted earnings per share (Kobo)	35	64	142	37	91

The accompanying notes form an integral part of these consolidated and separate financial statements.

Consolidated and Separate Statements of Changes in Equity

For the year ended 31 December 2025

Group

<i>In thousands of naira</i>	Share Capital	Share Premium	Treasury Shares	Contingency Reserve	Fair value and other reserves	Retained Earnings	Shareholders' Equity	Non Controlling Interest	Total
At 1 January 2025	9,083,196	183,165	(67,130)	11,799,411	5,884,721	32,833,837	59,717,200	779,524	60,496,724
Total comprehensive income for the year									
Profit for the year	-	-	-	-	-	11,756,687	11,756,687	143,979	11,900,665
Revaluation gain on property and equipment, net of tax	-	-	-	-	870,908	-	870,908	-	870,908
ECL on FVOCI securities	-	-	-	-	(31,812)	-	(31,812)	-	(31,812)
Fair value changes on FVOCI securities	-	-	-	-	4,478,004	-	4,478,004	50,483	4,528,487
Total other comprehensive income for the year	-	-	-	-	5,317,100	11,756,687	17,073,787	194,462	17,268,248
Transfer to contingency reserve	-	-	-	2,401,154	-	(2,401,154)	-	-	-
Dividend paid	-	-	-	-	-	(4,904,926)	(4,904,926)	-	(4,904,926)
Total contributions by and distributions to equity holders		-	-	-	-	(4,904,926)	(4,904,926)	-	(4,904,926)
Balance as at 31 December 2025	9,083,196	183,165	(67,130)	14,200,565	11,201,821	37,284,444	71,886,061	973,985	72,860,047

For the year ended 31 December 2024

Group

<i>In thousands of naira</i>	Share Capital	Share Premium	Treasury Shares	Contingency Reserve	Fair value and other reserves	Retained Earnings	Shareholders' Equity	Non Controlling Interest	Total
At 1 January 2024	9,083,196	183,165	(67,130)	7,833,733	2,301,359	14,122,858	33,457,180	461,592	33,918,772
Total comprehensive income for the year									
Profit for the year	-	-	-	-	-	25,583,280	25,583,280	310,223	25,893,504
Revaluation reserve	-	-	-	-	-	-	-	-	-
Revaluation gain on property and equipment, net of tax	-	-	-	-	528,408	-	528,408	-	528,408
ECL on FVOCI securities	-	-	-	-	261,402	-	261,402	-	261,402
Fair value changes on FVOCI securities	-	-	-	-	2,793,552	-	2,793,552	7,709	2,801,261
Deferred tax	-	-	-	-	-	-	-	-	-
Total other comprehensive income for the year	-	-	-	-	3,583,362	25,583,280	29,166,643	317,932	29,484,575
Transfer to contingency reserve	-	-	-	3,965,678	-	(3,965,678)	-	-	-
Transactions with owners, recorded directly in equity									
Deferred tax liability transfer	-	-	-	-	-	-	-	-	-
Bonus issues transferred from Share Premium	-	-	-	-	-	-	-	-	-
Share issuing cost	-	-	-	-	-	-	-	-	-
Dividend paid	-	-	-	-	-	(2,906,623)	(2,906,623)	-	(2,906,623)
Addition to treasury shares	-	-	-	-	-	-	-	-	-
Total contributions by and distributions to equity holders	-	-	-	-	-	-	(2,906,623)	-	(2,906,623)
Balance as at 31 December 2024	9,083,196	183,165	(67,130)	11,799,411	5,884,721	32,833,837	59,717,200	779,524	60,496,724

Consolidated and Separate Statements of Changes in Equity (Cont'd)

For the year ended 31 December 2025

Company

<i>In thousands of naira</i>	Share Capital	Share Premium	Treasury Shares	Contingency Reserve	Fair value and other reserves	Retained Earnings	Shareholders' Equity	Total
At 1 January 2025	9,083,196	183,165	(67,130)	7,925,430	3,959,174	17,553,968	38,637,803	38,637,803
Total comprehensive income for the year								
Profit for the year	-	-	-	-	-	6,637,915	6,637,915	6,637,915
Revaluation gain on property and equipment, net of tax	-	-	-	-	281,000	-	281,000	281,000
ECL on FVOCI securities	-	-	-	-	(31,812)	-	(31,812)	(31,812)
Fair value changes on FVOCI securities	-	-	-	-	3,506,339	-	3,506,339	3,506,339
Total other comprehensive income for the year	-	-	-	-	3,755,527	6,637,915	10,393,442	10,393,442
Transfer to contingency reserve	-	-	-	1,344,289	-	(1,344,289)	-	-
Dividend paid	-	-	-	-	-	(4,904,926)	(4,904,926)	(4,904,926)
Total contributions by and distributions to equity holders	-	-	-	-	-	(4,904,926)	(4,904,926)	(4,904,926)
Balance as at 31 December 2025	9,083,196	183,165	(67,130)	9,269,718	7,714,700	17,942,668	44,126,318	44,126,318

For the year ended 31 December 2024

Company

<i>In thousands of naira</i>	Share Capital	Share Premium	Treasury Shares	Contingency Reserve	Fair value and other reserves	Retained Earnings	Shareholders' Equity	Total
At 1 January 2024	9,083,196	183,165	(67,130)	5,864,929	682,519	6,139,264	21,885,943	21,885,943
Total comprehensive income for the year								
Profit for the year	-	-	-	-	-	16,381,828	16,381,828	16,381,828
Revaluation gain on property and equipment, net of tax	-	-	-	-	358,494	-	358,494	358,494
ECL on FVOCI securities	-	-	-	-	261,402	-	261,402	261,402
Fair value changes on FVOCI securities	-	-	-	-	2,656,758	-	2,656,758	2,656,758
Total other comprehensive income for the year	-	-	-	-	3,276,655	16,381,828	19,658,483	19,658,483
Transfer to contingency reserve	-	-	-	2,060,501	-	(2,060,501)	-	-
Transactions with owners, recorded directly in equity								
Dividend paid	-	-	-	-	-	(2,906,623)	(2,906,623)	(2,906,623)
Total contributions by and distributions to equity holders	-	-	-	-	-	(2,906,623)	(2,906,623)	(2,906,623)
Balance as at 31 December 2024	9,083,196	183,165	(67,130)	7,925,430	3,959,174	17,553,968	38,637,803	38,637,803

Consolidated and Separate Statements of Cash Flows
For the year ended

<i>In thousands of naira</i>	<i>Note</i>	Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Cash flows from operating activities					
Insurance premium received	8	63,049,655	41,434,202	52,634,458	32,181,835
Premium deposits received	19.1	1,474,240	827,429	1,474,240	827,429
Deposit liabilities - contributions during the year	18	1,042,659	618,561	692,189	618,561
Deposit liabilities - withdrawals during the year	18	(812,415)	(409,400)	(620,191)	(411,422)
Reinsurance premium paid	43(iv)	(23,512,343)	(16,801,465)	(19,004,224)	(12,578,539)
Commission received	43(v)	-	20,844	-	20,844
Claims paid during the year	16.1	(23,587,661)	(13,582,988)	(14,166,554)	(11,127,455)
Reinsurance claims recovered	43(vi)	7,133,599	2,904,036	2,185,319	2,160,270
Acquisition cashflows	16.1	(7,011,644)	(5,150,893)	(6,119,743)	(3,383,120)
Management expenses and other operating cash payments	43(ix)	(8,502,704)	(8,146,469)	(5,877,100)	(6,440,724)
Payment for statutory deposits	15	(1,000,000)	-	-	-
		8,273,385	1,713,856	11,198,393	1,867,678
Income tax paid	21.2	(620,670)	(312,826)	(351,012)	(213,431)
Net cash flows from operating activities		7,652,715	1,401,030	10,847,381	1,654,247
Investing activities:					
Interest received	7.1	6,186,261	6,235,114	5,351,483	3,231,565
Dividend received	43(ii)	377,444	197,581	331,772	168,148
Rent received	30	12,000	12,000	-	-
Purchase of property and equipment	13	(1,012,606)	(383,746)	(834,812)	(296,557)
Purchase of intangibles	14	(840)	(12,571)	-	(10,648)
Proceeds from sale of property and equipment	32.1	12,842	9,862	12,450	14,575
Purchases of financial assets	7.1	(15,749,729)	(10,290,105)	(16,883,996)	(8,293,019)
Proceeds from sale/disposal/redemption of financial assets	7.1	9,490,677	677,441	8,405,424	676,621
Net cash flows used in investing activities		(683,951)	(3,554,425)	(3,617,679)	(4,509,314)
Financing activities:					
Dividend paid	23.4	(4,904,926)	(2,906,623)	(4,904,926)	(2,906,623)
Net cash flows used in financing activities		(4,904,926)	(2,906,623)	(4,904,926)	(2,906,623)
Net (decrease)/increase in cash and cash equivalents		2,063,838	(5,060,018)	2,324,776	(5,761,690)
Cash and cash equivalents, beginning of the year	6	24,061,223	19,217,453	7,341,943	9,265,799
Effect of exchange rate changes on cash and cash equivalents held	31	(1,955,430)	9,903,789	(801,615)	3,837,834
Cash and cash equivalents, end of the year		24,169,631	24,061,224	8,865,104	7,341,943

Notes to the consolidated and separate financial statements

4 Critical accounting estimates, judgement and assumptions

The preparation of consolidated and separate financial statements requires management to make judgments, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses. Actual results may differ from these estimates under different assumptions and conditions.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised prospectively.

Information about significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the financial statements are described below.

4.1 Insurance and reinsurance contracts- Life Business

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

The Company based its assumptions and estimates on parameters available when the financial statements were prepared.

Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

4.1.1 The methods used to measure insurance contracts future cash flows

The Company primarily uses deterministic projections to estimate the present value of future cash flows. The following assumptions were used when estimating future cash flows for different class of the company's portfolio:

Mortality, longevity and morbidity rates

Assumptions are based on standard industry and national tables, according to the type of contract written and the territory in which the insured person resides. They reflect recent historical experience and are adjusted when appropriate to reflect the Company's own experiences. An appropriate, but not excessive, allowance is made for expected future improvements. Assumptions are differentiated by policyholder gender, underwriting class and contract type. An increase in expected mortality, longevity and morbidity rates will increase the expected claim cost which will reduce future expected profits of the Company.

Expense

Operating expenses assumptions reflect the projected costs of maintaining and servicing in-force policies and associated overhead expenses. The current level of expenses is taken as an appropriate expense base, adjusted for expected expense inflation if appropriate.

An increase in the expected level of expenses will reduce future expected profits of the Company

The cash flows within the contract boundary include an allocation of fixed and variable overheads directly attributable to fulfilling insurance contracts. Such overheads are allocated to groups of contracts using methods that are systematic, rational and are consistently applied to all costs that have similar characteristics.

Lapse and Surrender rates

Lapses relate to the termination of policies due to non-payment of premiums. Surrenders relate to the voluntary termination of policies by policyholders. Policy termination assumptions are determined using statistical measures based on the Company's experience and vary by product type, policy duration and sales trends. An increase in lapse rates early in the life of the policy would tend to reduce profits of the Company, but later increases are broadly neutral in effect.

4.1.2 Discount rate

The company insurance contract liabilities are calculated by discounting expected future cash flows at a risk-free rate, plus an illiquidity premium where applicable. Risk free rates are determined by reference to the yields published by the Nigerian Actuarial Society of highly rated sovereign securities in the currency of the life insurance contract liabilities. The illiquidity premium is determined by reference to observable market rates, including sovereign debt and corporate debt rates.

4.1.3 Risk adjustment for non-financial risk

The risk adjustment for non-financial risk represents the compensation that the Company requires for bearing the uncertainty about the amount and timing of the cash flows of groups of insurance contracts and covers insurance risk, lapse risk and expense risk. The risk adjustment reflects an amount that an insurer would rationally pay to remove the uncertainty that future cash flows will exceed the best estimate amount.

The Company has estimated the risk adjustment using a confidence level (value at risk) approach in which a full IFRS 17 liability distribution is generated across all non-financial risks and risk adjustment is calculated as the difference between the best estimate liability and the liability value at the chosen confidence level of 99.5%. The resulting risk adjustment corresponds to a confidence level of 75%-80%.

Notes to the consolidated and separate financial statements

4 Critical accounting estimates, judgement and assumptions (cont'd)

4.1.4 Amortisation of the Contractual Service Margin (CSM)

The CSM is a component of the asset or liability for the group of insurance contracts that represents the unearned profit the Company will recognise as it provides services in the future. An amount of the CSM for a group of insurance contracts is recognised in profit or loss as insurance revenue in each period to reflect the insurance contract services provided under the group of insurance contracts in that period. The amount is determined by:

- Identifying the coverage units in the group
- Allocating the CSM at the end of the period (before recognising any amounts in profit or loss to reflect the insurance contract services provided in the period) equally to each coverage unit provided in the current period and expected to be provided in the future
- Recognising in profit or loss the amount allocated to coverage units provided in the period

The number of coverage units in a group is the quantity of insurance contract services provided by the contracts in the group, determined by considering the quantity of the benefits provided and the expected coverage period. For groups of the company's life insurance contracts, the quantity of benefits is the contractually agreed sum assured over the period of the contracts. The total coverage units of each group of insurance contracts are reassessed at the end of each reporting period to adjust for the reduction of remaining coverage for claims paid, expectations of lapses and cancellation of contracts in the period. They are then allocated based on probability-weighted average duration of each coverage unit provided in the current period and expected to be provided in the future.

Expected release of Contractual Service Margin for insurance contracts issued

CSM with positive sign

Expected release of Contractual Service Margin	Annuity	Protection	Investment Linked	Credit Life	Endowment	Total
Year 1	24,900,654	84,691,604	122,250,632	3,734,650	184,167	235,761,706
Year 2	20,910,066	65,719,855	87,274,573	572,076	108,843	174,585,413
Year 3	17,933,904	64,586,634	65,051,360	-	97,232	147,669,130
Year 4	15,226,225	49,053,587	39,010,680	-	2,726,813	106,017,305
Year 5	12,960,401	53,300,871	31,628,176	-	9,761	97,899,208
Year 6	11,283,824	50,983,767	25,188,257	-	357,206	87,813,054
Year 7	9,526,495	67,637,853	24,134,826	-	-	101,299,174
Year 8	7,285,417	56,136,120	23,156,223	-	-	86,577,760
Year 9	5,477,649	51,868,450	20,224,434	-	-	77,570,533
Year 10	4,507,370	96,676,152	38,782,867	-	-	139,966,389
Above Year 10	22,455,311	416,461,952	-	-	-	438,917,263
Total CSM	152,467,316	1,057,116,845	476,702,027	4,306,725	3,484,021	1,694,076,935

The reinsurance run-off profile is shown in the table below.

Expected release of Contractual Service Margin for reinsurance contracts held

CSM with positive sign

Expected release of Contractual Service Margin	Annuity	Protection	Investment Linked	Credit Life	Endowment	Total
Year 1	-	(11,693,169)	-	-	-	(11,693,169)
Year 2	-	(6,352,542)	-	-	-	(6,352,542)
Year 3	-	(4,496,544)	-	-	-	(4,496,544)
Year 4	-	(3,674,683)	-	-	-	(3,674,683)
Year 5	-	(3,985,354)	-	-	-	(3,985,354)
Year 6	-	(4,235,991)	-	-	-	(4,235,991)
Year 7	-	(4,506,141)	-	-	-	(4,506,141)
Year 8	-	(4,707,845)	-	-	-	(4,707,845)
Year 9	-	(4,395,917)	-	-	-	(4,395,917)
Year 10	-	(5,349,132)	-	-	-	(5,349,132)
Above Year 10	-	(39,008,107)	-	-	-	(39,008,107)
Total CSM	-	(92,405,424)	-	-	-	(92,405,424)

Notes to the consolidated and separate financial statements

4 Critical accounting estimates, judgement and assumptions (cont'd)

4.1.5 *Assets for insurance acquisition cashflows*

The Company applies judgement in determining the inputs used in the methodology to systematically and rationally allocate insurance acquisition cash flows to groups of insurance contracts. This includes judgements about whether insurance contracts are expected to arise from renewals of existing insurance contracts and, where applicable, the amount to be allocated to groups including future renewals and the volume of expected renewals from new contracts issued in the period

4.2 Insurance and reinsurance contracts- Non-Life Business

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

The Company applies the premium allocation approach (PAA) to simplify the measurement of insurance contracts.. For cashflows that are not expected to be settled more than one year after the claims is incurred, the company has elected not to discount such cashflows.

4.2.1 *Claims payment pattern for liability for incurred claims*

In estimating the claims payment pattern for liability for incurred claims, the company sets:

An assumption regarding the future timing of claim settlement is required as the IFRS 17 requires the determination of probability weighted future cash flows. Weighted future cash flows will include expected claim payment, expected cost of settling the claims, unallocated claim expenses that are integral to the claim cost but due to system limitations they cannot be allocated to individual claims (e.g. cost of pool of contract cars), legal costs incurred or expected to be incurred for litigated claims, motor recoveries from third party insurers, salvage and subrogation and directly attributable maintenance expenses. For reinsurers' LIC, same cashflows shall apply as described above but the cashflows are apportioned according to reinsurance arrangement.

Run off triangles are used to project future claims payment generated by direct insurance contracts and claim recovered from reinsurance contracts. Actual claims paid and outstanding claim reserves are grouped by accident year cohorts.

Methodology used for claims reserving is defined by the Company's Reserving Policy and Reserving Guidance, and it relies on the Basic Chain Ladder as well as the Bornhuetter- Ferguson method. Same methodology is applied to claims generated by direct contracts and claim recovered from reinsurance contracts.

The best estimate for claims development or payment to ultimate is determined by the link ratio estimator for each period of development. This is achieved by selecting the weighted averages or simple averages of link ratios for each period of claims development until the ultimate period when the claims development is deemed to be fully run off. For each reserving class that best estimate claim payment pattern is derived separately on a gross basis Insurance contracts and reinsurers' share (claim recovered from reinsurance contracts). The process of selecting link ratios often involves identifying outliers and excluding them.

Analysis of Actual versus Expected claim reserves is carried out to assess adequacy of best estimate payment pattern estimated in prior year/period. Where significant deviations are noted, further investigations are carried out to ascertain whether this is indicative of a new trend in the underlying claim development process or whether this is caused by the occurrence of abnormally large claims that tend to distort the latest link ratios or whether it was caused by certain specific events impacting the claims process that are not expected to recur in the future (e.g. restructuring of claims department, or installing a new admin system or claim backlog). If the cause of the deviation is driven by changes in the claims development process which is expected to be recurring or be permanent in the future (e.g. application of new case reserving practice), then judgement is applied in choosing the link ratio for the most recent accident year cohort.

Consideration is also given on the need to allow for a tail factor for projecting claims payment beyond the available data horizon.

For non-liability claims, the ultimate period is often within 7 - 10 year unless- tail factor is not required.

- Claim payment pattern will be derived for each reserving class or portfolio (portfolio if there is only one reserving class).
- Basically, the payment pattern provides probabilities to project the settlement of claims in future time periods
- For a given portfolio or reserving class, same payment pattern will be applied to project the payment of OCR (outstanding claim reserve),
- IBNR reserve and Risk Adjustment estimates over future time periods.

Existing reserving models (primarily the Basic Chain Ladder) will be used to derive the payment probabilities from the link ratios

- obtained from paid triangles

Pattern will be derived once a year, that is, at the year-end valuation. It is expected that same payment pattern will be used in the LIC

- cashflow modelling for interim valuation periods and roll forward.

Notes to the consolidated and separate financial statements

4 Critical accounting estimates, judgement and assumptions (cont'd)

However, for reserving class or portfolios which exhibit significant volatility, payment pattern might be reviewed and revised more frequently and also pattern used in LIC model will need to be updated. A change in payment pattern will lead to a change in fulfilment cashflows arising from non-financial assumption change. This change or delta in fulfilment cashflow will be accounted for as an insurance service expense.

Changes of payment pattern during a financial year will only be considered if justified by facts and circumstances. Examples of facts and circumstances could be as follows:

- i. major changes in claim reporting and settlement processes that would invalidate existing payment pattern (e.g. non-life claims backlog can be quite common arising from dispute in settlement amount or change in policy administration system.
- ii. occurrence of major external systemic events such as a pandemic related lockdown will impact the development factors- hence invalidate existing payment pattern

It is to be noted that, for consistency, the same payment pattern as used for claim projection will be applied in the projection of Risk Adjustment estimates. The same approach would be used to derive the payment pattern for modelling the LIC cashflows for a portfolio of reinsurance contracts.

Moreover, it is required to allocate the projected OCR, IBNR and RA to issue year cohorts /underwriting year cohorts. This will necessitate the application of an allocation driver. Projected IBNR, OCR and RA cashflows will be allocated to underwriting year by making use of weights. Weights, as a proxy for coverage, for each underwriting year will be derived from earned premium /revenue (as computed for the LRC). For internal reporting needs, further allocation of IBNR, OCR and RA (risk adjustment) down to more granular levels (issue year cohorts/distribution channels/ cover-section/ client types) will be required. Earned premium weights, as described above, will also be used for a more granular allocation of projected OCR, IBNR and RA.

4.2.2 Insurance acquisition cash flows

For the company's PAA eligible contracts, the company is eligible to recognize insurance acquisition cashflows as an expense immediately as incurred or amortize it over the coverage period. The company will make this choice on a portfolio basis. Where the company has not recognized an expense immediately, the company allocates insurance acquisition cash flows to related groups of insurance contracts recognised in the statement of financial position (including those groups that will include insurance contracts expected to arise from renewals). An asset for insurance acquisition cash flows is recognised for acquisition cash flows incurred before the related group of insurance contracts has been recognised.

The effect of electing to recognise insurance acquisition cash flows as an expense when incurred for a group of insurance contracts is to increase the liability for remaining coverage and reduce the likelihood of any subsequent onerous contract loss. There would be an increased charge to profit or loss on incurring the expense, offset by an increase in profit released over the coverage period.

Onerous groups

For groups of contracts that are onerous, the liability for remaining coverage is determined by the fulfilment cash flows. Any loss-recovery component is determined with reference to the loss component recognised on underlying contracts and the recovery expected on such claims from reinsurance contracts held.

4.2.3 Non-performance risk for reinsurers (reinsurance contracts)

In estimating the value of reinsurance contracts held, the company has considered the risk of non-performance by reinsurers. This includes assessing credit risk based on reinsurers' credit ratings, historical payment performance, and market conditions.

As at the valuation date, the company applied the average probability of default (PD) for each reinsurer based on credit ratings, using data from Fitch's Global Corporate Finance Average Cumulative Default Rates (1990–2023), as Fitch rates most counterparties in Nigeria. These PDs were applied to each reinsurer's share of liabilities (EAD) to estimate potential default exposure.

The expected loss (EL) was calculated as: $EL = EAD \times PD \times LGD$, where LGD (Loss Given Default) was based on management judgment and historical recovery rates by rating class.

Risk adjustment for non-financial risk

The risk adjustment for non-financial risk is the compensation that the Company requires for bearing the uncertainty about the amount and timing of the cash flows of groups of insurance contracts. The risk adjustment reflects an amount that an insurer would rationally pay to remove the uncertainty that future cash flows will exceed the expected value amount.

The Company has estimated the risk adjustment using a confidence level (value at risk) approach in which a full IFRS 17 liability distribution is generated across all non-financial risks and risk adjustment is calculated as the difference between the best estimate liability and the liability value at the chosen confidence level of 99.5%. The resulting risk adjustment corresponds to a confidence level of 75%-80%.

The valuation of the long term insurance contract liabilities was done by Awunor Benjamin Ebube (FRC/2015/PRO/NAS/004/00000012946) of Becoda Consulting (FRC/2015/NAS/00000012946).

The Liability Adequacy Test (LAT) was carried out by Awunor Benjamin Ebube (FRC/2015/PRO/NAS/004/00000012946) of Becoda Consulting (FRC/2015/NAS/00000012946). The claims reserve was calculated using the Discounted Inflation Adjusted Basic Chain Ladder method.

Notes to the consolidated and separate financial statements

4 Critical accounting estimates, judgement and assumptions (cont'd)

4.3 Expense Allocation

The Group has split its expenses into attributable and non-attributable

- For Non-Life Business a split of the attributable costs using insurance contract liability weight (LIC & LRC) was recognised
- Expenses allocated to retail business are split among cohorts using policy counts.

4.4 Fair value measurement

The Group measures fair values using the following hierarchy of methods:

Level 1: Quoted market price in an active market for an identical instrument

Level 2: Valuation techniques based on observable inputs. This category includes instruments valued using quoted market prices in active markets for similar instruments; quoted prices for similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3: This includes financial instruments, the valuation of which incorporate significant inputs for the asset or liability that is not based on observable market data (unobservable inputs). Unobservable inputs are those not readily available in an active market due to market illiquidity or complexity of the product. These inputs are generally determined based on inputs of a similar nature, historic observations on the level of the input or analytical techniques.

Valuation of land and building

On a determined basis, the Group engages the services of external, independent and qualified valuers to determine the fair value of the land and buildings depending on the measurement model adopted by the entities within the Group. The Group's land and buildings were revalued by external, independent firms of estate surveyors and valuers, John Odiba & Partners with FRC number (FRC/2022/00000014211) and Funsho Oladimeji & Company with FRC number (FRC/2012/000000000109). The principal valuers are Mr. Odiba John Malik with FRC number FRC/2022/PRO/NIESV/002/455450 and Oladimeji Funsho Peter with FRC number FRC/2013/NIESV/00000001304.

Valuation of investment properties

The Group's investment property is held for the purpose of capital appreciation and rental income generation. The Group's investment properties were revalued by an external, independent firm of estate surveyors and valuers, John Odiba & Partners with FRC number (FRC/2022/00000014211). The name of the principal valuer is Mr. Odiba John Malik (FRC/2022/PRO/NIESV/002/455450). Fair value gains have been recognized in the income statement in line with the fair value model of IAS 40.

4.5 Income taxes

Non-life business

The current income tax charge is calculated on taxable income on the basis of the tax laws enacted or substantively enacted at the reporting date. The Company applies Section 16 of the Company Income Tax Act as amended by the Finance Act 2020. It states that an Insurance business shall be taxed as:

- an insurance company, whether proprietary or mutual, other than a life insurance company; or
- a Nigerian company whose profit accrued in part outside Nigeria

The profit on which tax may be imposed, shall be ascertained by taking the gross premium, interest and other income receivable in Nigeria less reinsurance expenses. The following shall also be deducted from the balance so arrived at:

- a reserve fund for unexpired risks in the financial year computed on a time apportionment basis of the risks accepted during the financial year.
- claims and outgoings provided that any amount not utilised towards settlement of claims and outgoings shall be added to the total profits of the following year.

Life Business

The profits on which tax may be imposed in an insurance company is a life insurance company, whether proprietary or mutual, other than a Nigerian company which carries on business through a permanent establishment in Nigeria shall:

- be the investment income captured for tax purposes to income derived from the investment of shareholders' fund.

The Directors have adopted current tax practices in computing the tax liabilities. Actual results may differ from these estimates based on the interpretation by the tax authorities. The Directors acknowledge that changes in the application of the current tax practices can have a significant impact on the tax expense and tax liabilities recorded in the financial statements.

Notes to the consolidated and separate financial statements
For the year ended 31 December 2025

5 Segment Information

IFRS 8 requires operating segments to be identified on the basis of internal reports about components of the Group that are regularly reviewed by the Chief Executive Officer to allocate resources to the segments and to assess their performance.

The Group's reportable segments are identified as follows;

- **Non-life insurance**
 The Non-Life business segment comprises general insurance to individuals and businesses. Non-life insurance products offered include auto, household, commercial and business interruption insurance. These products offer protection of policyholder’s assets and indemnification of other parties that have suffered damage as a result of policyholder’s accident
- **Life insurance**
 The life insurance segment offers pure risk, annuity, investment linked and protection products and other long-term contracts (both with and without insurance risk). It comprises a wide range of whole life, term assurance, guaranteed pensions, pure endowment pensions etc. Revenue from this segment is derived primarily from insurance premium, fees and commission income and investment income.
- **Takaful Insurance**
 Hilal Takaful undertakes the underwriting of Family Takaful and General Takaful, using a Hybrid Wakalah-Mudarabah model for its Takaful-Insurance operations.
- **Fin Insurance**
 A seperate subsidiary in the Non-Life business segment comprises general insurance to individuals and businesses. Non-life insurance products offered include auto, household, commercial and business interruption insurance. These products offer protection of policyholder’s assets and indemnification of other parties that have suffered damage as a result of policyholder’s accident
- **Leasing**

The reportable segments are components of the Group for which discrete financial information is available.

No operating segments have been aggregated to form the above reportable operating segments.

The accounting policies of the reportable segments are the same as the Group's accounting policies. Segment profit represents the profit earned by each segment without allocation of certain expenses, certain finance costs and income taxes which are managed on a group basis. This is the measure reported to the Group's Chief Executive for the purposes of resource allocation and assessment of segment performance.

5.1 Revenue from major products and services

The Group's revenue from major products and services is disclosed in the segment revenue tables (see note 5.4).

5.2 Geographical information

The Group's revenue and information about its segment net assets by geographical location are as follows:

<i>In thousands of naira</i>	Revenue		Net assets	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Within Nigeria	51,656,203	38,669,485	72,860,041	60,496,723
	51,656,203	38,669,485	72,860,041	60,496,723

5.3 Information about major customers

The Group does not derive revenue from an individual policyholder or intermediary that represents 10% or more of the Group's total revenue.

Notes to the consolidated and separate financial statements

For the year ended 31 December

5.4 Segment statement of profit or loss as at 31 December 2025

<i>In thousands of naira</i>	Non-life Insurance	Life Insurance	Elimination of intra-business transactions	Company	Fin Insurance	Hilal Takaful Insurance	Cornerstone Leasing & Investment	Elimination of inter-segment transactions	Group
Insurance revenue	29,211,641	12,390,582	-	41,602,222	8,299,982	1,753,999	-	-	51,656,203
Insurance service expense	(10,553,683)	(6,314,426)	-	(16,868,109)	(5,840,212)	(447,695)	-	-	(23,156,016)
Net expenses from reinsurance contracts held	(12,827,568)	(440,358)	-	(13,267,926)	(1,107,671)	(648,099)	-	-	(15,023,697)
Insurance service result	5,830,390	5,635,798	-	11,466,188	1,352,099	658,204	-	-	13,476,491
Investment and other investment revenue	4,636,258	2,131,793	-	6,768,051	406,183	1,198,855	-	-	8,373,089
Impairment losses on financial assets	(20,712)	(17,445)	-	(38,157)	59,208	-	-	-	21,050
Investment return	4,615,546	2,114,348	-	6,729,894	465,390	1,198,855	-	-	8,394,140
Net finance expenses from insurance contracts issued	(917,474)	(3,085,663)	-	(4,003,138)	(350,073)	1	-	-	(4,353,209)
Net finance income/(expense) from reinsurance	309,042	32,191	-	341,233	51,679	-	-	-	392,912
Net insurance finance expenses	(608,432)	(3,053,472)	-	(3,661,905)	(298,394)	1	-	-	(3,960,298)
Net Insurance and Investment result	4,007,114	(939,125)	-	3,067,989	166,997	1,198,856	-	-	4,433,842
Other operating income	109,874	49,067	-	158,942	19,514	-	-	-	178,456
Management expenses	(5,391,329)	(1,927,763)	-	(7,319,092)	(1,574,424)	(465,637)	-	-	(9,359,153)
Profit before minimum and income tax	4,556,050	2,817,977	-	7,374,027	(35,815)	1,391,424	-	-	8,729,636
Minimum tax	(181,064)	(16,835)	-	(197,899)	(35,951)	-	-	-	3,260,901
Tax expense	(496,007)	(42,206)	-	(538,213)	3,799,114	-	-	-	(233,850)
Segment profit	3,878,979	2,758,936	-	6,637,915	3,727,348	1,391,424	-	-	11,756,687

5.4 Segment statement of profit or loss as at 31 December 2024

<i>In thousands of naira</i>	Non-life Insurance	Life Insurance	Elimination of intra-business transactions	Company	Fin Insurance	Hilal Takaful Insurance	Cornerstone Leasing & Investment	Elimination of inter-segment transactions	Group
Insurance revenue	22,746,096	7,619,292	-	30,365,388	7,004,393	1,299,704	-	-	38,669,485
Insurance service expense	(13,240,051)	(5,543,127)	-	(18,783,178)	(6,247,995)	(426,695)	-	-	(25,457,869)
Net expenses from reinsurance contracts held	(8,809,345)	(405,679)	-	(9,215,025)	(1,432,168)	(416,201)	-	-	(11,063,395)
Insurance service result	696,700	1,670,486	-	2,367,186	(675,769)	456,807	-	-	2,148,221
Investment and other investment revenue	9,462,178	13,744,805	-	23,206,983	12,769,019	136,844	-	-	36,112,846
Impairment writeback/(losses) on financial assets	(90,392)	(195,761)	-	(286,154)	(12,412)	-	-	-	(298,566)
Investment return	9,371,786	13,549,043	-	22,920,829	12,756,606	136,844	-	-	35,814,281
Net finance expenses from insurance contracts issued	153,940	(690,543)	-	(536,603)	55,303	-	-	-	(481,300)
Net finance income/(expense) from reinsurance	(609,330)	(21,558)	-	(630,888)	(17,333)	-	-	-	(648,221)
Net insurance finance expenses	(455,390)	(712,101)	-	(1,167,491)	37,971	-	-	-	(1,129,520)
Net Insurance and Investment result	8,916,396	12,836,942	-	21,753,338	12,794,577	136,844	-	-	34,684,760
Other operating income	62,518	1,855	-	64,373	14,508	(4,730)	-	-	74,151
Management expenses	(5,225,040)	(1,293,888)	-	(6,518,928)	(1,365,397)	(271,200)	-	(132,123)	(8,287,647)
Profit before minimum and income tax	4,450,574	13,215,395	-	17,665,969	10,767,919	317,721	-	(132,123)	28,619,485
Minimum tax	(172,865)	(62,725)	-	(235,590)	-	-	-	-	(461,076)
Income tax expense	(54,530)	(994,021)	-	(1,048,551)	(1,423,842)	(18,000)	-	-	(2,264,906)
Segment profit	4,223,179	12,158,649	-	16,381,829	9,344,078	299,721	-	(132,123)	25,893,504

Notes to the consolidated and separate financial statements

For the year ended 31 December

5.5 Segment Statement of Financial Position as at 31 December 2025

	Non-life Insurance	Life Insurance	Elimination of intra-business transactions	Company	Fin Insurance	Hilal Takaful Insurance	Cornerstone Leasing & Investment	Elimination of inter-segment transactions	Group
<i>In thousands of naira</i>									
Assets									
Reinsurance contract assets	11,820,745	1,300,755	-	13,121,500	2,179,041	841,972	-	-	16,142,513
Other segment assets	40,305,055	52,179,308	(0)	92,484,363	33,902,514	3,658,635	11,445	(5,165,779)	124,891,178
Total assets	52,125,800	53,480,063	(0)	105,605,862	36,081,555	4,500,608	11,445	(5,165,779)	141,033,691
Liabilities									
Insurance contract liabilities	25,401,895	24,052,367	-	49,454,262	4,880,643	749,048	-	-	55,083,953
Investment contract liabilities	-	867,022	-	867,022	-	481,291	-	-	1,348,313
Other segment liabilities	4,756,331	6,401,932	0	11,158,263	1,033,963	1,039,664	380,977	(1,871,483)	11,741,384
Total liabilities	30,158,225	31,321,322	0	61,479,547	5,914,606	2,270,003	380,977	(1,871,483)	68,173,650
Equity									
Shareholders' funds	21,967,575	22,158,741	-	44,126,315	30,166,949	2,230,604	(369,532)	4,268,279	71,886,057
Non-controlling interest	-	-	-	-	-	-	-	973,985	973,985
Total equity	21,967,575	22,158,741	-	44,126,315	30,166,949	2,230,604	(369,532)	3,294,294	72,860,041
Total liabilities and equity	52,125,800	53,480,063	0	105,605,862	36,081,555	4,500,608	11,445	4,268,279	141,033,691

5.5 Segment Statement of Financial Position as at 31 December 2024

	Non-life Insurance	Life Insurance	Elimination of intra-business transactions	Company	Fin Insurance	Hilal Takaful Insurance	Cornerstone Leasing & Investment	Elimination of inter-segment transactions	Group
<i>In thousands of naira</i>									
Assets									
Reinsurance contract assets	8,462,196	674,260	(143,619)	9,280,075	3,252,140	301,927	-	-	12,834,142
Other segment assets	35,968,911	41,116,382	(283,692)	76,801,601	33,559,875	4,215,284	11,445	(5,921,344)	108,666,861
Total assets	44,431,107	41,790,642	(427,311)	86,081,676	36,812,015	4,517,211	11,445	(5,921,344)	121,501,003
Liabilities									
Insurance contract liabilities	19,954,821	17,882,256	-	37,837,078	6,779,119	527,848	-	-	45,144,044
Investment contract liabilities	-	730,382	-	730,382	-	323,044	-	-	1,053,426
Other segment liabilities	6,065,552	2,950,934	(140,073)	8,876,413	5,824,249	1,225,419	636,601	(1,755,873)	14,806,809
Total liabilities	26,020,374	21,563,572	(140,073)	47,443,873	12,603,368	2,076,310	636,601	(1,755,873)	61,004,279
Equity									
Shareholders' funds	18,410,734	20,227,070	-	38,637,802	24,208,647	2,440,900	(625,156)	4,944,992	59,717,201
Non-controlling interest	-	-	-	-	-	-	-	779,523	779,523
Total equity	18,410,734	20,227,070	-	38,637,802	24,208,647	2,440,900	(625,156)	4,165,469	60,496,724
Total liabilities and equity	44,431,107	41,790,642	(140,073)	86,081,675	36,812,015	4,517,211	11,445	4,944,992	121,501,003

Notes to the consolidated and separate financial statements

6 Cash and cash equivalents

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Cash		656	2,386	276	2,085
Balances with banks		6,004,652	7,202,181	4,309,016	4,272,977
Short-term deposits		18,276,959	16,893,334	4,654,535	3,097,457
Gross		24,282,266	24,097,901	8,963,826	7,372,518
ECL allowance	6.1	(112,635)	(36,678)	(98,723)	(30,576)
		24,169,631	24,061,223	8,865,104	7,341,943
Current		24,169,631	24,061,223	8,865,104	7,341,943
Non-current		-	-	-	-
		24,169,631	24,061,223	8,865,104	7,341,943

The short-term deposits are made for varying periods of between one day and ninety days, depending on the immediate cash requirements of the Group. The carrying amounts disclosed above reasonably approximate the fair value at the reporting date.

6.1 Movement in Impairment/ECL allowance

		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year		36,678	41,093	30,576	10,905
Specific impairment	33	52,063	14,412	52,063	14,412
Movement in ECL	33	23,894	(18,827)	16,084	5,259
At 31 December		112,635	36,678	98,723	30,576

7 Financial assets

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Financial assets - FVOCI	7.2	41,104,559	40,925,655	38,587,248	39,380,009
Financial assets - FVTPL	7.3	46,029,690	22,430,537	35,393,782	21,248,306
Financial assets - Amortised cost	7.4	1,287,977	13,015,608	373,617	148,737
		88,422,226	76,371,800	74,354,647	60,777,052

7.1 Movement in Financial Assets

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Opening balance		76,498,843	44,548,767	60,834,936	35,165,034
Additions		15,749,729	11,888,707	16,883,996	8,277,345
Disposals		(9,490,677)	(742,544)	(8,405,424)	(676,772)
Exchange (loss)/gain		(4,279,417)	20,927,896	(3,453,132)	16,403,689
Interest income		6,049,635	4,829,487	5,243,998	3,841,585
Interest received		(6,186,261)	(6,213,024)	(5,351,483)	(3,231,566)
Fair value gain		10,142,220	1,259,554	8,661,460	1,055,620
		88,484,072	76,498,843	74,414,352	60,834,936
Expected Credit Loss		(61,847)	(127,042)	(59,706)	(57,883)
Balance, end of the year		88,422,225	76,371,801	74,354,646	60,777,052

7.2 Financial assets - FVOCI

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Quoted equity securities	7.2.2	6,049,111	4,263,292	3,812,121	2,950,412
Unquoted investments	7.2.3	3,830,431	5,143,095	3,550,111	4,910,329
Bonds	7.2.4	31,225,016	31,519,268	31,225,016	31,519,268
		41,104,559	40,925,655	38,587,248	39,380,009

Notes to the consolidated and separate financial statements

7.2.1 Movement in Financial Assets @ FVOCI

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Opening balance	40,925,654	25,536,235	39,380,009	24,128,751
Additions	200,000	1,111,842	200,000	1,111,842
Disposals	(2,498,339)	(560,933)	(2,498,339)	(495,161)
Exchange (loss)/gain	(2,078,416)	11,223,976	(2,078,416)	11,223,976
Interest income	28	2,821,956	2,937,416	2,821,956
Interest received	(3,079,731)	(2,068,114)	(3,079,731)	(2,068,114)
Fair value gain	23.6.2	4,697,973	3,726,307	2,656,759
Balance, end of the year	41,104,558	40,925,654	38,587,247	39,380,009

7.2.2 Movement in Quoted Equities @ FVOCI

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Opening balance	4,263,292	2,696,048	2,950,412	1,514,095
Additions	-	391,637	-	391,637
Disposals	-	(182,679)	-	(182,011)
Reclassification*	7.2.3	50,011	50,011	(51,763)
Fair value gain	23.6.2	1,735,808	811,697	1,278,455
Balance, end of the year	6,049,111	4,263,292	3,812,121	2,950,412

* This represents investments in delisted equities reclassified to unquoted equities.

7.2.3 Movement in Unquoted Equities @ FVOCI

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Opening balance	5,143,095	2,820,664	4,910,329	2,595,133
Additions	200,000	720,205	200,000	720,205
Disposals	(1,184,727)	(65,104)	(1,184,727)	-
Reclassification	7.2.2	51,763	(50,011)	51,763
Exchange loss	31	(219,969)	(219,969)	-
Fair value gain	23.6.2	1,615,566	(105,512)	1,543,228
	3,830,431	5,143,094	3,550,111	4,910,329
Impairment	-	-	-	-
	3,830,431	5,143,094	3,550,111	4,910,329

Unquoted investment is carried at nominal value except for investment in CAPIC and Value Alliance which were valued using net asset value.

7.2.4 Movement in Government Bond @ FVOCI

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Opening balance	31,519,268	20,019,523	31,519,268	20,019,523
Additions	-	-	-	-
Disposals/redemptions	(1,313,612)	(313,150)	(1,313,612)	(313,150)
Exchange (loss)/gain	31	11,223,976	(1,858,447)	11,223,976
Interest income	2,937,416	2,821,956	2,937,416	2,821,956
Interest received	(3,079,731)	(2,068,114)	(3,079,731)	(2,068,114)
Fair value gain/(loss)	23.6.2	3,020,123	3,020,123	(164,924)
Balance, end of the year	31,225,016	31,519,268	31,225,016	31,519,268

7.2.5 Movement in ECL allowance- Bonds

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year	352,100	90,698	352,100	90,698
Charge for the year	33	261,402	(31,812)	261,402
Balance, end of the year	320,288	352,100	320,288	352,100

Notes to the consolidated and separate financial statements

7.3 Financial Assets - FVTPL

		Group		Company	
<i>In thousands of naira</i>		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Quoted equity securities	7.3.2	6,011,930	2,258,216	5,769,741	2,258,216
Treasury bills	7.3.3	2,290,604	499,790	2,290,604	499,790
Bonds	7.3.4	37,727,156	19,672,533	27,333,437	18,490,301
		46,029,690	22,430,538	35,393,782	21,248,307

7.3.1 Movement in Financial Assets @ FVPL

		Group		Company	
<i>In thousands of naira</i>		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Opening balance		22,430,538	10,849,483	21,248,306	10,849,483
Additions		15,243,527	8,675,343	16,377,794	7,126,172
Disposals/redemptions		(5,815,407)	(159,519)	(5,815,407)	(159,519)
Reclassification from Amortized Cost	7.4.2	10,851,512	-	-	-
Exchange gain	31	(2,095,404)	5,179,713	(1,374,716)	5,179,713
Interest income	28	3,028,737	1,222,270	2,284,014	1,017,049
Interest received		(3,058,061)	(1,735,612)	(2,261,362)	(1,163,452)
Fair value gain/(loss)	29	5,444,247	(1,601,138)	4,935,153	(1,601,138)
Balance, end of the year		46,029,690	22,430,539	35,393,782	21,248,307

7.3.2 Movement in Quoted Equities @ FVPL

		Group		Company	
<i>In thousands of naira</i>		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Opening balance		2,258,216	3,089,164	2,258,216	3,089,164
Disposals		-	(159,519)	-	(159,519)
Fair value gain/(loss)	29	3,753,714	(671,429)	3,511,525	(671,429)
Balance, end of the year		6,011,930	2,258,216	5,769,741	2,258,216

7.3.3 Movement in Treasury Bills @ FVPL

		Group		Company	
<i>In thousands of naira</i>		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Opening balance		499,790	-	499,790	-
Additions		3,359,423	403,544	3,359,423	403,544
Disposals/redemptions		(1,603,758)	-	(1,603,758)	-
Interest income		264,393	97,434	264,393	97,434
Interest received		(196,242)	-	(196,242)	-
Fair value loss	29	(33,001)	(1,188)	(33,001)	(1,188)
Balance, end of the year		2,290,604	499,790	2,290,604	499,790

7.3.4 Movement in Government Bond @ FVPL

		Group		Company	
<i>In thousands of naira</i>		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Opening balance		19,672,533	7,760,319	18,490,301	7,760,319
Additions		11,884,104	8,271,799	13,018,371	6,722,628
Disposals/redemptions		(4,211,649)	-	(4,211,649)	-
Reclassification from Amortized Cost	7.4.2	10,851,512	-	-	-
Exchange (loss)/gain	31	(2,095,404)	5,179,713	(1,374,716)	5,179,713
Interest income		2,764,345	1,124,836	2,019,621	919,615
Interest received		(2,861,819)	(1,735,612)	(2,065,120)	(1,163,452)
Fair value gain/(loss)	29	1,723,534	(928,521)	1,456,629	(928,521)
Balance, end of the year		37,727,156	19,672,534	27,333,437	18,490,302

7.4 Financial Assets - Amortised cost

		Group		Company	
<i>In thousands of naira</i>		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Bonds	7.4.2	-	10,801,493	-	-
Loan to policy holders	7.4.3	184,596	148,737	184,596	148,737
Long term placements	7.4.4	914,360	1,560,130	-	-
Commercial paper	7.4.5	189,021	-	189,021	-
Treasury bills	7.4.6	-	505,248	-	-
		1,287,977	13,015,608	373,617	148,737

Notes to the consolidated and separate financial statements

7.4.1 Movement in Financial Assets @ Amortised Cost

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance,beginning of the year		13,142,650	8,163,049	206,620	186,800
Additions		306,202	2,101,523	306,202	39,332
Disposals		(1,176,931)	(22,092)	(91,678)	(22,092)
Reclassification to FVTPL	7.3.4	(10,851,512)	-	-	-
Exchange (loss)/gain		(105,598)	4,524,207	-	-
Interest accrued	28	83,481	785,261	22,568	2,580
Interest received		(48,469)	(2,409,298)	(10,390)	-
		1,349,823	13,142,650	433,322	206,620
ECL		(61,847)	(127,042)	(59,706)	(57,883)
Balance as at 31 December 2025		1,287,977	13,015,608	373,617	148,737
		-	-	-	-

7.4.1i Movement in ECL allowance on financial assets at amortised cost

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance,beginning of the year		127,042	85,463	57,883	52,802
Charge for the year	33	(65,196)	41,579	1,822	5,081
Balance, end of the year		61,847	127,042	59,706	57,883

The Group's fixed income bond portfolio was reclassified from amortised cost to Fair Value through Profit or Loss (FVTPL), following a change in business model. Included in the N13.015 billion in year 2024 is the N10.8billion reclassified to Fair Value through Profit or Loss in the current year. The tables below summarise the effect of the

7.4.2 Movement in Governmen Bond @ Amortised Cost

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance,beginning of the year		10,851,512	7,976,249	-	-
Exchange (loss)/gain		-	4,524,207	-	-
Interest accrued		-	760,354	-	-
Interest received		-	(2,409,298)	-	-
Reclassification to FVTPL		(10,851,512)	-	-	-
		-	10,851,512	-	-
ECL	7.4.2i	-	(50,019)	-	-
Balance as at 31 December 2025		-	10,801,493	-	-

7.4.2i Movement in ECL allowance on bonds at amortised cost

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance,beginning of the year		50,019	32,661	-	-
Charge for the year		(50,019)	17,358	-	-
Balance, end of the year		-	50,019	-	-

7.4.3 Movement in Loan to Policyholders

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance,beginning of the year		206,620	186,800	206,620	186,800
Additions during the year		35,778	39,332	35,778	39,332
Accrued Interest		2,149	2,580	2,149	2,580
Repayments during the year		(2,068)	(22,092)	(2,068)	(22,092)
		242,480	206,620	242,480	206,620
Impairment	7.4.3i	(57,883)	(57,883)	(57,883)	(57,883)
Balance as at 31 December 2025		184,596	148,737	184,596	148,737

Notes to the consolidated and separate financial statements

7.4.3i Movement in ECL allowance on Loan to Policyholders

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance,beginning of the year	57,883	52,802	57,883	52,802
Charge for the year	-	5,081	-	5,081
Balance, end of the year	57,883	57,883	57,883	57,883

7.4.4 Movement in Long Term Placements

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance,beginning of the year	1,579,270	-	-	-
Additions during the year	-	1,579,270	-	-
Maturity during the year	(602,332)	-	-	-
Exchange (loss)/gain	(105,598)	-	-	-
Accrued Interest	45,161	-	-	-
Redemption during the year	-	-	-	-
	916,501	1,579,270	-	-
Impairment 7.4.4i	(2,141)	(19,140)	-	-
Balance as at 31 December 2025	914,360	1,560,130	-	-

7.4.4i Movement in ECL allowance on Long Term Placements

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance,beginning of the year	19,140	-	-	-
Charge for the year	(16,999)	19,140	-	-
Balance, end of the year	2,141	19,140	-	-

7.4.5 Movement in Commercial Paper

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance,beginning of the year	-	-	-	-
Additions during the year	270,424	-	270,424	-
Redemption during the year	(89,610)	-	(89,610)	-
Accrued Interest	20,419	-	20,419	-
Interest received	(10,390)	-	(10,390)	-
	190,843	-	190,843	-
Impairment	(1,822)	-	(1,822)	-
Balance as at 31 December 2025	189,021	-	189,021	-

7.4.5i Movement in ECL allowance on Commercial Paper

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance,beginning of the year	-	-	-	-
Charge for the year	1,822	-	1,822	-
Balance, end of the year	1,822	-	1,822	-

7.4.6 Movement in Treasury Bills

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance,beginning of the year	505,248	-	-	-
Additions during the year	-	482,921	-	-
Redemption during the year	(482,921)	-	-	-
Accrued Interest	15,752	22,327	-	-
Interest received	(38,079)	-	-	-
	-	505,248	-	-
Impairment	-	-	-	-
Balance as at 31 December 2025	-	505,248	-	-

The Group grants cash loans to policyholders in line with the policy provisions (terms and conditions). The maximum loan amount that can be granted to policyholders is 70% of the policy cash value except for endowment policies where the policy holder can obtain a maximum of 90% of the policy cash surrender value. The cash value is the cash amount due to the policyholder upon surrender of the insurance contract as at the date of determination and it is used as collateral on policy cash loan granted.

Notes to the consolidated and separate financial statements

The tenor of the loan is not beyond the policy duration and such policy must be in force and has acquired cash value before loan application can be considered. A pre-determined interest rate (compounded daily) is applied on the loan. The rate is currently within the range of 6-12% per annum depending on the type of policy and it is reviewed periodically.

The rate is determined after due consideration on the interest rate used by the Actuary for premium benefit calculation, allowance for documentation and other expenses on the policy, margin for contingencies and profit loadings. Policy loans are not impaired as balances are set-off against benefits accruable to the policyholder.

The Company reassessed the appropriateness of the classification of its bonds in financial asset classes vis-a-vis its business model and this led to the bonds being reclassified from the loan and receivables class of asset. The amounts reclassified as presented in note (iii) above are the opening balances of the bonds which differ from the closing balances in note (a) following purchases and disposals during the year.

8 Premium receivables

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year	549,140	271,955	322,551	207,729
Total Premium	63,049,655	42,834,599	53,685,538	33,649,923
Deposit for premium 19.1	(528,428)	(1,123,212)	(827,429)	(1,353,267)
Insurance premium received 16.1	(62,315,960)	(41,434,202)	(52,634,458)	(32,181,835)
Balance, end of the year	754,408	549,140	546,203	322,551
Trade receivables comprise:				
Due from brokers, agents and other insurance companies	754,408	549,140	546,203	322,551
Allowance for impairment (see note (c) below)	-	-	-	-
	754,408	549,140	546,203	322,551
Current	754,408	549,140	546,203	322,551
	754,408	549,140	546,203	322,551

8.1 Trade receivables by insurance institutions:

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Due from brokers	754,408	549,140	546,203	322,551
Due from other insurance companies	-	-	-	-
Total gross amount	754,408	549,140	546,203	322,551
Allowance for impairment	-	-	-	-
	754,408	549,140	546,203	322,551

8.2 The age analysis of gross insurance trade receivables as at year-end is as follows:

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Within 30 days	754,408	549,140	546,203	322,551
More than 30 days	-	-	-	-
	754,408	549,140	546,203	322,551

9 Other receivables and prepayments

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Non-financial				
Prepayment	521,103	468,929	435,092	408,501
Withholding tax receivable	91,817	63,539	26,127	1,347
VAT control	-	197,681	-	197,681
Prepaid housing allowance	-	-	-	-
Other prepaid balances	707,075	55,412	-	-
	1,319,995	785,562	461,219	607,529

Notes to the consolidated and separate financial statements

Financial

Due from subsidiaries	-	19,000	-	46,284
Dividend receivable	10,606	40,624	-	40,512
Interest receivable - Statutory Deposit	9.1	53,899	29,174	53,899
Insurance recoverable	-	3,221	-	3,221
Due from Staff	-	20,501	-	20,501
Deposit for asset	36,000	2,302	36,000	-
Other receivables	411,196	423,127	81,760	242,282
	511,702	537,949	171,659	381,974
Total other receivables and prepayments	1,831,697	1,323,510	632,878	989,503
Allowance for impairment	(49,228)	(49,228)	(49,228)	(49,228)
	1,782,469	1,274,283	583,651	940,275
Current	1,782,469	1,274,283	583,651	940,275
Non-current	-	-	-	-
	1,782,469	1,274,283	583,651	940,275

9.1 Interest receivable - Statutory Deposit

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year		29,174	-	29,174	-
Interest accrued	28	64,941	29,174	64,941	29,174
Interest received		(40,216)	-	(40,216)	-
Balance, end of the year		53,899	29,174	53,899	29,174

Notes to the consolidated and separate financial statements

10 Reinsurance contract assets

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Assets for remaining coverage	10.1	10,997,191	6,887,889	8,519,667	5,403,718
Amount recoverable for incurred claims	10.1	5,145,322	5,946,254	4,601,833	3,876,358
		16,142,513	12,834,143	13,121,500	9,280,076
Current		10,997,191	6,887,889	8,519,667	5,403,718
Non-current		5,145,322	5,946,254	4,601,833	3,876,358
		16,142,513	12,834,143	13,121,500	9,280,076

10.1 Reconciliation of the re-insurance contract balances measured under PAA and GMM for the Group as at 31 December 2025

<i>In thousands of naira</i>		Assets for Remaining Coverage (ARC)		Assets for Incurred Claims (AIC)		Total
		Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment	
Opening assets		6,887,887	-	5,395,426	550,829	12,834,142
Opening Liabilities		(110,123)	-	24,278	-	(85,845)
Changes in the statement of profit or loss and OCI						
Allocation of reinsurance premiums paid	26	(19,323,021)	-	-	-	(19,323,021)
Reinsurance Recoveries						
Recoveries of incurred claims and other attributable income	26	-	-	2,005,609	-	2,005,609
Changes related to past service		-	-	-	-	-
<i>changes in BEL related to reinsurance AIC</i>	26	-	-	3,138,892	16,364	3,155,256
<i>changes in RA related to reinsurance AIC</i>	26	-	-	716,876	12,145	729,022
Net expenses from reinsurance contracts		(19,323,021)	-	5,861,377	28,510	(13,433,135)
Net finance income from reinsurance contracts	27.2	2,337	-	394,222	-	396,559
Total changes in the statement of profit or loss and OCI		(19,320,684)	-	6,255,599	28,510	(13,036,575)
<i>Cashflows for the period</i>						
Reinsurance premiums paid	43(iv)	23,429,988	-	-	-	23,429,988
Amounts received under reinsurance contracts held		-	-	(7,009,577)	(75,465)	(7,085,042)
Total cash flows		23,429,988	-	(7,009,577)	(75,465)	16,344,946
Closing assets		10,997,191	-	4,641,448	503,874	16,142,513

Notes to the consolidated and separate financial statements

10.1 Reconciliation of the re-insurance contract balances measured under PAA and GMM for the Group as at 31 December 2024

		Assets for Remaining Coverage (ARC)		Assets for Incurred Claims (AIC)		Total
		Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment	
In thousands of naira						
Opening assets		5,805,514	-	4,176,096	502,255	10,483,865
Changes in the statement of profit or loss and OCI						
Allocation of reinsurance premiums paid	26	(16,020,714)	-	-	-	(16,020,714)
Insurance service expenses						
Transfer to reinsurance contract Liabilities		237,285	-	-	(8,154)	229,131
Recoveries of incurred claims and other attributable income	26	-	-	4,155,541	152,483	4,308,024
Changes related to past service						
changes in BEL related to reinsurance AIC	26	-	-	129,969	-	129,969
changes in RA related to reinsurance AIC	26	-	-	-	187,275	187,275
Net expenses from reinsurance contracts		(15,783,429)	-	4,285,510	331,604	(11,166,315)
Net finance expenses from reinsurance contracts	27.2	-	-	(640,524)	-	(640,524)
Total changes in the statement of profit or loss and OCI		(15,783,429)	-	3,644,986	331,604	(11,806,840)
Cashflows for the period						
Reinsurance premiums paid	43(iv)	16,865,802	-	-	-	16,865,802
Amounts received under reinsurance contracts held		-	-	(2,708,685)	-	(2,708,685)
Total cash flows		16,865,802	-	(2,708,685)	-	14,157,117
Closing assets		6,887,887	-	5,112,397	833,859	12,834,142

Notes to the consolidated and separate financial statements

10.1 Reconciliation of the re-insurance contract balances measured under PAA and GMM for the Company as at 31 December 2025

		Assets for Remaining Coverage (ARC)		Assets for Incurred Claims (AIC)		
		Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment	Total
In thousands of naira						
Opening assets		5,403,716	-	3,456,868	419,491	9,280,075
Opening Liabilities		(110,123)	-	24,278	-	(85,845)
Changes in the statement of profit or loss and OCI						
Allocation of reinsurance premiums paid	26	(15,808,255)	-	-	-	(15,808,255)
Reinsurance service expenses						
Recoveries of incurred claims and other attributable income	26	-	-	1,849,518	-	1,849,518
Changes related to past service		-	-	-	-	-
changes in BEL related to reinsurance AIC	26	-	-	(42,749)	8,182	(34,567)
changes in RA related to reinsurance AIC	26	-	-	716,876	12,145	729,022
Net expenses from reinsurance contracts		(15,808,255)	-	2,523,645	20,328	(13,264,283)
Net finance income from reinsurance contracts	27.2	2,337	-	342,542	-	344,879
Total changes in the statement of profit or loss and OCI		(15,805,918)	-	2,866,187	20,328	(12,919,404)
Cashflows for the period						
Reinsurance premiums paid	43(iv)	18,921,869	-	-	-	18,921,869
Amounts received under reinsurance contracts held		-	-	(2,185,319)	24,278	(2,161,040)
Total cash flows		18,921,869	-	(2,185,319)	24,278	16,760,828
Closing assets		8,519,667	-	4,137,737	464,096	13,121,500

Notes to the consolidated and separate financial statements

10.1 Reconciliation of the re-insurance contract balances measured under PAA and GMM for the Company as at 31 December 2024

		Assets for Remaining Coverage (ARC)		Assets for Incurred Claims (AIC)		Total
		Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment	
In thousands of naira						
Opening assets		4,801,093	-	3,139,884	602,279	8,543,256
Changes in the statement of profit or loss and OCI						
Allocation of reinsurance premiums paid	26	(12,277,539)	-	-	-	(12,277,539)
Insurance service expenses						
Transfer to reinsurance contract Liabilities	17.1	237,285	-	-	(8,154)	229,131
Recoveries of incurred claims and other attributable income	26	-	-	2,694,998	-	2,694,998
Changes related to past service						
changes in BEL related to reinsurance AIC	26	-	-	(72,931)	-	(72,931)
changes in RA related to reinsurance AIC	26	-	-	-	108,395	108,395
Net expenses from reinsurance contracts		(12,040,254)	-	2,622,067	100,241	(9,317,946)
Net finance expenses from reinsurance contracts	27.2	-	-	(623,192)	-	(623,192)
Total changes in the statement of profit or loss and OCI		(12,040,254)	-	1,998,874	100,241	(9,941,139)
Cashflows for the period						
Reinsurance premiums paid	43(iv)	12,642,877	-	-	-	12,642,877
Amounts received under reinsurance contracts held		-	-	(1,964,919)	-	(1,964,919)
Total cash flows		12,642,877	-	(1,964,919)	-	10,677,958
Closing assets		5,403,716	-	3,173,839	702,520	9,280,075

10.2 Impact of reinsurance contracts assets recognized in the year

	December 2025			December 2024		
	Non-onerous contracts originated	Onerous contracts originated	Total	Non-onerous contracts originated	Onerous contracts originated	Total
<i>In thousands of naira</i>						
Estimates of future cash inflows	5,385	-	5,385	2,427	-	253,733
Estimates of future cash outflows	32,138	-	32,138	4,622	40,040	289,290
	(26,752)	-	(26,752)	(2,195)	(40,040)	(35,557)
Risk adjustment for non-financial risk	673	-	673	85	801	4,674
Contractual service margin	(26,079)	-	(26,079)	(2,110)	(39,239)	(30,883)
Total reinsurance contract assets	-	-	-	-	-	-

Notes to the consolidated and separate financial statements

Expected recognition contractual service margin for reinsurance contracts held

December 2025

CSM with positive sign

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Credit Life	Endowment	Total
Year 1	-	(11,693)	-	-	-	(11,693)
Year 2	-	(6,353)	-	-	-	(6,353)
Year 3	-	(4,497)	-	-	-	(4,497)
Year 4	-	(3,675)	-	-	-	(3,675)
Year 5	-	(3,985)	-	-	-	(3,985)
Year 6	-	(4,236)	-	-	-	(4,236)
Year 7	-	(4,506)	-	-	-	(4,506)
Year 8	-	(4,708)	-	-	-	(4,708)
Year 9	-	(4,396)	-	-	-	(4,396)
Year 10	-	(5,349)	-	-	-	(5,349)
Above Year 10	-	(39,008)	-	-	-	(39,008)
Total CSM	-	(92,405)	-	-	-	(92,405)

Notes to the consolidated and separate financial statements

10.3 Reinsurance contracts

Movements in reinsurance contract balances

Reconciliation of the measurement components of reinsurance contract balances by Product for the Group

Portfolios measured using the GMM Model

Group

31 December 2025

31 December 2024

Reconciliation of the assets for remaining coverage and the assets for incurred claims for reinsurance contracts

	Assets for Remaining Coverage (ARC)		Assets for incurred claims	Total	Assets for Remaining Coverage (ARC)		Assets for incurred claims	Total
	Non-onerous	Onerous			Non-onerous	Onerous		
Reconciliation of carrying amounts by ARC/AIC: reinsurance								
Opening assets	(110,123)	-	24,278	(85,845)	1,581	-	-	1,581
				-				-
Changes in the statement of profit or loss and OCI				-				-
Allocation of reinsurance premiums paid	128,487	-	-	128,487	-	-	-	-
Recoveries of incurred claims and other attributable income (Note 25)	-	-	1,251	1,251	-	-	-	-
Commission income	-	-	83,169	83,169	(1,845)	-	-	(1,845)
Net expenses from reinsurance contracts	128,487	-	84,419	212,907	(1,845)	-	-	(1,845)
Net finance income from reinsurance contracts	2,337	-	4,934	7,271	264	-	-	264
Total changes in the statement of profit or loss and OCI	130,824	-	89,354	220,178	(1,581)	-	-	(1,581)
Cashflows for the period								
Reinsurance premiums paid	(30,309)	-	-	(30,309)	-	-	-	-
Amounts received under reinsurance contracts held	-	-	(103,380)	(103,380)	-	-	-	-
Acquisition Cash flow	10,739	-	-	10,739	-	-	-	-
Total cash flows	(19,570)	-	(103,380)	(122,950)	-	-	-	-
Closing assets	1,131	-	10,252	11,383	-	-	-	-

Notes to the consolidated and separate financial statements

Reconciliation of the components of reinsurance contract assets

Assets with positive sign, liabilities with negative sign

Reconciliation of carrying amounts by BEL/RA/CSM: reinsurance	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Opening assets	58,721	792	(145,358)	(85,845)	293,671	5,710	(479,694)	299,381
Effects of changes related to current services								
CSM recognised for services received	-	-	162,318	162,318	-	-	185,485	-
Change in risk adjustment for non-financial risk for risk expired	-	(1,301)	-	(1,301)	-	(2,132)	-	(2,132)
Experience adjustments	70,850	-	-	70,850	125,629	-	-	125,629
Total changes related to current services	70,850	(1,301)	162,318	231,867	125,629	(2,132)	185,485	123,496
Effects of changes related to future services								
New contracts recognised	(25,664)	590	25,074	-	(40,040)	801	39,239	(39,239)
Changes in estimates reflected in CSM	30,457	(56)	(30,401)	-	(145,603)	(3,587)	149,190	(149,190)
Changes in estimates resulting in contract losses	-	-	-	-	-	-	-	-
Total changes related to future services	4,793	534	(5,327)	-	(185,644)	(2,786)	188,429	(188,429)
Changes that relate to past service								
Adjustments to liabilities for incurred claims	83,169	-	-	83,169	29,255	-	-	29,255
Total changes that relate to past service	83,169	-	-	83,169	29,255	-	-	29,255
Net income/(expenses) from reinsurance contracts held	158,811	(767)	156,991	315,036	(30,761)	(4,918)	373,914	(35,679)
Net finance income from reinsurance contracts	18,905	-	(11,633)	7,271	38,724	-	(39,578)	38,724
Total changes in the statement of profit or loss and OCI	177,716	(767)	145,358	322,307	7,964	(4,918)	334,336	3,046
Total cash flows	(225,079)	-	-	(225,079)	(242,914)	-	-	(242,914)
Closing assets	11,357	25	-	11,383	58,721	792	(145,358)	(85,845)

Notes to the consolidated and separate financial statements

10.3.1 Credit Life

31 December 2025

31 December 2024

Reconciliation of the assets for remaining coverage and the assets for incurred claims for reinsurance contracts

		Assets for Remaining Coverage (ARC)		Assets for incurred claims	Total	Assets for Remaining Coverage (ARC)		Assets for incurred claims	Total
		Non-onerous	Onerous			Non-onerous	Onerous		
Reconciliation of carrying amounts by ARC/AIC: reinsurance									
Opening assets		(110,123)	-	24,278	(85,845)	(188,469)	-	8,154	(180,315)
					-				-
Changes in the statement of profit or loss and OCI					-				-
Allocation of reinsurance premiums paid	26	128,487	-	-	128,487	113,632	-	-	113,632
Recoveries of incurred claims and other attributable income	26	-	-	1,251	1,251	-	-	182,220	182,220
Commission income	26	-	-	83,169	83,169	-	-	29,255	29,255
Net expenses from reinsurance contracts		128,487	-	84,419	212,907	113,632	-	211,475	325,107
Net finance income from reinsurance contracts	27.2	2,337	-	4,934	7,271	(854)	-	-	(854)
Total changes in the statement of profit or loss and OCI		130,824	-	89,354	220,178	112,778	-	211,475	324,253
Cashflows for the period									
Reinsurance premiums paid		(30,309)	-	-	(30,309)	(53,010)	-	(195,351)	(248,361)
Amounts received under reinsurance contracts held		-	-	(103,380)	(103,380)	-	-	-	-
Commission income		10,739	-	-	10,739	18,578	-	-	18,578
Total cash flows		(19,570)	-	(103,380)	(122,950)	(34,432)	-	(195,351)	(229,783)
Closing assets		1,131	-	10,252	11,383	(110,123)	-	24,278	(85,845)

Notes to the consolidated and separate financial statements

Reconciliation of the components of reinsurance contract assets

Assets with positive sign, liabilities with negative sign

Reconciliation of carrying amounts by BEL/RA/CSM: reinsurance	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Opening assets	58,721	792	(145,358)	(85,845)	293,671	5,710	(479,696)	(180,315)
Effects of changes related to current services								
CSM recognised for services received	-	-	162,318	162,318	-	-	185,486	185,486
Change in risk adjustment for non-financial risk for risk expired	-	(1,301)	-	(1,301)	-	(2,132)	-	(2,132)
Experience adjustments	70,850	-	-	70,850	125,629	-	-	125,629
Total changes related to current services	70,850	(1,301)	162,318	231,867	125,629	(2,132)	185,486	308,983
Effects of changes related to future services								
New contracts recognised	(25,664)	590	25,074	-	(40,040)	801	39,239	-
Changes in estimates reflected in CSM	30,457	(56)	(30,401)	-	(145,603)	(3,587)	149,190	-
Changes in estimates resulting in contract losses	-	-	-	-	-	-	-	-
Total changes related to future services	4,793	534	(5,327)	-	(185,644)	(2,786)	188,429	-
Changes that relate to past service								
Adjustments to liabilities for incurred claims	83,169	-	-	83,169	29,255	-	-	29,255
Total changes that relate to past service	83,169	-	-	83,169	29,255	-	-	29,255
	-	-	-	-	-	-	-	-
Net income/(expenses) from reinsurance contracts held	158,811	(767)	156,991	315,036	(30,761)	(4,918)	373,916	338,237
Net finance income from reinsurance contracts	18,905	-	(11,633)	7,271	38,724	-	(39,578)	(854)
Total changes in the statement of profit or loss and OCI	177,716	(767)	145,358	322,307	7,964	(4,918)	334,338	337,383
Total cash flows	(225,079)	-	-	(225,079)	(242,914)	-	-	(242,914)
Closing assets	11,357	25	-	11,383	58,721	792	(145,358)	(85,845)

Notes to the consolidated and separate financial statements

10.3.2 Investment Linked

31 December 2025

31 December 2024

Reconciliation of the assets for remaining coverage and the assets for incurred claims for reinsurance contracts

	Assets for Remaining Coverage (ARC)		Assets for incurred claims	Total	Assets for Remaining Coverage (ARC)		Assets for incurred claims	Total
	Non-onerous	Onerous			Non-onerous	Onerous		
Reconciliation of carrying amounts by LRC/LIC: reinsurance								
Opening assets	-	-	-	-	1,581	-	-	1,581
Changes in the statement of profit or loss and OCI								
Allocation of reinsurance premiums paid	-	-	-	-	(1,845)	-	-	(1,845)
Recoveries of incurred claims and other attributable income	-	-	-	-	-	-	-	-
Commission income	-	-	-	-	-	-	-	-
Total reinsurance service expenses	-	-	-	-	-	-	-	-
Investment components	-	-	-	-	-	-	-	-
Net expenses from reinsurance contracts	-	-	-	-	(1,845)	-	-	(1,845)
Net finance income from reinsurance contracts	-	-	-	-	264	-	-	264
Total changes in the statement of profit or loss and OCI	-	-	-	-	(1,581)	-	-	(1,581)
Cashflows for the period								
Reinsurance premiums paid	-	-	-	-	-	-	-	-
Amounts received under reinsurance contracts held	-	-	-	-	-	-	-	-
Commission income	-	-	-	-	-	-	-	-
Total cash flows	-	-	-	-	-	-	-	-
Closing assets								
	-	-	-	-	-	-	-	-

Notes to the consolidated and separate financial statements

Reconciliation of the components of reinsurance contract assets

Assets with positive sign, liabilities with negative sign

Reconciliation of carrying amounts by BEL/RA/CSM: reinsurance	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Opening assets	-	-	-	-	-	-	1,581	1,581
Effects of changes related to current services								
CSM recognised for services received	-	-	-	-	-	-	(1,845)	(1,845)
Change in risk adjustment for non-financial risk for risk expired	-	-	-	-	-	-	-	-
Experience adjustments	-	-	-	-	-	-	-	-
Total changes related to current services	-	-	-	-	-	-	(1,845)	(1,845)
Effects of changes related to future services								
New contracts recognised	-	-	-	-	-	-	-	-
Changes in estimates reflected in CSM	-	-	-	-	-	-	-	-
Changes in estimates resulting in contract losses	-	-	-	-	-	-	-	-
Total changes related to future services	-	-	-	-	-	-	-	-
Changes that relate to past service								
Adjustments to liabilities for incurred claims	-	-	-	-	-	-	-	-
Total changes that relate to past service	-	-	-	-	-	-	-	-
Net income/(expenses) from reinsurance contracts held	-	-	-	-	-	-	(1,845)	(1,845)
Net finance income from reinsurance contracts	-	-	-	-	-	-	264	264
Total changes in the statement of profit or loss and OCI	-	-	-	-	-	-	(1,581)	(1,581)
Total cash flows	-	-	-	-	-	-	-	-
Closing assets	-	-	-	-	-	-	-	-

10.4 **Portfolios measured using the PAA Model****Reconciliation of the components of reinsurance contract assets***Assets with positive sign, liabilities with negative sign***31 December 2025****Reconciliation of the assets for remaining coverage and the assets for incurred claims for reinsurance contracts****31 December 2024**

	Assets for Remaining Coverage (ARC)		Assets for incurred claims		Total	Assets for Remaining Coverage (ARC)		Assets for incurred claims		Total
	Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment		Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment	
Reconciliation of carrying amounts by LRC/LIC: reinsurance										
Opening assets	6,879,763	-	5,403,550	542,706	12,826,019	6,032,843	-	4,469,072	211,071	10,712,987
Changes in the statement of profit or loss and OCI										
Allocation of reinsurance premiums paid	(19,451,508)	-	-	-	(19,451,508)	(16,018,882)	-	-	(1,832)	(16,020,714)
Recoveries of incurred claims and other attributable income (Note	-	-	2,004,359	-	2,004,359	-	-	4,155,541	152,483	4,308,024
Effects of changes related to current service	-	-	-	-	-	-	-	-	-	-
Effects of changes related to future service	-	-	-	-	-	-	-	-	-	-
Adjustments to Assets for incurred claims	-	-	3,772,599	(59,345)	3,713,255	-	-	129,968	189,107	319,075
Total Reinsurance service expenses	(19,451,508)	-	5,776,959	(59,345)	(13,733,894)	(16,018,882)	-	4,285,509	339,758	(11,393,616)
Investment components	-	-	-	-	-	-	-	5,863	-	5,863
Net expenses from reinsurance contracts	(19,451,508)	-	5,776,959	(59,345)	(13,733,894)	(16,018,882)	-	4,291,372	339,758	(11,387,752)
Net finance income from reinsurance contracts	-	-	389,287	-	389,287	-	-	(642,357)	-	(642,357)
Total changes in the statement of profit or loss and OCI	(19,451,508)	-	6,166,246	(59,345)	(13,344,607)	(16,018,882)	-	3,649,015	339,758	(12,030,110)
<i>Cashflows for the period</i>										
Reinsurance premiums paid	23,567,805	-	(6,898,015)	(20,073)	16,649,718	16,865,803	-	(2,714,537)	-	14,151,265
Amounts received under reinsurance contracts held	-	-	-	-	-	-	-	-	-	-
Total cash flows	23,567,805	-	(6,898,015)	(20,073)	16,649,718	16,865,803	-	(2,714,537)	-	14,151,265
Closing assets	10,996,060	-	4,671,780	463,288	16,131,129	6,879,763	-	5,403,550	550,829	12,834,142

Notes to the consolidated and separate financial statements

10.4.1 Group Life

31 December 2025

Reconciliation of the assets for remaining coverage and the assets for incurred claims for reinsurance contracts

31 December 2024

Reconciliation of carrying amounts by LRC/LIC: reinsurance	Assets for Remaining Coverage (ARC)		Assets for incurred claims		Total	Assets for Remaining Coverage (ARC)		Assets for incurred claims		Total
	Non-onerous	Onerous \$	Estimates of present value of future cashflows	Risk Adjustment		Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment	
Opening assets	403,568	-	406,187	-	809,755	227,555	-	497,790	9,956	735,301
Changes in the statement of profit or loss and OCI										
Allocation of reinsurance premiums paid 26	(2,032,169)	-	-	-	(2,032,169)	(1,144,432)	-	-	(1,832)	(1,146,264)
Recoveries of incurred claims and other attributable income 26	-	-	740,657	-	740,657	-	-	604,081	-	604,081
Effects of changes related to current service	-	-	-	-	-	-	-	-	-	-
Effects of changes related to future service	-	-	-	-	-	-	-	-	-	-
Adjustments to Assets for incurred claims 26	-	-	633,708	-	633,708	-	-	(193,717)	-	(193,717)
Total Reinsurance service expenses	(2,032,169)	-	1,374,365	-	(657,804)	(1,144,432)	-	410,364	(1,832)	408,532
Investment components	-	-	-	-	-	-	-	-	-	-
Net expenses from reinsurance contracts	(2,032,169)	-	1,374,365	-	(657,804)	(1,144,432)	-	410,364	(1,832)	408,532
Net finance income from reinsurance contracts 27.2	-	-	28,566	-	28,566	-	-	(15,695)	-	(15,695)
Total changes in the statement of profit or loss and OCI	(2,032,169)	-	1,402,931	-	(629,238)	(1,144,432)	-	394,669	(1,832)	392,837
<i>Cashflows for the period</i>										
Reinsurance premiums paid	2,102,681	-	(993,826)	-	1,108,855	1,320,445	-	(486,272)	-	834,172
Amounts received under reinsurance contracts held	-	-	-	-	-	-	-	-	-	-
Total cash flows	2,102,681	-	(993,826)	-	1,108,855	1,320,445	-	(486,272)	-	(486,272)
Closing assets	474,080	-	815,292	-	1,289,372	403,568	-	406,187	8,124	817,879

Notes to the consolidated and separate financial statements

10.4.2 Non-Life

31 December 2025

Reconciliation of the assets for remaining coverage and the assets for incurred claims for reinsurance contracts

31 December 2024

Reconciliation of carrying amounts by LRC/LIC: reinsurance		Assets for Remaining Coverage (ARC)		Assets for incurred claims		Total	Assets for Remaining Coverage (ARC)		Assets for incurred claims		Total
		Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment		Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment	
Opening assets	10	6,476,195	-	4,997,362	542,706	12,016,263	5,805,288	-	3,971,282	201,116	9,977,685
Changes in the statement of profit or loss and OCI											
Allocation of reinsurance premiums paid	26	(17,419,339)	-	-	-	(17,419,339)	(14,874,450)	-	-	-	(14,874,450)
Recoveries of incurred claims and other attributable inc	26	-	-	1,263,702	-	1,263,702	-	-	3,551,459	152,483	3,703,942
Effects of changes related to current service		-	-	-	-	-	-	-	-	-	-
Effects of changes related to future service		-	-	-	-	-	-	-	-	-	-
Adjustments to Assets for incurred claims	26	-	-	3,138,892	(59,345)	3,079,547	-	-	323,685	189,107	512,792
Total Reinsurance service expenses		(17,419,339)	-	4,402,594	(59,345)	(13,076,090)	(14,874,450)	-	3,875,145	341,590	(10,657,716)
Investment components		-	-	-	-	-	-	-	5,863	-	5,863
Net expenses from reinsurance contracts		(17,419,339)	-	4,402,594	(59,345)	(13,076,090)	(14,874,450)	-	3,881,008	341,590	(10,651,853)
Net finance income from reinsurance contracts	27.2	-	-	360,721	-	360,721	-	-	(626,662)	-	(626,662)
Total changes in the statement of profit or loss and OCI		(17,419,339)	-	4,763,315	(59,345)	(12,715,369)	(14,874,450)	-	3,254,346	341,590	(11,278,515)
<i>Cashflows for the period</i>											
Reinsurance premiums paid		21,465,124	-	(5,904,189)	(20,073)	15,540,863	15,545,358	-	(2,228,265)	-	13,317,093
Amounts received under reinsurance contracts held		-	-	-	-	-	-	-	-	-	-
Total cash flows		21,465,124	-	(5,904,189)	(20,073)	15,540,863	15,545,358	-	(2,228,265)	-	13,317,093
Closing assets	10	10,521,980	-	3,856,488	463,288	14,841,757	6,476,195	-	4,997,362	542,706	12,016,263

10.5 Reconciliation of the measurement components of reinsurance contract balances by Product for the Company

Portfolios measured using the GMM Model

Company

31 December 2025

31 December 2024

Reconciliation of the assets for remaining coverage and the assets for incurred claims for reinsurance contracts

	Assets for Remaining Coverage (ARC)		Assets for incurred claims	Total	Assets for Remaining Coverage (ARC)		Assets for incurred claims	Total
	Non-onerous	Onerous			Non-onerous	Onerous		
Reconciliation of carrying amounts by ARC/AIC: reinsurance								
Opening assets	(110,123)	-	24,278	(85,845)	1,581	-	-	1,581
Changes in the statement of profit or loss and OCI								
Allocation of reinsurance premiums paid	128,487	-	-	128,487	(1,845)	-	-	(1,845)
Recoveries of incurred claims and other attributable income (Note 25)	-	-	1,251	1,251	-	-	-	-
Commission income	-	-	83,169	83,169	-	-	-	-
Net expenses from reinsurance contracts	128,487	-	84,419	212,907	(1,845)	-	-	(1,845)
Net finance income from reinsurance contracts	2,337	-	4,934	7,271	264	-	-	264
Total changes in the statement of profit or loss and OCI	130,824	-	89,354	220,178	(1,581)	-	-	(1,581)
Cashflows for the period								
Reinsurance premiums paid	(30,309)	-	-	(30,309)	-	-	-	-
Amounts received under reinsurance contracts held	-	-	(103,380)	(103,380)	-	-	-	-
Acquisition Cashflow	10,739	-	-	10,739	-	-	-	-
Total cash flows	(19,570)	-	(103,380)	(122,950)	-	-	-	-
Closing assets	1,131	-	10,252	11,383	-	-	-	-

Notes to the consolidated and separate financial statements

Reconciliation of the components of reinsurance contract assets

Assets with positive sign, liabilities with negative sign

Reconciliation of carrying amounts by BEL/RA/CSM: reinsurance	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Opening assets	58,721	792	(145,358)	(85,845)	293,671	5,710	(479,694)	(180,313)
Effects of changes related to current services								
CSM recognised for services received	-	-	162,318	162,318	-	-	185,485	185,485
Change in risk adjustment for non-financial risk for risk expired	-	(1,301)	-	(1,301)	-	(2,132)	-	(2,132)
Experience adjustments	70,850	-	-	70,850	125,629	-	-	125,629
Total changes related to current services	70,850	(1,301)	162,318	231,867	125,629	(2,132)	185,485	308,981
Effects of changes related to future services								
New contracts recognised	(25,664)	590	25,074	-	(40,040)	801	39,239	-
Changes in estimates reflected in CSM	30,457	(56)	(30,401)	-	(145,603)	(3,587)	149,190	-
Changes in estimates resulting in contract losses	-	-	-	-	-	-	-	-
Total changes related to future services	4,793	534	(5,327)	-	(185,644)	(2,786)	188,429	-
Changes that relate to past service								
Adjustments to liabilities for incurred claims	83,169	-	-	83,169	29,255	-	-	29,255
Total changes that relate to past service	83,169	-	-	83,169	29,255	-	-	29,255
Net income/(expenses) from reinsurance contracts held	158,811	(767)	156,991	315,036	(30,761)	(4,918)	373,914	338,235
Net finance income from reinsurance contracts	18,905	-	(11,633)	7,271	38,724	-	(39,578)	(854)
Total changes in the statement of profit or loss and OCI	177,716	(767)	145,358	322,307	7,964	(4,918)	334,336	337,382
Total cash flows	(225,079)	-	-	(225,079)	(242,914)	-	-	(242,914)
Closing assets	11,357	25	()	11,383	58,721	792	(145,358)	(85,845)

Notes to the consolidated and separate financial statements

10.5.1 Credit Life

31 December 2025

31 December 2024

Reconciliation of the assets for remaining coverage and the assets for incurred claims for reinsurance contracts

Reconciliation of the assets for remaining coverage and the assets for incurred claims for reinsurance contracts									
		Assets for Remaining Coverage (ARC)		Assets for incurred claims	Total	Assets for Remaining Coverage (ARC)		Assets for incurred claims	Total
		Non-onerous	Onerous			Non-onerous	Onerous		
Reconciliation of carrying amounts by ARC/AIC: reinsurance									
Opening assets		(110,123)	-	24,278	(85,845)	(188,469)	-	8,154	(180,315)
Changes in the statement of profit or loss and OCI									-
Allocation of reinsurance premiums paid		26	128,487	-	-	128,487	113,632	-	-
Recoveries of incurred claims and other attributable income		26	-	-	1,251	1,251	-	-	182,220
Commission income		26	-	-	83,169	83,169	-	-	29,255
Net expenses from reinsurance contracts			128,487	-	84,419	212,907	113,632	-	211,475
Net finance income from reinsurance contracts		27.2	2,337	-	4,934	7,271	(854)	-	-
Total changes in the statement of profit or loss and OCI			130,824	-	89,354	220,178	112,778	-	211,475
Cashflows for the period									324,253
Reinsurance premiums paid			(30,309)	-	-	(30,309)	(53,010)	-	(195,351)
Amounts received under reinsurance contracts held			-	-	(103,380)	(103,380)	-	-	-
Acquisition Cashflow			10,739	-	-	10,739	18,578	-	-
Total cash flows			(19,570)	-	(103,380)	(122,950)	(34,432)	-	(195,351)
Closing assets			1,131	-	10,252	11,383	(110,123)	-	24,278
									(85,845)

Notes to the consolidated and separate financial statements

Reconciliation of the components of reinsurance contract assets

Assets with positive sign, liabilities with negative sign

Reconciliation of carrying amounts by BEL/RA/CSM: reinsurance	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Opening assets	58,721	792	(145,358)	(85,845)	293,671	5,710	(479,696)	(180,315)
Effects of changes related to current services								
CSM recognised for services received	-	-	162,318	162,318	-	-	185,486	185,486
Change in risk adjustment for non-financial risk for risk expired	-	(1,301)	-	(1,301)	-	(2,132)	-	(2,132)
Experience adjustments	70,850	-	-	70,850	125,629	-	-	125,629
Total changes related to current services	70,850	(1,301)	162,318	231,867	125,629	(2,132)	185,486	308,983
Effects of changes related to future services								
New contracts recognised	(25,664)	590	25,074	-	(40,040)	801	39,239	-
Changes in estimates reflected in CSM	30,457	(56)	(30,401)	-	(145,603)	(3,587)	149,190	-
Changes in estimates resulting in contract losses	-	-	-	-	-	-	-	-
Total changes related to future services	4,793	534	(5,327)	-	(185,644)	(2,786)	188,429	-
Changes that relate to past service								
Adjustments to liabilities for incurred claims	83,169	-	-	83,169	29,255	-	-	29,255
Total changes that relate to past service	83,169	-	-	83,169	29,255	-	-	29,255
	-	-	-	-	-	-	-	-
Net income/(expenses) from reinsurance contracts held	158,811	(767)	156,991	315,036	(30,761)	(4,918)	373,916	338,237
Net finance income from reinsurance contracts	18,905	-	(11,633)	7,271	38,724	-	(39,578)	(854)
Total changes in the statement of profit or loss and OCI	177,716	(767)	145,358	322,307	7,964	(4,918)	334,338	337,383
Total cash flows	(225,079)	-	-	(225,079)	(242,914)	-	-	(242,914)
Closing assets	11,357	25	-	11,383	58,721	792	(145,358)	(85,845)

Notes to the consolidated and separate financial statements

10.5.2 Investment Linked

31 December 2025

31 December 2024

Reconciliation of the assets for remaining coverage and the assets for incurred claims for reinsurance contracts

Reconciliation of carrying amounts by LRC/LIC: reinsurance									
		Assets for Remaining Coverage (ARC)		Assets for incurred claims	Total	Assets for Remaining Coverage (ARC)		Assets for incurred claims	Total
		Non-onerous	Onerous			Non-onerous	Onerous		
Opening assets		-	-	-	-	1,581	-	-	1,581
Changes in the statement of profit or loss and OCI									
Allocation of reinsurance premiums paid	26	-	-	-	-	(1,845)	-	-	(1,845)
Recoveries of incurred claims and other attributable income		-	-	-	-	-	-	-	-
Commission income		-	-	-	-	-	-	-	-
Total reinsurance service expenses		-	-	-	-	(1,845)	-	-	(1,845)
Investment components		-	-	-	-	-	-	-	-
Net expenses from reinsurance contracts		-	-	-	-	(1,845)	-	-	(1,845)
Net finance income from reinsurance contracts	27.2	-	-	-	-	264	-	-	264
Total changes in the statement of profit or loss and OCI		-	-	-	-	(1,581)	-	-	(1,581)
Cashflows for the period									
Reinsurance premiums paid		-	-	-	-	-	-	-	-
Amounts received under reinsurance contracts held		-	-	-	-	-	-	-	-
Commission income		-	-	-	-	-	-	-	-
Total cash flows		-	-	-	-	-	-	-	-
Closing assets		-	-	-	-	-	-	-	-

Notes to the consolidated and separate financial statements

Reconciliation of the components of reinsurance contract assets

Assets with positive sign, liabilities with negative sign

Reconciliation of carrying amounts by BEL/RA/CSM: reinsurance	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Opening assets	-	-	-	-	-	-	1,581	1,581
Effects of changes related to current services								
CSM recognised for services received	-	-	-	-	-	-	(1,845)	(1,845)
Change in risk adjustment for non-financial risk for risk expired	-	-	-	-	-	-	-	-
Experience adjustments	-	-	-	-	-	-	-	-
Total changes related to current services	-	-	-	-	-	-	(1,845)	(1,845)
Effects of changes related to future services								
New contracts recognised	-	-	-	-	-	-	-	-
Changes in estimates reflected in CSM	-	-	-	-	-	-	-	-
Changes in estimates resulting in contract losses	-	-	-	-	-	-	-	-
Total changes related to future services	-	-	-	-	-	-	-	-
Changes that relate to past service								
Adjustments to liabilities for incurred claims	-	-	-	-	-	-	-	-
Total changes that relate to past service	-	-	-	-	-	-	-	-
Net income/(expenses) from reinsurance contracts held	-	-	-	-	-	-	(1,845)	(1,845)
Net finance income from reinsurance contracts	-	-	-	-	-	-	264	264
Total changes in the statement of profit or loss and OCI	-	-	-	-	-	-	(1,581)	(1,581)
Total cash flows	-	-	-	-	-	-	-	-
Closing assets	-	-	-	-	-	-	-	-

10.6 **Portfolios measured using the PAA Model****Reconciliation of the components of reinsurance contract assets***Assets with positive sign, liabilities with negative sign***31 December 2025****Reconciliation of the assets for remaining coverage and the assets for incurred claims for reinsurance contracts****31 December 2024**

	Assets for Remaining Coverage (ARC)		Assets for incurred claims		Total	Assets for Remaining Coverage (ARC)		Assets for incurred claims		Total
	Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment		Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment	
Reconciliation of carrying amounts by LRC/LIC: reinsurance										
Opening assets	5,403,716	-	3,456,868	419,491	9,280,075	5,028,422	-	3,432,869	311,095	8,772,386
Changes in the statement of profit or loss and OCI										
Allocation of reinsurance premiums paid	(15,936,743)	-	-	-	(15,936,743)	(12,275,707)	-	-	-	(12,275,707)
Recoveries of incurred claims and other attributable income (Note	-	-	1,848,267	-	1,848,267	-	-	2,694,998	-	2,694,998
Effects of changes related to current service	-	-	-	-	-	-	-	-	-	-
Effects of changes related to future service	-	-	-	-	-	-	-	-	-	-
Adjustments to Assets for incurred claims	-	-	590,958	20,328	611,286	-	-	(72,931)	108,395	35,464
Total Reinsurance service expenses	(15,936,743)	-	2,439,225	20,328	(13,477,190)	(12,275,707)	-	2,622,067	108,395	(9,545,245)
Investment components	-	-	-	-	-	-	-	-	-	-
Net expenses from reinsurance contracts	(15,936,743)	-	2,439,225	20,328	(13,477,190)	(12,275,707)	-	2,622,067	108,395	(9,545,245)
Net finance income from reinsurance contracts	-	-	337,608	-	337,608	-	-	(625,025)	-	(625,025)
Total changes in the statement of profit or loss and OCI	(15,936,743)	-	2,776,833	20,328	(13,139,582)	(12,275,707)	-	1,997,042	108,395	(10,170,269)
<i>Cashflows for the period</i>										
Reinsurance premiums paid	19,051,562	-	(2,081,939)	-	16,969,624	12,651,001	-	(1,973,043)	-	10,677,958
Amounts received under reinsurance contracts held	-	-	-	-	-	-	-	-	-	-
Total cash flows	19,051,562	-	(2,081,939)	-	16,969,624	12,651,001	-	(1,973,043)	-	10,677,958
Closing assets	8,518,536	-	4,151,763	439,818	13,110,117	5,403,716	-	3,456,868	419,491	9,280,075

Notes to the consolidated and separate financial statements

10.6.1 Group Life

31 December 2025

Reconciliation of the assets for remaining coverage and the assets for incurred claims for reinsurance contracts

31 December 2024

Reconciliation of carrying amounts by LRC/LIC: reinsurance	Assets for Remaining Coverage (ARC)		Assets for incurred claims		Total	Assets for Remaining Coverage (ARC)		Assets for incurred claims		Total
	Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment		Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment	
Opening assets	411,692	-	398,064	8,124	817,879	227,555	-	497,790	9,956	735,301
Changes in the statement of profit or loss and OCI										
Allocation of reinsurance premiums paid 26	(2,032,169)	-	-	-	(2,032,169)	(1,144,432)	-	-	-	(1,144,432)
Recoveries of incurred claims and other attributable income 26	-	-	740,657	-	740,657	-	-	604,081	-	604,081
Effects of changes related to current service	-	-	-	-	-	-	-	-	-	-
Effects of changes related to future service	-	-	-	-	-	-	-	-	-	-
Adjustments to Assets for incurred claims 26	-	-	633,708	8,182	641,890	-	-	(193,717)	(1,832)	(195,549)
Total Reinsurance service expenses	(2,032,169)	-	1,374,365	8,182	(649,622)	(1,144,432)	-	410,364	(1,832)	408,532
Investment components	-	-	-	-	-	-	-	-	-	-
Net expenses from reinsurance contracts	(2,032,169)	-	1,374,365	8,182	(649,622)	(1,144,432)	-	410,364	(1,832)	408,532
Net finance income from reinsurance contracts 27.2	-	-	28,566	-	28,566	-	-	(15,695)	-	(15,695)
Total changes in the statement of profit or loss and OCI	(2,032,169)	-	1,402,931	8,182	(621,056)	(1,144,432)	-	394,669	(1,832)	392,837
<i>Cashflows for the period</i>										
Reinsurance premiums paid	2,094,558	-	(1,002,008)	-	1,092,549	1,328,568	-	(494,396)	-	834,172
Amounts received under reinsurance contracts held	-	-	-	-	-	-	-	-	-	-
Total cash flows	2,094,558	-	(1,002,008)	-	1,092,549	1,328,568	-	(494,396)	-	(494,396)
Closing assets	474,080	-	798,986	16,306	1,289,372	411,692	-	398,064	8,124	817,879

Notes to the consolidated and separate financial statements

10.6.2 Non-Life

31 December 2025

Reconciliation of the assets for remaining coverage and the assets for incurred claims for reinsurance contracts

31 December 2024

Reconciliation of carrying amounts by LRC/LIC: reinsurance		Assets for Remaining Coverage (ARC)		Assets for incurred claims		Total	Assets for Remaining Coverage (ARC)		Assets for incurred claims		Total
		Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment		Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment	
Opening assets	10	4,992,025	-	3,058,805	411,367	8,462,196	4,800,866	-	2,935,079	301,140	8,037,085
Changes in the statement of profit or loss and OCI											
Allocation of reinsurance premiums paid	26	(13,904,573)	-	-	-	(13,904,573)	(11,131,275)	-	-	-	(11,131,275)
Recoveries of incurred claims and other attributable income	26	-	-	1,107,610	-	1,107,610	-	-	2,090,916	-	2,090,916
Effects of changes related to current service											
Effects of changes related to future service											
Adjustments to Assets for incurred claims	26	-	-	(42,749)	12,145	(30,604)	-	-	120,786	110,227	231,014
Total Reinsurance service expenses		(13,904,573)	-	1,064,860	12,145	(12,827,568)	(11,131,275)	-	2,211,703	110,227	2,321,930
Investment components		-	-	-	-	-	-	-	-	-	-
Net expenses from reinsurance contracts		(13,904,573)	-	1,064,860	12,145	(12,827,568)	(11,131,275)	-	2,211,703	110,227	2,321,930
Net finance income from reinsurance contracts	27.2	-	-	309,042	-	309,042	-	-	(609,330)	-	(609,330)
Total changes in the statement of profit or loss and OCI		(13,904,573)	-	1,373,902	12,145	(12,518,526)	(11,131,275)	-	1,602,373	110,227	1,712,600
<i>Cashflows for the period</i>											
Reinsurance premiums paid		16,957,005	-	(1,079,930)	-	15,877,075	11,322,433	-	(1,478,647)	-	9,843,786
Amounts received under reinsurance contracts held		-	-	-	-	-	-	-	-	-	-
Total cash flows		16,957,005	-	(1,079,930)	-	15,877,075	11,322,433	-	(1,478,647)	-	(1,478,647)
Closing assets	10	8,044,456	-	3,352,777	423,512	11,820,745	4,992,025	-	3,058,805	411,367	8,462,196

Notes to the consolidated and separate financial statements

11 Investment in subsidiaries

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Fin Insurance Company Limited (see note (a)(i) below)	-	-	3,154,748	3,154,748
Hilal Takaful Nigeria Limited previously called	-	-	1,854,099	1,854,099
Cornerstone Takaful Nigeria Limited (see note (a)(ii))	-	-	5,008,847	5,008,847
Current	-	-	-	-
Non-current	-	-	5,008,847	5,008,847
	-	-	5,008,847	5,008,847

11.1 Fin Insurance Company Limited

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year	-	-	3,154,748	3,154,748
Addition during the year	-	-	-	-
	-	-	3,154,748	3,154,748

In the year 2020, the Company discontinued its Takaful Insurance business segment following the approval and license to operate Takaful Insurance as a separate stand alone Company. Consequently, the net asset of NGN466.09million for Takaful Insurance on the date of discontinuation were derecognised against investment in the newly formed Takaful Company which

11.2 is a wholly owned subsidiary of Cornerstone Insurance Plc.

During 2024 financial year, deposit for shares in the sum of N1.219billion and intercompany balance in the sum of N169million were allotted in Hilal Takaful Ltd in line with the Board approval of 4 December 2024.

Hilal Takaful Nigeria Ltd

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year	-	-	1,854,099	1,854,099
Addition	-	-	-	-
Balance, end of the year	-	-	1,854,099	1,854,099

11.3 Principal subsidiary undertakings

The Group is controlled by Cornerstone Insurance Plc ("the Parent Company") which is incorporated in Nigeria. The controlling interests of Cornerstone Insurance Plc in the group entities are as follows:

Company name	Country of incorporation	ature of busines	% equity holdings
Fin Insurance Company Limited	Nigeria	Non-life insuran	96.68%
Cornerstone Leasing and Investment Limited	Nigeria	Leasing services	100.00%
Hilal Takaful Nigeria Limited previously called Cornerstone Takaful Nigeria	Nigeria	Takaful Insura	100.00%

11.4 Other information on subsidiaries

11.4.1 Cornerstone Leasing and Investment Limited commenced operation on 1 July 2004 as part of the parent company's ultimate strategic plan to provide world class leasing services. The Company was formerly a subsidiary of Cornerstone Asset Management Limited who later in 2009 transferred its shareholding in the company to the ultimate parent, Cornerstone Insurance Plc. Cornerstone Leasing and Investment Limited provides convenient asset acquisition options to both corporate organisations and individuals. The Company's primary place of business is Lagos, Nigeria.

11.4.2 Fin Insurance Company Limited is a private limited liability company incorporated in Nigeria and its primary activity is the provision of Non-life insurance business. Cornerstone Insurance Plc acquired 96.68% equity interest in Fin Insurance Company Limited in 2015. The acquisition was made in a bid to increase the market share of the Non-life Insurance business of the entity. The Company's primary place of business is Lagos, Nigeria. The proportion of the equity interest of the Company owned by the non-controlling interest is 3.32%.

11.5 Significant restrictions

The Group does not have significant restrictions on its ability to access or use its assets and settle its liabilities other than those resulting from the regulatory frameworks under which the insurance business operates. The regulatory frameworks require all insurance companies to maintain certain levels of regulatory capital and liquid assets and comply with other ratios such as the solvency margin.

Notes to the consolidated and separate financial statements

11.6 Condensed results of consolidated entities

The condensed financial data of the consolidated entities are as follows:

31 December 2025

Condensed statement of profit or loss

<i>In thousands of naira</i>	Cornerstone Insurance Plc	Hilal Takaful Nigeria	Fin Insurance Company Limited	Elimination entries	Group balances
Total income	48,529,215	2,952,854	8,959,529	-	60,441,598
Total expenses	(41,929,625)	(1,561,430)	(8,908,297)	-	(52,399,352)
Profit before tax	7,176,128	1,391,424	51,232	-	8,042,246
Tax expense	(538,213)	(35,951)	3,835,065	-	3,260,901
Profit after tax	6,637,914	1,355,472	3,886,297	-	11,303,147

Condensed statement of financial position

<i>In thousands of naira</i>	Cornerstone Insurance Plc	Hilal Takaful Nigeria	Fin Insurance Company	Elimination entries	Group balances
Total assets	105,605,862	4,500,608	36,081,555	(5,165,779)	141,033,691
Total liabilities	61,479,547	2,270,003	5,914,606	(1,871,483)	68,173,650
Shareholders' funds	44,126,315	2,230,604	30,166,949	(3,294,295)	72,860,041

31 December 2024

Condensed statement of profit or loss

<i>In thousands of naira</i>	Cornerstone Insurance Plc	Hilal Takaful Nigeria	Fin Insurance Company Limited	Elimination entries	Group balances
Total income	53,350,591	1,431,818	19,775,508	0	74,557,916
Total expenses	(35,684,621)	(1,114,097)	(9,007,589)	132,125	(45,938,432)
Profit before tax	17,665,969	317,721	10,767,919	132,125	28,619,485
Tax expense	(1,284,140)	(18,000)	(1,423,842)	-	(2,725,982)
Profit for the year	16,381,829	299,721	9,344,078	132,125	25,893,503

Condensed statement of financial position

<i>In thousands of naira</i>	Cornerstone Insurance Plc	Hilal Takaful Nigeria	Fin Insurance Company	Elimination entries	Group balances
Total assets	86,081,676	4,500,608	36,812,015	(5,904,741)	121,501,003
Total liabilities	47,443,873	2,076,310	12,603,368	(1,755,873)	61,004,280
Shareholders' funds	38,637,803	2,440,900	24,208,647	(4,165,471)	60,496,723

Notes to the consolidated and separate financial statements

12 Investment properties

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year	872,000	765,000	-	-
Fair value gains 29	712,000	107,000	-	-
Balance, end of the year	1,584,000	872,000	-	-
Current	-	-	-	-
Non-current	1,584,000	872,000	-	-
	1,584,000	872,000	-	-

The balance in this account can be analysed as follows:

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Cost	292,000	292,000	-	-
Fair value gain	1,292,000	580,000	-	-
	1,584,000	872,000	-	-

12.1 The details of the investment properties of the Group are presented in the table below:

Investment properties are being carried in the name of Yankari Insurance Limited, which is Fin Insurance former business name.

Details of the property	Documentation	Taken for perfection	Owner	Carrying amount
Land and Twin Duplex, Plot 667 (A&B) Umozi Street, off Ladoke Akintola Boulevard, Garki II, Abuja	C of O DD 02.08.2005	The Group has a certified true copy of C of O, though its in the name of Yankari Insurance Co. Ltd.	Fin Insurance Company Limited	620,000
Land and Two Blocks Flats, House no 16&18, 2nd Avenue, 21(D) Road by Babangida market, beside Dominion Chapel, FHA Estate, Lugbe, Abuja	FHA allocation letter FHA/ES/FCT/lg/nhp/33 DD 09.11.2001	The Group has a certified true copy of letter of allocation in the name of Yankari Insurance Co. Ltd.	Fin Insurance Company Limited	964,000
				1,584,000

12.2 Measurement of fair values

12.2.1 Fair value hierarchy

The fair value of investment properties was determined by an external, independent property valuer, having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued. The independent valuer, John Odibah & Partners with FRC number FRC/2022/00000014211 valued the properties on the basis of open market value as at 31 December 2025. The principal valuer is Mr. Odiba John Malik with FRC number FRC/2022/PRO/NIESV/002/455450.

The fair value measurement for the investment properties of ₦1,584 million (2024: ₦872 million) has been categorised as a Level 3 fair value based on the inputs into the valuation technique used.

Notes to the consolidated and separate financial statements

12.2.2 Valuation technique and significant unobservable inputs

The following table shows the valuation technique used in measuring the fair value of investment property, as well as the significant unobservable inputs used.

Valuation technique	Significant unobservable inputs	key unobservable inputs and fair value measurement
The fair values are determined by applying the direct market evidence comparative method of valuation to derive the open market value. This valuation model reflects the current price on actual transaction for similar properties in the neighbourhood in recent time. References were made to prices of land and comparable properties in the neighbourhood. The data obtained were analysed and adjustment was made to reflect differences in site area and the actual location, quality of construction and off-site facilities.	-Prices per square meter -Rate of development in -Quality of the building -Influx of people and/or business to the area	The estimated fair value would increase/(decrease) if the rate of development in the area increases/(decreases), quality of the building increases/(decreases), influx of people and/or business to the area increases/(decreases).

Notes to the consolidated and separate financial statements

13 Property and equipment 13.1 Group 31 December 2025

<i>In thousands of naira</i>	Land	Buildings	Leasehold Improvements	Motor vehicles	Computer Equipment	Office Equipment	Plant	Furniture & fittings	Total
Cost									
At 1 January 2025	2,524,500	1,024,044	64,877	1,515,669	615,823	239,570	47,550	251,339	6,283,372
Additions	-	-	-	913,136	86,551	11,022	9,935	24,309	1,044,953
Disposals	-	-	-	(139,675)	(4,025)	(323)	-	(14,141)	(158,165)
Reclassification	-	(6,544)	-	6,544	-	-	-	-	-
Elimination of accumulated depreciation on revaluation	-	(21,073)	-	-	-	-	-	-	(21,073)
Revaluation gain	831,500	301,573	-	-	-	-	-	-	1,133,073
At 31 December 2025	3,356,000	1,298,000	64,877	2,295,674	698,349	250,268	57,485	261,507	8,282,159
Accumulated depreciation									
At 1 January 2025	-	-	30,072	988,794	487,060	211,129	45,891	197,183	1,960,129
Charge for the year	-	21,073	1,298	358,522	91,730	12,586	3,890	13,150	502,249
Elimination of accumulated depreciation on revaluation	-	(21,073)	-	-	-	-	-	-	(21,073)
Disposals	-	-	-	(120,371)	(4,025)	(323)	-	(2,347)	(127,066)
At 31 December 2025	-	-	31,370	1,226,945	574,765	223,392	49,781	207,986	2,314,240
Net book value									
At 31 December 2025	3,356,000	1,298,000	33,508	1,068,728	123,584	26,876	7,704	53,521	5,967,919
31 December 2024									
Cost									
At 1 January 2024	2,100,000	898,544	64,877	1,405,815	446,573	236,676	47,101	220,362	5,419,947
Additions	-	-	-	178,154	171,272	2,894	450	30,977	383,747
Disposals	-	-	-	(68,300)	(2,022)	-	-	-	(70,322)
Elimination of accumulated depreciation on revaluation	-	(37,120)	-	-	-	-	-	-	(37,120)
Revaluation gain	424,500	162,620	-	-	-	-	-	-	587,120
At 31 December 2024	2,524,500	1,024,044	64,877	1,515,669	615,823	239,570	47,551	251,339	6,283,372
Accumulated depreciation									
At 1 January 2024	-	-	28,775	796,248	426,126	202,099	45,215	190,037	1,688,500
Charge for the year	-	37,120	1,298	246,271	62,937	9,030	676	7,146	364,479
Elimination of accumulated depreciation on revaluation	-	(37,120)	-	-	-	-	-	-	(37,120)
Disposals	-	-	-	(53,725)	(2,005)	-	-	-	(55,730)
At 31 December 2024	-	-	30,073	988,794	487,059	211,129	45,891	197,183	1,960,129
Net book value									
At 31 December 2024	2,524,500	1,024,044	34,804	526,875	128,764	28,440	1,659	54,156	4,323,243

13.2 Company

31 December 2025

<i>In thousands of naira</i>	Land	Buildings	Leasehold Improvements	Motor vehicles	Computer Equipment	Office Equipment	Plant	Furniture & fittings	Total
Cost									
At 1 January 2025	750,000	550,000	64,877	1,137,773	515,796	194,637	40,574	169,918	3,423,575
Additions	-	-	-	757,974	54,606	5,376	710	16,145	834,812
Disposals	-	-	-	(54,000)	-	-	-	-	(54,000)
Elimination of accumulated depreciation on revaluation	-	(11,000)	-	-	-	-	-	-	(11,000)
Revaluation gain	200,000	81,000	-	-	-	-	-	-	281,000
At 31 December 2025	950,000	620,000	64,877	1,841,746	570,403	200,013	41,284	186,064	4,474,387
Accumulated depreciation									
At 1 January 2025	-	-	30,074	749,716	390,037	169,002	39,225	144,313	1,522,366
Charge for the year	-	11,000	1,298	282,422	77,228	9,903	815	7,897	390,563
Elimination of accumulated depreciation on revaluation	-	(11,000)	-	-	-	-	-	-	(11,000)
Disposals	-	-	-	(46,000)	-	-	-	-	(46,000)
At 31 December 2025	-	-	31,371	986,138	467,265	178,905	40,041	152,209	1,855,929
Net book value									
At 31 December 2025	950,000	620,000	33,506	855,608	103,137	21,108	1,243	33,855	2,618,457
31 December 2024									
Cost									
At 1 January 2024	450,000	480,000	64,877	1,060,298	366,033	194,637	40,124	148,298	2,804,267
Additions	-	-	-	124,724	149,763	-	450	21,621	296,557
Disposals	-	-	-	(47,250)	-	-	-	-	(47,250)
Elimination of accumulated depreciation on revaluation	-	(28,327)	-	-	-	-	-	-	(28,327)
Revaluation gain	300,000	98,327	-	-	-	-	-	-	398,327
At 31 December 2024	750,000	550,000	64,877	1,137,772	515,796	194,637	40,574	169,919	3,423,575
Accumulated depreciation									
At 1 January 2024	-	-	28,776	591,090	340,063	161,015	38,549	139,844	1,299,338
Charge for the year	-	28,327	1,298	191,300	49,974	7,987	676	4,468	284,031
Elimination of accumulated depreciation on revaluation	-	(28,327)	-	-	-	-	-	-	(28,327)
Disposals	-	-	-	(32,675)	-	-	-	-	(32,675)
At 31 December 2024	-	-	30,074	749,716	390,037	169,002	39,225	144,313	1,522,367
Net book value									
At 31 December 2024	750,000	550,000	34,804	388,056	125,759	25,634	1,348	25,606	1,901,208

- (i) The Group and Company had no capital commitments as at 31 December 2025 (2024: Nil)
- (ii) There were no capitalized borrowing costs related to the acquisition of property and equipment during the year 2025 (2024: Nil).
- (iii) There are no restrictions on the Group and Company's title to its property and equipment.
- (iv) All property and equipment items are non-current.
- (v) Right of use assets have been reclassified to prepaid rent due to its low value and short-term nature. (see note 9)
- (vi) Land and Buildings were revalued by external, independent property valuers, having appropriate recognised professional qualifications and recent experience in the location and category of the properties being valued. The independent valuers, John Odibah & Partners with FRC number FRC/2022/000000014211 and Funsho Oladimeji & Company with FRC/2012/0000000000109 valued the properties on the basis of open market value as at 31 December 2025. The principal valuers are Mr. Odiba John Malik with FRC number FRC/2022/PRO/NIESV/002/455450 and Oladimeji Funsho Peter with FRC number FRC/2013/NIESV/00000001304.
- (vii) Revaluation gain for the year, before tax recognised in other comprehensive income was calculated as follows:

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Revaluation gain on cost	1,112,000	550,000	270,000	370,000
Reversal of accumulated depreciation on revaluation	21,073	37,120	11,000	28,327.49
Revaluation gain	1,133,073	587,120	281,000	398,327

Group summary of land and buildings are detailed below:

S/N	Description of Property	Location	Type	Status of title documents	Carrying Amount (₦'000)
1	This property is bare land having C of O with File no. AD 10060:DD 06.06.2005	Plot No: 3459 Cadastral Zone A06 off Amazon Street Maitama	Land	Legal power of Attorney executed by Atiku Abubakar dated 28th June 10-07-1905 The C of O is in the name of Atiku Abubakar with File no. AD 10060:DD 06.06.2005.	1,500,000
2	This property is a duplex with BQ and is formerly covered by C of O with File no OG 10050 and now covered by a registered Deed of Assignment in the name of FIN Insurance Company Limited.	34 Gana Street Maitama Abuja	Land & Building	The Company has a Deed of Assignment transferring title of the property from Gabriel Abiodun Sobajo to Fin Insurance Company Limited dated 29 August 2017.	1,565,000
3	This is a bare land covered by a C of O with no. BA/38894 in the name of FIN Insurance Company Limited	Plot (Plan) No.BA/38894, Sunshine International School Road, off Bauchi-Das Road, New GRA Bauchi	Land	The Company has a Statutory C of O no. BA/38894 issued by Bauchi State of Nigeria dated 5th May 2016	19,000
4	This property is 3 Duplex at Plot 21 Water Corporation Drive off Ligali Ayorinde Street, Victoria Island, Lagos.	Plot 21 Water Corporation Drive off Ligali Ayorinde Street, Victoria Island, Lagos.	Land & Building		1,570,000
Total					4,654,000

14 Intangible assets

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Cost				
Balance, beginning of the year	245,858	233,287	196,545	185,897
Additions	840	12,571	-	10,648
Balance, end of the year	246,698	245,858	196,545	196,545
Amortisation				
Balance, beginning of the year	230,686	225,226	186,819	185,676
Amortisation for the year	5,486	5,460	2,271	1,143
Balance, end of the year	236,173	230,686	189,091	186,819
Carrying amount	10,525	15,172	7,455	9,726

15 Statutory deposit

This represents the amount deposited with the Central Bank of Nigeria in accordance with section 9(1) and section 10(3) of Insurance Act 2003. The cash amount held is considered to be a restricted cash as Management does not have access to the balances in its day-to-day activities. Interest income earned on this deposit is discretionary and is included in investment income.

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year	1,200,000	1,200,000	500,000	500,000
Addition during the year	1,000,000	-	-	-
Balance, end of the year	2,200,000	1,200,000	500,000	500,000
Current	-	-	-	-
Non-current	2,200,000	1,200,000	500,000	500,000
	2,200,000	1,200,000	500,000	500,000

Notes to the consolidated and separate financial statements

16 Insurance contract liabilities

<i>In thousands of naira</i>	Notes	Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Liability for remaining coverage	16.1	39,121,245	25,043,570	35,560,500	23,675,950
Liability for incurred claims	16.1	15,962,707	20,100,475	13,893,761	14,161,128
		55,083,953	45,144,045	49,454,262	37,837,078
Current		39,121,245	25,043,570	35,560,500	23,675,950
Non-current		15,962,707	20,100,475	13,893,761	14,161,128
		55,083,953	45,144,045	49,454,262	37,837,078

16.1 Reconciliation of the insurance contract balances under PAA and GMM for the Group as at 31 December 2025

		Liability for Remaining Coverage (LRC)			Liability for incurred claims (LIC)			Grand Total	
		Excluding Loss Component	Loss Component	Total	LIC for contract not measured under PAA	LIC for contract measured under PAA			
						Estimates of present value of future cashflows	Risk Adjustment		Total
In thousands of naira									
Opening Insurance contract liabilities		23,125,201	1,918,368	25,043,569	109,542	18,381,317	1,609,615	20,100,475	45,144,044
Insurance revenue		24	(51,656,203)	-	(51,656,203)	-	-	-	(51,656,203)
Insurance service expenses									
Incurred claims and other attributable expense		25	-	-	-	1,506,688	10,810,571	-	12,317,259
Amortisation of insurance acquisition cash flows		25	7,207,017	-	7,207,017	-	-	-	7,207,017
Changes related to future service- Loss Component: losses and reversal of losses on Loss Component contracts		25	-	829,581	829,581	-	-	-	829,581
Changes related to past service: Changes in RA and BEL related to LIC		25	-	-	-	281,258	2,640,200	(119,298)	2,802,159
Total insurance service expenses		25	7,207,017	829,581	8,036,598	1,787,945	13,450,770	(119,298)	15,119,418
Investment components			(2,937,592)	-	(2,937,592)	2,937,592	-	-	2,937,592
			4,269,425	829,581	5,099,006	4,725,538	13,450,770	(119,298)	18,057,010
Insurance finance expenses		27.1	2,960,326	-	2,960,326	11,131	1,381,753	-	1,392,884
Total change in comprehensive income			(44,426,452)	829,581	(43,596,871)	4,736,669	14,832,523	(119,298)	19,449,894
Cashflows for the period									
Premiums received			64,686,191	-	64,686,191	-	-	-	-
Claims and expenses paid			-	-	-	(4,807,545)	(18,682,546)	(97,570)	(23,587,661)
Insurance acquisition costs paid		43(vii)	(7,011,644)	-	(7,011,644)	-	-	-	-
Total cash flows			57,674,547	-	57,674,547	(4,807,545)	(18,682,546)	(97,570)	(23,587,661)
Closing insurance contract liabilities- 31 Dec 2025			36,373,296	2,747,949	39,121,245	38,666	14,531,294	1,392,747	15,962,707

Notes to the consolidated and separate financial statements

16 Insurance contract liabilities

16.1 Reconciliation of the insurance contract balances under PAA and GMM for the Group as at 31 December 2024

		Liability for Remaining Coverage (LRC)			Liability for incurred claims (LIC)			Grand Total		
		Excluding Loss Component	Loss Component	Total	LIC for contract not measured under PAA	LIC for contract measured under PAA				
						Estimates of present value of future cashflows	Risk Adjustment		Total	
<i>In thousands of naira</i>										
Opening Insurance contract liabilities		21,848,755	446,179	22,294,933	184,803	11,700,526	993,777	12,879,106	35,174,039	
Insurance revenue		24	(38,669,485)	-	(38,669,485)	-	-	-	-	(38,669,485)
Insurance service expenses										
Incurred claims and other attributable expense		25	-	-	-	1,372,079	14,434,637	-	15,806,716	15,806,716
Other attributable expenses		25	-	-	-	-	-	-	-	-
Amortisation of insurance acquisition cash flows		25	5,015,181	-	5,015,181	-	-	-	-	5,015,181
Changes related to current service:			-	-	-	-	-	-	-	-
Changes related to future service- Loss Component: losses and reversal of losses on Loss Component contracts		25	-	1,472,190	1,472,190	-	-	-	-	1,472,190
Changes related to past service: Changes in RA and BEL related to LIC		25	-	-	-	(75,260)	2,623,204	615,838	3,163,782	3,163,782
Total insurance service expenses		25	5,015,181	1,472,190	6,487,371	1,296,819	17,057,841	615,838	18,970,499	25,457,869
Investment components			(1,094,106)	-	(1,094,106)	1,094,106	-	-	1,094,106	-
			3,921,075	1,472,190	5,393,265	2,390,925	17,057,841	615,838	20,064,604	25,457,869
Insurance finance expenses		27.1	(258,453)	-	(258,453)	-	739,753	-	739,753	481,300
Total change in comprehensive income			(35,006,862)	1,472,190	(33,534,673)	2,390,925	17,797,594	615,838	20,804,357	(12,730,316)
<i>Cashflows for the period</i>										
Premiums received			41,434,202	-	41,434,202	-	-	-	-	41,434,202
Claims and expenses paid			-	-	-	(2,466,185)	(11,100,788)	(16,015)	(13,582,989)	(13,582,989)
Insurance acquisition costs paid		43(vii)	(5,150,894)	-	(5,150,894)	-	-	-	-	(5,150,894)
Total cash flows			36,283,309	-	36,283,309	(2,466,185)	(11,100,788)	(16,015)	(13,582,989)	22,700,320
Closing insurance contract liabilities- 31 Dec 2024			23,125,201	1,918,368	25,043,569	109,542	18,397,332	1,593,600	20,100,475	45,144,044

Notes to the consolidated and separate financial statements

16 Insurance contract liabilities

16.1 Reconciliation of the insurance contract balances under PAA and GMM for the Company as at 31 December 2025

		Liability for Remaining Coverage (LRC)			Liability for incurred claims (LIC)			Grand Total		
		Excluding Loss Component	Loss Component	Total	LIC for contract not measured under PAA	LIC for contract measured under PAA				
						Estimates of present value of future cashflows	Risk Adjustment		Total	
In thousands of naira										
Opening Insurance contract liabilities		21,757,582	1,918,368	23,675,950	109,542	12,828,394	1,223,191	14,161,128	37,837,078	
Insurance revenue		24	(41,602,222)	-	(41,602,222)	-	-	-	(41,602,222)	
Insurance service expenses										
Incurred claims and other attributable expense		25	-	-	-	1,506,688	8,212,719	-	9,719,407	9,719,407
Other attributable expenses		25	-	-	-	-	-	-	-	-
Amortisation of insurance acquisition cash flows		25	6,119,743	-	6,119,743	-	-	-	-	6,119,743
Changes related to future service- Loss Component: losses and reversal of losses on Loss Component contracts		25	-	829,581	829,581	-	-	-	-	829,581
Changes related to past service: Changes in RA and BEL related ti LIC		25	-	-	-	281,258	(103,478)	21,598	199,377	199,377
Total insurance service expenses		25	6,119,743	829,581	6,949,324	1,787,945	8,109,241	21,598	9,918,784	16,868,109
Investment components			(2,937,592)	-	(2,937,592)	2,937,592	-	-	2,937,592	-
			3,182,151	829,581	4,011,732	4,725,538	8,109,241	21,598	12,856,377	16,868,109
Insurance finance expenses		27.1	2,960,326	-	2,960,326	11,131	1,031,680	-	1,042,811	4,003,138
Total change in comprehensive income			(35,459,745)	829,581	(34,630,164)	4,736,669	9,140,921	21,598	13,899,188	(20,730,976)
Cashflows for the period										
Premiums received			52,634,457	-	52,634,457	-	-	-	-	52,634,457
Claims and expenses paid			-	-	-	(4,807,545)	(9,366,868)	7,859	(14,166,554)	(14,166,554)
Insurance acquisition costs paid		43(vii)	(6,119,743)	-	(6,119,743)	-	-	-	-	(6,119,743)
Total cash flows			46,514,714	-	46,514,714	(4,807,545)	(9,366,868)	7,859	(14,166,554)	32,348,160
Closing insurance contract liabilities- 31 Dec 2025			32,812,551	2,747,949	35,560,500	38,666	12,602,447	1,252,648	13,893,761	49,454,262

Notes to the consolidated and separate financial statements

16 Insurance contract liabilities

Reconciliation of the insurance contract balances under PAA and GMM for the Company as at 31 December 2024

16.1

		Liability for Remaining Coverage (LRC)			Liability for incurred claims (LIC)			Grand Total	
		Excluding Loss Component	Loss Component	Total	LIC for contract not measured under PAA	LIC for contract measured under PAA			
						Estimates of present value of future cashflows	Risk Adjustment		Total
<i>In thousands of naira</i>									
Opening Insurance contract liabilities		20,199,588	446,179	20,645,767	184,803	9,608,470	772,384	10,565,657	31,211,424
Insurance revenue		(30,365,388)	-	(30,365,388)	-	-	-	-	(30,365,388)
Insurance service expenses	24								
Incurred claims and other attributable expense		-	-	-	1,372,079	9,968,327	-	11,340,406	11,340,406
Other attributable expenses	25	-	-	-	-	-	-	-	-
Amortisation of insurance acquisition cash flows	25	3,383,119	-	3,383,119	-	-	-	-	3,383,119
Changes related to current service:	25								
Changes related to future service- Loss Component: losses and reversal of losses on Loss Component contracts		-	1,472,190	1,472,190	-	-	-	-	1,472,190
Changes related to past service: Changes in RA and BEL related to LIC	25	-	-	-	(75,260)	2,227,932	434,791	2,587,463	2,587,463
Total insurance service expenses	25	3,383,119	1,472,190	4,855,309	1,296,819	12,196,259	434,791	13,927,870	18,783,178
Investment components	25	(1,094,106)	-	(1,094,106)	1,094,106	-	-	1,094,106	-
		2,289,013	1,472,190	3,761,203	2,390,925	12,196,259	434,791	15,021,975	18,783,178
Insurance finance expenses		835,653	-	835,653	-	(299,050)	-	(299,050)	536,603
Total change in comprehensive income	27.1	(27,240,722)	1,472,190	(25,768,533)	2,390,925	11,897,210	434,791	14,722,926	(11,045,607)
<i>Cashflows for the period</i>									
Premiums received		32,181,835	-	32,181,835	-	-	-	-	32,181,835
Claims and expenses paid		-	-	-	(2,466,185)	(8,661,270)	-	(11,127,455)	(11,127,455)
Insurance acquisition costs paid	43(vii)	(3,383,120)	-	(3,383,120)	-	-	-	-	(3,383,120)
Total cash flows	25	28,798,716	-	28,798,716	(2,466,185)	(8,661,270)	-	(11,127,455)	17,671,260
Closing insurance contract liabilities- 31 Dec 2024		21,757,582	1,918,368	23,675,950	109,542	12,844,410	1,207,176	14,161,128	37,837,078

Notes to the consolidated and separate financial statements

16 Insurance contract liabilities

16.2 The Age Analysis of Liability for incurred Claims (excluding IBNR) as at 31 December 2025 is as follows:

Outstanding claims

In thousands of naira

Days	Group		Company	
	Count	Amount	Count	Amount
0-90 days	579	1,586,848	491	1,473,843
91-180 days	376	1,059,532	274	1,001,364
181-270 days	341	606,865	282	558,114
271-365 days	338	805,586	252	648,002
Above 365 days	1,594	4,419,686	1,164	4,067,679
Total	3,229	8,478,517	2,463	7,749,003

The Age Analysis of Liability for incurred Claims (excluding IBNR) as at 31 December 2024 is as follows:

Outstanding claims

Days	Group		Company	
	Count	Amount	Count	Amount
0-90 days	726	1,560,982	607	1,344,597
91-180 days	365	2,434,844	273	675,769
181-270 days	242	512,218	195	454,154
271-365 days	240	474,469	178	365,629
Above 365 days	2,897	5,662,147	2,506	4,967,293
Total	4,470	10,644,659	3,759	7,807,441

The Age Analysis and reasons of Liability for incurred Claims (excluding IBNR) as at 31 December 2025 is as follows:

Group

<i>In thousands of naira</i>	0-90 days		91-180 days		181-270 days		271-365 days		Above 365 days		Total	
	Count	₦'000	Count	₦'000	Count	₦'000	Count	₦'000	Count	₦'000	Count	₦'000
1 Discharged voucher signed and returned to policyholders (insurer)	90	112,976	-	-	-	-	-	-	16	15,603	106	128,579
2 Discharge vouchers not yet signed	36	122,235	9	2,102	-	-	-	-	66	37,534	111	161,871
3 Claims reported but incomplete documentation	101	554,402	331	762,091	333	580,104	331	682,199	1,268	4,011,743	2,363	6,590,539
4 Claims reported but being adjusted	332	533,114	5	13,715	3	6,761	4	10,903	151	187,249	495	751,742
5 Claims repudiated	-	-	-	-	-	-	-	-	21	11,817	21	11,817
6 Awaiting adjusters final report	20	264,121	30	278,623	-	-	1	100,592	72	154,739	123	798,076
7 Litigation awarded	-	-	-	-	-	-	-	-	-	-	-	-
8 Awaiting lead Insurer's instruction	-	-	-	-	-	-	-	-	-	-	-	-
9 Third party liability outstanding	-	-	1	3,000	6	20,000	2	11,892	1	1,000	10	35,892
10 Adjusters fee payable	-	-	-	-	-	-	-	-	-	-	-	-
	579	1,586,848	376	1,059,532	341	606,865	338	805,586	1,594	4,419,686	3,229	8,478,517

Notes to the consolidated and separate financial statements

16 Insurance contract liabilities

Company	0-90 days		91-180 days		181-270 days		271-365 days		Above 365 days		Total	
	Count	₦'000	Count	₦'000	Count	₦'000	Count	₦'000	Count	₦'000	Count	₦'000
1 Discharged voucher signed and returned to policyholders (insurer)	90	112,976	-	-	-	-	-	-	16	15,603	106	128,579
2 Discharge vouchers not yet signed	36	122,235	9	2,102	-	-	-	-	66	37,534	111	161,871
3 Claims reported but incomplete documentation	48	531,404	235	720,639	282	558,114	252	648,002	903	3,853,828	1,720	6,311,987
4 Claims reported but being adjusted	297	443,107	-	-	-	-	-	-	118	104,155	415	547,262
5 Claims repudiated	-	-	-	-	-	-	-	-	21	11,817	21	11,817
6 Awaiting adjusters final report	20	264,121	30	278,623	-	-	-	-	40	44,742	90	587,487
7 Litigation awarded	-	-	-	-	-	-	-	-	-	-	-	-
8 Awaiting lead Insurer's instruction	-	-	-	-	-	-	-	-	-	-	-	-
9 Third party liability outstanding	-	-	-	-	-	-	-	-	-	-	-	-
10 Adjusters fee payable	-	-	-	-	-	-	-	-	-	-	-	-
	491	1,473,843	274	1,001,364	282	558,114	252	648,002	1,164	4,067,679	2,463	7,749,003

The Age Analysis and reasons of Liability for incurred Claims (excluding IBNR) as at 31 December 2024 is as follows:
Group

	0-90 days		91-180 days		181-270 days		271-365 days		Above 365 days		Total	
	Count	₦'000	Count	₦'000	Count	₦'000	Count	₦'000	Count	₦'000	Count	₦'000
1 Discharged voucher signed and returned to policyholders (insurer)	37	76,107	-	-	6	87,194	1	2,700	1	560	45	166,561
2 Discharge vouchers not yet signed	44	44,343	-	-	-	-	1	1,200	2	1,349	47	46,892
3 Claims reported but incomplete documentation	518	713,278	277	2,016,613	164	144,137	182	161,553	2,499	1,602,295	3,640	4,637,875
4 Claims reported but being	76	667,495	55	135,876	59	135,356	43	280,095	285	1,267,756	518	2,486,578
5 Claims repudiated	2	2,544	-	-	-	-	-	-	40	16,491	42	19,034
6 Awaiting adjusters final report	2	13,408	2	140,846	3	130,099	2	15,300	8	2,560,252	17	2,859,905
7 Litigation awarded	-	-	1	118,000	-	-	-	-	13	177,100	14	295,100
8 Awaiting lead Insurer's instruction	-	-	1	88	-	-	-	-	-	-	1	88
9 Third party liability outstanding	47	43,808	29	23,420	10	15,432	11	13,620	49	36,345	146	132,625
10 Adjusters fee payable	-	-	-	-	-	-	-	-	-	-	-	-
	726	1,560,982	365	2,434,844	242	512,218	240	474,469	2,897	5,662,147	4,470	10,644,659

Notes to the consolidated and separate financial statements

16 Insurance contract liabilities

Company		0-90 days		91-180 days		181-270 days		271-365 days		Above 365 days		Total	
		Count	₦'000	Count	₦'000	Count	₦'000	Count	₦'000	Count	₦'000	Count	₦'000
1	Discharged voucher signed and returned to policyholders (insurer)	37	76,107	-	-	5	85,194	-	-	1	560	43	161,861
2	Discharge vouchers not yet signed	44	44,343	-	-	-	-	1	1,200	2	-	47	45,543
3	Claims reported but incomplete documentation	402	510,800	192	260,802	125	96,559	127	73,713	2,108	907,441	2,954	1,849,315
4	Claims reported but being adjusted	75	666,995	50	133,200	54	130,850	40	278,595	285	1,267,756	504	2,477,396
5	Claims repudiated	2	2,544	-	-	-	-	-	-	40	16,491	42	19,034
6	Awaiting adjusters final report	-	-	1	140,346	1	126,119	-	-	8	2,560,252	10	2,826,717
7	Litigation awarded	-	-	1	118,000	-	-	-	-	13	177,100	14	295,100
8	Awaiting lead Insurer's instruction	-	-	-	-	-	-	-	-	-	-	-	-
9	Third party liability outstanding	47	43,808	29	23,420	10	15,432	10	12,120	49	36,345	145	131,125
10	Adjusters fee payable	-	-	-	-	-	-	-	-	-	-	-	-
		607	1,344,597	273	675,769	195	454,154	178	365,629	2,506	4,965,944	3,759	7,806,092

Notes to the consolidated and separate financial statements

16 Insurance contract liabilities

Impact of insurance contracts recognized in the year

(i) December

Life risk	31-Dec-25			31-Dec-24		
	Non- onerous contracts originated	Onerous contracts originated	Total	Non- onerous contracts originated	Onerous contracts originated	Total
<i>In thousands of naira</i>						
Estimated of the present value of future cash outflows						
Insurance acquisition cash flows	-	-	-	43,615	69,869	113,484
Claims and other directly attributable expenses	6,640,684	-	6,640,684	869,962	859,999	1,729,961
Estimated of the present value of future cash outflows	6,640,684	-	6,640,684	913,577	929,868	1,843,445
Estimated of the present value of future cash inflows	7,416,144	-	7,416,144	1,101,402	929,559	2,030,961
Risk adjustment for non-financial risk	16.2	34,302	34,302	5,803	3,324	9,127
Contractual service margin	16.2	741,158	741,158	182,022	-	182,022
Increase in insurance contract liabilities from contracts recognised in the period	-	-	-	-	3,633	3,633

Expected recognition contractual service margin for insurance contracts issued

(ii) December 2024

CSM with positive sign

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Credit Life	Endowment	Total
Year 1	14,584	210,173	194,750	1,302,403	54	1,721,965
Year 2	40,775	258,335	149,109	604,184	211	1,052,613
Year 3	40,538	121,435	87,992	331,548	160	581,673
Year 4	40,193	64,506	32,277	641,115	99	778,190
Year 5	39,409	90,567	28,282	149,480	118	307,854
Year 6	40,114	106,896	27,279	31,528	141	205,958
Year 7	40,972	147,110	25,868	32,947	5,247	252,145
Year 8	41,271	81,069	23,554	36,346	-	182,241
Year 9	42,681	127,098	20,037	44,070	-	233,887
Year 10	42,188	160,456	21,718	57,207	-	281,569
Above Year 10	191,553	1,311,077	77,506	1,032,561	-	2,612,696
Total CSM	574,278	2,678,722	688,372	4,263,388	6,030	8,210,791

Notes to the consolidated and separate financial statements

16 Insurance contract liabilities

Company

<i>In thousands of naira</i>	0-90 days	91-180 days	181-270 days	271-365 days	Above 365 days	Total
Discharged voucher signed and returned to policyholders (insurer)	4,252	48,785	19,939	498	31,645	105,118
1 Discharge vouchers not yet signed	7,349	-	11,879	19,234	127,251	165,713
2 Claims reported but incomplete documentation	626,974	279,512	495,675	96,238	2,642,429	4,140,828
3 Claims reported but being adjusted	55,719	221,714	866	24,157	110,987	413,444
4 Claims repudiated	-	-	-	-	-	-
5 Awaiting adjusters final report	-	40,219	-	-	1,058,724	1,098,943
6 Litigation awarded	-	-	-	-	-	-
7 Awaiting lead Insurer's instruction	-	-	-	-	93,034	93,034
8 Third party liability outstanding	8,679	500	1,423	1,522	38,806	50,930
9 Adjusters fee payable	631	150	-	-	-	781
10	703,604	590,880	529,782	141,649	4,102,876	6,068,791

<i>Count</i>	0-90 days	91-180 days	181-270 days	271-365 days	Above 365 days	Total
Discharged voucher signed and returned to policyholders (insurer)	5	2	3	2	4	16
1 Discharge vouchers not yet signed	8	-	9	30	1	48
2 Claims reported but incomplete documentation	337	183	150	154	3,077	3,901
3 Claims reported but being adjusted	38	6	2	6	32	84
4 Claims repudiated	-	-	-	-	-	-
5 Awaiting adjusters final report	-	1	-	-	6	7
6 Litigation awarded	-	-	-	-	-	-
7 Awaiting lead Insurer's instruction	-	-	-	-	1	1
8 Third party liability outstanding	10	1	4	4	46	65
9 Adjusters fee payable	2	1	-	-	-	3
10	400	194	168	196	3,167	4,125

Notes to the consolidated and separate financial statements

16.2 Insurance contracts

Reconciliation of the measurement components of insurance contract balances by Product for the Company

Portfolios measured using the GMM Model

Company

31 December 2025

31 December 2024

Reconciliation of carrying amounts by LRC/LIC: insurance

In thousands of naira	Insurance Contract Liabilities (ICL)				Insurance Contract Liabilities (ICL)			
	Liability for Remaining Coverage (LRC)		Liability for incurred Claims LIC	Total	Liability for Remaining Coverage (LRC)		Liability for incurred Claims LIC	Total
	Non-onerous	Onerous			Non-onerous	Onerous		
Opening insurance contract liabilities	11,857,475	1,918,368	109,542	13,885,385	11,342,311	446,179	184,803	11,973,293
Insurance revenue	(5,727,282)	-	-	(5,727,282)	(3,256,420)	-	-	(3,256,420)
Insurance service expenses	-	-	-	-	-	-	-	-
incurred claims and other expenses	330,885	-	1,506,688	1,837,573	-	(278,993)	1,372,079	1,093,087
Amortisation of insurance acquisition cash flows	-	-	-	-	(19,679)	-	-	(19,679)
Changes related to future service- Loss Component: losses and reversal of losses on Loss Component contracts	-	829,581	-	829,581	-	1,751,182	(75,260)	1,675,922
Changes related to past service: Changes in RA and BEL related to LIC (Note 2)	-	-	281,258	281,258	-	-	-	-
Total Insurance service expenses	330,885	829,581	1,787,945	2,948,412	(19,679)	1,472,190	1,296,819	2,749,330
Investment components	(2,937,592)	-	2,937,592	-	(1,094,106)	-	1,094,106	-
Insurance service result	(8,333,989)	829,581	4,725,538	(23,265)	(4,370,204)	1,472,190	2,390,925	(23,265)
Insurance finance expenses	2,960,326	-	11,131	2,971,457	835,653	-	-	835,653
Total change in comprehensive income	(5,373,662)	829,581	4,736,669	(18,393)	(3,534,552)	1,472,190	2,390,925	(18,393)
premiums received	10,304,816	-	-	10,304,816	4,030,036	-	-	4,030,036
Claims and expenses paid	-	-	(4,741,678)	(4,741,678)	-	-	(2,466,185)	(2,466,185)
Acquisition costs paid	(330,885)	-	-	(330,885)	19,679	-	-	19,679
Total cash flows	9,973,931	-	(4,741,678)	5,232,253	4,049,715	-	(2,466,185)	1,583,530
Closing insurance contract liabilities	16,457,743	2,747,949	104,534	19,310,226	11,857,475	1,918,368	109,542	13,885,385

Notes to the consolidated and separate financial statements

Reconciliation of carrying amounts by BEL/RA/CSM: insurance	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Opening insurance contract liabilities	10,487,309	143,500	3,254,577	13,885,385	9,688,945	121,443	2,162,905	11,973,293
Changes related to current services								
CSM for service provided	-	-	(3,260,494)	(3,260,494)	-	-	(1,721,965)	(1,721,965)
Risk Adjustment release for expired risks	-	76,796	-	76,796	-	(5,863)	-	(5,863)
Experience adjustments	(706,011)	-	-	(706,011)	(455,184)	-	-	(455,184)
Total changes related to current services	(706,011)	76,796	(3,260,494)	(3,889,709)	(455,184)	(5,863)	(1,721,965)	(2,183,012)
Changes related to future services								
New contracts recognised	(775,460)	34,302	741,158	-	(187,518)	9,127	182,024	3,633
Changes in estimates reflected in CSM	(387,967)	23,849	364,118	-	(2,328,472)	(3,878)	2,332,350	-
Changes in estimates resulting in contract losses	809,825	19,757	-	829,581	1,724,879	22,671	-	1,747,550
Total changes related to future services	(353,603)	77,908	1,105,276	829,581	(791,111)	27,919	2,514,374	1,751,182
Changes that relate to past service								
Adjustments to liabilities for incurred claims	281,258	-	-	281,258	(75,260)	-	-	(75,260)
Total changes that relate to past service	281,258	-	-	281,258	(75,260)	-	-	(75,260)
Insurance service result	(778,356)	154,704	(2,155,218)	(2,778,870)	(1,321,556)	22,056	792,409	(507,090)
Insurance finance expenses	2,376,739	-	594,718	2,971,457	536,390	-	299,262	835,653
Total change in comprehensive income	1,598,383	154,704	(1,560,500)	192,588	(785,165)	22,056	1,091,671	328,563
Total cash flows	5,232,253	-	-	5,232,253	1,583,530	-	-	1,583,530
Closing insurance contract liabilities	17,317,946	298,204	1,694,077	19,310,226	10,487,309	143,500	3,254,577	13,885,385

Endowment**31 December 2025****31 December 2024****Reconciliation of carrying amounts by LRC/LIC: insurance**

	Insurance Contract Liabilities (ICL)				Insurance Contract Liabilities (ICL)			
	Liability for Remaining Coverage (LRC)		Liability for incurred Claims LIC	Total	Liability for Remaining Coverage (LRC)		Liability for incurred Claims LIC	Total
	Non-onerous	Onerous			Non-onerous	Onerous		
In thousands of naira								
Opening insurance contract liabilities	38,326	25,974	-	64,301	41,402	-	-	41,402
Insurance revenue	(3,919)	-	-	(3,919)	253	-	-	253
Insurance service expenses	-	-	-	-	-	-	-	-
incurred claims and other expenses	-	-	75	75	-	(1,691)	58	(1,633)
Acquisition expenses	564	-	-	564	813	-	-	813
Changes related to future service- Loss Component: losses and reversal of losses on Loss Component contracts	-	28,054	-	28,054	-	27,665	-	27,665
Total Insurance service expenses	564	28,054	75	28,692	813	25,974	58	26,846
Investment components	(22,539)	-	22,539	-	(15,000)	-	15,000	-
Insurance service result	(25,894)	28,054	22,614	(23,265)	(13,934)	25,974	15,058	(23,265)
Insurance finance expenses	7,324	-	-	7,324	2,754	-	-	2,754
Total change in comprehensive income	(18,570)	28,054	22,614	(18,393)	(11,180)	25,974	15,058	(18,393)
premiums received	2,475	-	-	2,475	8,918	-	-	8,918
Claims and expenses paid	-	-	(22,614)	(22,614)	-	-	(15,058)	(15,058)
Acquisition costs paid	(564)	-	-	(564)	(813)	-	-	(813)
Total cash flows	1,911	-	(22,614)	(20,703)	8,104	-	(15,058)	(6,954)
Closing insurance contract liabilities	21,667	54,028	0	75,695	38,326	25,974	-	64,301

Notes to the consolidated and separate financial statements

Reconciliation of carrying amounts by BEL/RA/CSM: insurance	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Opening insurance contract liabilities	60,652	1,395	2,254	64,301	6,840	137	34,426	41,402
Changes related to current services								
CSM for service provided	-	-	(283)	(283)	-	-	(54)	(54)
Risk Adjustment release for expired risks	-	(1,322)	-	(1,322)	-	(67)	-	(67)
Experience adjustments	(1,676)	-	-	(1,676)	(445)	-	-	(445)
Total changes related to current services	(1,676)	(1,322)	(283)	(3,281)	(445)	(67)	(54)	(566)
Changes related to future services								
New contracts recognised	(744)	17	727	-	(2,239)	45	2,194	-
Changes in estimates reflected in CSM	(76)	11	65	-	38,274	746	(39,020)	-
Changes in estimates resulting in contract losses	26,531	1,523	-	28,054	27,130	535	-	27,665
Total changes related to future services	25,710	1,551	793	28,054	63,166	1,325	(36,826)	27,665
Changes that relate to past service								
Adjustments to liabilities for incurred claims	-	-	-	-	-	-	-	-
Total changes that relate to past service	-	-	-	-	-	-	-	-
Insurance service result	24,035	229	510	24,773	62,721	1,258	(36,880)	27,099
Insurance finance expenses	6,604	-	720	7,324	(1,955)	-	4,708	2,754
Total change in comprehensive income	30,639	229	1,230	32,097	60,766	1,258	(32,172)	29,853
Total cash flows	(20,703)	-	-	(20,703)	(6,954)	-	-	(6,954)
Closing insurance contract liabilities	70,588	1,624	3,484	75,695	60,652	1,395	2,254	64,301

Notes to the consolidated and separate financial statements

Protection

31 December 2025

31 December 2024

Reconciliation of carrying amounts by LRC/LIC: insurance

	Insurance Contract Liabilities (ICL)				Insurance Contract Liabilities (ICL)			
	Liability for Remaining Coverage (LRC)		Liability for incurred Claims LIC	Total	Liability for Remaining Coverage (LRC)		Liability for incurred Claims LIC	Total
	Non-onerous	Onerous			Non-onerous	Onerous		
In thousands of naira								
Opening insurance contract liabilities	1,691,143	149,889	31,934	1,872,966	1,424,430		7,592	1,432,022
Insurance revenue	(453,637)	-	-	(453,637)	(102,214)	-	-	(102,214)
Insurance service expenses	-	-	-	-	-	-	-	-
incurred claims and other expenses	-	-	42,714	42,714	-	(35,103)	64,306	29,203
Acquisition expenses	81,742	-	-	81,742	(126,062)	-	-	(126,062)
Loss Component: losses and reversal of losses on onerous contracts	-	336,898	-	336,898	-	184,993	-	184,993
Changes related to Liability for incurred claims	-	-	16,656	16,656	-	-	24,342	24,342
Total Insurance service expenses	81,742	336,898	59,370	478,011	(126,062)	149,889	88,648	112,475
Investment components	-	-	-	-	-	-	-	-
Insurance service result	(371,895)	336,898	59,370	(23,265)	(228,277)	149,889	88,648	(23,265)
Insurance finance expenses	465,045	-	3,245	468,290	52,622	-	-	52,622
Total change in comprehensive income	93,150	336,898	62,615	(18,393)	(175,655)	149,889	88,648	(18,393)
premiums received	452,806	-	-	452,806	316,305	-	-	316,305
Claims and expenses paid	-	-	(54,157)	(54,157)	-	-	(64,306)	(64,306)
Acquisition costs paid	(81,742)	-	-	(81,742)	126,062	-	-	126,062
Total cash flows	371,063	-	(54,157)	316,906	442,367	-	(64,306)	378,062
Closing insurance contract liabilities	2,155,356	486,787	40,392	2,682,535	1,691,143	149,889	31,934	1,872,966

Notes to the consolidated and separate financial statements

Reconciliation of the components of insurance contract liabilities

Reconciliation of carrying amounts by BEL/RA/CSM: insurance	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Opening insurance contract liabilities	814,492	17,999	1,040,475	1,872,966	23,733	323	1,407,966	1,432,022
Changes related to current services								
CSM for service provided	-	-	(104,683)	(104,683)	-	-	(210,173)	(210,173)
Risk Adjustment release for expired risks	-	(8,205)	-	(8,205)	-	(176)	-	(176)
Experience adjustments	(216,292)	-	-	(216,292)	11,275	-	-	11,275
Total changes related to current services	(216,292)	(8,205)	(104,683)	(329,181)	11,275	(176)	(210,173)	(199,074)
Changes related to future services								
New contracts recognised	(358,390)	15,261	343,129	-	(38,963)	2,235	36,728	-
Changes in estimates reflected in CSM	438,083	3,704	(441,788)	-	356,198	11,975	(368,173)	-
Changes in estimates resulting in contract losses	334,578	2,320	-	336,898	181,350	3,642	-	184,993
Total changes related to future services	414,271	21,285	(98,659)	336,898	498,586	17,852	(331,445)	184,993
Changes that relate to past service								
Adjustments to liabilities for incurred claims	16,656	-	-	16,656	24,342	-	-	24,342
Total changes that relate to past service	16,656	-	-	16,656	24,342	-	-	24,342
Insurance service result	214,635	13,080	(203,342)	24,373	534,203	17,676	(541,618)	10,261
Insurance finance expenses	248,305	-	219,984	468,290	(121,506)	-	174,128	52,622
Total change in comprehensive income	462,941	13,080	16,642	492,663	412,698	17,676	(367,491)	62,883
Total cash flows	316,906	-	-	316,906	378,062	-	-	378,062
Closing insurance contract liabilities	1,594,339	31,079	1,057,117	2,682,535	814,492	17,999	1,040,475	1,872,966

Notes to the consolidated and separate financial statements

Investment Linked

31 December 2025

31 December 2024

Reconciliation of carrying amounts by LRC/LIC: insurance

In thousands of naira	Insurance Contract Liabilities (ICL)				Insurance Contract Liabilities (ICL)			
	Liability for Remaining Coverage (LRC)		Liability for incurred Claims LIC	Total	Liability for Remaining Coverage (LRC)		Liability for incurred Claims LIC	Total
	Non-onerous	Onerous			Non-onerous	Onerous		
Opening insurance contract liabilities	4,288,413	236,279	4,218	4,528,910	3,272,959	408,816	38,109	3,719,884
Insurance revenue	(509,949)	-	-	(509,949)	(208,702)	-	-	(208,702)
Insurance service expenses	-	-	-	-	-	-	-	-
incurred claims and other expenses	-	-	30,920	30,920	-	(84,965)	8,683	(76,282)
Acquisition expenses	19,758	-	-	19,758	27,146	-	-	27,146
Loss Component: losses and reversal of losses on onerous contracts	-	(50,933)	-	(50,933)	-	(87,572)	-	(87,572)
Changes related to Liability for incurred claims	-	-	(429)	(429)	-	-	(33,891)	(33,891)
Total Insurance service expenses	19,758	(50,933)	30,491	(683)	27,146	(172,537)	(25,209)	(170,600)
Investment components	(2,915,053)	-	2,915,053	-	(1,079,106)	-	1,079,106	-
Insurance service result	(3,405,244)	(50,933)	2,945,544	(23,265)	(1,260,661)	(172,537)	1,053,897	(23,265)
Insurance finance expenses	883,169	-	429	883,597	640,770	-	-	640,770
Total change in comprehensive income	(2,522,075)	(50,933)	2,945,973	(18,393)	(619,891)	(172,537)	1,053,897	(18,393)
premiums received	2,662,810	-	-	2,662,810	1,662,491	-	-	1,662,491
Claims and expenses paid	-	-	(2,945,973)	(2,945,973)	-	-	(1,087,788)	(1,087,788)
Acquisition costs paid	(19,758)	-	-	(19,758)	(27,146)	-	-	(27,146)
Total cash flows	2,643,052	-	(2,945,973)	(302,921)	1,635,345	-	(1,087,788)	547,557
Closing insurance contract liabilities	4,409,389	185,346	4,218	4,598,953	4,288,413	236,279	4,218	4,528,910

Notes to the consolidated and separate financial statements

Reconciliation of the components of insurance contract liabilities

	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Reconciliation of carrying amounts by BEL/RA/CSM: insurance								
Opening insurance contract liabilities	4,210,443	1,554	316,912	4,528,910	3,470,520	8	249,355	3,719,884
Changes related to current services								
CSM for service provided	-	-	(338,288)	(338,288)	-	-	(194,750)	(194,750)
Risk Adjustment release for expired risks	-	(2,061)	-	(2,061)	-	(1,237)	-	(1,237)
Experience adjustments	(118,922)	-	-	(118,922)	(61,851)	-	-	(61,851)
Total changes related to current services	(118,922)	(2,061)	(338,288)	(459,271)	(61,851)	(1,237)	(194,750)	(257,838)
Changes related to future services								
New contracts recognised	(11,556)	2,344	9,212	-	(44,615)	1,469	43,146	-
Changes in estimates reflected in CSM	(448,675)	125	448,550	-	(178,989)	726	178,264	-
Changes in estimates resulting in contract losses	(50,605)	(328)	-	(50,933)	(88,161)	588	-	(87,572)
Total changes related to future services	(510,837)	2,142	457,762	(50,933)	(311,765)	2,783	221,410	(87,572)
Changes that relate to past service								
Adjustments to liabilities for incurred claims	(429)	-	-	(429)	(33,891)	-	-	(33,891)
Total changes that relate to past service	(511,265)	2,142	457,762	(51,361)	(345,656)	2,783	221,410	(121,464)
Insurance service result	(630,187)	80	119,474	(510,633)	(407,507)	1,546	26,660	(379,301)
Insurance finance expenses	843,282	-	40,315	883,597	599,873	-	40,897	640,770
Total change in comprehensive income	213,095	80	159,790	372,965	192,366	1,546	67,557	261,469
Total cash flows	(302,921)	-	-	(302,921)	547,557	-	-	547,557
Closing insurance contract liabilities	4,120,617	1,634	476,702	4,598,953	4,210,443	1,554	316,912	4,528,910

Notes to the consolidated and separate financial statements

Credit Life

31 December 2025

31 December 2024

Reconciliation of carrying amounts by LRC/LIC: insurance

	Insurance Contract Liabilities (ICL)				Insurance Contract Liabilities (ICL)			
	Liability for Remaining Coverage (LRC)		Liability for incurred Claims LIC	Total	Liability for Remaining Coverage (LRC)		Liability for incurred Claims LIC	Total
	Non-onerous	Onerous			Non-onerous	Onerous		
In thousands of naira								
Opening insurance contract liabilities	1,501,014	1,013,438	73,391	2,587,843	2,351,249	37,363	139,102	2,527,714
Insurance revenue	(3,435,226)	-	-	(3,435,226)	(2,249,583)	-	-	(2,249,583)
Insurance service expenses	-	-	-	-	-	-	-	-
incurred claims and other expenses	-	-	263,778	263,778	-	(60,880)	556,814	495,933
Acquisition expenses	30,217	-	-	30,217	43,978	-	-	43,978
Loss Component: losses and reversal of losses on onerous contracts	-	254,074	-	254,074	-	1,036,955	-	1,036,955
Changes related to Liability for incurred claims	-	-	265,030	265,030	-	-	(65,711)	(65,711)
Total Insurance service expenses	30,217	254,074	528,808	813,099	43,978	976,075	491,102	1,511,155
Investment components	-	-	-	-	-	-	-	-
Insurance service result	(3,405,009)	254,074	528,808	(23,265)	(2,205,605)	976,075	491,102	(23,265)
Insurance finance expenses	539,622	-	7,458	547,079	247,112	-	-	247,112
Total change in comprehensive income	(2,865,387)	254,074	536,266	(18,393)	(1,958,493)	976,075	491,102	(18,393)
premiums received	1,217,719	-	-	1,217,719	1,152,236	-	-	1,152,236
Claims and expenses paid	-	-	(549,733)	(549,733)	-	-	(556,814)	(556,814)
Acquisition costs paid	(30,217)	-	-	(30,217)	(43,978)	-	-	(43,978)
Total cash flows	1,187,503	-	(549,733)	637,770	1,108,258	-	(556,814)	551,445
Closing insurance contract liabilities	(176,871)	1,267,512	59,924	1,150,566	1,501,014	1,013,438	73,391	2,587,843

Notes to the consolidated and separate financial statements

Reconciliation of the components of insurance contract liabilities

	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Reconciliation of carrying amounts by BEL/RA/CSM: insurance								
Opening insurance contract liabilities	887,991	18,736	1,681,116	2,587,843	2,190,762	41,033	295,919	2,527,714
Changes related to current services								
CSM for service provided	-	-	(2,787,545)	(2,787,545)	-	-	(1,302,403)	(1,302,403)
Risk Adjustment release for expired risks	-	(7,472)	-	(7,472)	-	(3,251)	-	(3,251)
Experience adjustments	(346,214)	-	-	(346,214)	(404,019)	-	-	(404,019)
Total changes related to current services	(346,214)	(7,472)	(2,787,545)	(3,141,231)	(404,019)	(3,251)	(1,302,403)	(1,709,672)
Changes related to future services								
New contracts recognised	(288,183)	7,970	280,213	-	309	3,324	-	3,633
Changes in estimates reflected in CSM	(569,353)	6,480	562,873	-	(2,625,303)	(26,527)	2,651,829	-
Changes in estimates resulting in contract losses	255,364	(1,290)	-	254,074	1,029,166	4,156	-	1,033,323
Total changes related to future services	(602,172)	13,160	843,086	254,074	(1,595,828)	(19,047)	2,651,829	1,036,955
Changes that relate to past service								
Adjustments to liabilities for incurred claims	265,030	-	-	265,030	(65,711)	-	-	(65,711)
Total changes that relate to past service	(337,142)	13,160	843,086	519,104	(1,661,539)	(19,047)	2,651,829	971,244
Insurance service result	(683,356)	5,688	(1,944,459)	(2,622,127)	(2,065,557)	(22,297)	1,349,426	(738,428)
Insurance finance expenses	279,429	-	267,650	547,079	211,342	-	35,770	247,112
Total change in comprehensive income	(403,926)	5,688	(1,676,809)	(2,075,047)	(1,854,215)	(22,297)	1,385,197	(491,316)
Total cash flows	637,770	-	-	637,770	551,445	-	-	551,445
Closing insurance contract liabilities	1,121,835	24,424	4,307	1,150,566	887,991	18,736	1,681,116	2,587,843

Notes to the consolidated and separate financial statements

Annuity

31 December 2025

31 December 2024

Reconciliation of carrying amounts by LRC/LIC: insurance

	Insurance Contract Liabilities (ICL)				Insurance Contract Liabilities (ICL)			
	Liability for Remaining Coverage (LRC)		Liability for incurred Claims LIC	Total	Liability for Remaining Coverage (LRC)		Liability for incurred Claims LIC	Total
	Non-onerous	Onerous			Non-onerous	Onerous		
In thousands of naira								
Opening insurance contract liabilities	4,338,578	492,788	-	4,831,367	4,252,271	-	-	4,252,271
Insurance revenue	(1,324,550)	-	-	(1,324,550)	(696,174)	-	-	(696,174)
Insurance service expenses	-	-	-	-	-	-	-	-
incurred claims and other expenses	-	-	1,169,201	1,169,201	-	(96,354)	742,219	645,865
Acquisition expenses	198,604	-	-	198,604	34,447	-	-	34,447
Loss Component: losses and reversal of losses on onerous contracts	-	261,488	-	261,488	-	589,142	-	589,142
Changes related to Liability for incurred claims	-	-	-	-	-	-	-	-
Total Insurance service expenses	198,604	261,488	1,169,201	1,629,293	34,447	492,788	742,219	1,269,454
Investment components	-	-	-	-	-	-	-	-
Insurance service result	(1,125,946)	261,488	1,169,201	(23,265)	(661,727)	492,788	742,219	(23,265)
Insurance finance expenses	1,065,167	-	-	1,065,167	(107,605)	-	-	(107,605)
Total change in comprehensive income	(60,779)	261,488	1,169,201	(18,393)	(769,333)	492,788	742,219	(18,393)
premiums received	5,969,006	-	-	5,969,006	890,087	-	-	890,087
Claims and expenses paid	-	-	(1,169,201)	(1,169,201)	-	-	(742,219)	(742,219)
Acquisition costs paid	(198,604)	-	-	(198,604)	(34,447)	-	-	(34,447)
Total cash flows	5,770,402	-	(1,169,201)	4,601,201	855,640	-	(742,219)	113,421
Closing insurance contract liabilities	10,048,201	754,276	-	10,802,477	4,338,578	492,788	-	4,831,367

Notes to the consolidated and separate financial statements

Reconciliation of the components of insurance contract liabilities

Reconciliation of carrying amounts by BEL/RA/CSM: insurance	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Opening insurance contract liabilities	4,513,731	103,816	213,820	4,831,367	3,997,090	79,942	175,240	4,252,271
Changes related to current services								
CSM for service provided	-	-	(29,694)	(29,694)	-	-	(14,584)	(14,584)
Risk Adjustment release for expired risks	-	95,856	-	95,856	-	(1,132)	-	(1,132)
Experience adjustments	(22,907)	-	-	(22,907)	(146)	-	-	(146)
Total changes related to current services	(22,907)	95,856	(29,694)	43,255	(146)	(1,132)	(14,584)	(15,862)
Changes related to future services								
New contracts recognised	(116,587)	8,711	107,876	-	(102,010)	2,054	99,956	-
Changes in estimates reflected in CSM	192,054	13,528	(205,582)	-	81,348	9,202	(90,550)	-
Changes in estimates resulting in contract losses	243,956	17,532	-	261,488	575,393	13,749	-	589,142
Total changes related to future services	319,423	39,771	(97,706)	261,488	554,730	25,006	9,406	589,142
Changes that relate to past service								
Adjustments to liabilities for incurred claims	-	-	-	-	-	-	-	-
Total changes that relate to past service	319,423	39,771	(97,706)	261,488	554,730	25,006	9,406	589,142
Insurance service result	296,516	135,627	(127,400)	304,743	554,584	23,874	(5,179)	573,280
Insurance finance expenses	999,119	-	66,048	1,065,167	(151,364)	-	43,759	(107,605)
Total change in comprehensive income	1,295,635	135,627	(61,352)	1,369,910	403,220	23,874	38,580	465,675
Total cash flows	4,601,201	-	-	4,601,201	113,421	-	-	113,421
Closing insurance contract liabilities	10,410,567	239,443	152,467	10,802,477	4,513,731	103,816	213,820	4,831,367

Portfolios measured using the PAA Model
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Reconciliation of carrying amounts by LRC/LIC: insurance	Liability for Remaining Coverage (LRC)		Liability for incurred claims (LIC)		Insurance Contract Liabilities (ICL)	Liability for Remaining Coverage (LRC)		Liability for incurred claims (LIC)		Insurance Contract Liabilities (ICL)
	Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment		Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment	
Opening insurance contract liabilities	9,900,107	-	12,844,410	1,207,176	23,951,692	8,857,277	-	9,608,470	772,384	19,238,132
Insurance revenue	(35,874,941)	-	-	-	(35,874,941)	(27,108,969)	-	-	-	(27,108,969)
Insurance service expenses	-	-	-	-	-	-	-	-	-	-
incurred claims and other expenses	-	-	8,183,262	29,457	8,212,719	-	-	9,968,327	-	9,968,327
Acquisition expenses	5,788,858	-	-	-	5,788,858	3,402,798	-	-	-	3,402,798
Changes related to future service	-	-	-	-	-	-	-	-	-	-
Changes related to past service	-	-	(81,881)	-	(81,881)	-	-	2,227,932	434,791	2,662,724
Total Insurance service expenses	5,788,858	-	8,101,382	29,457	13,919,697	3,402,798	-	12,196,259	434,791	8,163,011
Investment components	-	-	-	-	-	-	-	-	-	-
Insurance service result	(30,086,083)	-	8,101,382	29,457	(21,955,244)	(23,706,171)	-	12,196,259	434,791	(11,075,120)
Insurance finance expenses	-	-	1,031,680	-	1,031,680	-	-	(299,050)	-	-
Total change in comprehensive income	(30,086,083)	-	9,133,062	29,457	(20,923,564)	(23,706,171)	-	11,897,210	434,791	(11,374,170)
Premiums received	42,329,641	-	-	-	42,329,641	28,151,799	-	-	-	28,151,799
Claims and expenses paid	-	-	(9,424,876)	-	(9,424,876)	-	-	(8,661,270)	-	(8,661,270)
Acquisition costs paid	(5,788,858)	-	-	-	(5,788,858)	(3,402,798)	-	-	-	(3,402,798)
Total cash flows	36,540,784	-	(9,424,876)	-	27,115,907	24,749,001	-	(8,661,270)	-	16,087,730
Closing insurance contract liabilities	16,354,808	-	12,552,595	1,236,633	30,144,036	9,900,107	-	12,844,410	1,207,176	23,951,692

Notes to the consolidated and separate financial statements

17 Reinsurance Contracts Liabilities

<i>In thousands of naira</i>	Notes	Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Liabilities for remaining coverage	17.1	92,832	167,897	92,832	167,897
Amount recoverable for incurred claims	17.1	-	(24,278)	-	(24,278)
		92,832	143,619	92,832	143,619
Current		92,832	167,897	92,832	167,897
Non-current		-	(24,278)	-	(24,278)
		92,832	143,619	92,832	143,619

17.1 Reconciliation of the re-insurance contract liabilities measured under GMM for the Group and Company as at 31 December 2025

<i>In thousands of naira</i>		Liabilities for Remaining Coverage (LRC)		Liabilities for Incurred Claims (LIC)		Total
		Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment	
Opening liabilities		167,898	-	(24,278)	-	143,619
Transfer to reinsurance contract assets	10.1	(110,123)	-	24,278	-	(85,845)
Changes in the statement of profit or loss and OCI						
Allocation of reinsurance premiums paid	26	3,643	-	-	-	3,643
Insurance service expenses		-	-	-	-	-
Recoveries of incurred claims and other attributable income		-	-	-	-	-
Effects of changes related to current service: Experience adjustments and changes in RA for non financial risk		-	-	-	-	-
Changes related to past service						
<i>changes in BEL related to reinsurance AIC</i>		-	-	-	-	-
<i>changes in RA related to reinsurance AIC</i>		-	-	-	-	-
Net expenses from reinsurance contracts		3,643	-	-	-	3,643
Net finance income/(expense) from reinsurance contracts	27.2	3,647	-	-	-	3,647
Total changes in the statement of profit or loss and OCI		7,290	-	-	-	7,290
<i>Cashflows for the period</i>						
Reinsurance premiums paid	43	27,768	-	-	-	27,768
Amounts received under reinsurance contracts held		-	-	-	-	-
Total cash flows		27,768	-	-	-	27,768
Closing liabilities		92,832	-	-	-	92,832

17.1 Reconciliation of the re-insurance contract liabilities measured under GMM for the Group and Company as at 31 December 2024

<i>In thousands of naira</i>		Liabilities for Remaining Coverage (LRC)		Liabilities for Incurred Claims (LIC)		Total
		Non-onerous	Onerous	Estimates of present value of future cashflows	Risk Adjustment	
Opening liabilities		-	-	-	-	-
Transfer from reinsurance contract assets	10.1	237,285	-	(8,154)	-	229,131
Changes in the statement of profit or loss and OCI						
Allocation of reinsurance premiums paid	26	(118,746)	-	-	-	(118,746)
Recoveries of incurred claims and other attributable income	26	-	-	(182,220)	-	(182,220)
Amortisation of commission income	26	-	-	(29,255)	-	(29,255)
Changes related to past service						
<i>changes in BEL related to reinsurance AIC</i>		-	-	-	-	-
<i>changes in RA related to reinsurance AIC</i>		-	-	-	-	-
Net expenses from reinsurance contracts		(118,746)	-	(211,475)	-	(330,220)
Net finance income/(expense) from reinsurance contracts	27.2	5,863	-	-	-	5,863
Total changes in the statement of profit or loss and OCI		(112,882)	-	(211,475)	-	(324,357)
<i>Cashflows for the period</i>						
Reinsurance premiums paid (Note 44(iv))		64,339	-	-	-	64,339
Amounts received under reinsurance contracts held		-	-	195,351	-	195,351
Commission income		(20,844)	-	-	-	(20,844)
Total cash flows		43,495	-	195,351	-	238,846
Closing liabilities		167,898	-	(24,278)	-	143,619

17.2 Reinsurance contracts
Movements in reinsurance contract balances

Reconciliation of the measurement components of reinsurance contract balances by Product for the Group and Company

Portfolios measured using the GMM Model

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	Liabilities for Remaining Coverage (LRC)		Liabilities for incurred claims	Reinsurance Contract Liabilities (RCL)	Liabilities for Remaining Coverage (LRC)		Liabilities for incurred Claims	Reinsurance Contract Liabilities (RCL)
	Non-onerous	Onerous			Non-onerous	Onerous		
Reconciliation of carrying amounts by ARC/AIC: reinsurance								
Opening Liabilities	(167,897)	-	24,278	(143,619)	(239,621)	-	8,154	(231,466)
Transfer to reinsurance contract assets	110,123	-	(24,278)	85,845	-	-	-	-
Changes in the statement of profit or loss and OCI								
Allocation of reinsurance premiums paid	(3,643)	-	-	(3,643)	121,436	-	-	121,436
Recoveries of incurred claims and other attributable income	-	-	-	-	-	-	182,220	182,220
Commission income	-	-	-	-	-	-	29,255	29,255
Total reinsurance service expenses	(3,643)	-	-	(3,643)	121,436	-	211,475	332,911
Investment components	-	-	-	-	-	-	-	-
Net expenses from reinsurance contracts	(3,643)	-	-	(3,643)	121,436	-	211,475	332,911
Net finance income from reinsurance contracts	(3,647)	-	-	(3,647)	(6,218)	-	-	(6,218)
Total changes in the statement of profit or loss and OCI	(7,290)	-	-	(7,290)	115,218	-	211,475	326,693
<i>Cashflows for the period</i>								
Reinsurance premiums paid	(32,210)	-	-	(32,210)	(64,339)	-	-	(64,339)
Amounts received under reinsurance contracts held	-	-	-	-	-	-	(195,351)	(195,351)
Commission income	4,442	-	-	4,442	20,844	-	-	20,844
Total cash flows	(27,768)	-	-	(27,768)	(43,495)	-	(195,351)	(238,846)
Closing assets	(92,832)	-	-	(92,832)	(167,897)	-	24,278	(143,619)

Reconciliation of the components of reinsurance contract assets*Assets with positive sign, liabilities with negative sign*

Reconciliation of carrying amounts by BEL/RA/CSM: reinsurance	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Opening Liabilities	48,429 (58,721)	1,375 (792)	(193,423) 145,358	(143,619) 85,845	293,671	5,710	(530,847)	
Effects of changes related to current services								
CSM recognised for services received	-	-	6,420	6,420	-	-	194,676	194,676
Change in risk adjustment for non-financial risk for risk expired	-	(126)	-	(126)	-	(2,169)	-	(2,169)
Experience adjustments	(9,937)	-	-	(9,937)	124,280	-	-	124,280
Total changes related to current services	(9,937)	(126)	6,420	(3,643)	124,280	(2,169)	194,676	316,787
Effects of changes related to future services								
New contracts recognised	(1,088)	83	1,005	-	(42,235)	886	41,350	-
Changes in estimates reflected in CSM	45,804	(42)	(45,763)	-	(143,565)	(3,052)	146,618	
Changes in estimates resulting in contract losses	-	-	-	-	-	-	-	-
Total changes related to future services	44,716	41	(44,757)	-	(185,801)	(2,167)	187,967	
Changes that relate to past service								
Adjustments to liabilities for incurred claims	-	-	-	-	29,255	-	-	29,255
Total changes that relate to past service	-	-	-	-	29,255	-	-	29,255
Net income/(expenses) from reinsurance contracts held	34,779	(85)	(38,338)	(3,643)	(32,266)	(4,335)	382,643	346,042
Net finance income from reinsurance contracts	2,356	-	(6,002)	(3,647)	39,001	-	(45,220)	(6,218)
Total changes in the statement of profit or loss and OCI	37,135	(85)	(44,340)	(7,290)	6,735	(4,335)	337,424	339,824
Total cash flows	(27,768)	-	-	(27,768)	(251,976)	-	-	(251,976)
Closing assets	(925)	498	(92,405)	(92,832)	48,429	1,375	(193,423)	(143,619)

17.2.1 Protection

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Reconciliation of the liabilities for remaining coverage and the liabilities for incurred claims for reinsurance contracts

	Liabilities for Remaining Coverage (LRC)			Liabilities for incurred claims			Total		
	Non-onerous			Onerous			Non-onerous		
	Non-onerous			Onerous			Non-onerous		
Reconciliation of carrying amounts by LRC/LIC: reinsurance									
Opening liabilities	(57,774)	-	-	(57,774)	(51,152)	-	-	(51,152)	
Changes in the statement of profit or loss and OCI									
Allocation of reinsurance premiums paid	(3,643)	-	-	(3,643)	7,805	-	-	7,805	
Recoveries of incurred claims and other attributable income	-	-	-	-	-	-	-	-	
Commission income	-	-	-	-	-	-	-	-	
Net expenses from reinsurance contracts	(3,643)	-	-	(3,643)	7,805	-	-	7,805	
Net finance income from reinsurance contracts	(3,647)	-	-	(3,647)	(5,364)	-	-	(5,364)	
Total changes in the statement of profit or loss and OCI	(7,290)	-	-	(7,290)	2,440	-	-	2,440	
Cashflows for the period									
Reinsurance premiums paid	(32,210)	-	-	(32,210)	(11,329)	-	-	(11,329)	
Amounts received under reinsurance contracts held	-	-	-	-	-	-	-	-	
Commission income	4,442	-	-	4,442	2,266	-	-	2,266	
Total cash flows	(27,768)	-	-	(27,768)	(9,063)	-	-	(9,063)	
Closing liabilities	(92,832)	-	-	(92,832)	(57,774)	-	-	(57,774)	

Reconciliation of the components of reinsurance contract liabilities*Assets with positive sign, liabilities with negative sign*

Reconciliation of carrying amounts by BEL/RA/CSM: reinsurance	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Opening assets	(10,292)	583	(48,065)	(57,774)	-	-	(51,152)	(51,152)
Effects of changes related to current services								
CSM recognised for services received	-	-	6,420	6,420	-	-	9,190	9,190
Change in risk adjustment for non-financial risk for risk expired	-	(126)	-	(126)	-	(36)	-	(36)
Experience adjustments	(9,937)	-	-	(9,937)	(1,349)	-	-	(1,349)
Total changes related to current services	(9,937)	(126)	6,420	(3,643)	(1,349)	(36)	9,190	7,805
Effects of changes related to future services								
New contracts recognised	(1,088)	83	1,005	-	(2,195)	85	2,110	-
Changes in estimates reflected in CSM	45,804	(42)	(45,763)	-	2,038	534	(2,572)	-
Changes in estimates resulting in contract losses	-	-	-	-	-	-	-	-
Total changes related to future services	44,716	41	(44,757)	-	(157)	619	(462)	-
Changes that relate to past service								
Adjustments to liabilities for incurred claims	-	-	-	-	-	-	-	-
Total changes that relate to past service	-	-	-	-	-	-	-	-
Net income/(expenses) from reinsurance contracts held	34,779	(85)	(38,338)	(3,643)	(1,506)	583	8,728	7,805
Net finance income from reinsurance contracts	2,356	-	(6,002)	(3,647)	277	-	(5,641)	(5,364)
Total changes in the statement of profit or loss and OCI	37,135	(85)	(44,340)	(7,290)	(1,229)	583	3,086	2,440
Total cash flows	(27,768)	-	-	(27,768)	(9,063)	-	-	(9,063)
Closing liabilities	(925)	498	(92,405)	(92,832)	(10,292)	583	(48,065)	(57,774)

17.2.2 Credit Life

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Reconciliation of the assets for remaining coverage and the assets for incurred claims for reinsurance contracts

	Liabilities for Remaining Coverage (ARC)			Liabilities for incurred claims			Total		
	Non-onerous			Onerous			Non-onerous		
	Onerous			Non-onerous			Onerous		
Reconciliation of carrying amounts by LRC/LIC: reinsurance									
Opening liabilities	(110,123)	-	24,278	(85,845)	(188,469)	-	8,154	(180,315)	
Transfer to Reinsurance contract assets	110,123	-	(24,278)	85,845	-	-	-	-	
Changes in the statement of profit or loss and OCI									
Allocation of reinsurance premiums paid	-	-	-	-	113,632	-	-	113,632	
Recoveries of incurred claims and other attributable income	-	-	-	-	-	-	182,220	182,220	
Commission income	-	-	-	-	-	-	29,255	29,255	
Total Reinsurance service expenses	-	-	-	-	113,632	-	211,475	325,107	
Investment components	-	-	-	-	-	-	-	-	
Net expenses from reinsurance contracts	-	-	-	-	113,632	-	211,475	325,107	
Net finance income from reinsurance contracts	-	-	-	-	(854)	-	-	(854)	
Total changes in the statement of profit or loss and OCI	-	-	-	-	112,778	-	211,475	324,253	
Cashflows for the period									
Reinsurance premiums paid	-	-	-	-	(53,010)	-	-	(53,010)	
Amounts received under reinsurance contracts held	-	-	-	-	-	-	(195,351)	(195,351)	
Commission income	-	-	-	-	18,578	-	-	18,578	
Total cash flows	-	-	-	-	(34,432)	-	(195,351)	(229,783)	
Closing liabilities				-	-	(110,123)	24,278	(85,845)	

Reconciliation of the components of reinsurance contract assets*Assets with positive sign, liabilities with negative sign*

	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total	Estimates of present value of future cashflows	Risk Adjustment	CSM	Total
Reconciliation of carrying amounts by BEL/RA/CSM: reinsurance								
Opening assets	58,721	792	(145,358)	(85,845)	293,671	5,710	(479,696)	(180,315)
Transfer to Reinsurance contract assets	(58,721)	(792)	145,358	85,845	-	-	-	-
Effects of changes related to current services								
CSM recognised for services received	-	-	-	-	-	-	185,486	185,486
Change in risk adjustment for non-financial risk for risk expired	-	-	-	-	-	(2,132)	-	(2,132)
Experience adjustments	-	-	-	-	125,629	-	-	125,629
Total changes related to current services	-	-	-	-	125,629	(2,132)	185,486	
Effects of changes related to future services								
New contracts recognised	-	-	-	-	(40,040)	801	39,239	-
Changes in estimates reflected in CSM	-	-	-	-	(145,603)	(3,587)	149,190	
Changes in estimates resulting in contract losses	-	-	-	-	-	-	-	-
Total changes related to future services	-	-	-	-	(185,644)	(2,786)	188,429	
Changes that relate to past service								
Adjustments to liabilities for incurred claims	-	-	-	-	29,255	-	-	29,255
Total changes that relate to past service	-	-	-	-	29,255	-	-	29,255
Net income/(expenses) from reinsurance contracts held	-	-	-	-	(30,761)	(4,918)	373,916	29,255
Net finance income from reinsurance contracts	-	-	-	-	38,724	-	(39,578)	(854)
Total changes in the statement of profit or loss and OCI	-	-	-	-	7,964	(4,918)	334,338	337,383
Total cash flows	-	-	-	-	(242,914)	-	-	(317,404)
Closing assets	-	-	-	-	58,721	792	(145,358)	(85,845)

Notes to the consolidated and separate financial statements

18 Investment contract liabilities

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Investment contract liabilities	1,348,313	1,053,426	867,022	730,382
The movement in investment contract liabilities is analysed below:				
Balance, beginning of the year	1,053,426	800,145	730,382	479,836
Contributions	1,042,659	618,561	692,189	617,848
Withdrawals	(812,415)	(409,400)	(620,191)	(411,422)
Guaranteed interest 18.1	64,643	44,120	64,643	44,120
Balance, end of the year	1,348,313	1,053,426	867,022	730,382
Current	922,883	800,145	480,796	479,835
Non-current	425,430	253,281	386,226	250,547
	1,348,313	1,053,426	867,022	730,382

18.1 Profit on investment contract liabilities

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Income				
Investment Income 28	627,156	497,414	627,156	497,414
Guaranteed interest 18	(64,643)	(44,120)	(64,643)	(44,120)
	562,514	453,294	562,514	453,294

19 Other Insurance Related Liabilities

Other insurance related represent financial obligations arising from the group's insurance business that are basically outside the scope of the definition of insurance contracts.

These comprise amounts payable for reinsurers, co-insurers, agents and brokers at year end. The carrying amounts disclosed below approximate the fair values at the reporting date.

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Payables to reinsurers	1,126,553	1,088,293	846,022	203,060
Payables to coinsurers	3,439,810	2,386,747	3,439,810	2,386,747
Premium deposits 19.1	2,130,332	1,184,520	1,474,240	827,429
	6,696,695	4,659,561	5,760,071	3,417,237
Current	6,696,695	4,659,561	5,760,071	3,417,237
Non-current	-	-	-	-
	6,696,695	4,659,561	5,760,071	3,417,237

19.1 Premium Deposits

The movement in premium deposits during the year was as follows:

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year	1,184,520	1,480,303	827,429	1,353,267
Additions during the year	1,474,240	827,429	1,474,240	827,429
Additions to Insurance service revenue	(528,428)	(1,123,212)	(827,429)	(1,353,267)
Balance, end of the year	2,130,332	1,184,520	1,474,240	827,429

Premium deposits represent premiums received in advance but for which the policy risk period is yet to commence as at the reporting date.

20 Other payables and accruals

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Financial				
Other directors and staff payables	1,059,131	2,434,498	909,131	2,305,274
Accrued expenses/payable	783,713	956,725	697,057	787,205
NAICOM levy payable	477,436	326,250	465,289	278,390
Sundry creditors (see note (i) below)	181,049	545,016	978,100	202,359
	2,501,328	4,262,489	3,049,576	3,573,228
Non-financial				
Personal Income Tax (PAYE)	51,258	44,150	40,123	27,007
Withholding tax payable	317,890	244,559	310,068	215,877
	369,148	288,709	350,192	242,885
	2,870,476	4,551,198	3,399,768	3,816,113
Current	2,870,476	4,551,198	3,399,768	3,816,113
Non-current	-	-	-	-
	2,870,476	4,551,198	3,399,768	3,816,113

Notes to the consolidated and separate financial statements

20.1 Sundry creditors comprise vat and other payables to vendors in the ordinary course of business.

20.2 Accounts payables comprise audit fees and rent payable.

21 Taxation

21.1 Tax expense

The tax expense recognised in profit or loss is as follows:

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Minimum tax	233,850	461,076	197,899	235,590
<i>Income tax expense</i>				
Income tax based on the taxable profit/loss for the year	-	-	-	-
Tertiary Education Tax	184,773	-	184,773	-
Police Trust Fund Levy	300	883	300	883
Information technology development levy (NITDA)	78,115	176,653	78,115	176,653
Total current income tax for the year	263,189	177,536	263,189	177,536
Adjustment in respect of prior years				
Deferred tax Credit (charge) recognised in profit or loss	21.3.3	(3,524,089)	275,024	871,015
Tota Income tax expense	(3,260,901)	2,264,903	538,213	1,048,551
Total minimum and income tax charge for the year	(3,027,051)	2,725,979	736,111	1,284,140

The charge for current income tax in these financial statements is based on the provisions of the Companies Income Tax Act, Cap C21, Laws of the Federation of Nigeria (LFN) 2004 as amended and Education Tax Act, Cap E4, Laws of the Federation of Nigeria 2004 along with other tax laws such as the Finance Act 2020, 2021 and 2022.

21.2 Current tax liabilities

The movement in current tax liabilities during the year is as follows:

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year	925,416	599,630	632,963	433,268
Income tax for the year	21.1	263,189	263,189	177,536
Minimum Tax	21.1	233,850	197,899	235,590
Payment during the year	(620,670)	(312,826)	(351,012)	(213,431)
Balance, end of the year	801,784	925,416	743,038	632,963
Current	801,784	925,416	743,038	632,963
Non-current	-	-	-	-
	801,784	925,416	743,038	632,963

21.3 Deferred taxation

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred taxes assets and liabilities relate to income taxes levied by the same taxation authority on either the taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

21.3.1 The movement on the deferred tax assets account is as follows:

Deferred tax assets

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year	-	861,211	-	861,211
Recognised in profit or loss	21.3.3	(861,211)	-	(861,211)
Balance, end of the year	-	-	-	-

21.3.2 The movement on the deferred tax liabilities account is as follows:

Deferred tax liabilities

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year	4,519,968	3,235,097	859,434	809,794
Recognised in profit or loss	21.3.3	(3,524,090)	275,024	9,807
Recognised in Other Comprehensive income:				
- Unrealised exchange gain	21.3.4	255,622	-	-
- Fair value gain/(loss)		39,833	-	39,833
Balance, end of the year	1,251,500	4,519,968	1,134,458	859,434

Notes to the consolidated and separate financial statements

21.3.3 Deferred tax charge recognised in profit or loss

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Movement in deferred tax assets	21.3.1	-	861,211	-	861,211
Movement in deferred tax liabilities	21.3.2	(3,524,089)	1,226,159	275,024	9,807
	21.1	(3,524,089)	2,087,370	275,024	871,018

21.3.4 Deferred tax charge recognised in Other Comprehensive Income

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Movement in deferred tax liabilities		255,622	18,879	-	-
Movement in deferred tax assets		-	-	-	-
		255,622	18,879	-	-

21.3.5 Movement in deferred tax balances as at 31 December 2025 is attributable to the following:

Group						
31 December 2025						
<i>In thousands of naira</i>	Opening	Recognised in Profit or Loss	Recognised in OCI	Net	Deferred Tax Assets	Deferred Tax Liabilities
Property and equipment	(204,554)	(71,874)	(255,622)	(532,050)	-	(532,050)
Unrealised exchange gain	(5,998,112)	4,973,827	-	(1,024,285)	-	(1,024,285)
Unrelieved tax losses	1,660,316	(1,196,888)	-	463,428	463,428	-
ECL Allowance	33,082	-	-	33,082	33,082	-
Fair value gains on revalued investment properties	(10,700)	(180,975)	-	(191,675)	-	(191,675)
Deferred tax assets /(liabilities) before set-off	(4,519,968)	3,524,090	(255,622)	(1,251,500)	496,510	(1,748,010)
Set-off of tax					(496,510)	496,510
Net deferred tax assets /(liabilities)				(1,251,500)	-	(1,251,500)

Company

31 December 2025						
<i>In thousands of naira</i>	Opening	Recognised in Profit or Loss	Recognised in OCI	Net	Deferred Tax Assets	Deferred Tax Liabilities
Property and equipment	(108,509)	31,001	-	(77,508)	-	(77,508)
Unrealised exchange gain	(2,419,487)	890,863	-	(1,528,624)	-	(1,528,624)
Unrelieved tax losses	1,660,316	(1,196,888)	-	463,428	463,428	-
ECL Allowance	8,246	-	-	8,246	8,246	-
Deferred tax assets /(liabilities) before set-off	(859,434)	(275,024)	-	(1,134,458)	471,674	(1,606,132)
Set-off of tax					(471,674)	471,674
Net deferred tax assets /(liabilities)				(1,134,458)	-	(1,134,458)

Movement in deferred tax balances as at 31 December 2024 is attributable to the following:

Group						
31 December 2024						
<i>In thousands of naira</i>	Opening	Recognised in Profit or Loss	Recognised in OCI	Net	Deferred Tax Assets	Deferred Tax Liabilities
Property and equipment	(262,056)	116,214	(58,712)	(204,554)	-	(204,554)
Unrealised exchange gain	(2,911,936)	(3,086,176)	-	(5,998,112)	-	(5,998,112)
Unrelieved tax losses	861,211	799,105	-	1,660,316	1,660,316	-
ECL Allowance	-	33,082	-	33,082	33,082	-
Fair value gains on revalued investment properties	(61,104)	50,404	-	(10,700)	-	(10,700)
Deferred tax assets /(liabilities) before set-off	(2,373,885)	(2,087,371)	(58,712)	(4,519,968)	1,693,398	(6,213,366)
Set-off of tax					(1,693,398)	1,693,398
Net deferred tax assets /(liabilities)				(4,519,968)	-	(4,519,968)

Company

31 December 2024						
<i>In thousands of naira</i>	Opening	Recognised in Profit or Loss	Recognised in OCI	Net	Deferred Tax Assets	Deferred Tax Liabilities
Property and equipment	(150,259)	81,583	(39,833)	(108,509)	-	(108,509)
Unrealised exchange gain	(659,535)	(1,759,952)	-	(2,419,487)	-	(2,419,487)
Unrelieved tax losses	861,211	799,105	-	1,660,316	1,660,316	-
ECL Allowance	-	8,246	-	8,246	8,246	-
Deferred tax assets /(liabilities) before set-off	51,417	(871,018)	(39,833)	(859,434)	1,668,562	(2,527,996)
Set-off of tax					(1,668,562)	1,668,562
Net deferred tax assets /(liabilities)				(859,434)	-	(859,434)

Notes to the consolidated and separate financial statements

21.3.6 Reconciliation of effective tax rate

Group	31 December 2025		31 December 2024	
<i>In thousands of naira</i>				
Profit before minimum and income tax	8,729,636		28,619,486	
Income tax using the domestic corporation tax rate	2,618,891	30%	8,585,846	30%
Tax exempt income	(7,745,873)	-89%	(8,185,671)	-29%
Non-taxable policy holders income	387,962	4%	481,058	2%
Education tax	184,773	2%	(4)	0%
Police Trust Fund Levy	300	0%	883	0%
Impact of NITDF	78,115	1%	176,653	1%
Current year tax losses for which no deferred tax was recognised	1,226,880	14%	1,206,137	4%
Minimum tax	221,900	3%	461,079	2%
	(3,027,051)	-37%	2,725,982	4%

Reconciliation of effective tax rate

Company	31 December 2025		31 December 2024	
<i>In thousands of naira</i>				
Profit before minimum and income tax	7,374,027		17,665,968	
Income tax using the domestic corporation tax rate	2,212,208	30%	5,299,790	30%
Non deductible expenses	-	0%	-	0%
Tax exempt income	(2,732,655)	-37%	(6,796,654)	-38%
Non-taxable policy holders income	193,981	3%	481,058	3%
Education tax	184,773	3%	642,728	4%
Police Trust Fund Levy	300	0%	883	0%
Impact of NITDF	78,115	1%	176,780	1%
Current year tax losses for which no deferred tax was recognised	613,440	8%	1,243,965	7%
Minimum tax	185,949	3%	235,593	1%
	736,111	10%	1,284,143	-1%

22 Employees benefit obligations

This represents the Company's liabilities from its defined contribution pension plan which is in compliance with the Pension Reform Act, 2014. All pension contributions are remitted to the relevant registered Pension Fund Administrators.

	Group		Company	
<i>In thousands of naira</i>	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year	7,048	10,972	7,048	10,972
Employee's Contribution	192,800	167,585	136,715	105,214
Pension expense for the year	239,679	209,481	169,572	131,518
Payments made during the year	(411,432)	(380,989)	(285,239)	(240,656)
Balance, end of the year	28,096	7,048	28,096	7,048
Current	28,096	7,048	28,096	7,048
Non-current	-	-	-	-
	28,096	7,048	28,096	7,048

23 Equity

23.1 Share capital

	Group		Company	
<i>In thousands of naira</i>	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Issued and fully paid:				
Balance, beginning of the year	9,083,196	9,083,196	9,083,196	9,083,196
Balance, end of the year	9,083,196	9,083,196	9,083,196	9,083,196

23.2 Share premium

This represents the amounts paid by shareholders above the nominal price of the shares.

	Group		Company	
<i>In thousands of naira</i>	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year	183,165	183,165	183,165	183,165
Balance, end of the year	183,165	183,165	183,165	183,165

23.3 Treasury shares

Treasury shares are owner equity instruments which are deducted from equity. No dividends are allocated to them.

	Group		Company	
<i>In thousands of naira</i>	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year	(67,130)	(67,130)	(67,130)	(67,130)
Balance, end of the year	(67,130)	(67,130)	(67,130)	(67,130)

Notes to the consolidated and separate financial statements

23.4 Retained earnings

		Group		Company	
<i>In thousands of naira</i>		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
<i>As at 1 January</i>		32,833,833	14,122,858	17,553,965	6,139,263
Transfer to contingency reserves	23.5	(2,401,154)	(3,965,678)	(1,344,289)	(2,060,501)
Profit for the year		11,756,686	25,583,277	6,637,915	16,381,825
Dividend paid		(4,904,926)	(2,906,623)	(4,904,926)	(2,906,623)
Balance, end of the year		37,284,440	32,833,833	17,942,665	17,553,965

23.5 Contingency reserve

		Group		Company	
<i>In thousands of naira</i>		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year		11,799,411	7,833,733	7,925,429	5,864,929
Transfer from retained earnings	23.4	2,401,154	3,965,678	1,344,289	2,060,501
Balance, end of the year		14,200,564	11,799,411	9,269,718	7,925,430

In compliance with section 21(1) of Insurance Act 2003, the contingency reserve for Non-life insurance business is credited with the greater of 3% of total premium, or 20% of the net profits. This shall accumulate until it reaches the greater of minimum paid-up capital and 50% percent of the net premium. For life business, the contingency reserve is credited with an amount equal to 1% of gross premium or 10% of net profit (whichever is greater) and accumulated until it reaches the amount of minimum paid-up capital.

23.6 Fair value and other reserves

		Group		Company	
<i>In thousands of naira</i>		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Fair value reserve	23.6.1	8,464,563	4,018,371	6,501,819	3,027,292
Asset revaluation reserve (See note (ii) below)	23.6.3	2,737,257	1,866,349	1,212,881	931,881
Balance, end of the year		11,201,820	5,884,720	7,714,700	3,959,173

23.6.1 Fair value reserve

		Group		Company	
<i>In thousands of naira</i>		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
<i>As at 1 January</i>		4,018,371	896,277	3,027,292	109,132
Fair value changes on FVOCI	23.6.2	4,478,004	2,860,692	3,506,339	2,656,759
ECL on FVOCI securities		(127,494)	261,402	(127,494)	261,402
Balance, end of the year		8,368,881	4,018,371	6,406,137	3,027,292

23.6.2 Fair value changes on FVOCI

		Group		Company	
<i>In thousands of naira</i>		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Fair value gain on Quoted Equities	7.2.2	1,735,808	1,410,050	811,697	1,278,455
Fair value gain on Unquoted Equities	7.2.3	(57,958)	1,615,566	(105,512)	1,543,228
Fair value gain on Government Bond	7.2.4	3,020,123	(164,924)	3,020,123	(164,924)
Exchange gain/(loss) on Financial Assets	7.2.4	(219,969)	-	(219,969)	-
		4,478,004	2,860,692	3,506,339	2,656,759

23.6.3 Asset revaluation reserve

		Group		Company	
<i>In thousands of naira</i>		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year		1,866,349	1,337,941	931,881	573,387
Revaluation gain on land and building		1,126,529	587,121	281,000	398,327
Tax effects on other comprehensive income		(255,621)	(58,713)	-	(39,833)
Balance, end of the year		2,737,257	1,866,349	1,212,881	931,881

23.7 Non-controlling interest

		Group		Company	
<i>In thousands of naira</i>		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Balance, beginning of the year		779,523	461,591	-	-
Share of profit for the year		143,979	310,223	-	-
Share of other comprehensive income		50,483	7,709	-	-
Balance, end of the year		973,985	779,523	-	-

Notes to the consolidated and separate financial statements

24 Insurance Revenue

31 December 2025

Group

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Amounts relating to changes in liabilities for remaining coverage:								
Expected benefits incurred	1,164,562	253,005	43,297	7,013,290	562,101	834	38,923,491	47,960,580
Expected expenses incurred	27,546	6,001	106,545	-	47,891	916	-	188,899
Loss component: systematic allocation	-	-	-	-	-	-	-	-
Change in the risk adjustment	(95,856)	8,205	2,061	(7,859)	7,472	1,322	-	(84,655)
CSM recognised for services provided	29,694	104,683	338,288	-	2,787,545	283	-	3,260,494
Recovery of acquisition cash flows	198,604	81,742	19,758	-	30,217	564	-	330,885
Contracts not measured under the PAA	1,324,550	453,637	509,949	-	3,435,226	3,919	-	5,727,282
Contracts measured under the PAA	-	-	-	7,005,430	-	-	38,923,491	45,928,921
Insurance revenue	1,324,550	453,637	509,949	7,005,430	3,435,226	3,919	38,923,491	51,656,203

31 December 2024

Group

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Amounts relating to changes in liabilities for remaining coverage:								
Expected benefits incurred	734,611	43,083	34,414	4,429,049	890,966	118	31,000,031	37,132,272
Expected expenses incurred	7,754	9,947	36,120	-	69,866	385	-	124,072
Loss component: systematic allocation	(96,354)	(35,103)	(84,965)	-	(60,880)	(1,691)	-	(278,993)
Change in the risk adjustment	1,132	176	1,237	(16,015)	3,251	67	-	(10,152)
CSM recognised for services provided	14,584	210,173	194,750	-	1,302,403	54	-	1,721,965
Recovery of acquisition cash flows	34,447	(126,062)	27,146	-	43,978	813	-	(19,679)
Contracts not measured under the PAA	696,174	102,214	208,702	-	2,249,583	(253)	-	3,256,420
Contracts measured under the PAA	-	-	-	4,413,034	-	-	31,000,031	35,413,065
Insurance revenue	696,174	102,214	208,702	4,413,034	2,249,583	(253)	31,000,031	38,669,485

Notes to the consolidated and separate financial statements

24 Insurance Revenue

31 December 2025

Company

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Amounts relating to changes in liabilities for remaining coverage:								
Expected benefits incurred	1,164,562	253,005	43,297	6,671,159	562,101	834	29,211,641	37,906,600
Expected expenses incurred	27,546	6,001	106,545	-	47,891	916	-	188,899
Loss component: systematic allocation	-	-	-	-	-	-	-	-
Change in the risk adjustment	(95,856)	8,205	2,061	(7,859)	7,472	1,322	-	(84,655)
CSM recognised for services provided	29,694	104,683	338,288	-	2,787,545	283	-	3,260,494
Recovery of acquisition cash flows	198,604	81,742	19,758	-	30,217	564	-	330,885
Contracts not measured under the PAA	1,324,550	453,637	509,949	-	3,435,226	3,919	-	5,727,282
Contracts measured under the PAA	-	-	-	6,663,300	-	-	29,211,641	35,874,941
Insurance revenue	1,324,550	453,637	509,949	6,663,300	3,435,226	3,919	29,211,641	41,602,222

31 December 2024

Company

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Amounts relating to changes in liabilities for remaining coverage:								
Expected benefits incurred	734,611	43,083	34,414	4,378,888	890,966	118	22,746,096	28,828,175
Expected expenses incurred	7,754	9,947	36,120	-	69,866	385	-	124,072
Loss component: systematic allocation	(96,354)	(35,103)	(84,965)	-	(60,880)	(1,691)	-	(278,993)
Change in the risk adjustment	1,132	176	1,237	(16,015)	3,251	67	-	(10,152)
CSM recognised for services provided	14,584	210,173	194,750	-	1,302,403	54	-	1,721,965
Recovery of acquisition cash flows	34,447	(126,062)	27,146	-	43,978	813	-	(19,679)
Contracts not measured under the PAA	696,174	102,214	208,702	-	2,249,583	(253)	-	3,256,420
Contracts measured under the PAA	-	-	-	4,362,872	-	-	22,746,096	27,108,969
Insurance revenue	696,174	102,214	208,702	4,362,872	2,249,583	(253)	22,746,096	30,365,388

Notes to the consolidated and separate financial statements

25 Insurance Service Expense

31 December 2025

Group

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Incurred claims	(1,168,582)	(9,399)	(25,107)	(1,783,577)	(109,305)	-	(5,958,403)	(9,054,373)
Incurred Fulfilment expenses	(619)	(33,315)	(5,813)	(251,357)	(154,474)	(75)	(2,817,234)	(3,262,885)
Incurred claims and other attributable expenses	(1,169,201)	(42,714)	(30,920)	(2,034,934)	(263,778)	(75)	(8,775,637)	(12,317,259)
Amortisation of insurance acquisition cash flows	(198,604)	(81,742)	(19,758)	(698,019)	(30,217)	(564)	(6,178,113)	(7,207,017)
<i>Changes related to past & current service:</i>								-
Changes in BEL related to LIC	-	(16,656)	429	(785,125)	(265,030)	-	(1,855,075)	(2,921,457)
Changes in RA related to LIC	-	-	-	-	-	-	119,298	119,298
Changes related to past & current service	-	(16,656)	429	(785,125)	(265,030)	-	(1,735,777)	(2,802,159)
<i>Changes related to future service:</i>								
<i>Loss Component:</i>								
Systematic Allocation	(261,488)	(336,898)	50,933	-	(254,074)	(28,054)	-	(829,581)
Losses and reversal of losses	-	-	-	-	-	-	-	-
Total Insurance service expenses	(1,629,293)	(478,011)	683	(3,518,077)	(813,099)	(28,692)	(16,689,527)	(23,156,016)

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Group

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Incurred claims	(741,749)	(43,921)	(4,387)	(1,447,632)	(441,334)	-	(9,592,706)	(12,271,729)
Incurred Fulfilment expenses	(470)	(20,385)	(4,296)	(173,462)	(115,480)	(58)	(3,220,837)	(3,534,988)
Incurred claims and other attributable expenses	(742,219)	(64,306)	(8,683)	(1,621,094)	(556,814)	(58)	(12,813,543)	(15,806,716)
Amortisation of insurance acquisition cash flows	(34,447)	126,062	(27,146)	(427,167)	(43,978)	(813)	(4,607,693)	(5,015,181)
<i>Changes related to past & current service:</i>								-
Changes in BEL related to LIC	-	-	-	-	-	-	(1,872,250)	(1,872,250)
Changes in RA related to LIC	-	(24,342)	33,891	(750,952)	65,711	-	(615,840)	(1,291,532)
Changes related to past & current service	-	(24,342)	33,891	(750,952)	65,711	-	(2,488,091)	(3,163,782)
<i>Changes related to future service:</i>								
<i>Loss Component:</i>								
Systematic Allocation	96,354	35,103	84,965	-	60,880	1,691	-	278,993
Losses and reversal of losses	(589,142)	(184,993)	87,572	-	(1,036,955)	(27,665)	-	(1,751,182)
Total Insurance service expenses	(1,269,454)	(112,475)	170,600	(2,799,213)	(1,511,155)	(26,846)	(19,909,326)	(25,457,869)

Notes to the consolidated and separate financial statements

25 Insurance service expense

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Company

<i>In thousands of naira</i>		Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Incurring claims		(1,168,582)	(9,399)	(25,107)	(1,704,344)	(109,305)	-	(4,535,362)	(7,552,100)
Incurring Fulfilment expenses		(619)	(33,315)	(5,813)	(238,283)	(154,474)	(75)	(1,734,730)	(2,167,308)
Incurring claims and other attributable expenses	Note 14(a)(ii)	(1,169,201)	(42,714)	(30,920)	(1,942,627)	(263,778)	(75)	(6,270,092)	(9,719,407)
Amortisation of insurance acquisition cash flows	Note 14(a)(ii)	(198,604)	(81,742)	(19,758)	(638,262)	(30,217)	(564)	(5,150,596)	(6,119,743)
<i>Changes related to past & current service:</i>									-
Changes in BEL related to LIC		-	(16,656)	429	(785,125)	(265,030)	-	888,603	(177,779)
Changes in RA related to LIC		-	-	-	-	-	-	(21,598)	(21,598)
		-	(16,656)	429	(785,125)	(265,030)	-	867,005	(199,377)
<i>Changes related to future service:</i>									-
<i>Loss Component:</i>									-
Systematic Allocation	Note 14(a)(ii)	(261,488)	(336,898)	50,933	-	(254,074)	(28,054)	-	(829,581)
Losses and reversal of losses	Note 14(a)(ii)	-	-	-	-	-	-	-	-
Total Insurance service expenses		(1,629,293)	(478,011)	683	(3,366,014)	(813,099)	(28,692)	(10,553,683)	(16,868,109)

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Company

<i>In thousands of naira</i>		Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Incurring claims		(741,749)	(43,921)	(4,387)	(1,443,143)	(441,334)	-	(5,934,584)	(8,609,118)
Incurring Fulfilment expenses		(470)	(20,385)	(4,296)	(172,535)	(115,480)	(58)	(2,418,065)	(2,731,289)
Incurring claims and other attributable expenses	16.1	(742,219)	(64,306)	(8,683)	(1,615,678)	(556,814)	(58)	(8,352,649)	(11,340,406)
Amortisation of insurance acquisition cash flows	16.1	(34,447)	126,062	(27,146)	(427,167)	(43,978)	(813)	(2,975,631)	(3,383,119)
<i>Changes related to past & current service:</i>									-
Changes in BEL related to LIC	16.1	-	-	-	-	-	-	(1,476,980)	(1,476,980)
Changes in RA related to LIC	16.1	-	(24,342)	33,891	(750,952)	65,711	-	(434,791)	(1,110,483)
	16.1	-	(24,342)	33,891	(750,952)	65,711	-	(1,911,771)	(2,587,463)
<i>Changes related to future service:</i>									-
<i>Loss Component:</i>									-
Systematic Allocation	16.1	96,354	35,103	84,965	-	60,880	1,691	-	278,993
Losses and reversal of losses	16.1	(589,142)	(184,993)	87,572	-	(1,036,955)	(27,665)	-	(1,751,182)
Total Insurance service expenses		(1,269,454)	(112,475)	170,600	(2,793,797)	(1,511,155)	(26,846)	(13,240,051)	(18,783,178)

Notes to the consolidated and separate financial statements

26 Net Expenses from Reinsurance Contracts Held 31 December 2025

Group

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Reinsurance Expenses not measured under PAA								
Expected recovery for claims	-	(9,937)	-	-	(32,530)	-	-	(42,467)
Expected recovery of service expenses	-	-	-	-	-	-	-	-
Reinsurance RA allocation	-	(126)	-	-	(1,301)	-	-	(1,427)
Reinsurance CSM allocation	-	6,420	-	-	162,318	-	-	168,738
Allocation of reinsurance premiums paid	-	(3,643)	-	-	128,487	-	-	124,844
Amounts recoverable for claims	-	-	-	-	1,251	-	-	1,251
changes in BEL related to reinsurance LIC	-	-	-	-	83,169	-	-	83,169
changes in RA related to reinsurance LIC	-	-	-	-	-	-	-	-
Amounts recoverable from reinsurer	-	-	-	-	84,419	-	-	84,419
Net expenses from reinsurance contracts not measured under PAA	-	(3,643)	-	-	212,907	-	-	209,264
Reinsurance Expenses for contract measured under PAA								
Expected recovery for claims	-	-	-	(2,032,169)	-	-	(18,998,077)	(21,030,246)
Expected recovery of service expenses	-	-	-	-	-	-	-	-
Reinsurance RA allocation	-	-	-	-	-	-	-	-
Reinsurance CSM allocation	-	-	-	-	-	-	-	-
Allocation of reinsurance premiums paid	-	-	-	(2,032,169)	-	-	(18,998,077)	(21,030,246)
Amounts recoverable for claims	-	-	-	740,657	-	-	1,263,701	2,004,358
changes in BEL related to reinsurance LIC	-	-	-	633,708	-	-	3,210,380	3,844,087
changes in RA related to reinsurance LIC	-	-	-	8,182	-	-	(59,342)	(51,159)
Amounts recoverable from reinsurer	-	-	-	1,382,547	-	-	4,414,739	5,797,286
Net expenses from reinsurance contracts measured under PAA	-	-	-	(649,622)	-	-	(14,583,338)	(15,232,960)
Net expenses from reinsurance contracts held	-	(3,643)	-	(649,622)	212,907	-	(14,583,338)	(15,023,697)

Notes to the consolidated and separate financial statements

26 Net Expenses from Reinsurance Contracts Held 31 December 2024

Group

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Reinsurance Expenses not measured under PAA								
Expected recovery for claims	-	(1,349)	-	-	(69,722)	(2)	-	(71,073)
Expected recovery of service expenses	-	-	-	-	-	-	-	-
Reinsurance RA allocation	-	(36)	-	-	(2,132)	(0)	-	(2,169)
Reinsurance CSM allocation	-	9,190	(1,845)	-	185,486	(844)	-	191,987
Allocation of reinsurance premiums paid	-	7,805	(1,845)	-	113,632	(846)	-	118,746
Amounts recoverable for claims	-	-	-	-	182,220	-	-	182,220
changes in BEL related to reinsurance LIC	-	-	-	-	29,255	-	-	29,255
changes in RA related to reinsurance LIC	-	-	-	-	-	-	-	-
Amounts recoverable from reinsurer	-	-	-	-	211,475	-	-	211,475
Net expenses from reinsurance contracts not measured under PAA	-	7,805	(1,845)	-	325,107	(846)	-	330,220
Reinsurance Expenses for contract measured under PAA								
Expected recovery for claims	-	-	-	(1,156,096)	-	-	(14,862,786)	(16,018,882)
Expected recovery of service expenses	-	-	-	-	-	-	-	-
Reinsurance RA allocation	-	-	-	(1,832)	-	-	-	(1,832)
Reinsurance CSM allocation	-	-	-	-	-	-	-	-
Allocation of reinsurance premiums paid	-	-	-	(1,157,928)	-	-	(14,862,786)	(16,020,714)
Amounts recoverable for claims	-	-	-	604,081	-	-	3,703,900	4,307,981
changes in BEL related to reinsurance LIC	-	-	-	(193,717)	-	-	323,728	130,010
changes in RA related to reinsurance LIC	-	-	-	-	-	-	189,107	189,107
Amounts recoverable from reinsurer	-	-	-	410,364	-	-	4,216,735	4,627,099
Net expenses from reinsurance contracts measured under PAA	-	-	-	(747,564)	-	-	(10,646,051)	(11,393,615)
Net expenses from reinsurance contracts held	-	7,805	(1,845)	(747,564)	325,107	(846)	(10,646,051)	(11,063,395)

Notes to the consolidated and separate financial statements

26 Net Expenses from Reinsurance Contracts Held 31 December 2025

Company

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Reinsurance Expenses not measured under PAA								
Expected recovery for claims	-	(9,937)	-	-	(32,530)	-	-	(42,467)
Expected recovery of service expenses	-	-	-	-	-	-	-	-
Reinsurance RA allocation	-	(126)	-	-	(1,301)	-	-	(1,427)
Reinsurance CSM allocation	-	6,420	-	-	162,318	-	-	168,738
Allocation of reinsurer Insurance Revenue	-	(3,643)	-	-	128,487	-	-	124,844
Amounts recoverable for claims	-	-	-	-	1,251	-	-	1,251
Changes in BEL related to reinsurance LIC	-	-	-	-	83,169	-	-	83,169
Changes in RA related to reinsurance LIC	-	-	-	-	-	-	-	-
Amounts recoverable from reinsurer	-	-	-	-	84,419	-	-	84,419
Net expenses from reinsurance contracts not measured under PAA	-	(3,643)	-	-	212,907	-	-	209,264
Reinsurance Expenses for contract measured under PAA								
Expected recovery for claims	-	-	-	(2,032,169)	-	-	(13,904,573)	(15,936,743)
Expected recovery of service expenses	-	-	-	-	-	-	-	-
Reinsurance RA allocation	-	-	-	-	-	-	-	-
Reinsurance CSM allocation	-	-	-	-	-	-	-	-
Allocation of reinsurer Insurance Revenue	-	-	-	(2,032,169)	-	-	(13,904,573)	(15,936,743)
Amounts recoverable for claims	-	-	-	740,657	-	-	1,107,610	1,848,267
Changes in BEL related to reinsurance LIC	-	-	-	633,708	-	-	(42,749)	590,958
Changes in RA related to reinsurance LIC	-	-	-	8,182	-	-	12,145	20,328
Amounts recoverable from reinsurer	-	-	-	1,382,547	-	-	1,077,006	2,459,553
Net expenses from reinsurance contracts measured under PAA	-	-	-	(649,622)	-	-	(12,827,568)	(13,477,190)
Net expenses from reinsurance contracts held	-	(3,643)	-	(649,622)	212,907	-	(12,827,568)	(13,267,926)

Notes to the consolidated and separate financial statements

26 Net Expenses from Reinsurance Contracts Held 31 December 2024

Company

<i>In thousands of naira</i>		Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Reinsurance Expenses not measured under PAA									
Expected recovery for claims		-	(1,349)	-	-	(69,722)	(2)	-	(71,073)
Expected recovery of service expenses		-	-	-	-	-	-	-	-
Reinsurance RA allocation		-	(36)	-	-	(2,132)	(0)	-	(2,169)
Reinsurance CSM allocation		-	9,190	(1,845)	-	185,486	(844)	-	191,987
Allocation of reinsurer Insurance Revenue		-	7,805	(1,845)	-	113,632	(846)	-	118,746
Amounts recoverable for claims		-	-	-	-	182,220	-	-	182,220
Changes in BEL related to reinsurance LIC		-	-	-	-	29,255	-	-	29,255
Changes in RA related to reinsurance LIC		-	-	-	-	-	-	-	-
Amounts recoverable from reinsurer		-	-	-	-	211,475	-	-	211,475
Net expenses from reinsurance contracts not measured under PAA		-	7,805	(1,845)	-	325,107	(846)	-	330,220
Reinsurance Expenses for contract measured under PAA									
Expected recovery for claims		-	-	-	(1,144,432)	-	-	(11,131,275)	(12,275,707)
Expected recovery of service expenses		-	-	-	-	-	-	-	-
Reinsurance RA allocation		-	-	-	(1,832)	-	-	-	(1,832)
Reinsurance CSM allocation		-	-	-	-	-	-	-	-
Allocation of reinsurer Insurance Revenue	10.1	-	-	-	(1,146,264)	-	-	(11,131,275)	(12,277,539)
Amounts recoverable for claims	10.1	-	-	-	604,081	-	-	2,090,916	2,694,998
Changes in BEL related to reinsurance LIC	10.1	-	-	-	(193,717)	-	-	120,786	(72,931)
Changes in RA related to reinsurance LIC	10.1	-	-	-	-	-	-	110,227	110,227
Amounts recoverable from reinsurer		-	-	-	410,364	-	-	2,321,930	2,732,294
Net expenses from reinsurance contracts measured under PAA		-	-	-	(735,900)	-	-	(8,809,345)	(9,545,245)
Net expenses from reinsurance contracts held		-	7,805	(1,845)	(735,900)	325,107	(846)	(8,809,345)	(9,215,025)

Notes to the consolidated and separate financial statements

27 Net Insurance Finance Expenses

27.1 Net Finance expenses from Insurance contracts issued

31 December 2025

Group

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Unwind of discount on FCFs: LRC	(642,416)	(182,726)	(602,336)	-	(256,180)	(7,494)	(350,072)	(2,041,224)
Unwind of discount on FCFs: LIC	-	(3,245)	(429)	(204,466)	(7,458)	-	(1,014,731)	(1,230,328)
Effect of change in economic assumptions: LRC	233,156	8,899	4,646	-	1,332	46	-	248,080
Effect of change in economic assumptions: LIC	-	-	-	90,260	-	-	97,257	187,517
Interest accretion on CSM	(66,048)	(219,984)	(40,315)	-	(267,650)	(720)	-	(594,718)
Effect of change in Discount rate assumptions: LRC	(589,859)	(71,233)	5,416	-	(17,123)	844	-	(671,956)
Effect of movements in exchange rates: LRC	-	-	-	-	-	-	-	-
Effect of movements in exchange rates: LIC	-	-	-	-	-	-	-	-
Change in fair value of underlying items	-	-	(250,579)	-	-	-	-	(250,579)
Insurance finance expenses	(1,065,167)	(468,290)	(883,597)	(114,206)	(547,079)	(7,324)	(1,267,546)	(4,353,209)

Net Finance expenses from Insurance contracts issued

31 December 2024

Group

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Unwind of discount on FCFs: LRC	(489,852)	(11,496)	(423,283)	-	(236,601)	(1,385)	55,303	(1,107,314)
Unwind of discount on FCFs: LIC	-	-	-	-	-	-	-	-
Effect of change in economic assumptions: LRC	(181,456)	(7,258)	(4,875)	-	(3,339)	(38)	-	(196,965)
Effect of change in economic assumptions: LIC	-	-	-	145,110	-	-	153,940	299,050
Interest accretion on CSM	(43,759)	(174,128)	(40,897)	-	(35,770)	(4,708)	-	(299,262)
Effect of change in Discount rate assumptions: LRC	822,672	140,259	(4,232)	-	28,598	3,378	-	990,675
Effect of movements in exchange rates: LRC	-	-	-	-	-	-	-	-
Effect of movements in exchange rates: LIC	-	-	-	-	-	-	-	-
Change in fair value of underlying items	-	-	(167,483)	-	-	-	-	(167,483)
Insurance finance expenses	107,605	(52,622)	(640,770)	145,110	(247,112)	(2,754)	209,243	(481,300)

Notes to the consolidated and separate financial statements

27.1 Net Finance expenses from Insurance contracts issued

31 December 2025

Company

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Unwind of discount on FCFs: LRC	(642,416)	(182,726)	(602,336)	-	(256,180)	(7,494)	-	(1,691,152)
Unwind of discount on FCFs: LIC	-	(3,245)	(429)	(204,466)	(7,458)	-	(1,014,731)	(1,230,328)
Effect of change in economic assumptions: LRC	233,156	8,899	4,646	-	1,332	46	-	248,080
Effect of change in economic assumptions: LIC	-	-	-	90,260	-	-	97,257	187,517
Interest accretion on CSM	(66,048)	(219,984)	(40,315)	-	(267,650)	(720)	-	(594,718)
Effect of change in Discount rate assumptions: LRC	(589,859)	(71,233)	5,416	-	(17,123)	844	-	(671,956)
Effect of movements in exchange rates: LRC	-	-	-	-	-	-	-	-
Effect of movements in exchange rates: LIC	-	-	-	-	-	-	-	-
Change in fair value of underlying items	-	-	(250,579)	-	-	-	-	(250,579)
Insurance finance expenses	(1,065,167)	(468,290)	(883,597)	(114,206)	(547,079)	(7,324)	(917,474)	(4,003,138)

Net Finance expenses from Insurance contracts issued

31 December 2024

Company

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Unwind of discount on FCFs: LRC	(489,852)	(11,496)	(423,283)	-	(236,601)	(1,385)	-	(1,162,618)
Unwind of discount on FCFs: LIC	-	-	-	-	-	-	-	-
Effect of change in economic assumptions: LRC	(181,456)	(7,258)	(4,875)	-	(3,339)	(38)	-	(196,965)
Effect of change in economic assumptions: LIC	-	-	-	145,110	-	-	153,940	299,050
Interest accretion on CSM	(43,759)	(174,128)	(40,897)	-	(35,770)	(4,708)	-	(299,262)
Effect of change in Discount rate assumptions: LRC	822,672	140,259	(4,232)	-	28,598	3,378	-	990,675
Effect of movements in exchange rates: LRC	-	-	-	-	-	-	-	-
Effect of movements in exchange rates: LIC	-	-	-	-	-	-	-	-
Change in fair value of underlying items	-	-	(167,483)	-	-	-	-	(167,483)
Insurance finance expenses	107,605	(52,622)	(640,770)	145,110	(247,112)	(2,754)	153,940	(536,603)

Notes to the consolidated and separate financial statements

27.2 Net Finance income/(expenses) from Reinsurance contracts issued

31 December 2025

Group

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Interest accreted to reinsurance contracts (locked-in rates)	-	(6,002)	-	-	(11,633)	-	-	(17,636)
Unwind of discount on reinsurance FCFs: LIC	-	-	-	-	-	-	310,822	310,822
Impacting of discounting Reinsurance LIC	-	2,356	-	-	13,970	-	140,873	157,199
Change in financial assumptions: LIC	-	-	-	-	-	-	(8,271)	(8,271)
Interest accreted to insurance contracts (current rates)	-	-	-	(6,354)	-	-	(82,703)	(89,057)
Change in financial assumptions through OCI	-	-	-	34,921	4,934	-	-	39,855
Changes in non-performance risk of reinsurer	-	-	-	-	-	-	(0)	(0)
Net foreign exchange income or expense	-	-	-	-	-	-	-	-
	-	(3,647)	-	28,566	7,271	-	360,721	392,912

Net Finance income/(expenses) from Reinsurance contracts issued

31 December 2024

Group

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Interest accreted to reinsurance contracts (locked-in rates)	-	(5,641)	264	-	(39,578)	90	-	(44,866)
Unwind of discount on reinsurance FCFs: LIC	-	-	-	-	-	-	-	-
Impacting of discounting Reinsurance LIC	-	-	-	(9,341)	-	-	(608,482)	(617,823)
Change in financial assumptions: LIC	-	-	-	-	-	-	(29,818)	(29,818)
Interest accreted to insurance contracts (current rates)	-	277	-	-	38,724	1	-	39,003
Change in financial assumptions through OCI	-	-	-	-	-	-	-	-
Changes in non-performance risk of reinsurer	-	-	-	(6,354)	-	-	11,638	5,284
Net foreign exchange income or expense	-	-	-	-	-	-	-	-
Insurance finance expenses	-	(5,364)	264	(15,695)	(854)	91	(626,662)	(648,221)

Notes to the consolidated and separate financial statements

27.2 Net Finance income/(expenses) from Reinsurance contracts issued

31 December 2025

Company

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Interest accreted to reinsurance contracts (locked-in rates)	-	(6,002)	-	-	(11,633)	-	-	(17,636)
Unwind of discount on reinsurance FCFs: LIC	-	-	-	-	-	-	310,822	310,822
Impacting of discounting Reinsurance LIC	-	2,356	-	-	13,970	-	(8,913)	7,413
Change in financial assumptions: LIC	-	-	-	-	-	-	-	-
Interest accreted to insurance contracts (current rates)	-	-	-	(6,354)	-	-	-	(6,354)
Change in financial assumptions through OCI	-	-	-	34,921	4,934	-	-	39,855
Changes in non-performance risk of reinsurer	-	-	-	-	-	-	7,133	7,133
Net foreign exchange income or expense	-	-	-	-	-	-	-	-
Insurance finance expenses	-	(3,647)	-	28,566	7,271	-	309,042	341,233

Net Finance income/(expenses) from Reinsurance contracts issued

31 December 2024

Company

<i>In thousands of naira</i>	Annuity	Protection	Investment Linked	Group Life	Credit Life	Endowment	Non-life	Total
Interest accreted to reinsurance contracts (locked-in rates)	-	(5,641)	264	-	(39,578)	90	-	(44,866)
Unwind of discount on reinsurance FCFs: LIC	-	-	-	-	-	-	-	-
Impacting of discounting Reinsurance LIC	-	-	-	(9,341)	-	-	(608,482)	(617,823)
Change in financial assumptions: LIC	-	-	-	-	-	-	-	-
Interest accreted to insurance contracts (current rates)	-	277	-	-	38,724	1	-	39,003
Change in financial assumptions through OCI	-	-	-	-	-	-	-	-
Changes in non-performance risk of reinsurer	-	-	-	(6,354)	-	-	(847)	(7,201)
Net foreign exchange income or expense	-	-	-	-	-	-	-	-
Insurance finance expenses	-	(5,364)	264	(15,695)	(854)	91	(609,330)	(630,888)

Notes to the consolidated and separate financial statements

28 Interest revenue using effective interest rate method

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Interest income on financial assets at FVOCI	7.2.1	2,937,416	2,821,956	2,937,416	2,821,956
Interest income on financial assets at FVTPL	7.3.1	3,028,737	1,222,270	2,284,014	1,017,049
Interest income on financial assets at amortised cost	7.4.1	83,481	785,261	22,568	2,580
Interest income on statutory deposit		64,941	-	64,941	-
Interest income on cash and cash equivalents		1,936,733	1,826,952	552,088	484,937
		8,051,309	6,656,438	5,861,027	4,326,522
Investment Income Attributable to:					
Shareholders/Other Policyholders		7,424,152	6,159,024	5,233,871	3,829,108
Investment Contracts holders		627,156	497,414	627,156	497,414
		8,051,309	6,656,438	5,861,027	4,326,522

29 Net fair value (loss)/gain

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Fair value gain/(loss) on Quoted Equities	7.3.2	3,753,714	(671,429)	3,511,525	(671,429)
Fair value loss on Treasury Bill	7.3.3	(33,001)	(1,188)	(33,001)	(1,188)
Fair value gain/(loss) on Bond	7.3.4	1,723,534	(1,091,225)	1,456,629	(928,521)
		5,444,247	(1,763,842)	4,935,153	(1,601,138)
Fair value gain on investment property	12	712,000	107,000	-	-
		6,156,247	(1,656,842)	4,935,153	(1,601,138)

30 Other investment income

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Rental income		12,000	12,000	-	-
Gain on disposal of financial assets (see note (i) below)		-	79,860	-	79,860
Dividend income		347,426	233,825	291,260	204,336
Total		359,426	325,685	291,260	284,197

31 Net (loss)/gain from foreign exchange

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
- FVOCI financial assets (unquoted equities)	7.2.3	(219,969)	-	(219,969)	-
- FVOCI financial assets (bonds)	7.2.4	(1,858,447)	11,223,976	(1,858,447)	11,223,976
- FVTPL financial assets (bonds)	7.3.4	(2,095,404)	5,179,713	(1,374,716)	5,179,713
- Financial assets at Amortised Cost (bonds)	7.4.2	-	4,524,207	-	-
- Cash and Cash Equivalents		(1,955,430)	9,903,789	(801,615)	3,837,834
Net (loss)/gain from foreign exchange		(6,129,250)	30,831,685	(4,254,747)	20,241,523

The net exchange (loss)/gain resulted from translation of foreign currency denominated balances of the entity using the closing rate as at reporting date in line with IAS 21 *The effect of changes in foreign exchange rates* and also from sales of foreign currency denominated assets during the year.

32 Other operating income

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Miscellaneous income		173,613	78,881	154,492	64,373
Profit/(Loss) on disposal of property & equipment	32.1	4,842	(4,730)	4,450	-
		178,456	74,151	158,942	64,373

Notes to the consolidated and separate financial statements

32.1 Profit on disposal of property & equipment

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Sales Proceed		12,842	9,862	12,450	14,575
Cost	13.2	59,000	70,322	54,000	47,250
Accumulated Depreciation	13.2	(51,000)	(55,730)	(46,000)	(32,675)
Net Book Value		8,000	14,592	8,000	14,575
Profit on disposal		4,842	(4,730)	4,450	-

33 Impairment losses on financial assets

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
FVOCI Debt Securities	7.2.5	(31,812)	261,402	(31,812)	261,402
Amortised cost debt securities	7.4.1i	(65,196)	41,579	1,822	5,081
Cash and cash equivalents	6.1	75,958	(4,415)	68,147	19,671
		(21,050)	298,566	38,157	286,154

34 Management expenses

Management expenses comprise

		Group		Company	
<i>In thousands of naira</i>	Note	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Depreciation	13	474,485	364,479	379,550	284,031
Amortisation	14	5,486	5,460	2,271	1,143
Personnel expenses	34.1	5,019,882	5,008,636	3,985,663	4,204,099
Other operating expenses	34.2	3,859,299	2,909,072	2,951,607	2,029,655
		9,359,153	8,287,647	7,319,092	6,518,928

34.1 Personnel expenses

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Salaries		3,525,241	3,496,212	2,721,193	2,811,637
Pension Cost		239,679	209,481	169,572	131,518
Other staff allowances		1,254,961	1,302,944	1,094,898	1,260,944
		5,019,882	5,008,636	3,985,663	4,204,099

34.2 Other operating expenses

<i>In thousands of naira</i>		Group		Company	
		31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Advertising and promotions		426,937	246,841	394,872	218,932
Rents and rates		153,365	196,556	91,980	166,713
Legal fees and professional		171,668	103,219	8,375	31,448
Repairs, fuel and maintenance		760,341	403,164	690,173	269,669
Other Statutory dues and NAICOM levy		180,949	367,698	180,499	352,442
Directors' costs		258,540	126,002	187,081	75,398
Auditor's remuneration		80,932	69,090	40,366	43,750
Staff training and development		319,614	240,842	221,083	147,580
Subscription		193,751	64,788	175,313	42,738
Business travels		337,832	268,195	263,880	234,159
Fines and penalties		36,732	23,799	12,075	23,799
Insurance		168,261	199,075	138,817	149,527
Medicals		142,915	27,695	142,915	6,356
AGM expenses		16,182	21,811	16,182	21,650
Telephone and postages		36,492	22,029	35,925	18,907
Electricity		142,293	75,651	67,149	61,314
Stationery and printing		56,166	15,093	32,535	7,098
Office expenses		34,569	94,079	3,449	93,991
IT Consumables		57,696	48,233	57,696	45,280
Donation		16,915	6,150	16,915	3,150
Cooperate promotion		-	449	-	449
Other expenses		267,149	288,612	174,326	15,306

Notes to the consolidated and separate financial statements

3,859,299 2,909,072 2,951,607 2,029,655

35 Earnings per share (EPS)

Basic earnings per share amounts is calculated by dividing the net profit for the year attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding at the reporting date.

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Net profit attributable to owners of the Company	11,612,709	25,583,281	6,637,916	16,381,825
Weighted average number of ordinary shares in issue for the purpose of EPS (see note (i) below)	18,032,132	18,032,132	18,032,132	18,032,132
Basic and diluted earnings per share (kobo)	64	142	37	91

35.1 The weighted average number of ordinary shares used for the purpose of EPS computation has factored in the treasury shares as shown below.

<i>In thousands of naira</i>	Group		Company	
	31-Dec-25	31-Dec-24	31-Dec-25	31-Dec-24
Weighted average number of ordinary shares in issue	18,166,392	18,166,392	18,166,392	18,166,392
Treasury shares	(134,260)	(134,260)	(134,260)	(134,260)
Effect of restatement due to bonus share issue	-	-	-	-
Weighted effect of bonus issue on shares in issue	-	-	-	-
Weighted-average number of ordinary shares at 30 June	18,032,132	18,032,132	18,032,132	18,032,132

36 Related party disclosures

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial and operational decisions, or one party controls both. The definition includes parents, associates, joint ventures, as well as key management personnel.

36.1 Transactions with related parties

Related party	Relationsh	Nature of transactions	31-Dec-25	31-Dec-24
<i>In thousands of Naira</i>				
Fin Insurance Company Limited (see note 9(b))	Subsidiary	Intercompany receivable	-	35,006
Mr. Peter Ekwueme	Executive director	Insurance premium	1,677	337
Mrs. Christabel Onyejekwe	Non executive director	Insurance premium	24	11
Mr. Segun Adebajji	Chairman Managing Director/CEO	Insurance premium	385	29
Mr. Stephen Alangbo	Non executive director	Insurance premium	1,279	-
Mr. Ejakhaluse Zoe Omonkhogbe	Independent Non-Executive Director	Insurance premium	350	-
Ms. Elizabeth Amadiume	Independent Non-Executive Director	Insurance premium	545	-
Mr. Afolabi Balogun	Independent Non-Executive Director	Insurance premium	448	-
Hilal Takaful Nigeria Ltd	Subsidiary	Intercompany receivable	-	11,278
			4,707	46,660

Notes to the consolidated and separate financial statements

36.2 Compensation of key management personnel

Key management personnel of the Company include all Directors, executive and non-executive.

The summary of compensation of key management personnel for the year is as follows:

<i>In thousands of naira</i>	31-Dec-25	31-Dec-24
Salaries	322,187	292,897
Fees		
Post-employment pension benefits	20,208	18,371
	342,395	311,268
Executive Directors allowances		
<i>Executive Directors Compensation comprise:</i>		
Salaries	181,833	211,672
Post-employment pension benefits	8,938	13,609
	190,771	225,281
Chairman	9,000	6,000
Highest paid director	9,000	6,000
The number of Directors, including the Chairman, whose emoluments were within the following range were:		
	31-Dec-25	31-Dec-24
1,000,001 - 2,000,000	-	-
2,000,001 and above	8	8
	8	8

37 Contraventions and penalties

Penalties for the Group were paid during the year for the following contraventions:

<i>In thousands of naira</i>	31-Dec-25	31-Dec-24
Nigeria Exchange Group Late Filing of Audited Report	10,200	-
Security and Exchange Commission Late Filing of Audited Report	1,875	-
NAICOM Director's appointment contravention	-	485
National Pension Commission: Contravention on pension liabilities	-	22,674
NAICOM: Quarterly returns contravention	-	640
	12,075	23,799

38 Contingencies and commitments

38.1 Legal proceedings and regulations

The Group and Company in its ordinary course of business is a defendant in twenty-five (25) (2023: 27 cases) litigation matters arising out of its normal business with total contingent liability of ₦1.63 billion (2023: ₦3.6 billion). Based on the advice of the Group's solicitors and the legal team, the Directors believe that the outcome that would result from proceedings will not have material adverse effect on the consolidated and separate financial position of the Group. All the litigation matters are still at the high and lower courts and non have been lost, consequently, no provision has been made in these financial statements.

Notes to the consolidated and separate financial statements

Litigation stages are as follows:	31-Dec-25	31-Dec-24
	Number of cases	
	25	27
At high and lower court		
Appeal court	-	-
	25	27

39 Employees

The average number of persons employed by the Company at the end of the year was:

	31-Dec-25	31-Dec-24
Managerial	18	19
Senior staff	47	46
Junior staff	150	147
	215	212

39.1 The number of employees paid emoluments, excluding pension and allowances, above ₦500,000 for the year were:

	31-Dec-25	31-Dec-24
500,000 - 1,500,000	8	8
1500,001 - 2,500,000	98	98
2500,001 - 3,500,000	39	39
3,500,001 - 4,500,000	11	11
4,500,001 - 5,500,000	16	16
5,500,001 - 6,500,000	7	7
6,500,001 - 7,500,000	5	5
7,500,001 - 8,500,000	1	1
8,500,001 - 9,500,000	-	-
9,500,001 - 10,500,000	16	15
10,500,001 and above	14	12
	215	212

40 Events after reporting period

No significant event has occurred since the reporting date which requires adjustment of, or further disclosure in the consolidated and separate financial statements.

41 Disclosures on Non-audit services

The external auditors, Deloitte (KPMG Professional Services for 2024) rendered the following non-audit services to the company within the period.

Description of service	Fee	
	2025	2024
Internal Control over Financial reporting (ICFR) Assurance	7,500	7,500
IFRS 17 NAICOM Certification	-	-
Tax advisory	-	15,000
	7,500	22,500

Notes to the consolidated and separate financial statements

42 Asset hypothecation- 2025

	Non-life Policy Holders	Annuity	Life Policy Investment Contract Liabilities	Life Policy Holders Insurance Contract Liabilities	Shareholders	Total 2025	Total 2024	% Change
<i>In thousands of naira</i>								
Cash and cash equivalents	2,931,928	172,788	284,805	1,292,647	4,182,936	8,865,104	7,341,943	21
Treasury bills	914,133	-	-	1,381,829	-	2,295,962	484,114	100
Bonds	13,035,907	13,333,372	2,293,977	17,540,687	12,354,511	58,558,453	50,025,243	17
Quoted shares	-	-	-	-	9,581,861	9,581,861	5,208,628	84
Unquoted shares	-	-	-	-	3,550,111	3,550,111	4,910,329	(28)
Commercial Paper	-	-	184,596	-	-	184,596	-	100
Loans to policyholders	-	-	189,021	-	-	189,021	148,737	27
Premium receivables	539,019	-	-	7,184	-	546,203	322,551	69
Other receivables and prepayments	-	-	-	-	583,651	583,651	940,275	(38)
Reinsurance contract assets	11,820,745	-	-	1,300,755	-	13,121,500	9,280,075	41
Investment in subsidiaries	-	-	-	-	5,008,847	5,008,847	5,008,847	-
Property and equipment	-	-	-	-	2,618,457	2,618,457	1,901,208	38
Intangible assets	-	-	-	-	7,455	7,455	9,726	(23)
Statutory deposit	-	-	-	-	500,000	500,000	500,000	-
	29,241,731	13,506,159	2,952,399	21,523,102	38,387,828	105,611,220	86,081,675	23

Insurance funds	Non-life Policy Holders	Annuity	Life Policy Investment Contract Liabilities	Life Policy Holders Insurance Contract Liabilities	Shareholders	Total 2025	Total 2024	% Change
<i>In thousands of naira</i>								
Investment contract liabilities	-	-	867,022	-	-	867,022	730,382	19
Insurance contract liabilities	25,401,895	10,802,477	-	13,249,890	-	49,454,262	37,837,078	31
Shareholders' and other funds	-	-	-	-	11,158,263	11,158,263	8,163,613	37
	25,401,895	10,802,477	867,022	13,249,890	11,158,263	61,479,547	46,731,073	32
Surplus in asset cover	3,839,837	2,703,682	2,085,377	8,273,212	27,229,566	44,131,673	39,350,603	12

Notes to the consolidated and separate financial statements

42 Asset hypothecation- 2024

	Non-life Policy Holders	Annuity	Life Policy Investment Contract Liabilities	Life Policy Holders Insurance Contract Liabilities	Shareholders	Total 2024	Total 2023	% Change
<i>In thousands of naira</i>								
Cash and cash equivalents	4,010,274	1,126,419	675,851	450,567	3,002,688	9,265,799	5,957,724	56
Bonds	2,017,745	5,259,315		20,502,780	22,229,729	50,009,569	12,567,943	298
Quoted shares	3,998,393				1,210,235	5,208,628	4,110,526	27
Unquoted shares					4,910,329	4,910,329	1,713,895	187
Loans to policyholders			133,998		-	133,998	137,052	(2)
Premium receivables	176,055		-	31,674	-	207,729	545,407	(62)
Other receivables and prepayments	-	-	-	-	2,123,762	2,123,762	919,474	131
Reinsurance contract assets	7,805,619		1,581	736,056	-	8,543,256	6,861,272	25
Deferred Tax assets	-	-	-	-	-	-	280	(100)
Investment Property	-	-	-	-	861,211	861,211	861,211	-
Investment in subsidiaries	-	-	-	-	3,620,847	3,620,847	3,620,847	-
Property and equipment	-	-	-	-	1,504,929	1,504,929	1,191,083	26
Intangible assets	-	-	-	-	343	343	1,129	(70)
Statutory deposit	-	-	-	-	500,000	500,000	500,000	-
	18,008,086	6,385,733	811,430	21,721,078	39,964,073	86,890,399	38,987,843	123
<i>In thousands of naira</i>								
Insurance funds	Non-life Policy Holders	Annuity	Life Policy Investment Contract Liabilities	Life Policy Holders Insurance Contract Liabilities	Shareholders	Total 2024	Total 2023	% Change
Investment contract liabilities	-	-	479,124	-	-	479,124	249,915	92
Insurance contract liabilities	16,367,855	4,252,271	-	10,591,299	-	31,211,425	23,818,376	31
Shareholders' and other funds	-	-	-	-	8,163,613	8,163,613	3,565,874	129
	16,367,855	4,252,271	479,124	10,591,299	8,163,613	39,854,162	27,634,165	44
Surplus in asset cover	1,640,231	2,133,462	332,306	11,129,779	31,800,460	47,036,238	11,353,678	314

Notes to the consolidated and separate financial statements

43 Statement of cash flow notes

Details of the statement of cash flows workings are presented below.

		Group	Group	Company	Company
		2025	2024	2025	2024
<i>In thousands of naira</i>	<i>Note</i>				
(i) Premium received					
Premiums received	16.1	64,686,191	41,434,202	52,634,457	37,837,078
Premium deposit transferred to Insurance revenue	19.1	(528,428)	(1,123,212)	(827,429)	(1,353,267)
Add: Opening receivables (Gross)	8	549,140	798,935	322,551	545,407
Less: Closing receivables (Gross)	8	(754,408)	(549,140)	(546,203)	(322,551)
		63,952,495	40,560,786	51,583,376	36,706,667
(ii) Dividend income received					
Dividend income	30	347,426	233,825	291,260	204,336
Add: Opening dividend receivable	9	40,624	4,380	40,512	4,324
Less: Closing dividend receivable	9	(10,606)	(40,624)	-	(40,512)
		377,444	197,581	331,772	168,148
(iii) Proceeds from disposal of property and equipment					
Cost of assets disposed	13	158,165	70,322	54,000	47,250
Accumulated depreciation of assets disposed	13	(127,066)	(55,730)	(46,000)	(32,675)
Net book value of disposed assets		31,099	14,592	8,000	14,575
Profit/ (Loss) on disposal	32	4,842	(4,730)	4,450	-
Disposal proceeds		35,941	9,862	12,450	14,575
(iv) Reinsurance premium paid					
Reinsurance premiumd paid (Reinsurance Assets)	10.1	23,540,111	16,865,802	19,031,992	12,642,877
Reinsurance premiumd paid (Reinsurance Liabilities)	17.1	(27,768)	(64,337)	(27,768)	(64,338)
Reinsurance premium paid		23,512,343	16,801,465	19,004,224	12,578,539
(v) Other Reinsurance cashflows (commission income)	17.1	-	20,844	-	20,844
(vi) Reinsurance claims recovered					
Reinsurance claims recovered (Reinsurance Assets)	10.1	7,133,599	2,708,685	2,185,319	1,964,919
Reinsurance claims recovered (Reinsurance Liabilities)	17.1	-	195,351	-	195,351
Reinsurance claims recovered		7,133,599	2,904,036	2,185,319	2,160,270
(vii) Insurance acquisition cashflows					
Acquisition costs	16.1	(7,011,644)	(5,150,894)	(6,119,743)	(3,383,120)
(viii) Claims paid					
Acquisition costs	16.1	(23,587,661)	(13,582,989)	(14,166,554)	(11,127,455)
(ix) Management expenses and other operating cashflows					
Add: Opening Accruals and payables	20	4,261,069	3,545,301	3,571,810	2,366,047
Less: Closing Accruals and payables	20	(2,501,328)	(4,261,069)	(3,049,576)	(3,571,810)
Changes in Accruals and payables (A)		1,759,741	(715,768)	522,233	(1,205,763)
Add: Opening Receivables and prepayments	9	(630,542)	(858,682)	(472,724)	(1,597,046)
Less: Closing Receivables and prepayments	9	511,702	630,542	171,659	472,724
Changes in Accruals and payables (B)		(118,840)	(228,140)	(301,065)	(1,124,322)
Net changes in operating assets and liabilities (C=A+B)		1,640,901	(943,908)	221,169	(2,330,085)
Other non-cash adjustments		1,430,490	4,077,817	1,670,268	4,566,709
Other operating expenses recognised during the year	34	5,431,313	5,012,560	3,985,663	4,204,099
Management expenses and other operating cashflows		8,502,704	8,146,469	5,877,100	6,440,724

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44 Capital management

The Group's objective with respect to capital management is to maintain a capital base that is structured to exceed regulatory requirement and to best utilize capital allocations. Insurance industry regulation measure the financial strength of Non-life insurer using a solvency margin model. Generally, the National Insurance Commission (NAICOM) expects insurers to comply with capital adequacy requirements. The regulatory capital (as required under the Insurance Act, 2003 and NAICOM Guideline) within the Group have been maintained and preserved over the reporting periods.

(a) Approach to capital management

The Group seeks to optimise the structure and sources of capital to ensure that it consistently maximises returns to the shareholders and policyholders. The Group's approach to managing capital involves managing assets, liabilities and risks in a coordinated way, assessing shortfalls between reported and required capital levels on a regular basis and taking appropriate actions to influence the capital position of the Group in the light of changes in economic conditions and risk characteristics.

The primary source of capital used by the Group is equity shareholders' funds.

The table below shows the available capital resources as at 31 December:

<i>In thousands of naira</i>	Group 2025	Group 2024	Company 2025	Company 2024
Total shareholders' funds	71,886,056	59,717,199	44,126,315	38,637,803
Regulatory required capital	5,000,000	5,000,000	5,000,000	5,000,000
Excess capital reserve	66,886,056	54,717,199	39,126,315	33,637,803

(b) Regulatory framework

The insurance industry regulator measures the financial strength of Non-life Insurers using a Solvency Margin model. The National Insurance Commission (NAICOM) generally expects Non-life insurers to comply with this capital adequacy requirement. Section 24 of the Insurance Act 2003 defines the solvency margin of a Non-life insurer as the difference between the admissible assets and liabilities, and this shall not be less than 15% of the net premium income (gross income less reinsurance premium paid), or the minimum capital base (₦3 billion) for Non-life business plus ₦2 billion for Life business, if the later is applicable. higher.

This test compares the insurer's capital against the risk profile. The regulator indicated that insurers should produce a minimum solvency margin of 100%. During the year, the Group met the minimum requirement. The regulator has the authority to request more extensive reporting and can place restrictions on the Group's operations if the Group falls below this requirement.

The solvency margin for the Non-life business of the Company is as follows:

Solvency margin computation as at 31 December 2025

<i>In thousands of naira</i>	Total assets	Admissible assets	Inadmissible assets	Note
Assets				
Cash and cash equivalents	8,865,104	8,865,104	-	
Treasury Bills	2,290,604	2,290,604	-	
Placement with Financial Institutions	-	-	-	
Governments Bonds	53,434,406	53,434,406	-	
Corporate Bonds & Debentures - Quoted	5,124,047	5,124,047	-	
Corporate Bonds & Debentures - Unquoted	-	-	-	
Quoted Shares	9,581,861	9,581,861	-	
Unquoted Shares	3,550,111	-	3,550,111	(iii)
Mortgage Loans	-	-	-	
Loan to Policyholders	373,617	373,617	-	
Loan to staff	-	-	-	
Premium Receivables	546,203	546,203	-	
Other receivables and prepayments	583,651	-	583,651	(i)
Reinsurance Contract Assets	13,121,500	13,121,500	-	
Investment in subsidiaries	5,008,847	-	5,008,847	
Property, plant and equipment - Land & Building	1,570,000	-	1,570,000	
Property, plant and equipment - excluding land & building	1,048,457	-	1,048,457	
Intangible assets	7,455	-	7,455	
Statutory deposits	500,000	500,000	-	
Total admissible assets	105,605,862	93,837,342	11,768,520	

Notes to the consolidated and separate financial statements

Liabilities

Investment contract liabilities	867,022	867,022	-
Reinsurance contract liabilities	92,832	92,832	-
Insurance contract liabilities	49,454,262	49,454,262	-
Other technical liabilities	5,760,071	5,760,071	-
Provision and other payables	3,399,768	3,399,768	-
Other Financial Liabilities	-	-	-
Borrowing	-	-	-
Tax payable	743,038	743,038	-
Deferred tax liabilities	1,134,458	-	1,134,458
Deposits for Shares	-	-	-
Retirement Benefit Obligation	28,096	28,096	-
Total admissible liabilities	61,479,547	60,345,089	1,134,458

Available solvency margin (Total admissible assets minus admissible liabilities) **33,492,253**

Gross premium written	53,685,538
Less: Reinsurance expense	-
Net premium	53,685,538

Required solvency margin: Higher of;

a. 15% of net premium **8,052,831**

b. Minimum capital required **25,000,000**

The higher thereof: **25,000,000**

Level of solvency (available solvency/required solvency *100) **134**

Solvency margin computation as at 31 December 2024

<i>In thousands of naira</i>	Total assets	Admissible assets	Inadmissible assets	Note
Assets				
Cash and cash equivalents	7,341,943	7,341,943	-	
Financial assets	60,777,052	60,777,052	-	
Trade receivables	322,551	322,551	-	
Other receivables and prepayments	940,275	-	940,275	(i)
Reinsurance assets	9,280,075	9,280,075	-	
Investment in subsidiaries	5,008,847	5,008,847	-	
Property and equipment - Land & Building	1,300,000	1,300,000	-	
Property and equipment - Others	601,208	601,208	-	
Intangible assets	9,726	9,726	-	
Statutory deposits	500,000	500,000	-	
Total admissible assets	86,081,677	85,141,402	940,275	
Liabilities				
Investment contract liabilities	730,382	730,382	-	
Reinsurance contract liabilities	143,619	143,619	-	
Insurance contract liabilities	37,837,078	37,837,078	-	
Other insurance contract liabilities	3,417,237	3,417,237	-	
Other payables and accruals	3,816,113	3,816,113	-	
Current tax liabilities	632,963	632,963	-	
Deferred tax liabilities	859,434	-	859,434	
Employee benefit obligations	7,048	7,048	-	
Total admissible liabilities	47,443,873	46,584,439	859,434	
Excess of total admissible assets over admissible liabilities		38,556,962		

Notes to the consolidated and separate financial statements

Higher of:

Gross premium written

Less: Reinsurance expense

Net premium

15% of net premium

Minimum paid up capital

The higher thereof:

Solvency margin surplus

- (i) Amount represents the inadmissible portion of other receivables and prepayments, comprising other receivables and prepayments except other prepaid expenses made to members of staff in line with Section 24(13) of the Insurance Act 2003. The Company has total staff prepaid housing allowance of ₦99.9 million.(2023: ₦72.5 million) These have been admitted for the purpose of the computation while the remaining balance in other receivables and prepayments has been excluded.
- (ii) Amount represents the entire deferred tax assets of the Company which has been excluded from the computation in line with Section 2.11(b)(vi) of the NAICOM Prudential Guidelines for Insurers and Reinsurers, 2015.
- (iii) Amount represents the entire investment in unquoted equities which has been excluded from the computation in line with Section 2.11(b)(viii) of the NAICOM Prudential Guidelines for Insurers and Reinsurers, 2015.

('c) Finance Act 2021 – Part IX – Insurance Act

The Federal Government of Nigeria, by Federal Republic of Nigeria Official Gazette, dated 18th January, 2022, amended the Finance Act, 2021. The Finance Act 2021 (Part IX – Insurance Act) in Sections 33, 34, and 35 contains provisions which amended Sections 9, 10 and 102 of Insurance Act, 2003, as previously related to paid-up share capital. The Sections of the Act amended the Insurance Act by substituting the words “paid-up share capital”, with the words “Capital requirement” and wherever they appear in Insurance Act 2003. The words “Capital requirement” was introduced and inserted in Section 102 of the Insurance Act. By the provision of section 35, “Capital Requirement” means -

(a) in the case of existing company -

- (i) the excess of admissible assets over liabilities, less the amount of own shares held by the company,
- (ii) subordinated liabilities subject to approval by the Commission, and
- (iii) any other financial instrument as prescribed by the Commission.

For this purpose, Admissible Assets are defined as:

Share Capital, Share Premium, Retained Earnings, Contingency Reserves, and any other admissible assets subject to the approval of the Commission;

(b) in the case of a new company -

- (i) Government Bonds and Treasury Bills,
- (ii) Cash and Bank balances, and
- (iii) Cash and cash equivalent.

As an existing company, our capital requirement is as shown below:

<i>In thousands of naira</i>	Company	
	2025	2024
Share capital	9,083,196	9,083,196
Share premium	183,165	183,165
Retained Earnings	17,942,665	17,553,969
Contingency reserve	9,269,718	7,925,429
Excess of admissible assets over liabilities	36,478,745	34,745,760
Less the amount of own shares held (Treasury shares)	(67,130)	(67,130)
	36,411,615	34,678,629
Subordinated liabilities subject to approved by the commission	-	-
Any other financial instrument as prescribed by the Commission	-	-
Capital requirement	36,411,615	34,678,629

Notes to the consolidated and separate financial statements

45 Financial instruments - Fair values and risk management

(a) Accounting classifications and fair values

The following table shows the classification, carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value

(i) Financial instruments measured at fair value

Group

31 December 2025

<i>In thousands of naira</i>	<i>Note</i>	Carrying amount			Fair value			
		Financial assets at fair value through profit or loss	FVOCI Financial Assets	Total	Level 1	Level 2	Level 3	Total
FVOCI Financial assets	7(a)	-	41,104,559	41,104,559	37,274,127	3,830,431	-	41,104,559
Financial assets at FVTPL	7(b)	46,029,690	-	46,029,690	46,029,690	-	-	46,029,690
		46,029,690	41,104,559	87,134,249	83,303,818	3,830,431	-	87,134,249

Group

31 December 2024

<i>In thousands of naira</i>	<i>Note</i>	Carrying amount			Fair value			
		Financial assets at fair value through profit or loss	FVOCI Financial Assets	Total	Level 1	Level 2	Level 3	Total
FVOCI Financial assets	7(a)	-	40,925,655	40,925,655	35,782,560	5,143,095	-	40,925,655
Financial assets at FVTPL	7(b)	22,430,538	-	22,430,538	21,930,749	-	-	21,930,749
		22,430,538	40,925,655	63,356,193	57,713,309	5,143,095	-	62,856,404

Company
31 December 2025

		Carrying amount			Fair value			
<i>In thousands of naira</i>	<i>Note</i>	Financial assets at fair value through profit or loss	FVOCI Financial Assets	Total	Level 1	Level 2	Level 3	Total
FVOCI Financial assets	7(a)	-	38,587,248	38,587,248	35,037,137	3,550,111	-	38,587,248
Financial assets at FVTPL	7(b)	35,393,782	-	35,393,782	35,393,782	-	-	35,393,782
		35,393,782	38,587,248	73,981,030	70,430,919	3,550,111	-	73,981,030

Company
31 December 2024

		Carrying amount			Fair value			
<i>In thousands of naira</i>	<i>Note</i>	fair value through profit or loss	Available-for- sale	Total	Level 1	Level 2	Level 3	Total
FVOCI Financial assets	7(a)	-	39,380,009	39,380,009	34,469,680	2,595,132	-	37,064,812
Financial assets at FVTPL	7(b)	21,248,307	-	21,248,307	21,248,307	-	-	21,248,307
		21,248,307	39,380,009	60,628,316	55,717,986	2,595,132	-	58,313,119

Notes to the consolidated and separate financial statements

(ii) Financial instruments not measured at fair value

Group

31 December 2025

	<i>Note</i>	Amortised cost	Other financial liabilities	Total	Fair value
Financial assets not measured at fair value					
Cash and cash equivalents	6	24,169,631	-	24,169,631	24,169,631
Amortised cost investments	7.4	1,287,977	-	1,287,977	1,302,954
Trade receivables	8	754,408	-	754,408	754,408
Other receivables	9	511,702	-	511,702	511,702
		26,723,718	-	26,723,718	26,738,695
Financial liabilities not measured at fair value					
Trade payables	19	-	6,696,695	6,696,695	6,696,695
Other payables	20	-	2,501,328	2,501,328	2,501,328
		-	9,198,023	9,198,023	9,198,023

Group

31 December 2024

Financial assets not measured at fair value

Cash and cash equivalents	6	24,061,223	-	24,061,223	19,217,453
Amortised cost investments	7.4	13,015,608	-	13,015,608	8,220,010
Trade receivables	8	549,140	-	549,140	271,955
Other receivables	9	537,949	-	537,949	858,682
		38,163,919	-	38,163,919	28,568,100

Financial liabilities not measured at fair value

Trade payables	19	-	4,659,561	4,659,561	5,118,697
Other payables	20	-	4,262,489	4,262,489	3,545,302
		-	8,922,050	8,922,050	8,663,999

Company

31 December 2025

	<i>Note</i>	Amortised cost	Other financial liabilities	Total	Fair value
Financial assets not measured at fair value					
Cash and cash equivalents	6	8,865,104	-	8,865,104	8,865,104
Amortised cost investments	7.4	373,617	-	373,617	388,594
Trade receivables	8	546,203	-	546,203	546,203
Other receivables	9	171,659	-	171,659	171,659
		9,956,582	-	9,956,582	9,971,560
Financial liabilities not measured at fair value					
Trade payables	19	-	5,760,071	5,760,071	5,760,071
Other payables	20	-	3,049,576	3,049,576	3,049,576
		-	8,809,647	8,809,647	8,809,647

Company

31 December 2024

Financial assets not measured at fair value

Cash and cash equivalents	6	7,341,943	-	7,341,943	7,341,943
Amortised cost investments	7.4	148,737	-	148,737	165,998
Trade receivables	8	322,551	-	322,551	322,551
Other receivables	9	940,275	-	940,275	940,275
		8,753,506	-	8,753,506	8,770,766

Financial liabilities not measured at fair value

Trade payables	19	-	3,417,237	3,417,237	3,417,237
Other payables	20	-	3,573,228	3,573,228	3,573,228
		-	6,990,465	6,990,465	6,990,465

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(b) Financial risk management

Risk is at the heart of the business of any Insurance company and operational risks amongst others are an inevitable consequence of being in the financial services industry. The Company's activities expose it to a variety of risks, and those activities principally involve creation of insurance contracts & financial assets and liabilities. The Company's aim is therefore to achieve an appropriate balance between risk and return, and minimise potential adverse effects on the Company and Group's financial performances. This is achieved by a robust framework and clearly defined and transparent risk management process which outlines the processes for risk identification, risk assessment/measurement, risk treatment/control, risk monitoring & review, risk reporting, and risk communication and consultation.

(i) Risk management framework

The Group's board of directors has the overall responsibility for the establishment of oversight of the group's risk management framework. The board of directors has established the Enterprise Risk Management and Governance Committee, which is responsible for developing and monitoring the Group's risk management policies. The committee reports regularly to the board of directors on its activities.

The risk policy is detailed in the Enterprise Risk Management (ERM) Framework, which is a structured approach to identifying opportunities, assessing the risk inherent in these opportunities and managing these risks proactively in a cost effective manner. It is a top-level integrated approach to events identification and analysis for proper assessment, monitoring and identification of business opportunities. Specific policies are also in place for managing risks in the different risk areas of credit, market, liquidity, operational and insurance risks.

The evolving nature of risk management practices and the dynamic character of the insurance industry will necessitate regular review of the effectiveness of each Enterprise Risk Management component. In light of this, the Company's risk management framework shall be subject to continuous review to ensure that effective and cutting edge risk management is applied.

The review shall be completed using either or both of the following approaches:

- Continuous self-evaluation and monitoring by the Risk Management Function in conjunction with Internal Audit; and/or
- Independent evaluation by external auditors, examiners or consultants.

The Head, Enterprise Risk Management unit has the primary responsibility for risk management within the organisation and shall assume responsibility for the review. The Board shall approve all amendments to the Risk management framework.

(ii) Credit risk

Credit risk is the risk of loss arising from the failure of a client or counterparty to fulfil its obligations to the Group. In addition to credit risks arising out of investments and transactions with clients, the Group actively assumes credit risk through the writing of insurance business and the approval and issuance of loans. Credit risk can arise when a policyholder defaults on loan payments or settlement of premium payments and can also arise when its own repayment capability decreases.

The Group's strategy as an insurance company does not entail the elimination of credit risk but rather to take on credit risk in a well-controlled, planned and targeted manner pursuant to its business objectives. Its approach to measuring credit risk is therefore designed to ensure that it can be assessed accurately in all its forms, and that relevant, timely and accurate credit risk information is available to the relevant decision makers at an operational and strategic level at all times.

At a strategic level, the Group seeks to manage its credit risk profile within the constraints of its overall risk appetite and to structure its portfolio so that it provides optimal returns for the level of risk taken. Operationally, credit risk management is governed by the overall risk appetite framework and aims to ensure that the risk inherent to individual exposures or certain business portfolios is appropriately managed through the economic cycle.

In designing credit policies, due consideration is given to the Company's commitment to:

- Create, monitor and manage credit risk in a manner that complies with all applicable laws and regulations;
- Identify credit risk in each investment, loan or other activity of the Insurance Group;
- Utilize appropriate, accurate and timely tools to measure credit risk;
- Set acceptable risk parameters;
- Maintain acceptable levels of credit risk for existing individual credit exposures;
- Maintain acceptable levels of overall credit risk for the Group's portfolio; and
- Coordinate credit risk management with the management of other risks inherent in the Group's business activities.

Impairment assessment

The references below show where the Group's impairment assessment and measurement approach is set out in this report. It should be read in conjunction with the Summary of material accounting policies.

Definition of default and cure

The Group considers a financial instrument defaulted and therefore Stage 3 (credit-impaired) for ECL calculations in all cases when the issuer/borrower becomes 90 days past due on its contractual payments.

As a part of a qualitative assessment of whether an issuer/ borrower is in default, the Group also considers a variety of instances that may indicate unlikelihood to pay. When such events occur, the Group carefully considers whether the event should result in treating the issuer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate.

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- External rating of the issuer indicating default or near-default
- The borrower requesting emergency funding from the Group
- The borrower is deceased
- Issuer’s listed debt suspended at the primary exchange because of rumours or facts about financial difficulties

It is the Group’s policy to consider a financial instrument as ‘cured’ and thereforere-classified out of Stage 3 when none of the default criteria have been present for at least six consecutive months. The decision whether to classify an asset as Stage 2 or Stage 1 once cured depends on the updated credit grade, at the time of the cure, and whether this indicates there has been a significant increase in credit risk compared to initial recognition.

Probability of Default (PD)

In the absence of internally-generated PDs due to the issuers having no previous history of default, the Group adopted a one-year PD term structure from the Standard & Poor Global Default Rate Study for Sovereign entities. In adopting the S&P term structure, the local external rating of Federal Government of Nigeria was calibrated to S&P rating grades. Since the Group’s financial instrument were not rated by any rating agency, and are majorly FGN Bonds and treasury bills which are externally rated by S&P, therefore S&P annual sovereign local currency rating for Nigeria was adopted and adjusted for forward looking macro economy variables.

Exposure at Default

The exposure at default (EAD) represents the gross carrying amount of the financial instruments subject to the impairment calculation, addressing both the client’s ability to increase its exposure while approaching default and potential early repayments too.

To calculate the EAD for a Stage 1 exposure, the Group assesses the possible default events within 12 months for the calculation of the 12mECL. However, if a Stage 1 exposure that is expected to default in the 12 months from the balance sheet date and is also expected to cure and subsequently default again, then all linked default events are taken into account. For Stage 2 and Stage 3 financial assets, the exposure at default is considered for events over the lifetime of the instruments.

Loss given default (LGD)

The group has assumed a weighted average loss given default to cater for time effects should a default occur.

Significant increase in credit risk

The Group continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Group assesses whether there has been a significant increase in credit risk since initial recognition. The Group considered an exposures to have significantly increased in credit risk if contractual payments are more than 30 days past due.

Analysis of the ECL under multiple scenarios

Since the beginning of the year, as the Group has reassessed the key economic indicators used in its ECL models, the expected unemployment growth rate over the next few years has been revised downwards, given the slow down of Nigeria's economy. Inflation rate and crude oil prices assumptions follow a similar trend. Long-term expectations remain unchanged.

The following tables outline the impact of multiple scenarios on the allowance:

Group	2025			2024		
	Upturn (17.31%)	Base (69.23%)	Downturn (13.46%)	Upturn (17.31%)	Base (69.23%)	Downturn (13.46%)
Cash and cash equivalents	19,495	77,978	15,162	6,348	25,392	4,937
Loans and receivables	10,018	40,073	7,792	10,018	40,073	7,792
Other receivables	8,520	34,081	6,627	8,520	34,081	6,627
Debt securities	55,434	221,738	43,116	52,283	209,133	40,665

Company						
	Upturn (17.31%)	Base (69.23%)	Downturn (13.46%)	Upturn (17.31%)	Base (69.23%)	Downturn (13.46%)
Cash and cash equivalents	17,087	68,346	13,290	5,292	21,168	4,116
Loans and receivables	10,018	40,073	7,792	10,018	40,073	7,792
Other receivables	8,520	34,081	6,627	8,520	34,081	6,627
Debt securities	55,434	221,738	43,116	52,283	209,133	40,665

Notes to the consolidated and separate financial statements

Credit risk exposure

The Group does not have any significant credit risk exposure to any single counterparty or any group of counterparties. The credit risks on the Group's investment securities is considered to be low as the counterparties are mostly banks, government agencies, and other entities with high-credit ratings. The Group also writes unit-linked business where the policyholder bears the investment risk on the assets held. The shareholders' risk is limited to the extent that income arising from asset management charges is based on the value of those assets.

The Group's credit risk can be analysed as follows:

<i>In thousands of naira</i>	<i>Note</i>	Group 2025	Group 2024	Company 2025	Company 2024
Cash and cash equivalents (see note (c) below)	6	24,282,266	24,097,901	8,963,826	7,372,518
Loans and receivables (see note (b) below)	7.4.3	242,480	206,620	242,480	206,620
Trade receivables (see note (a) below)	8	754,408	549,140	546,203	322,551
Other receivables (see note (d) below)	9	511,702	537,949	171,659	381,974
Debt securities (see note (e) below)	7	71,242,776	62,493,083	60,849,057	50,509,358
		97,033,632	87,884,693	70,773,225	58,793,022

a Trade receivables

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each counterparty. The credit risk of its counterparties, including the default risk of the industry and region in which the counterparties operate is also considered.

The impairment analysis of Trade receivables is as follows:

<i>In thousands of naira</i>	Group 2025	Group 2024	Company 2025	Company 2024
<i>Assets at amortised cost</i>				
Individually impaired	-	-	-	-
Allowance for impairment	-	-	-	-
<i>Carrying amount</i>	-	-	-	-
Past due but not impaired	-	-	-	-
Neither past due nor impaired	754,408	549,140	546,203	322,551
	754,408	549,140	546,203	322,551

The aging of trade receivables that were not impaired was as follows:

<i>In thousands of naira</i>	Group 2025	Group 2024	Company 2025	Company 2024
Past due 1-30 days	754,408	549,140	546,203	322,551
Past due 31-90 days	-	-	-	-
Past due 91-120 days	-	-	-	-
	754,408	549,140	546,203	322,551

b Loans to policy holders

The Group's loans to policy holders comprises of loans to policy holders and other customers with which are fully collateralized with the policyholders' fund deposit with the Company.

The impairment analysis of loans and receivables is as follows:

<i>In thousands of naira</i>	Group 2025	Group 2024	Company 2025	Company 2024
<i>Assets at amortised cost</i>				
Individually impaired	-	-	-	-
Allowance for impairment	-	-	-	-
<i>Carrying amount</i>	-	-	-	-
Past due but not impaired	-	-	-	-
Neither past due nor impaired	184,596	148,737	184,596	148,737
	184,596	148,737	184,596	148,737

Notes to the consolidated and separate financial statements

c Cash and cash equivalents

The Group's cash and cash equivalents are held with reputable banks and financial institutions. The credit risk on these assets are considered low as the counterparties are banks with high credit rating.

d Other receivables

The Group's other receivables comprises of receivables from other counterparties with which the entity had transactions with during the year. ₦49.2 million (2024: ₦49.2 million) of the Group's receivables was fully impaired as at 31 December 2025.

e Debt securities

The Group limits its exposure to credit risk by investing only in liquid debt securities and only with counterparties that have a very high credit rating. The Group's debt securities are its investment in bonds.

The maximum exposure to credit risk for debt securities classified as FVOCI and Amortised cost at the reporting date per geo-political region was as follows:

	Group	Group	Company	Company
<i>In thousands of naira</i>	2025	2024	2025	2024
North*	67,453,355	58,753,680	57,059,636	46,719,936
South West**	3,789,421	3,739,403	3,789,421	3,789,421
	71,242,776	62,493,083	60,849,057	50,509,357

* The North's figures includes Federal Government of Nigeria issued debt securities such as bonds and treasury bills as the FCT is in the North

** The South West's figures includes Lagos State bonds and corporate bonds

Expected Credit Loss

	Group	Group	Company	Company
<i>In thousands of naira</i>	2025	2024	2025	2024
12-month ECL Individual	-	50,019	-	-
Lifetime ECL not credit-impaired	-	-	-	-
Lifetime ECL credit-impaired	-	-	-	-
Purchased or originated credit-impaired	-	-	-	-
	-	50,019	-	-

The Group did not have any debt securities that were past due or impaired as at 31 December 2025 (2024: Nil).

(iii) Liquidity risk

Liquidity risk is the potential for loss to the Company arising from either its inability to meet its obligations or to fund increases in assets as they fall due without incurring unacceptable cost or losses. Liquidity risk arises when the cushion provided by the liquid assets is not sufficient to meet its obligation (Funding-liquidity risk).

The Group's approach to managing liquidity is to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

In the management of its liquidity risk position, the Group employs the following:

- Monitoring cash flow trends and forecasting future cash flow using a comprehensive cash inflow and outflow analysis that takes into consideration the liquidity needs from all possible sources within the Group.
- In addition to the cash flow analysis, using a variety of ratios and limits to quantify its liquidity risk. Internal limits are defined for the following liquidity risk indicators; liquid assets/projected demand liabilities, percentage of total debt obligations not fully funded at any point in time, total loans/total equity, borrowed funds to total assets and commitment to exposure level.
- Maintaining a desired composition of asset and liabilities to maintain liquidity with more focus on the diversification and stability of liabilities.
- Effective monitoring of liquidity risk using routine reports such as cost of funds reports, liability pricing reports, cash flow or limit monitoring and exceptions reports.
- Monitoring the Group's contractual maturity gap under normal and stress conditions
- Maintaining minimum liquidity requirements
- Maintaining contingency funding plan

The final authority and responsibility for all activities that expose the Group to liquidity risk management rests with the Board of Directors. The Board, however, may delegate this authority to the Board Enterprise Risk Management Committee, the Finance, Investment and General Purpose Committee and the Statutory Audit Committee.

Notes to the consolidated and separate financial statements

Exposure to liquidity risk

The following table summarises the maturity profile of the non-derivative financial assets and financial liabilities of the Group based on the remaining undiscounted contractual obligations, including interest payable and receivable.

For insurance contract liabilities and reinsurance assets, maturity profiles are determined based on the estimated timing of net cash outflows from the recognised insurance liabilities. Unearned premiums and the reinsurers' share of unearned premiums have been excluded from the analysis as they are not contractual obligations.

The Company maintains a portfolio of highly marketable and diverse assets that can be easily liquidated in the event of an unforeseen interruption of cash flow.

Group

31 December 2025

		Contractual cash flows						
<i>In thousands of naira</i>	<i>Note</i>	Carrying amount	Gross nominal inflow/(outflow)	3 months or less	3 - 12 months	1 - 2 years	2 - 5 years	More than 5 years
<i>Non-derivative financial assets</i>								
Cash and cash equivalents	6	24,169,631	24,169,631	24,169,631	-	-	-	-
FVOCI financial assets	7.2.1	41,104,559	55,902,200	1,178,701	1,778,830	7,979,255	23,433,704	21,531,711
Financial assets at FVTPL	7.3.1	46,029,690	46,029,690	-	1,434,053	4,899,290	1,321,285	38,375,062
Amortised cost investments	7.4.1	1,349,823	1,362,968	203,988	916,501	242,480	-	-
Trade receivables	8	754,408	754,408	754,408	-	-	-	-
Other receivables	9	1,782,469	1,782,469	-	1,782,469	-	-	-
		115,190,581	130,001,367	26,306,728	5,911,853	13,121,024	24,754,989	59,906,773
<i>Non-derivative financial liabilities</i>								
Trade payables	19	(6,696,695)	(6,696,695)	-	(6,696,695)	-	-	-
Other payables	20	(2,870,476)	(2,870,476)	-	(2,870,476)	-	-	-
		(9,567,171)	(9,567,171)	-	(9,567,171)	-	-	-
Liquidity gap		105,623,409	120,434,196	26,306,728	(3,655,318)	13,121,024	24,754,989	59,906,773

Group

31 December 2024

		Contractual cash flows						
<i>In thousands of naira</i>	<i>Note</i>	Carrying amount	Gross nominal inflow/(outflow)	3 months or less	3 - 12 months	1 - 2 years	2 - 5 years	More than 5 years
<i>Non-derivative financial assets</i>								
Cash and cash equivalents	6	24,061,223	24,061,223	24,061,223	-	-	-	-
FVOCI financial assets	7.2.1	40,925,655	55,129,871	1,162,416	1,754,254	7,869,015	23,109,950	21,234,235
Financial assets at FVTPL	7.3.1	22,430,538	22,430,538	-	1,434,053	4,899,290	1,321,285	14,775,909
Amortised cost investments	7.4	13,015,608	15,358,417	-	2,437,146	956,942	2,235,750	9,728,579
Trade receivables	8	549,140	549,140	549,140	-	-	-	-
Other receivables	9	1,274,283	1,274,283	-	1,274,283	-	-	-
		102,256,446	118,803,472	25,772,779	6,899,736	13,725,248	26,666,986	45,738,723
<i>Non-derivative financial liabilities</i>								
Trade payables	19	(4,659,561)	(4,659,561)	-	(4,659,561)	-	-	-
Other payables	20	(4,261,069)	(4,261,069)	-	(4,261,069)	-	-	-
			(8,920,630)	-	(8,920,630)	-	-	-
Liquidity gap			109,882,842	25,772,779	(2,020,895)	13,725,248	26,666,986	45,738,723

Notes to the consolidated and separate financial statements

Company

31 December 2025

		Contractual cash flows						
<i>In thousands of naira</i>	<i>Note</i>	Carrying amount	Gross nominal inflow/(outflow)	3 months or less	3 - 12 months	1 - 2 years	2 - 5 years	More than 5 years
<i>Non-derivative financial assets</i>								
Cash and cash equivalents	6	8,865,104	8,865,104	8,865,104	-	-	-	-
FVOCI financial assets	7.2.1	38,587,248	52,505,520	1,107,082	1,670,746	7,494,426	22,009,846	20,223,420
Financial assets at FVTPL	7.3.1	35,393,782	35,393,782	481,360	1,147,782	6,645,992	11,959,016	15,159,633
Amortised cost investments	7.4.1	433,322	446,468	120,000	83,988	242,480	-	-
Trade receivables	8	546,203	546,203	546,203	-	-	-	-
Other receivables	9	171,659	171,659	-	171,659	-	-	-
		83,997,318	97,928,735	11,119,748	3,074,175	14,382,898	33,968,861	35,383,053
<i>Non-derivative financial liabilities</i>								
Trade payables	19	(5,760,071)	(5,760,071)	-	(5,760,071)	-	-	-
Other payables	20	(3,049,576)	(3,049,576)	-	(3,049,576)	-	-	-
		(8,809,647)	(8,809,647)	-	(8,809,647)	-	-	-
Liquidity gap		75,187,671	89,119,087	11,119,748	(5,735,472)	14,382,898	33,968,861	35,383,053

Company

31 December 2024

		Contractual cash flows						
<i>In thousands of naira</i>	<i>Note</i>	Carrying amount	Gross nominal inflow/(outflow)	3 months or less	3 - 12 months	1 - 2 years	2 - 5 years	More than 5 years
<i>Non-derivative financial assets</i>								
Cash and cash equivalents	6	7,341,943	7,372,519	7,372,519	-	-	-	-
FVOCI financial assets	7.2.1	39,380,009	53,584,226	1,129,826	1,705,071	7,648,396	22,462,030	20,638,903
Financial assets at FVTPL	7.3.1	21,248,306	29,587,178	481,360	1,147,782	6,645,992	11,959,016	9,353,028
Amortised cost investments	7.4.1	148,737	201,716	-	142,844	58,873	-	-
Trade receivables	8	322,551	322,551	322,551	-	-	-	-
Other receivables	9	472,724	491,724	-	491,724	-	-	-
		68,914,269	91,559,913	9,306,255	3,487,420	14,353,261	34,421,045	29,991,931
<i>Non-derivative financial liabilities</i>								
Trade payables	19	(3,417,237)	(3,417,237)	-	(3,417,237)	-	-	-
Other payables	20	(3,571,810)	(3,571,810)	-	(3,816,113)	-	-	-
		(6,989,047)	(6,989,047)	-	(7,233,350)	-	-	-
Liquidity gap		61,925,223	84,570,866	9,306,255	(3,745,929)	14,353,261	34,421,045	29,991,931

Notes to the consolidated and separate financial statements

(iv) Market risk

Market risk is the risk that the Group's earnings or capital, or its ability to meet business objectives, will be adversely affected by changes in the level or volatility of market rates or prices such as interest rates or equity prices. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

The Group has established policies and procedures in order to manage market risk.

Currency risk

Foreign currency exchange risk is the exposure of the Company's financial position to adverse movements in exchange rates. Where the Group invests in financial instruments that are denominated in currencies other than its functional currency, it is exposed to foreign exchange risk. In this scenario, the exchange rate of its currency relative to other foreign currencies may change in a manner that has an adverse effect on the fair value or future cash flows of that portion of the Group's financial assets and liabilities denominated in currencies other than the Naira. The Group's exposure to foreign exchange risk arises majorly from its financial assets that are denominated in foreign currencies.

Exposure to currency risk

The summary quantitative data about the Group's exposure to currency risk is as follows:

Group	31 December 2025				31 December 2024			
	NGN	EUR	USD	GBP	NGN	EUR	USD	GBP
<i>In thousands of naira</i>								
Cash and cash equivalents	8,509,118	44,531	15,503,418	4,157	8,509,118	44,531	15,503,418	4,157
Financial assets - FVTPL	10,063,861	-	12,366,676	-	10,063,861	-	12,366,676	-
Financial assets - FVOCI	4,579,075	-	36,346,579	-	4,579,075	-	36,346,579	-
Financial assets - Amortised cost	6,341,678	-	6,673,930	-	6,341,678	-	6,673,930	-
Net statement of financial position exposure	29,493,733	44,531	70,890,603	4,157	29,493,733	44,531	70,890,603	4,157

Company	31 December 2025				31 December 2023			
	NGN	EUR	USD	GBP	NGN	EUR	USD	GBP
<i>In thousands of</i>								
Cash and cash equivalents	3,992,377	25,423	3,320,165	3,978	3,992,377	25,423	3,320,165	3,978
Financial assets - FVTPL	8,881,629	-	12,366,676	-	8,881,629	-	12,366,676	-
Financial assets - FVOCI	3,033,429	-	36,346,579	-	3,033,429	-	36,346,579	-
Financial assets - Amortised cost	148,737	-	-	-	148,737	-	-	-
Net statement of financial position exposure	16,056,172	25,423	52,033,421	3,978	16,056,172	25,423	52,033,421	3,978

The following significant exchange rates have been applied.

Naira	Year-end spot rate	
	2025	2024
USD 1	1,435.75	1538.25
GBP 1	1932.90	1924.83
EUR 1	1686.70	1584.89

Sensitivity analysis

A reasonably possible strengthening (weakening) of the Euro or US dollar against all other currencies at 31 December would have affected the measurement of financial instruments denominated in a foreign currency and affected equity and profit or loss by the amounts shown below. This analysis assumes that all other variables, in particular interest rates, remain constant and ignores any impact of forecast sales and purchases.

Effects	Group				Company			
	Profit or loss		Equity, net of tax		Profit or loss		Equity, net of tax	
	Strengthening	Weakening	Strengthening	Weakening	Strengthening	Weakening	Strengthening	Weakening
<i>In thousands of naira</i>								
31 December 2025								
EUR (50% movement)	22,265	(22,265)	22,265	(22,265)	12,712	(12,712)	12,712	(12,712)
GBP (50% movement)	2,078	(2,078)	2,078	(2,078)	1,989	(1,989)	1,989	(1,989)
USD (50% movement)	35,445,302	(35,445,302)	35,445,302	(35,445,302)	26,016,710	(26,016,710)	26,016,710	(26,016,710)
31 December 2023								
EUR (20% movement)	8,906	(8,906)	8,906	(8,906)	5,085	(5,085)	5,085	(5,085)
GBP (20% movement)	831	(831)	831	(831)	796	(796)	796	(796)
USD (20% movement)	580,927	(580,927)	580,927	(580,927)	10,406,684	(10,406,684)	10,406,684	(10,406,684)

Notes to the consolidated and separate financial statements

(v) Interest rate risk

Interest rate risk is the impact that changes in interest rates could have on the Group's margins, earnings and capital. The Group's objective for interest risk management is to ensure that its earnings are stable and predictable over time.

Interest risk management process

The Group's interest rate risk is being managed through sound portfolio management principles incorporating transfer pricing and directed effectively managing the Group's mismatched positions. The inherent rate risk mismatch is managed through the optimal structuring of on balance sheet portfolio with due consideration to the re-pricing gaps between rate sensitive liabilities and rate-sensitive assets.

Interest rate risk limits are also defined to manage exposure. Limits established are as follows:

- Gap limits: This is expressed in terms of interest rate sensitive ratio for a given time band shall be used to manage the Group's potential re-pricing exposures
- Factor sensitivity limits: A sensitivity factor is determined to limit the change in the present value of the Group's portfolio given one basis point fluctuation in underlying interest rate

Exposure to interest rate risk

The interest rate profile of the Group's interest-bearing financial instruments as reported to the management of the Group is as follows:

Group - 31 December 2025			Rate sensitive					Non rate-sensitive
In thousands of naira	Note	Carrying amount	3 months or less	3 - 12 months	1 - 2 years	2 - 5 years	More than 5 years	
Fixed-rate instruments								
Cash and cash equivalent	6	24,169,631	18,276,959	-	-	-	-	5,892,672
FVOCI Financial assets	7.2.1	41,104,559	-	-	-	-	-	41,104,559
Fair value through profit or loss	7.3.1	46,029,690	2,290,604	-	-	-	-	43,739,086
Amortised cost investments	7.4.1	1,287,977	-	-	-	-	1,287,977	1,287,977
Other receivables	9	511,702	-	-	-	-	-	511,702
		113,103,559	20,567,563	-	-	-	1,287,977	92,535,995

Group - 31 December 2024			Rate sensitive					Non rate-sensitive
In thousands of naira	Note	Carrying amount	3 months or less	3 - 12 months	1 - 2 years	2 - 5 years	More than 5 years	
Fixed-rate instruments								
Cash and cash equivalent	6	10,885,696	8,322,720	-	-	-	-	2,562,976
FVOCI Financial assets	7.2.1	11,416,795	50,450	328,905	1,359,056	3,483,334	4,979,990	2,953,471
Fair value through profit or loss	7.3.1	7,984,599	-	145,750	-	1,367,890	3,086,813	3,384,146
Amortised cost investments	7.4.1	4,271,536	-	-	-	-	3,975,824	-
Other receivables	9	228,778	-	-	-	-	-	228,778
		34,787,404	8,373,170	474,655	1,359,056	4,851,224	12,042,627	9,129,371

Company - 31 December 2025			Rate sensitive					Non rate-sensitive
In thousands of naira	Note	Carrying amount	3 months or less	3 - 12 months	1 - 2 years	2 - 5 years	More than 5 years	
Fixed-rate instruments								
Cash and cash equivalent	6	8,865,104	4,555,812	-	-	-	-	4,309,291
FVOCI Financial assets	7.2.1	38,587,248	-	-	-	-	-	38,587,248
Fair value through profit or loss	7.3.1	35,393,782	2,290,604	-	-	-	-	33,103,178
Amortised cost investments	7.4.1	373,617	-	373,617	-	-	-	-
Other receivables	9	171,659	-	-	-	-	-	171,659
		83,391,410	6,846,417	373,617	-	-	-	76,171,376

Company - 31 December 2024			Rate sensitive					Non rate-sensitive
In thousands of naira	Note	Carrying amount	3 months or less	3 - 12 months	1 - 2 years	2 - 5 years	More than 5 years	
Fixed-rate instruments								
Cash and cash equivalent	6	5,957,724	3,813,298	-	-	-	-	2,144,426
FVOCI Financial assets	7.2.1	10,407,765	50,450	328,905	1,359,056	2,987,500	4,979,990	2,440,275
Fair value through profit or loss	7.3.1	7,984,599	-	145,750	-	-	-	7,838,849
Amortised cost investments	7.4.1	295,712	-	-	295,712	-	-	-
Other receivables	9	398,479	-	-	-	-	-	398,479
		25,044,279	3,863,748	474,655	1,654,768	2,987,500	4,979,990	12,822,029

Notes to the consolidated and separate financial statements

Other market price risk

The Group is exposed to equity price risk, which arises from available-for-sale equity securities held for partially meeting the claims and benefits obligations. The management of the Group monitors the proportion of equity securities in its investment portfolio based on market indices. Material investments within the portfolio are managed on an individual basis and all buy and sell decisions are approved by the Risk Management Committee.

The primary goal of the Group's investment strategy is to maximise investment returns, both to partially meet the Group's claims and benefits obligations and to improve its returns in general.

Sensitivity analysis - Equity price risk

Most of the Group's listed equity investments are listed on the Nigerian Stock Exchange and are classified as FVOCI. A 2% increase in the share price of those equities at the reporting date would have increased equity by ₦51.7 million (2023: ₦53.8 million) after tax. An equal change in the opposite direction would have reduced equity by ₦51.7 million.

(vi) Operational risks

Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial loss. The Group cannot expect to eliminate all operational risks, but by initiating a rigorous control framework and by monitoring and responding to potential risks, the Group is able to manage the risks.

Controls include effective segregation of duties, access controls, authorisation and reconciliation procedures, staff education and assessment processes, including the use of internal audit. Business risks such as changes in environment, technology and the industry are monitored through the Group's strategic planning and budgeting process.

The Group's approach to Operational Risk Management was embedded within the ERM Framework manual which set out operational risk management standards and objectives for all key underlying business and support processes.

The policy:

- a) Governs risk management in all business activities;
- b) Facilitates the identification, measurement, management, monitoring and review of risk activities; and
- c) Reflect the internal and external environment within which the business activities take place.

Notes to the consolidated and separate financial statements

46 Insurance Risk

The principal risk the Group faces under insurance contracts is that the actual claims and benefit payments or the timing thereof, differ from expectations. This is influenced by the frequency of claims, severity of claims, actual benefits paid and subsequent development of long-term claims. Therefore, the objective of the Group is to ensure that sufficient reserves are available to cover these liabilities. The risk exposure is mitigated by diversification across a large portfolio of insurance contracts and geographical areas. The variability of risks is also improved by careful selection and implementation of underwriting strategy guidelines, as well as the use of reinsurance arrangements.

The Group purchases reinsurance as part of its risks mitigation programme. Reinsurance ceded is placed on both a proportional and non-proportional basis. The majority of proportional reinsurance is quota-share reinsurance which is taken out to reduce the overall exposure of the Group to certain classes of business. Non-proportional reinsurance is primarily excess-of-loss reinsurance designed to mitigate the Group's net exposure to catastrophe losses. Retention limits for the excess-of-loss reinsurance vary by product line and territory.

Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision and are in accordance with the reinsurance contracts. Although the Group has reinsurance arrangements, it is not relieved of its direct obligations to its policyholders and thus a credit exposure exists with respect to ceded insurance, to the extent that any reinsurer is unable to meet its obligations assumed under such reinsurance agreements. The Group's placement of reinsurance is diversified such that it is neither dependent on a single reinsurer nor are the operations of the Group substantially dependent upon any single reinsurance contract.

(a) Life insurance contracts (including investment contracts)

Life insurance contracts offered by the Group include: whole life, term assurance and deposit administration. Whole life and term assurance are conventional regular premium products when lump sum benefits are payable on death or permanent disability. Deposit administration is an investment product which accepts deposit from clients and other businesses of savings nature, by agreeing to pay interest on those deposits for an agreed period. For contracts for which death or disability is the insured risk, the significant factors that could increase the overall frequency of claims are epidemics, widespread changes in lifestyle and natural disasters, resulting in earlier or more claims than expected. For annuity contracts, the most significant factor is continued improvement in medical science and social conditions that would increase longevity. For contracts with DPF, the participating nature of these contracts results in a significant portion of the insurance risk being shared with the insured party.

The Group's underwriting strategy is designed to ensure that risks are well diversified in terms of type of risk and level of insured benefits. This is largely achieved through diversification across industry sectors and geography, the use of medical screening in order to ensure that pricing takes account of current health conditions and family medical history, regular review of actual claims experience and product pricing, as well as detailed claims' handling procedures.

Underwriting limits are in place to enforce appropriate risk selection criteria. Insurance contracts also entitle the Group to pursue third parties for payment of some or all costs. The Group further enforces a policy of actively managing and promptly pursuing claims, in order to reduce its exposure to unpredictable future developments that can negatively impact the Group.

Key assumptions

Material judgement is required in determining the liabilities and in the choice of assumptions. Assumptions in use are based on past experience, current internal data, external market indices and benchmarks which reflect current observable market prices and other published information. Assumptions and prudent estimates are determined at the date of valuation and no credit is taken for possible beneficial effects of voluntary withdrawals. Assumptions are further evaluated on a continuous basis in order to ensure realistic and reasonable valuations.

Sensitivities

The analysis which follows is performed for reasonably possible movements in key assumptions with all other assumptions held constant, showing the impact on gross and net liabilities, profit before tax and equity. The correlation of assumptions will have a significant effect in determining the ultimate claims liabilities, but to demonstrate the impact due to changes in assumptions, assumptions had to be changed on an individual basis. It should be noted that movements in these assumptions are non-linear. Sensitivity information will also vary according to the current economic assumptions, mainly due to the impact of changes to both the intrinsic cost and time value of options and guarantees. When options and guarantees exist, they are the main reason for the asymmetry of sensitivities.

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Sensitivity of Best Estimate Liability to changes in long term valuation assumptions
31 December 2025 actuarial valuation

Sensitivities Impact on Best Estimate Liabilities - December 2024 (Excluding Group Life)							
Stress	Stress Factor	Annuity	Credit Life	Endowment	Protection	Investment Linked	Total
Base		4,513,731	814,600	60,652	782,559	4,206,225	10,377,767
Interest_Up	10%	2,971,448	744,070	58,412	585,812	4,180,630	8,540,372
Interest_Down	10%	11,435,759	907,633	64,289	1,239,093	4,298,768	17,945,542
Inflation_Up	10%	6,982,374	824,953	60,734	835,272	4,228,113	12,931,446
Inflation_Down	10%	4,143,750	805,442	60,584	768,803	4,191,772	9,970,351
Lapse_Up	10%	4,513,731	819,794	60,626	780,327	4,205,658	10,380,136
Lapse_Down	10%	4,513,731	734,558	60,559	784,818	4,206,804	10,300,470
Mortality_Up	10%	4,434,738	876,005	60,735	848,135	4,208,803	10,428,416
Mortality_Down	10%	4,601,933	753,161	60,569	717,007	4,204,001	10,336,671
Expenses_Up	10%	4,569,158	821,992	60,743	785,864	4,216,479	10,454,236
Expenses_Down	10%	4,458,304	807,208	60,561	779,255	4,196,229	10,301,557
Morbidity_Up	10%	4,513,731	814,600	60,652	782,559	4,206,244	10,377,786
Morbidity_Down	10%	4,513,731	814,600	60,652	782,559	4,206,225	10,377,767

Sensitivities Impact on Best Estimate Liabilities - December 2024 (Excluding Group Life)							
Stress	Stress Factor	Annuity	Credit Life	Endowment	Protection	Investment Linked	Total
Base		3,997,090	2,051,660	6,840	16,142	3,432,411	9,504,142
Interest_Up	10%	2,817,688	1,583,276	4,373	12,978	3,432,404	7,850,720
Interest_Down	10%	6,721,823	3,222,381	16,384	23,328	3,432,421	13,416,337
Inflation_Up	10%	4,133,479	2,098,485	13,598	17,967	3,432,422	9,695,952
Inflation_Down	10%	3,952,320	2,024,667	5,137	15,163	3,432,402	9,429,689
Lapse_Up	10%	3,997,090	2,019,700	6,953	16,382	3,432,411	9,472,536
Lapse_Down	10%	3,997,090	2,084,273	6,725	15,902	3,432,412	9,536,401
Mortality_Up	10%	3,964,947	2,236,636	6,871	19,409	3,432,434	9,660,296
Mortality_Down	10%	4,030,990	1,866,052	6,810	13,360	3,432,391	9,349,603
Expenses_Up	10%	4,006,578	2,067,878	7,198	17,180	3,432,452	9,531,285
Expenses_Down	10%	3,987,602	2,035,441	6,482	15,122	3,432,371	9,477,019
Morbidity_Up	10%	3,997,090	2,051,660	6,840	16,142	3,432,412	9,504,142
Morbidity_Down	10%	3,997,090	2,051,660	6,840	16,142	3,432,411	9,504,141

Notes to the consolidated and separate financial statements

(b) Non-life insurance contracts

The Group principally issues the following types of general insurance contracts: fire, motor, casualty, workmen compensation, personal accident, marine and oil and gas. Risks under non-life insurance policies usually cover twelve months duration. For general insurance contracts, the most significant risks arise from climate changes, natural disasters and terrorist activities. For longer tail claims that take some years to settle, there is also inflation risk. The above risk exposure is mitigated by diversification across a large portfolio of insurance contracts and geographical areas. The variability of risks is improved by careful selection and implementation of underwriting strategies, which are designed to ensure that risks are diversified in terms of type of risk and level of insured benefits. This is largely achieved through diversification across industry sectors and geography.

Furthermore, strict claim review policies and procedures exist to assess all new and on-going claims, regular detailed review of claims handling procedures and frequent investigation of possible fraudulent claims are all policies and procedures put in place to reduce the risk exposure of the Group. The Group further enforces a policy of actively managing and promptly pursuing claims, in order to reduce its exposure to unpredictable future developments that can negatively impact the business. Inflation risk is mitigated by taking expected inflation into account when estimating insurance contract liabilities.

The Group has also limited its exposure by imposing maximum claim amounts on certain contracts as well as the use of reinsurance arrangements in order to limit exposure to catastrophic events (e.g., hurricanes, earthquakes and flood damage).

The purpose of these underwriting and reinsurance strategies is to limit exposure to catastrophes based on the Group's risk appetite as decided by management. The overall aim is currently to restrict the impact of a single catastrophic event to approximately 50% of shareholders' equity on a gross basis and 10% on a net basis. In the event of such a catastrophe, counterparty exposure to a single reinsurer is estimated not to exceed 2% of shareholders' equity. The Board may decide to increase or decrease the maximum tolerances based on market conditions and other factors.

Key assumptions

The principal assumption underlying the liability estimates is that the Group's future claims development will follow a similar pattern to past claims development experience. This includes assumptions in respect of average claim costs, claim handling costs, claim inflation factors and claim numbers for each accident year.

Additional qualitative judgments are used to assess the extent to which past trends may not apply in the future, for example: one-off occurrence, changes in market factors such as public attitude to claims, economic conditions, as well as internal factors such as portfolio mix, policy conditions and claims handling procedures. Judgment is further used to assess the extent to which external factors such as judicial decisions and government legislation affect the estimates. Other key circumstances affecting the reliability of assumptions include variation in interest rates, delays in settlement and changes in foreign currency rates.

Sensitivities

The non-life insurance claim liabilities are sensitive to the key assumptions that follow. It has not been possible to quantify the sensitivity of certain assumptions such as legislative changes or uncertainty in the estimation process.

Claims development table

The following tables show the estimates of cumulative incurred claims, including both claims notified and IBNR for each successive accident year at each reporting date, together with cumulative payments to date.

In general, the uncertainty associated with the ultimate claims experience in an accident year is greatest when the accident year is at an early stage of development and the margin necessary to provide the necessary confidence in the provisions adequacy is relatively at its highest. As claims develop, and the ultimate cost of claims becomes more certain, the relative level of margin maintained should decrease. However, due to the uncertainty inherited in the estimation process, the actual overall claim provision may not always be in surplus.

Notes to the consolidated and separate financial statements

The following tables provide additional details of the gross loss reserves for each Line of Business

LOB	Marine
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Gross Loss Reserve calculations
Attritional Claims Incremental
Claims ('000)

*Adjusted Bornheutter Ferguson Method
based on the average of the IABCL and IALDF
factors*

Loss Year	1	2	3	4	Development Year		6	7	8	9
					5					
2017	34,677	15,025	1,452	0	0	0	0	0	0	0
2018	15,759	21,324	0	0	110	9,690	454	9,136	0	0
2019	47,986	17,476	0	425	2,725	0	0	0	0	0
2020	19,608	30,633	512	1,251	29	0	0	0	0	0
2021	28,770	33,510	3,142	0	0	0	0	0	0	0
2022	41,832	15,198	1,378	20,123	0	0	0	0	0	0
2023	86,125	23,567	5,252	0	0	0	0	0	0	0
2024	77,679	62,355	0	0	0	0	0	0	0	0
2025	81,063	0	0	0	0	0	0	0	0	0

Inflation Adjusted Incremental Claims ('000)

Loss Year	1	2	3	4	Development Year		6	7	8	9
					5					
2017	120,436	46,825	4,042	0	0	0	0	0	0	0
2018	49,115	59,348	0	0	189	12,881	523	9,136		
2019	133,553	42,021	0	728	3,622	0	0			
2020	47,147	63,700	878	1,662	33	0				
2021	59,826	57,427	4,176	0	0					
2022	71,689	20,202	1,587	20,123						
2023	114,485	27,137	5,252							
2024	89,448	62,355								
2025	81,063									

Inflation Adjusted Cumulative Claims ('000)

Loss Year	1	2	3	4	Development Year		6	7	8	9
					5					
2017	120,436	167,261	171,303	171,303	171,303	171,303	171,303	171,303	171,303	171,303
2018	49,115	108,463	108,463	108,463	108,652	121,533	122,056	131,191		
2019	133,553	175,574	175,574	176,302	179,924	179,924	179,924			
2020	47,147	110,847	111,725	113,388	113,421	113,421				
2021	59,826	117,253	121,429	121,429	121,429					
2022	71,689	91,891	93,478	113,602						
2023	114,485	141,623	146,875							
2024	89,448	151,802								
2025	81,063									

Notes to the consolidated and separate financial statements

LOB	Motor
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Gross Loss Reserve calculations
Attritional Claims Incremental
Claims ('000)

Adjusted Bornheutter Ferguson Method
based on the average of the IABCL and
IALDF factors

Loss Year	1	2	3	4	Development Year 5	6	7	8	9
2017	671,311	490,344	42,841	2592	3660	5512	8856	9509	2616
2018	486,650	115,980	373	635	1413	174	122	0	0
2019	461,796	82,219	933	603	0	0	5159	0	0
2020	370,767	95,518	2310	0	0	111	0	0	0
2021	606,807	98,318	727	21	78	0	0	0	0
2022	656,913	84,117	7,097	318	0	0	0	0	0
2023	535,064	98,418	2,008	0	0	0	0	0	0
2024	658,425	149,096	0	0	0	0	0	0	0
2025	724,466	0	0	0	0	0	0	0	0

Inflation Adjusted Incremental Claims ('000)

Loss Year	1	2	3	4	Development Year 5	6	7	8	9
2017	2,331,533	1,528,190	119,234	6232	7611	11772	10949	2616	0
2018	1,516,679	322,789	896	1319	2421	140	0		
2019	1,285,245	197,691	1941	1033	0	5159			
2020	891,489	198,624	3959	0	0				
2021	1,261,814	168,490	966	24	78				
2022	1,125,766	111,816	8,172	318					
2023	711,256	113,328	2,008						
2024	758,176	149,096							
2025	724,466								

Inflation Adjusted Cumulative Claims ('000)

Loss Year	1	2	3	4	Development Year 5	6	7	8	9
2017	2,331,533	3,859,722	3,978,956	3,985,189	3,992,799	4,002,245	4,014,017	4,024,967	4,027,582
2018	1,516,679	1,839,468	1,840,364	1,841,683	1,844,104	1,844,335	1,844,475	1,844,475	
2019	1,285,245	1,482,936	1,484,877	1,485,910	1,485,910	1,485,910	1,491,068		
2020	891,489	1,090,113	1,094,072	1,094,072	1,094,072	1,094,183			
2021	1,261,814	1,430,304	1,431,270	1,431,295	1,431,372				
2022	1,125,766	1,237,583	1,245,754	1,246,073					
2023	711,256	824,585	826,592						
2024	758,176	907,273							
2025	724,466								

Notes to the consolidated and separate financial statements

LOB	Fire
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Gross Loss Reserve calculations

Attritional Claims Incremental
Claims ('000)

Adjusted Bornheutter Ferguson Method
based on the average of the IABCL and
IALDF factors

Loss Year	1	2	3	4	Development Year 5	6	7	8	9
2017	113,999	141,467	17,647	26216	987	154	1930	0	0
2018	104,242	127,235	16545	3181	282	44	0	0	0
2019	205,731	191,202	33369	13654	5,142	0	0	0	0
2020	257,428	332,618	188848	45,036	0	6	0	0	0
2021	150,626	79,591	15,426	48311	16	0	0	0	0
2022	229,627	138,561	14,178	6,095	0	0	0	0	0
2023	147,805	126,091	1,293	0	0	0	0	0	0
2024	382,250	199,919	0	0	0	0	0	0	0
2025	153,793	0	0	0	0	0	0	0	0

Inflation Adjusted Incremental Claims ('000)

Loss Year	1	2	3	4	Development Year 5	6	7	8	9
2017	395,931	440,891	49,113	63035	2053	264	2566	0	0
2018	324,879	354,114	39781	6615	483	58	0	0	
2019	572,581	459,736	69388	23399	6,836	0	0		
2020	618,973	691,656	323634	59,866	0	6			
2021	313,217	136,398	20,505	55630	16				
2022	393,517	184,189	16,326	6,095					
2023	196,476	145,194	1,293						
2024	440,161	199,919							
2025	153,793								

Inflation Adjusted Cumulative Claims ('000)

Loss Year	1	2	3	4	Development Year 5	6	7	8	9
2017	395,931	836,822	885,936	948,971	951,024	951,288	953,854	953,854	953,854
2018	324,879	678,993	718,774	725,388	725,871	725,929	725,929	725,929	
2019	572,581	1,032,316	1,101,705	1,125,103	1,131,939	1,131,939	1,131,939		
2020	618,973	1,310,628	1,634,262	1,694,128	1,694,128	1,694,134			
2021	313,217	449,615	470,120	525,750	525,765				
2022	393,517	577,706	594,031	600,126					
2023	196,476	341,670	342,964						
2024	440,161	640,080							
2025	153,793								

Notes to the consolidated and separate financial statements

LOB	Aviation
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Gross Loss Reserve calculations

Attritional Claims Incremental
Claims ('000)

Adjusted Bornheutter Ferguson Method
based on the average of the IABCL and IALDF
factors

Loss Year	1	2	3	4	Development Year 5	6	7	8	9
2017	514	3,862	0	0	3	0	0	0	21
2018	73,953	6,934	64	3701	0	0	0	0	0
2019	2,221	231	468	70376	0	516	0	0	0
2020	0	0	329	0	0	0	0	0	0
2021	6,588	8,125	4,850	0	581	0	0	0	0
2022	45,414	54,584	8,794	17,391	0	0	0	0	0
2023	9,474	108,526	110,165	0	0	0	0	0	0
2024	171,540	295,777	0	0	0	0	0	0	0
2025	62,503	0	0	0	0	0	0	0	0

Inflation Adjusted Incremental Claims ('000)

Loss Year	1	2	3	4	Development Year 5	6	7	8	9
2017	1,785	12,036	0	0	7	0	0	0	21
2018	230,479	19,297	155	7696	0	0	0		
2019	6,180	556	973	120605	0	594	0		
2020	0	0	564	0	0	0			
2021	13,698	13,925	6,447	0	581				
2022	77,827	72,558	10,126	17,391					
2023	12,594	124,968	110,165						
2024	197,529	295,777							
2025	62,503								

Inflation Adjusted Cumulative Claims ('000)

Loss Year	1	2	3	4	Development Year 5	6	7	8	9
2017	1,785	13,822	13,822	13,822	13,828	13,828	13,828	13,828	13,850
2018	230,479	249,776	249,931	257,627	257,627	257,627	257,627	257,627	
2019	6,180	6,736	7,709	128,314	128,314	128,909	128,909		
2020	0	0	564	564	564	564			
2021	13,698	27,623	34,070	34,070	34,651				
2022	77,827	150,384	160,510	177,901					
2023	12,594	137,562	247,728						
2024	197,529	493,306							
2025	62,503								

Notes to the consolidated and separate financial statements

LOB	General Accident
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Gross Loss Reserve calculations

Attritional Claims Incremental
Claims ('000)

Adjusted Bornheutter Ferguson Method
based on the average of the IABCL and
IALDF factors

Loss Year	Development Year								
	1	2	3	4	5	6	7	8	9
2017	162,623	203,879	17,569	31034	10342	5416	3075	1678	1745
2018	145,511	170,795	35062	924	1689	7,767	3	768	0
2019	179,616	87,355	24641	26934	7,227	1393	2255	0	0
2020	139,531	114,065	7572	6,473	2233	3475	0	0	0
2021	182,099	83,057	11,761	12041	2445	0	0	0	0
2022	130,769	113,647	18,014	12,793	0	0	0	0	0
2023	194,845	158,241	31,348	0	0	0	0	0	0
2024	196,569	202,074	0	0	0	0	0	0	0
2025	427,751	0	0	0	0	0	0	0	0

Inflation Adjusted Incremental Claims ('000)

Loss Year	Development Year								
	1	2	3	4	5	6	7	8	9
2017	564,806	635,403	48,898	74620	21506	9281	4087	1932	1745
2018	453,494	475,348	84305	1922	2894	10,325	3	768	
2019	499,899	210,040	51239	46157	9,607	1604	2255		
2020	335,496	237,191	12977	8,604	2571	3475			
2021	378,663	142,337	15,634	13866	2445				
2022	224,102	151,070	20,744	12,793					
2023	259,006	182,215	31,348						
2024	226,349	202,074							
2025	427,751								

Inflation Adjusted Cumulative Claims ('000)

Loss Year	Development Year								
	1	2	3	4	5	6	7	8	9
2017	564,806	1,200,208	1,249,106	1,323,726	1,345,232	1,354,512	1,358,599	1,360,532	1,362,277
2018	453,494	928,841	1,013,146	1,015,068	1,017,962	1,028,286	1,028,290	1,029,058	
2019	499,899	709,939	761,178	807,335	816,942	818,546	820,801		
2020	335,496	572,686	585,663	594,267	596,838	600,313			
2021	378,663	521,000	536,633	550,499	552,944				
2022	224,102	375,172	395,916	408,709					
2023	259,006	441,221	472,569						
2024	226,349	428,422							
2025	427,751								

Notes to the consolidated and separate financial statements

LOB	Engineering
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Gross Loss Reserve calculations

Attritional Claims Incremental
Claims ('000)

Adjusted Bornheutter Ferguson Method
based on the average of the IABCL and
IALDF factors

Loss Year	1	2	3	4	Development Year 5	6	7	8	9
2017	0	13,948	1,879	761	461	0	0	0	0
2018	9,869	5,397	1611	1534	0	0	0	0	0
2019	45,035	19,951	124	402	544	0	0	0	0
2020	7,635	24,725	174	170	0	0	0	0	0
2021	26,288	32,543	284	1996	0	0	0	0	0
2022	14,178	28,547	1,143	21,944	0	0	0	0	0
2023	82,246	7,983	0	0	0	0	0	0	0
2024	56,042	62,973	0	0	0	0	0	0	0
2025	60,964	0	0	0	0	0	0	0	0

Inflation Adjusted Incremental Claims ('000)

Loss Year	1	2	3	4	Development Year 5	6	7	8	9
2017	0	43,470	5,230	1830	959	0	0	0	0
2018	30,758	15,021	3873	3191	0	0	0	0	
2019	125,339	47,971	258	689	724	0	0		
2020	18,359	51,415	298	226	0	0			
2021	54,665	55,770	377	2299	0				
2022	24,298	37,947	1,316	21,944					
2023	109,329	9,192	0						
2024	64,533	62,973							
2025	60,964								

Inflation Adjusted Cumulative Claims ('000)

Loss Year	1	2	3	4	Development Year 5	6	7	8	9
2017	0	1,200,208	1,249,106	1,323,726	1,345,232	1,354,512	1,358,599	1,360,532	1,362,277
2018	30,758	928,841	1,013,146	1,015,068	1,017,962	1,028,286	1,028,290	1,029,058	
2019	125,339	709,939	761,178	807,335	816,942	818,546	820,801		
2020	18,359	572,686	585,663	594,267	596,838	600,313			
2021	54,665	521,000	536,633	550,499	552,944				
2022	24,298	375,172	395,916	408,709					
2023	109,329	441,221	472,569						
2024	64,533	428,422							
2025	60,964								

OTHER NATIONAL DISCLOSURES

Value Added Statement

For the year ended 31 December

Group

	2025		2024	
	₦'000	%	₦'000	%
Insurance service revenue	51,656,203	372	38,669,485	(2,744)
Insurance service & operating expenses - Local	(23,156,016)	(167)	(28,366,941)	2,013
Net expenses from reinsurance contracts held and other income	(14,630,785)	(105)	(11,711,615)	831
Value added	13,869,402	100	(1,409,071)	100
Distribution				
Employees				
- Salaries	(5,019,882)	(120)	(5,008,636)	(21)
Government				
- Taxation	(3,027,051)	(72)	2,725,982	11
Retained in the Business				
- Depreciation and amortisation	479,972	11	369,939	2
- To augment reserves	11,756,687	281	25,893,504	108
Value added	4,189,726	100	23,980,788	100

This statement represents the distribution of the wealth or losses created with the Group's assets.

Company

	2025		2024	
	₦'000	%	₦'000	%
Insurance service revenue	41,602,222	363	30,365,388	5,853
Insurance service & operating expenses - Local	(16,868,109)	(147)	(18,783,178)	(3,620)
Net expenses from reinsurance contracts held and other income	(13,267,926)	(116)	(11,063,395)	(2,132)
Value added	11,466,188	100	518,815	100
Distribution				
Employees				
- Salaries	(3,985,663)	(106)	(4,204,099)	(31)
Government				
- Taxation	736,111	20	1,284,144	9
Retained in the Business				
- Depreciation and amortisation	381,822	10	285,174	2
- To augment reserves	6,637,915	176	16,381,825	119
Value added	3,770,185	100	13,747,044	100

Financial Summary-Group

In thousands of naira

	2025	2024	2023	2022 restated	2021 restated
Assets					
Cash and cash equivalents	24,169,631	24,061,223	19,217,453	10,885,696	14,402,330
Financial assets	88,422,226	76,371,800	44,463,303	23,498,744	18,549,874
Deferred acquisition cost	-	-	-	-	-
Premium receivables	754,408	549,140	271,955	607,342	300,788
Other receivables and prepayments	1,782,469	1,274,283	1,506,257	774,065	1,273,809
Reinsurance contract assets	16,142,513	12,834,142	10,483,865	8,039,297	8,990,625
Investment properties	1,584,000	872,000	1,626,211	1,541,721	1,486,721
Property and equipment	5,967,919	4,323,243	3,731,447	2,977,613	1,838,314
Intangible assets	10,525	15,172	8,061	6,266	11,805
Statutory deposit	2,200,000	1,200,000	1,200,000	1,200,000	1,200,000
Total assets	141,033,691	121,501,002	82,508,552	49,530,744	48,054,266
Liabilities					
Insurance contract liabilities	55,083,953	45,144,044	35,174,039	26,236,868	24,124,421
Reinsurance contract liabilities	92,832	143,619	-	-	-
Investment contract liabilities	1,348,313	1,053,426	800,145	668,581	721,499
Other insurance related liabilities	6,696,695	4,659,561	5,118,697	2,623,056	2,504,861
Trade payables	-	-	-	-	-
Deferred commission income	-	-	-	-	-
Other payables and accruals	2,870,476	4,551,197	3,651,199	942,956	1,058,081
Current tax liabilities	801,784	925,416	599,630	462,899	475,575
Deferred tax liabilities	1,251,500	4,519,968	3,235,097	331,604	88,026
Employees benefit obligations	28,096	7,048	10,972	19,493	13,553
Total liabilities	68,173,649	61,004,279	48,589,780	31,285,457	28,986,015
Net assets	72,860,042	60,496,723	33,918,772	18,245,287	19,068,251
Equity					
Ordinary share capital	9,083,196	9,083,196	9,083,196	9,083,196	9,083,197
Share premium	183,165	183,165	183,165	183,165	183,164
Treasury shares	(67,130)	(67,130)	(67,130)	(67,130)	(67,130)
Retained earnings	37,284,440	32,833,838	14,122,858	2,695,544	4,428,247
Contingency reserve	14,200,564	11,799,411	7,833,733	5,559,616	4,735,167
Fair value and other reserves	11,201,820	5,884,720	2,301,359	477,971	411,331
Non-controlling interest	973,985	779,523	461,591	312,926	294,274
Shareholders' funds	72,860,040	60,496,723	33,918,772	18,245,287	19,068,250
Total liabilities and equity	141,033,691	121,501,002	82,508,552	49,530,744	48,054,266
Insurance service revenue	51,656,203	38,669,485	25,914,108	20,484,375	17,792,619
Net insurance result/underwriting results	13,476,491	2,148,221	(337,561)	1,255,314	5,250,289
Profit before minimum and income tax	8,729,636	28,619,486	17,081,332	388,126	3,741,007
Minimum tax	3,260,901	(2,264,906)	(212,322)	(69,280)	(2,433)
Income tax (expense)/credit	(233,850)	(461,076)	(3,030,249)	(302,457)	(202,639)
Profit for the year	11,756,687	25,893,504	13,838,761	16,389	3,535,935

Financial Summary-Company

<i>In thousands of naira</i>	2025	2024	2023	2022 restated	2021 restated
Assets					
Cash and cash equivalents	8,865,104	7,341,943	9,265,799	5,957,724	9,732,527
Financial assets	74,354,647	60,777,052	35,112,230	18,529,416	14,321,091
Deferred acquisition cost	-	-	-	-	-
Premium receivables	546,203	322,551	207,729	545,407	255,793
Other receivables and prepayments	583,651	940,275	2,123,762	919,474	1,213,182
Reinsurance contract assets	13,121,500	9,280,075	8,543,256	6,861,272	8,171,385
Investment properties	-	-	861,211	861,211	861,211
Investment in subsidiaries	5,008,847	5,008,847	3,620,847	3,621,127	3,621,127
Property and equipment	2,618,457	1,901,208	1,504,929	1,191,083	582,447
Intangible assets	7,455	9,726	343	1,129	3,397
Statutory deposit	500,000	500,000	500,000	500,000	500,000
Total assets	105,605,862	86,081,677	61,740,104	38,987,843	39,262,160
Liabilities					
Insurance contract liabilities	49,454,262	37,837,078	31,211,425	23,818,376	22,100,346
Reinsurance contract liabilities	92,832	143,619	-	-	-
Investment contract liabilities	867,022	730,382	479,124	249,915	254,197
Other insurance related liabilities	5,760,071	3,417,237	4,451,110	2,279,283	1,673,898
Trade payables	-	-	-	-	-
Deferred commission income	-	-	-	-	-
Other payables and accruals	3,399,768	3,816,113	2,458,468	809,480	790,445
Current tax liabilities	743,038	632,963	433,268	283,854	345,704
Deferred tax liabilities	1,134,458	859,434	809,794	175,788	23,211
Employees benefit obligations	28,096	7,048	10,972	17,469	11,529
Total liabilities	61,479,547	47,443,873	39,854,161	27,634,165	25,199,330
Net assets	44,126,316	38,637,803	21,885,943	11,353,678	14,062,829
Equity					
Ordinary share capital	9,083,196	9,083,196	9,083,196	9,083,196	9,083,196
Share premium	183,165	183,165	183,165	183,165	183,165
Treasury shares	(67,130)	(67,130)	(67,130)	(67,130)	(67,130)
Retained earnings/(accumulated losses)	17,942,665	17,553,969	6,139,264	(1,913,714)	932,056
Contingency reserve	9,269,718	7,925,429	5,864,929	4,508,692	3,844,841
Fair value and other reserves	7,714,700	3,959,173	682,519	(440,531)	86,703
Shareholders' funds	44,126,315	38,637,803	21,885,943	11,353,678	14,062,831
Total liabilities and equity	105,605,862	86,081,676	61,740,104	38,987,843	39,262,160
Insurance Revenue	41,602,222	30,365,388	20,006,981	17,018,350	15,347,798
Net insurance result/underwriting results	11,466,188	2,367,186	(91,614)	(12,101)	4,784,104
Profit/(loss) before minimum and income tax	7,374,027	17,665,969	10,276,582	(1,059,739)	2,852,366
Minimum tax	(538,213)	(1,048,554)	(143,082)	(69,280)	(2,433)
Income tax (expense)/credit	(197,899)	(235,590)	(724,286)	(144,580)	(109,122)
Profit/(loss) for the year	11,756,687	25,893,504	13,838,762	(1,273,599)	2,740,811